

REFORM OF THE RESOURCE MANAGEMENT SYSTEM

A Pathway to Reform

Working Paper 2:
A model for the future

Greg Severinsen



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First published October 2019

Published by:

Environmental Defence Society Incorporated
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www.eds.org.nz

www.environmentguide.org.nz

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Design: Neale Wills, Wilsy Design & Production Ltd

Photographic images: Raewyn Peart

Cover Image: Shutterstock

Copies can be downloaded from www.eds.org.nz

ACKNOWLEDGEMENTS

The Environmental Defence Society would like to give special thanks to the primary funders of this project, the New Zealand Law Foundation and the Michael and Suzanne Borrin Foundation. Thanks also to the Property Council New Zealand, Infrastructure New Zealand, and the Employers and Manufacturers Association (Northern) for providing financial support for the project.

In addition, we would like to thank all the people who have contributed to the project so far, including members of our Advisory Group, interviewees at home and abroad, and those who attended our series of workshops in August and September 2019. Special thanks go to Raewyn Peart, who contributed to the paper prior to her appointment to the government's review group on resource management system reform, and to Aidan Cameron and Olivia Grainger for their valuable input.

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LIST OF TERMS

CCO	Council-controlled organisation
EPA	Environmental Protection Authority
EEZ Act	Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012
GDP	Gross domestic product
NES	National Environmental Standard
Nimby	Not in my backyard
NPS	National Policy Statement
NZCPS	New Zealand Coastal Policy Statement
NZTA	New Zealand Transport Agency
RMA	Resource Management Act 1991
Three waters	Drinking water, waste-water and stormwater

EXECUTIVE SUMMARY

0.1 Introduction

In its *Reform of the Resource Management System* project, the Environmental Defence Society (EDS) is looking, from first principles, at how we can manage our environment and resources better. We are asking *why* we do certain things, *whether* we should be doing them, and *how* we should be doing things in the future. The system is about protecting the environment, providing for New Zealanders' social, cultural and economic wellbeing, and thinking about what legacy of natural and physical resources we leave to future generations. The project is not just about the Resource Management Act 1991 (RMA) – the “system” is much wider than that, and includes many different laws, institutions, processes and incentives. The need for a rethink is also urgent, given the sub-optimal environmental outcomes we are currently seeing and the scale of future challenges before us. And it is not only us that are thinking along such lines; there has been cross-sectoral and cross-party support for a comprehensive rethink for some time now, and the government has recently established an independent review group to explore the future of the resource management system.

The EDS project has two phases. Phase 1 (entitled *the Next Generation*) culminated in a final synthesis report that was released in February 2019. This provided extensive analysis, outlined options for various reform measures, and outlined three possible overall models for what a reformed system could look like.¹ It was about guiding a conversation between people having many different perspectives. It did not recommend a specific model.

The project's second and final phase – of which this working paper is a part – is called *A Pathway to Reform*. Phase 2 is about moving beyond analysis and options, and progressing a particular model. It builds on the foundations laid by Phase 1 to do three things (although the second and third are being thought about in an integrated way, not sequentially):

1. Generate a set of criteria by which we can choose between different reform options
2. Apply that set of criteria to develop a preferred model
3. Map out a pathway to the preferred model from what we have now

Working paper 1 of this phase – entitled *Criteria for Reform* – was published in April 2019. It investigated what criteria could be useful to guide reform choices, and how they could be combined into coherent sets. It ended by presenting three alternative criteria sets that could be adopted: a “progressive” set, a “transformational” set, and a “market-led” set. It stopped short of adopting one of them, as we wished to receive feedback on that question.

This paper (working paper 2) is quite different from previous work in the project. So far, we have generally presented options rather than making recommendations.

We have sought to construct a framework for debate. We hope that this continues to be useful – after all, there is a lot of debate still to be had. However, this paper is putting forward a firmer proposition for reform. It presents our view. It is ambitious. It is uncompromising. But we also think it is realistic, and it is achievable. We remain unapologetic about the need for fundamental change that works for all.

That said, this is a working paper, and we do present a number of sub-options. We also pose specific questions throughout, and invite and encourage feedback on these and on the proposals more broadly. This will be fed into a final synthesis report, which will be launched at the end of 2019. The final report will build on this paper, and fill remaining gaps in it. Please send any comments to RMProject@eds.org.nz by 30 October 2019.

0.2 Overall structure

There are many specific features we could talk about in a preferred model. However, we are above all concerned with the framework level of reform.² Our hope is that other work can then build upon that architecture, and provide answers to the many more targeted questions that will arise. In this working paper, we are also concerned with the “core” of a future system – beginning with the RMA – rather than covering all of its aspects.

In describing a preferred model, we build on many of the options presented in the Phase 1 report. While we describe features in some detail, we do not draft an actual “Resource Management Reform Bill”.³ We also note that, sometimes, *alternative* reforms may appear equally desirable when assessed against criteria, and we retain some options and sub-options within a single model where we think this is the case.

The overall structure of the paper is presented below in Figure 0.1. Broadly speaking, it is structured according to the key pieces of future legislation that will define the model. This is not to underplay the importance of links between statutes (or more general concerns that will cut across them). The structure is for clarity of presentation (people's first question is usually what legislative arrangements would look like), rather than a reflection of our thought process. That process has very much been built on the system-wide “thematic” approach to the Phase 1 report, which started with ethics, principles, and the proper role of the system, and only then turned to matters of legislative, institutional and process design. In other words, form (how to arrange statutes) must always follow function (what would be most effective in achieving what we want to achieve). How we then *present* that is dictated by what would be easiest for a reader to digest, and what might be easiest for law and policy makers to implement.

Chapter	Topic
1	Introduction
2	The structure of this working paper
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7	Planning under a new RMA: Central government
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Figure 0.1: *Structure of the working paper*

Within this structure, we consider the temporal or pathway element of reform, although a full picture is only intended to appear in the final report. There are many reasons why a staggered approach to change looks best, and these have been mentioned in Working Paper 1. We cannot think about whether choices are desirable or not without thinking about *when* they would be implemented. This is because timing is built into our criteria set (especially pragmatic criteria concerned with things like resourcing and political palatability, but also the urgency of action needed to address things like environmental bottom lines). What an ideal and realistic system may look like in ten years’ time may not be what it looks like in three years’ time.

As such, we do not just select one arbitrary point in time at which we propose that a single preferred model would come into existence. Roughly speaking, however, we are thinking about a reform pathway in three broad steps:

1. What could be done within a single parliamentary term (short-term)
2. What would require multiple (roughly, one more) parliamentary terms (medium-term)
3. What would be a desirable end point, but with no specific timeframe around it other than (roughly) up to one decade (longer-term)

No doubt readers will be most interested in the first one or two categories, as only they could involve realistic policy proposals to put before a reform-minded government. It is therefore useful to identify and describe those kinds of reforms in more detail. However, longer-term reform is equally important, and a transformational end point is desirable. This step should not simply be ignored because it cannot form an immediate reform bill or the focus of a political mandate defined by parliamentary terms. The further into the future we look, the more apt it is to speak of a broad “corridor” with several branches than a narrow “pathway”.

Our short-term reform proposal is about working primarily within the basic frameworks we already have, with some significant additions. This still requires considerable legislative change, but is predominantly about building on the current system rather than overhauling it. Yet we do not think it lacks ambition.

In the medium term, we see more far-reaching reforms, albeit still ones that build on many of the basic structures we already have (including the RMA, or a new statute resembling it).⁴ Longer-term proposals will be more about far-reaching systemic change to the underlying drivers of human behaviour (eg the tax system), not just the legal frameworks that tend to react to those drivers.

We are thinking about a reform pathway in three broad steps:

- 1: What could be done within a single parliamentary term (building on the current framework)
- 2: What would require two parliamentary terms (deeper legislative and institutional reform)
- 3: What would require up to a decade (addressing more systemic shifts in society)

0.3 Preferred criteria for reform, and implications for ethics

The substantive part of the paper begins (in Chapter 3) by selecting a preferred set of criteria. In essence, we are adopting the “progressive” set floated in Working Paper 1.⁵ This recognises the need for far reaching change to achieve ambitious goals, but does not seek to overturn all aspects of the current system. Realism, and a staggered approach to reform, is important if change is to actually happen.

Criteria are being seen as a broad anchor for debate, rather than driving particular answers or blueprints for reform. Generally speaking, though, we emphasise the need to establish and hold firm true biophysical bottom lines, including where necessary for human survival and to protect the intrinsic worth of the natural world. There is also the need to strictly uphold Treaty settlements. Human wellbeing is seen as being about more than just economic and social freedom to act, or the provision of public goods. It is about many other things – including building social and

economic resilience, respecting communities' wishes, and outcomes and processes that are fair rather than just efficient. We stress the need for equity, as well as certainty, but recognise that the need for agility and timely outcomes cannot be undermined.

We adopt a “progressive” set of criteria for reform, striking a balance between the need for ambition and change, and the need for pragmatism. Criteria form useful anchor points for debate, but do not produce a blueprint for reform. Considerable debate will still be possible as to how they are applied.

In Chapter 4, we consider what criteria mean for the ethics, principles and roles that will define a future system. In short, we recognise that multiple worldviews or ethics will need to underpin the system. This is not only because that will be the political reality, but also because we see a plurality of ethics as a good thing. We are already seeing a convergence of thinking in this area, with concepts like Te Mana o Te Wai. A future system will need to seek out nodes of agreement as well as mediating between legitimate tensions in people's worldviews. Ultimately, there is growing acceptance among New Zealanders about the outcomes we need to see, and if changes in ethics help us to achieve those then that is a positive thing. The focus needs to be on the outcomes we want and respect for people's different perspectives on the world, not the application of a particular world view. In particular, while economic tools will be essential in driving change, we should not be attached to a narrow neo-liberal economic orthodoxy in how we manage our taonga and resources. There is a strong moral component to be considered here.

We also reinforce the conclusions reached in the Phase 1 report about when it is appropriate for the system to intervene in future.⁶ In short, we consider that a narrow rationale based on market failure or externalities would be inappropriate, and that the system should have a role where either the public interest is at stake or where needed to address the interests of Māori as Treaty partners. This leads to seven core roles we see the system as a whole needing to perform (in no particular order of importance):

1. Imposing and maintaining firm biophysical bottom lines
2. Facilitating trade-offs above bottom lines
3. Pursuing positive outcomes
4. Providing public goods
5. Protecting and respecting the interests of Māori
6. Allocating non-private resources
7. Resolving disputes

A plurality of ethics and worldviews will need to be reflected and embraced in a future system. Nodes of agreement and convergence should be embraced. Intervention will be appropriate where there is a public interest or where needed to protect the interests of Māori, and that leads to seven core roles that a future system as a whole will need to perform. This includes the imposition and maintenance of firm environmental bottom lines.

0.4 What we have now: The current system

In Chapter 5 we briefly (though by no means exhaustively) outline the core features of the current system. This is useful to (1) allow readers to consider the extent of change contemplated in a preferred model; and (2) to provide a sense of where the reform pathway would start from (and from where it would progress over time). We also provide a visual representation of the core of the current system (in Figure 5.7), to allow a degree of comparison with the snapshot of a future model.

We note that the “current” system is actually a moving feast, especially in light of a range of proposed changes being floated and progressed by the government. What some of these will end up looking like is unclear. We highlight the most important of these, and the need to consider how they would (or would not) be integrated into a future model. Of particular importance is the government's recent establishment of a panel looking at the future of the resource management system, which is due to report in May 2020.

The current system provides an important foundation upon which reform would be built. It contains many moving parts that need to be considered, especially in light of the government's active reform agenda.



0.5 An outline of the proposal

In Chapters 6 to 11 we explore what the core of a future resource management system could look like in New Zealand. Readers are invited to compare Figure 0.3 (a snapshot of the proposed system, presented at the end of this Executive Summary) with a description of the current system provided in Chapter 5. It should also be noted that, while our description below is sensitive to timing (when different reforms would happen), Figure 0.3 shows what we envisage to be the *end point* of reform. In the final report, we anticipate that the figures showing the current and future systems will be joined by other diagrams of a similar nature, collectively showing how we see the system evolving at key points over time (eg after one, two and three parliamentary terms).

Because this is a working paper, our thinking is ongoing. The description provided here is therefore still incomplete (see Chapter 12 on matters we are continuing to consider).

0.6 The legislative architecture

In terms of an overall legislative architecture, we see merit in retaining the RMA, or an integrated statute like it, at the heart of a future system. While there would be many attractive features of having, for example, a separate “Planning Act” and “Environment Act”, on balance we think that the risks of this would outweigh its benefits. In particular, there is the need for close intra-statutory connections between land use decisions and other “environmental” domains like water, air, climate and soil. However, there would also be considerable changes to the RMA, which are described further below.

Implicit in our retention of the RMA is a rejection of the idea of rearranging our core statutes along completely different lines (eg separate sectoral, domain-based, or location-specific acts).⁷ At the heart of the system would continue to be an integrated, outcomes-based statute. Additional layers of legislation would then fill gaps in a similar kind of way as in the current system.⁸ The notable exception, explored further below, would be a dedicated Oceans Act (a largely spatial separation). Our view is that this would best reflect the legislative design principles outlined in the Phase 1 report,⁹ as well as reform criteria.

We envisage that an integrated statute like the RMA would continue to exist at the core of a future system.

Alongside the RMA, which would continue to deal with both land use and other environmental domains, we would envisage that separate legislation for local government and infrastructure would remain. Over time, however, they could usefully be merged into an integrated Local Government and Infrastructure Act (incorporating the existing Local Government Act and the Land Transport Management Act and any bespoke arrangements for three waters infrastructure, such as a Water Services Act).¹⁰ That could also subsume recently enacted legislation setting up an Infrastructure Commission.¹¹

This is certainly not to suggest that local government is just about infrastructure provision; simply that a more integrated or aligned process for local and central infrastructure planning and funding (including for transport and three waters) would be desirable. We are still giving thought to what exactly that would look like, but see merit in it eventually occurring within a single statutory framework.

There would still be a need to align land use planning (under a revamped RMA) with the planning and funding of associated public infrastructure, particularly in the context of rapid urban growth. We therefore envisage that a higher level of strategic spatial planning would occur at a regional scale. This would happen under a new piece of legislation, which we call here the “Future Generations Act”. This would be an overarching, integrative statute of quasi-constitutional significance, that would (among other things) flow down into other more targeted “implementation” style statutes. It would provide both coordination between agencies’ functions in the context of urban growth and normative consistency (aligning our aims) across a system defined not just by individual statutes but also wider public decision-making. This is described in more detail further below. For now, we just note that this statute would be a key place in which regional level spatial planning would occur to manage coordination issues arising from separate land use and infrastructure regimes.

The RMA, Local Government Act and Land Transport Management Act (and associated spatial planning to align them) are sometimes presented as being synonymous with the resource management system as a whole. In the urban growth context, they are certainly of central importance. But there are many other statutory frameworks we see operating in a future system. While an umbrella Future Generations Act will provide a degree of alignment between them, there are good reasons for having more targeted statutes (and associated institutions) focused on particular things. In particular, there is merit in environmentally protective statutes (eg a revamped RMA) being separate, under a clear purpose and principles and a firm hierarchy,¹² from others focused on development (eg infrastructure provision). Too much integration can make a statutory framework unwieldy, vague in its purpose, and inaccessible to users.¹³

Separate statutes can also be appropriate where they use quite different tools. For example, the Building Code, RMA plans, council long-term plans, product stewardship schemes and hazardous substances approvals may have a degree of overlap in terms of outcomes sought (eg sustainability), but they rely on very different trigger points for action. Fragmentation is, therefore, a good thing to some extent, but only insofar as the system’s statutes are aligned by conscious design to form pieces of a coherent overall puzzle. They should not pull in different directions.

Where a hierarchy of outcomes requires strong integration between some things – such as land use and other environmental domains like water and the climate – those matters should be more closely integrated *within* statutory regimes. Where acts do fundamentally different

things (seek different outcomes within a hierarchy or use different tools to achieve the same aims), there is a stronger case for targeted frameworks.¹⁴ For many of those, though, there will still be a need to coordinate tools and processes (eg for planning and consenting) much more closely than at present.

As such, we do not see an unlimited scope for integration in a legislative sense. An “uber RMA” would not devour all other frameworks, even environmentally protective ones (eg acts concerned with conservation). The RMA’s purpose is broad, but the kind of restrictions/tools it provides for are narrow when compared to the bigger picture. Nor would a Future Generations Act be a place where all other statutes are simply stitched together. Its role would be to provide strategic alignment at the top of the system (in ways outlined further below), not to combine every kind of plan, permit and other mechanisms in one place.

We envisage a number of other statutes continuing to exist in a future system alongside the RMA and local government/infrastructure-focused legislation. There would also be a higher level layer of strategic legislation above these – a Future Generations Act.

In the longer-term, however, there seems a case for integrating into a Future Generations Act some statutes that are about establishing the architecture of the system rather than those that are about making on the ground change. For example, environmental reporting could be subsumed within it, recognising that this needs to influence all other frameworks in the

ways that a Future Generations Act would be designed to do. State of the environment monitoring under the RMA, which is crucial to inform such reporting (and not just for RMA functions), could be shifted too. Other legislation of a cross-cutting or “strategic” nature could also be integrated – such as the Energy Efficiency and Conservation Act 2000, the Environment Act 1986 and the Environmental Protection Authority Act 2011. While it would not be strictly necessary, it may make some sense for the Environment Court to eventually be established/continued under such a system-wide statute, given that the Court has roles under multiple statutes and not just the RMA.

Of particular significance here is the Zero Carbon Bill. This is currently framed as an amendment to the Climate Change Response Act 2002 (which under current settings makes a great deal of sense), but it is at heart a framework for strategic planning for climate change mitigation and adaptation. It will need to have meaningful flow-on effects under multiple frameworks (across the board, really, and not just to influence tools under the Climate Change Response Act itself), so seems well suited to integration within the high level strategic planning framework of a Future Generations Act.

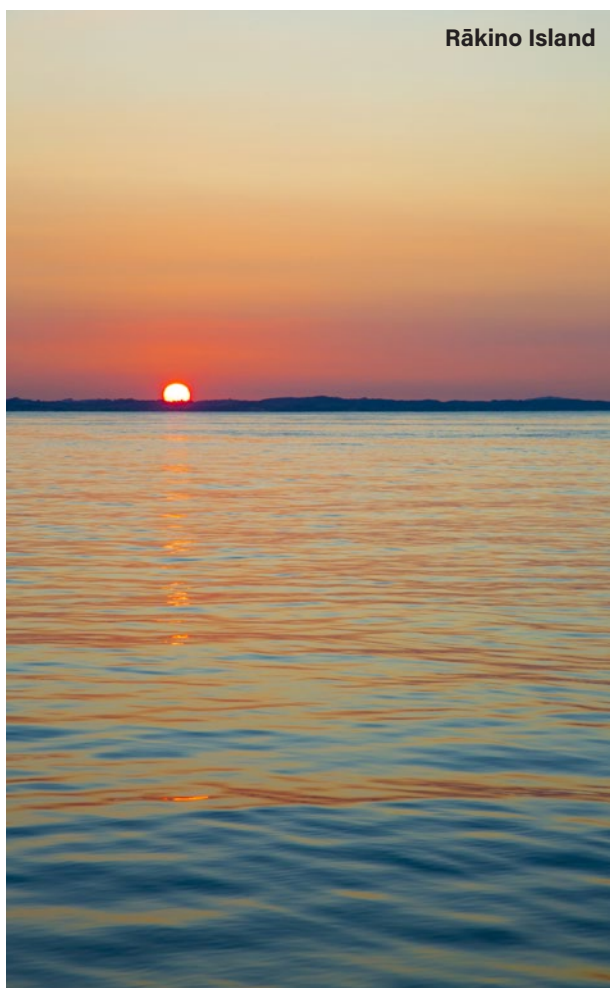
A Future Generations Act could subsume some existing statutes (or parts of them) having “system-wide” application. In particular, it could be a suitable location for the strategic aspects of climate change mitigation and adaptation contained within the Zero Carbon Bill.



We also see significant room for rationalisation of statutes. For one, our current set of “conservation” statutes is defined by considerable fragmentation and cross-referencing between acts that, broadly speaking, seek to do very similar things.¹⁵ Our thinking on that is ongoing, but they could well be integrated into one or two statutes focused on protected areas, habitats and species. Such statutes would encompass both terrestrial and marine environments, recognising that the overall purposes of conservation are similar in both spaces, and that many species have lifecycles that cross boundaries. They would have much clearer purposes, and also rationalise the complex planning and permitting landscape.

Although our thinking is ongoing, conservation legislation could be rationalised into one or two more integrated statutes concerned with protected areas, habitats and species. These could span land and sea.

As mentioned earlier, we are also floating the idea of an integrated “Oceans Act”, which would recognise that closer connections need to be made between frameworks dealing with the marine environment. An Oceans Act would (for most things) apply on the seaward side of a line drawn roughly (although mapped based on ecological grounds) at 3 nautical miles from the coast, and incorporate parts of the RMA, Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act



Rākino Island

2012 (EEZ Act), Maritime Transport Act, Biosecurity Act, and Fisheries Act. Wild fisheries and biosecurity would come under this Act. Conservation frameworks applying partly or wholly to the oceans – like for marine protected areas, marine mammals and wildlife – would instead be integrated into dedicated conservation legislation described above, but with clear inter-statutory links made with an Oceans Act.

We are floating the idea of an integrated Oceans Act, which would integrate many marine-focused aspects of legislation into one place. It would apply on the seaward side of a line roughly 3 nautical miles from the coast.

There may also be room for closer integration between the RMA and the Heritage New Zealand Pouhere Taonga Act, even if associated institutional responsibilities did not change. But while we have not explored their content in depth, at this stage we suggest there are persuasive reasons to keep other more targeted frameworks separate. Again, links between frameworks will need to be made clearer in many cases, and it is anticipated that a Future Generations Act would provide a degree of consistency across frameworks. Into this category would fall:

- The Hazardous Substances and New Organisms Act
- The Building Act (and Code)
- The Waste Minimisation Act (which could usefully be combined with the Litter Act)
- The Climate Change Response Act (which would remain a framework primarily targeted at the emissions trading scheme)
- Dedicated urban development authority legislation (Kāinga Ora – Homes and Communities Act), which would be subject to considerable change from what is currently proposed
- The Biosecurity Act (in its non-marine aspects)
- The Crown Minerals Act (although there is room for this to be integrated more closely with the Continental Shelf Act)
- The Marine and Coastal Area (Takutai Moana) Act

Treaty settlement legislation (eg the Māori Fisheries Act and Te Urewera Act) would remain untouched, but we see a case for embedding their provisions more clearly in the more general frameworks (like the RMA) that they alter or influence (even through simple cross-referencing or “flagging” provisions).¹⁶ The complexity of bespoke processes is inevitable here, but accessibility could be improved.

We consider that there are good grounds for keeping many other targeted frameworks separate in a future system. Generally, stronger links would be made between them, and an overarching Future Generations Act would provide a stabilising force.

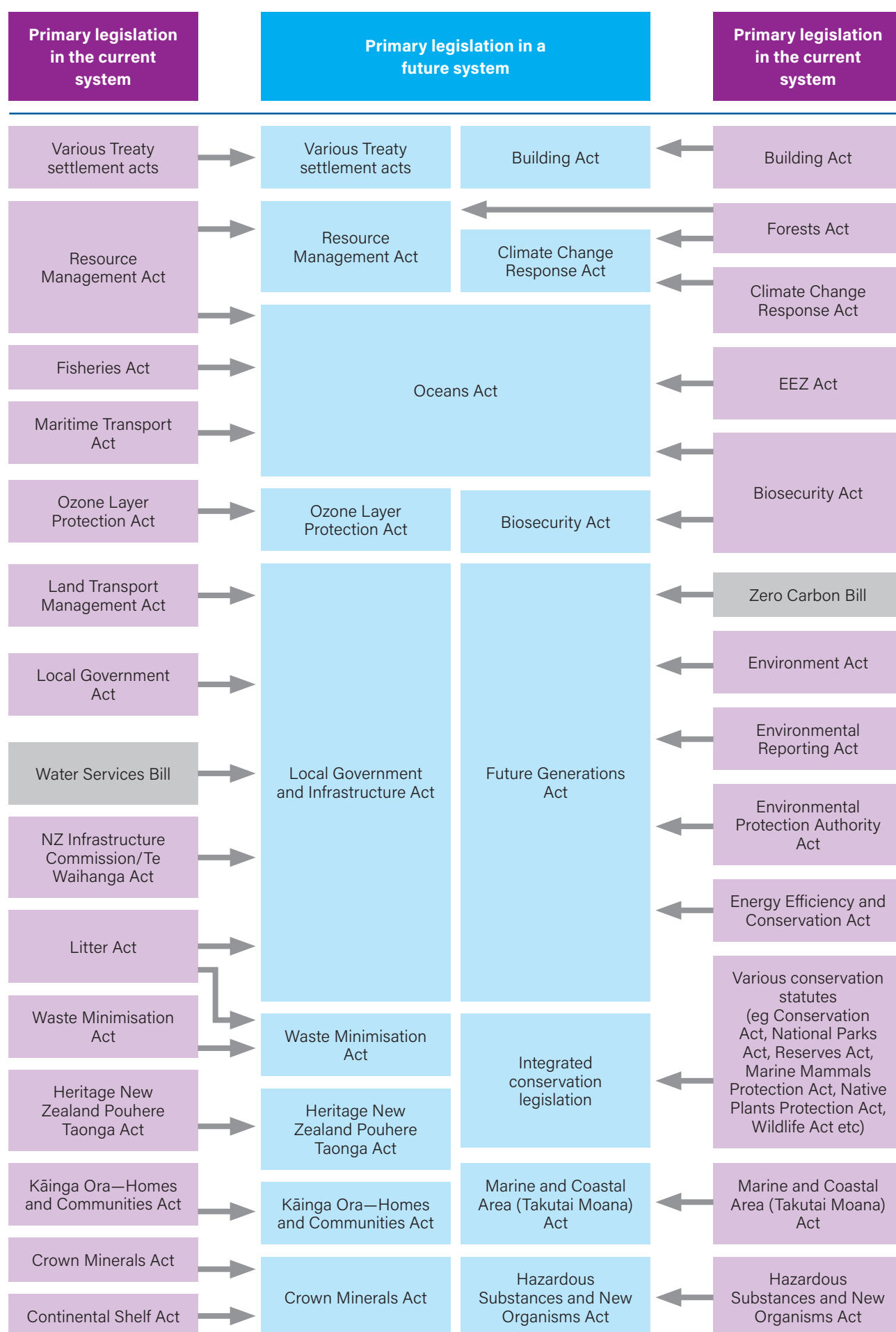


Figure 0.2: Legislative design: Statutes in the current and future system. This represents an end-point to reform (ie longer-term).

0.7 Institutional design

Alongside legislative design considerations, it is worth flagging some high level points about institutional design. While it is crucial that decision-makers remain accountable when making decisions about policy and values (eg through Ministers and councils), we also see dangers in a system that relies too much on political will to make change and the incentives provided by short-term political cycles. There needs to be firmer checks and balances in institutional design. As such, we are proposing the idea of a standing, independent “Futures Commission” that would be charged with taking a long-term view and with safeguarding the interests of future generations of people and nature. We are already seeing this type of concern being addressed in a piecemeal way (eg in the idea of a Climate Change Commission, an Infrastructure Commission, and a Chief Freshwater Commissioner).¹⁷ As outlined below, a Futures Commission would take on specific roles within different statutory frameworks, including the RMA and the new Future Generations Act. It could be accompanied by a separate Tikanga Commission, or by dedicated tikanga commissioners within the Futures Commission.

There is potential, in the longer term, for other independent or arm’s-length commissions to be incorporated within the umbrella of a Futures Commission. Another way of looking at this would be an expansion of, and a more structured role for, the Parliamentary Commissioner for the Environment.

We see potential for the establishment of a Futures Commission, a standing independent institution with structured roles under multiple pieces of legislation.

We also see merit in institutions that are more cross-cutting in their concerns. For example, it makes little sense to take a siloed approach to something like climate change (to give responsibility to a particular Ministry). While different ministries are important to provide focus,

leadership and accountability, it is troubling that they can pull in different directions on issues that require a common approach.

We are floating the idea of a more integrated, standing, cross-departmental group within central government that would be tasked with providing integrated advice to Ministers and Cabinet. This would be a true, accountable, whole of system steward, complemented by an independent Futures Commission.

There could be greater alignment and integration across central government, including through the formal establishment of a standing, cross-departmental grouping of officials concerned with the resource management system as a whole (a Futures Group).

Finally, while we see a strong case for local government amalgamation where councils are no longer viable economic units in light of the challenges they face, we are not (at least in the short to medium term) recommending wholesale structural reform of local government (eg regional unitisation) across the country. However, we do see the need for scale to be embraced for some matters (eg infrastructure), and the potential transfer of functions where they cannot be effectively undertaken (eg enforcement). In the longer term, we welcome an ongoing conversation around how we test evolving communities of interest, who should be responsible for what, and what council boundaries should be. Our model sees regional cooperation as crucial, and *could* eventually lead to greater regionalisation.

We do not recommend wholesale reorganisation of local government in the short to medium term, aside from some rationalisation where councils are no longer viable economic units. However, we encourage a longer-term conversation around that matter to continue.



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We do not recommend wholesale reorganisation of local government in the short to medium term, aside from some rationalisation where councils are no longer viable economic units. However, we encourage a longer-term conversation around that matter to continue.

0.8 The RMA

In Chapter 6, we consider the future of the RMA. While we do not recommend “scrapping” the Act or splitting it along fundamentally different lines (with a partial exception in relation to oceans beyond roughly 3 nautical miles), we do contemplate substantial change to it. This is in terms of the Act’s purpose and principles (Part 2), planning processes at national and local level, and associated institutional arrangements. There may also be a case for changing the Act’s name, given questions over the appropriateness of the concepts of “management” and “resources”. The Act would continue to be the place where allocative issues were addressed in relation to resources protected under it (eg freshwater, coastal space), but it would do so in a more proactive manner than at present.

In relation to Part 2 of the Act, we see potential for a rewrite. This is for several reasons:

- There needs to be a clearer distinction between matters that require true “bottom lines” and those that involve balance, and a stronger clarification of the pre-eminence of bottom lines
- Bottom lines need to be clearly defined in terms of the specific outcomes we are seeking, not just general statements about “preserving” or “protecting” (which beg the question: *relative to what?*)
- There needs to be a stronger recognition of the need to enhance the natural environment
- Climate change mitigation needs to be much more strongly embedded
- The language used needs to be more “outcomes-focused” and contemplate change, not “effects” based
- Subject to a clear statement of bottom lines, there needs to be greater recognition of the benefits of resource use (including urban design) and potential synergies between how resources are used and how we can enhance the environment
- There should be a stronger statement to give effect to the principles of the Treaty
- There is the need to provide a stronger normative “hook” for allocative decision-making that is not just about environmental protection

On balance, we consider that the need to drive change through a revised Part 2 outweighs legitimate pragmatic concerns (eg changes to case law). The purpose and

principles of the Act would continue to be legally meaningful, so is well placed to drive change when accompanied by further reforms to processes, subordinate instruments, and institutions. It will not be enough on its own, however.

We see room for significant changes to Part 2 of the RMA.

0.9 National direction under the RMA

We also see considerable merit in changing our approach to national direction under a revamped RMA. We consider this in Chapter 7. In particular, we envisage a more proactive and coherent role for central government, and a greater role for independent institutions in how decisions are made. At the moment, the Act does not compel central government to plan or intervene, other than in the context of the coastal environment. It does, however, *enable* government involvement in a wide variety of ways.

We are suggesting a *requirement*, not just a power, for central government to promulgate national direction that gives effect to a revised purpose and principles of the Act. This would mean that matters identified as being of national importance – including environmental bottom lines – then have an expectation of at least *some* national policy response. This would be accompanied by a clearer definition of subsidiarity, outlining what can reasonably be expected (and not expected) from central, regional and local government.¹⁸

Presently, national direction under the RMA is at risk of horizontal misalignment (it is not clear how different NPSs are meant to work together, or influence each other), as well as vertical misalignment (regulatory provisions in an NES can exist without a broader statement of policy in an NPS). Their format and structure can also look very different, adding to confusion for councils expected to give effect to them. This issue will become more pronounced as more national direction is promulgated to target particular problems (using an overlapping mixture of sectoral, domain-based and spatial lenses).

We are therefore proposing that national direction be incorporated, over time, into a single, coherent and comprehensive “National Environment Plan” (NEP). An important link will need to be made between national direction in the RMA and broader climate change-focused instruments (under the Zero Carbon Bill). The NEP will be one place in which a nationally coherent approach to mitigation and adaptation could usefully be implemented.

National planning standards would remain separate, but would have no substantive content and would seek to standardise (although not overly constrain) both national direction and council plans. Transitional arrangements leading to an NEP would be crucial. We do not want to lose much of the valuable work that has been done to create national direction over the past decade, including processes that are underway or nearing completion. That

Commission in its review to comment on whether a notified NEP would be consistent with the purpose of a revised RMA, we do not see room for an additional step whereby a declaration of inconsistency can be made by the courts (as under the Bill of Rights Act).

In the short to medium-term, we also do not suggest separating a policy creation role (for central government) through an NEP from a regulatory role (for a more independent entity like the EPA). However, if environmental indicators did not improve and bottom lines were infringed, such a reform could be the next step to carefully consider.

We propose the gradual creation of a single, integrated piece of national direction under the RMA: a National Environment Plan. There would be a different process for creating this, including a role for a Futures Commission. National planning standards would remain separate.

0.10 Local government planning under the RMA

In Chapter 8, we look at local government planning under the RMA. National direction would not do everything in the future. The system would not be a centralised one; it would simply recognise that nationally important matters require a degree of national input. We suggest that a future system could more clearly define what subsidiarity means (which things are to be locally or centrally decided or influenced, and for what reasons). Much will be left to local government, for two reasons: (1) nationally important outcomes (eg policy provisions) may require local expression (eg through regulation); and (2) some things will be of purely local, not national concern.

While we are not recommending widespread structural reform of local government, we are supportive of a longer-term conversation about that continuing. We also see room for greater cooperation at a regional level, including under the RMA. A revised planning process, described below, would reflect that.

Reforms to planning processes under the RMA need to make them more agile in order to respond to a rapidly changing biophysical and social context. This does, however, need to balance the requirement for timely outcomes with the need for robust decision-making and meaningful public involvement. This suggests to us the desirability of having a single stage hearings process, or at least a truncated two stage process. Irrespective of the nature of a formal hearings and appeal process, however, we consider that communities should be more involved in the early stages of producing a plan, not just in responding to a proposal through submissions and appeals. Iwi and hapū (the institutional nature of which could be more clearly defined) would also be closely involved in plan leadership and co-production, not just consulted or engaged with.

One option for reforming the local planning process would be to adopt a variant of the Auckland Unitary

Plan model (Option 1). Here, multiple councils (and others, including Māori) would work together to produce a proposed combined plan (incorporating both regional and district instruments). Merits appeals to the Environment Court would be constrained by whether councils accepted or rejected the recommendations of a standing, independent Futures Commission. In other words, the Commission would perform a role comparable to that of the Independent Hearings Panel of the Auckland Unitary Plan process.

Another option would be to have a single stage hearing by a “hybrid” institution (Option 2). This institution would combine representatives from the Environment Court, commissioner(s), council and iwi/hapū. There would be no integrated combined plan across a region, although councils would be encouraged to work together across boundaries. Appeals from the hybrid panel’s decisions, to a separate appellate division of the Environment Court, would be limited to points of law.

Both of the options outlined above have positive and negative features. A useful direction of travel could be to adopt both, but in different circumstances. Option 1, involving a wide ranging independent review from a standing Futures Commission and the ability for constrained appeals to the Environment Court, could be used as a robust process for “resetting” multiple existing plans under a reformed RMA at an integrated, regional level. It could also be used for periodic whole of plan reviews, and where significant plan changes were escalated on the initiative of the responsible Minister or the Futures Commission.

Option 2, involving a single-stage hybrid decision-making panel comprised of Environment Court judge, commissioners, council representatives, and iwi/hapū representatives, would be used as a process for other plan changes (and, perhaps, associated consents). Careful consideration would have to be given to the relative membership of such panels, especially the balance of independent and accountable members (and Māori and non-Māori members). A third option, which would be designed to give more direct effect to a marine spatial planning process, is discussed further below in the context of an Oceans Act.

It would be vital to have a level of regional strategy sitting above, or embedded within, council plans. However, there is a question over whether this should be in a purely RMA instrument (a regional policy statement) or a broader regional futures strategy produced under a separate Future Generations Act (see below). We leave that as an open question.

RMA plans would contain both policy and regulatory provisions. At least in the short to medium term, we are not proposing to remove regulation making powers from councils (or, more accurately, from the set of institutions described above). However, giving regulatory powers to a strengthened EPA, either permanently or on a temporary basis, could be a conditional measure if environmental indicators did not improve.

We are continuing to give thought to allocative questions within a reformed RMA (including deallocation and reallocation). They are among the most difficult issues to tackle. However, we consider that a future system will need to approach allocative questions in a much more proactive and courageous way than at present. Relying only on a “first in, first served” model will not be good enough, and there should be no general expectation of grandfathering. Resource rentals, and implications for Māori interests, need to be closely considered, as do the potential benefits of trading regimes in some parts of the country. We consider it best for allocative questions to be decided within the same regime that is concerned with protecting that resource (for many things, like fresh water, that will be the RMA).

Changes may also be necessary to the consenting process and compliance, monitoring and enforcement, as well as other tools under the RMA. We are continuing to give thought to those questions.

0.11 A Future Generations Act

Overarching the RMA, as well as other resource management “implementation” statutes, we envisage the enactment of a Future Generations Act. We consider this

in Chapter 9. The Act would do two key things: (1) provide for a broad, constitutionally important set of principles and duties to apply to public decision-making; and (2) provide for a strategic (and spatial) planning process that would flow down into more detailed decision-making frameworks. One aspect of that would be to coordinate land use planning and infrastructure planning for urban growth, through a regional (or cross-regional) spatial plan.

A Future Generations Act would have a broad, constitutionally significant purpose statement that would, among other things, recognise the pre-eminence of bottom lines set under other frameworks (including, but not limited to, the RMA). It could also provide recognition of general moral rights for nature (and associated government responsibilities), and provide a degree of stability for any future reforms to more targeted frameworks (so the system’s coherence did not erode over time). We also envisage the enactment of common decision-making principles or duties that would apply to all public decision-making, not just when making decisions under specific “protective” statutory frameworks like the RMA. For example, climate change mitigation and adaptation are considerations that need to cut across and permeate all public decisions, whether they have a specific statutory basis or not.



We also suggest the establishment, in the Act, of the whole of system steward within government (the “Futures Group”) mentioned earlier, comprised of high level officials from relevant departments and Crown agents and chaired by an official from the Department of the Prime Minister and Cabinet. It would allow officials to speak with one voice to Ministers and Cabinet, or at least for differences in perspective to be highlighted and addressed. Alongside this accountable government body, an independent one – the Futures Commission – could act as an independent watchdog over the whole of the system. It could even have a more structured role issuing public authorities, and the government as a whole, with a scorecard on a periodic basis. This would assess the government’s performance against the purpose and principles/duties in the Future Generations Act.

In the longer term (as already described), we are attracted to the idea of further integrating existing legislation into a Future Generations Act to the extent that it is about the whole of the system (such as the establishment of cross-cutting institutions and system-wide strategic planning and reporting frameworks). A Future Generations Act could also give a “futures scanning” role to the Futures Commission, and impose a stronger general duty on people to protect or even enhance the environment (although care would need to be taken here).

A Future Generations Act would sit above other frameworks, and provide for a broad, constitutionally important set of principles and duties to apply to public decision making.



0.12 Strategic and spatial planning in a Future Generations Act

The second kind of thing the Act would do is provide a statutory basis for strategic and spatial planning at a national and regional level. There would be a process for producing a “National Futures Strategy”, with its spatial expression in a “National Spatial Plan”. At a regional level (and cross-regional level), there would be a process for creating futures strategies and associated regional spatial plans. These instruments would not be directly binding in a regulatory sense. However, they would have real legal influence on decision-making under more targeted frameworks (eg the RMA and infrastructure-related legislation). It would not be feasible for strategies and spatial plans to be *given effect* to in these other statutes – and for good reason; they have their own specific purposes and processes to work through. But a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing. That is particularly so at a regional level, where alignment is required between the land use components of RMA instruments and the infrastructure planning and funding components of other legislation. One option would be for higher level plans to have to be given effect to *unless there were good reason not to*. “Good reason” could be defined to include inconsistency with the purpose of other frameworks.

Futures strategies and spatial plans should also, from the outset, be accompanied by a description of anticipated costs, and where funding is envisaged to come from. A vision in a spatial plan that relied on significant sums of money should not fall over later because there was no real plan for where the money was going to come from.

The other important thing to note here is that a national strategy and spatial plan would not be binding on regional ones as a matter of law. They would be integrative *within* each level of government, not hierarchical *between* levels of government. However, if all partners agreed, there would be a case for them to be obliged, to some degree, to follow through. That might be necessary to pursue a common vision in a place like the Mackenzie Basin, for example, where it relied on implementation through various frameworks, or where a cross-regional spatial plan driven by urban growth concerns or climate change adaptation relied on both central and local commitments to infrastructure funding.

As mentioned earlier in the context of the RMA, it would be possible to replace regional policy statements under a revised RMA with regional futures strategies created under a Future Generations Act. This would be to address concerns that the two would be too duplicatory. This would have its risks, in that regional futures strategies would contain a wider range of matters than a regional policy statement. An alternative would be for a more focused regional policy statement under the RMA to be given effect to in a regional futures strategy.

Alongside robust strategic and spatial planning, there would be a case for further aligning decision-making processes under more targeted statutes that would implement it. In particular, land use planning and infrastructure funding should occur in a more connected manner. In the longer-term, as already mentioned, it may make sense to integrate the Local Government Act with the Land Transport Management Act (and any separate water services legislation).

National level spatial planning would not be about giving central government greater powers. It would be about coordinating the use of existing powers, including under specific statutory frameworks, towards a more joined-up end point. It would certainly not be an opportunity for a development-minded government to override environmental considerations in other statutes, and safeguards in the Act would make this clear.

A Future Generations Act would provide for integrated strategic and spatial planning at national and regional levels. Futures strategies and accompanying spatial plans would not be binding, but would have strong legal influence over decision making under other regimes. Regional spatial plans would align land use and infrastructure planning under the RMA and other legislation.

0.13 Climate change in the Future Generations Act

As foreshadowed, we see potential for the “strategic” elements of climate change legislation, currently in the Zero Carbon Bill, to be integrated into a Future Generations Act. Proposed emissions reduction plans and adaptation plans would be contained in a National Futures Strategy, and expressed in its associated spatial plan. They would have real legal weight. A strengthened purpose and principles for climate change (including seeking overall carbon neutrality by 2050), and the target and budget setting/review process, could also be integrated into the Future Generations Act framework.

Climate change would also need to be a significant driver of regional spatial planning, particularly in the context of adaptation, managed retreat, and infrastructure investments, and would need to flow through meaningfully into other frameworks. It would also make some sense for a new Climate Change Adaptation Fund to be established and managed under the Future Generations Act.¹⁹

More specifically, we see room for stronger enforcement mechanisms for a failure to achieve climate change targets and budgets. And, in the longer-term, we would suggest giving close consideration to integrating the Climate Change Commission into a broader framework of a Futures Commission.

We see potential for the strategic elements of climate change in the Zero Carbon Bill to be integrated into an overarching Future Generations Act, from where mitigation and adaptation measures would have real legal influence over decision-making under multiple other frameworks.

0.14 Other frameworks for built elements of the environment

We are continuing to give thought to various aspects of reform relating to the built environment. Key to that will be *how* infrastructure is funded (including the local government funding model more broadly), not just how funding is aligned with land use planning in spatial plans. Funding sources can provide powerful incentives to invest in certain ways, or to underinvest. Who makes decisions on infrastructure like transport, and how we approach elements relating to construction and heritage, are also important in a future system. We see significant potential for the Building Act to contribute more to good environmental outcomes, and for heritage legislation to be better integrated with the RMA.

In Chapter 10 we touch on two more specific elements of the built aspects of the environment: (1) the delivery of three waters services; and (2) urban development authorities. How three waters (drinking water, waste water and stormwater) are managed is a particularly pressing concern, in light of the problems facing the sector. In short, we are floating a model based on a degree of institutional and funding change. We suggest the creation of jointly owned council controlled organisations (CCOs), at a regional level, for the planning, funding and delivery of three waters infrastructure and services (although that might not include stormwater). This council-centric model could be tweaked by allowing for the Crown to become a partner in these organisations, providing a level of investment that might not otherwise be feasible. Alongside that change there would be the introduction of an economic regulator with responsibility to ensure that investment levels and water service pricing were sufficient and fair.

We are floating the idea of regionalising water service delivery arrangements through the use of jointly owned council-Crown controlled organisations, and the use of an independent economic regulator.

We also see a place for an urban development authority, under bespoke legislation, to form part of a future system. An urban development authority is an arm’s-length public entity that would be responsible for planning, funding and delivering urban development within a spatially defined area. The government has now enacted a bespoke legislative framework to create this entity (called Kāinga Ora – Homes and Communities) and define its general roles, but it has yet to legislate its specific powers to override other statutes. This will be coming later in the

year, and all indications are that powers will be substantial, including to override the RMA.

The proposition for an urban development authority would look very different in our preferred model. In particular, we suggest that targeted legislation would need to:

- Clarify that a strengthened Part 2 in the RMA remained the primary test for decision-making when exercising powers under that Act (although a project's strategic objectives could be highlighted as one of the relevant and reasonably necessary matters to consider)
- Not include powers to override provisions of council plans that did not relate to land use or subdivision (ie powers would not apply to regional council functions)
- Treat regional councils more like territorial authorities and require their agreement up front to establish a project
- Build key environmental protections – and enhancements – into the strategic objectives when a project is established
- Emphasise that national direction (an NEP) would need to be given effect to
- Clarify that a project is a way to implement a regional spatial plan under the Future Generations Act, not an excuse to override it for a narrower purpose

Dedicated urban development legislation is probably necessary in a future system as a backstop measure, but should be significantly amended from the current proposal.

0.15 An Oceans Act

As touched on already, we are floating the idea of a separate legislative framework for oceans management – an Oceans Act. We describe this in Chapter 11. This Act would apply from roughly 3 nautical miles from the coast. There has been a complex history of oceans management in New Zealand, resulting in a patchwork of legislation targeting different things. Much is no longer fit for purpose, and a more integrated approach to oceans management is needed. The marine environment is quite different in character from the terrestrial environment and needs to be managed in different ways. In particular, jurisdictional boundaries do not always reflect the interconnected nature of the marine environment.

In a future system, regional councils could continue to have jurisdiction over truly coastal matters, out to a three nautical mile boundary. This would reflect the need to have integrated management of catchments and coasts, and the RMA would continue to apply there. Other parts of the marine area could be managed by a well-resourced, dedicated “Oceans Agency”. This would be the operational agency for the Oceans Act, and operate at arm's length from the government. Alternatively, a strengthened

EPA could take on this role. Either way, Māori input into decision-making by the Agency would be strengthened.

We see a case for integrating existing legislation relevant to the marine area – including the EEZ Act, Fisheries Act, Maritime Transport Act, Biosecurity Act and aspects of the RMA – into a single Oceans Act. We also think there is strong case under a new Oceans Act for rationalising and strengthening the currently fragmented policy and planning framework for oceans. At the top of the planning hierarchy would be an integrated “Oceans Plan”. Conservation legislation would remain separate, and that would include marine components of conservation (eg marine protected areas, marine mammals protections etc). While links between an Oceans Act and conservation legislation would need to be strong, there would be benefits in having conservation legislation integrated across marine and terrestrial contexts (especially given the migratory nature of some species).

A National Futures Strategy and National Spatial Plan, described in Chapter 9, should have a strong oceans component within it. Furthermore, alongside regional futures strategies and spatial plans could be a more targeted process for regional marine spatial planning. Marine spatial plans would then flow through into decision-making under “implementation” frameworks, including an Oceans Act, the RMA, and integrated conservation legislation. As foreshadowed, there could even be a more direct process for marine spatial plans to be implemented, involving a collaborative process and decision by the Environment Court.

A new Oceans Act would apply beyond 3 nautical miles from land, and integrate multiple aspects of existing legislation. It would provide for a robust planning process centred on an Oceans Plan. This would be administered by a dedicated Oceans Agency. Marine spatial planning would occur under a Future Generations Act, but could have a more direct route to implementation under regulatory frameworks like the Oceans Act and the RMA.

0.16 Wider system change

There are other aspects of the system that we are continuing to give thought to, and we touch on these in Chapter 12. They include the nature of integrated conservation legislation, consenting and permitting (and other site- or project-specific mechanisms) across a range of statutes, compliance, monitoring and enforcement, resource allocation questions, and various urban-related matters (eg construction and heritage). There are also aspects of sectoral regimes to consider, such as mining, waste and forestry. In this working paper, we are concerned primarily with what we see as the core framework features of a future system, which also reflect the focus of the government's system review panel.²⁰

However, alongside the reform of formal “resource management” statutes (which are often forced to respond to wider social and economic forces) a future system could try to shape the incentives that people have in their day-to-day decisions. For example, we think this could occur through:

- Greater use of targeted green taxes to shape behaviour, with a return of funds to related environmental improvements (eg stream restoration, biodiversity improvements)
- Embedding circular economy thinking across the system
- An equitable and gradual transition to charging for non-private resource use (resource rentals), with a fair return to both the public and Māori
- A longer-term transition towards a wider tax system that drives positive behaviour²¹
- A much more active approach by the government to public interest messaging to shape attitude change,²² and to transition towards alternatives rather than just stopping existing ways of doing things²³
- Greater formalisation of green certification, and measures to prevent “greenwashing”
- A focus on implementing small scale, but cumulatively significant, behavioural nudging across the system
- Reforms to the education system (eg a more formal statement of educational principles in the Education Act, a relook at the school curriculum,²⁴ and reconsidering what forms core parts of tertiary programmes)
- Reforms to the public service, to break down silos that hamper aligned resource management outcomes²⁵

- Reforms to corporate law (eg widening directors’ duties)

Other legislative frameworks will be important, and we are continuing to give thought to desirable changes. However, wider system change will be required alongside reforms to particular resource management statutes.

The core of the future system outlined above – albeit in simplified form – is represented below in Figures 0.3 and 0.4. Again, readers may wish to make a comparison to the key features of the current system, outlined in Chapter 5.

0.17 Feedback

Again, we emphasise that this paper represents a work in progress, and we welcome feedback on the ideas we are floating as well as the areas we are continuing to explore.

The working paper is focused primarily on the “core” of a future system, and most attention is given to the future of the RMA, climate change, spatial and strategic planning, and new oceans legislation. We also touch upon three waters reforms, urban development authorities, and conservation legislation, as well as aspects of wider system reform spanning (or going beyond) particular statutory frameworks. A final report, integrating feedback, developing ideas further, and expanding on other matters can be expected in December 2019. Feedback can be sent to RMPProject@eds.org.nz by 30 October 2019.



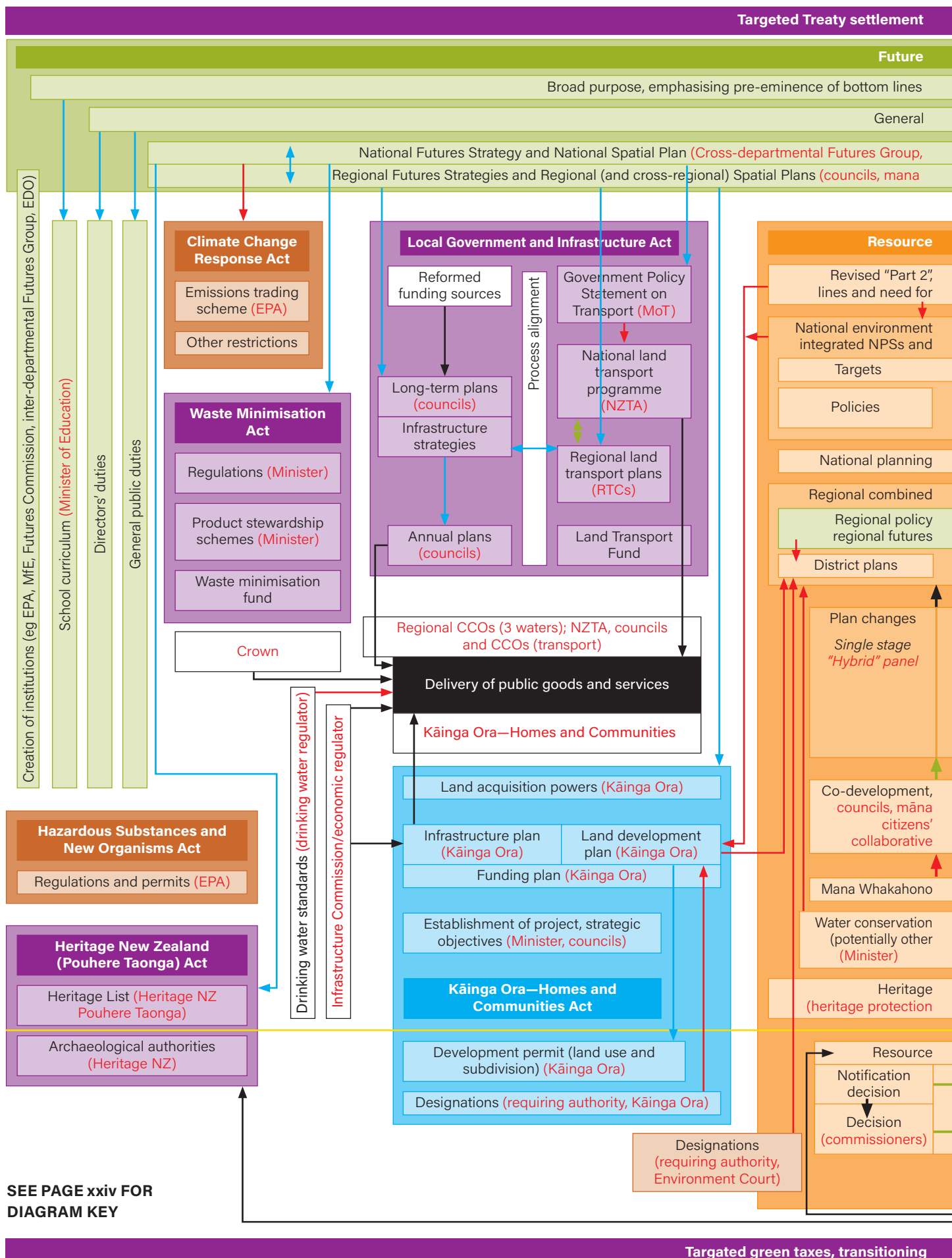
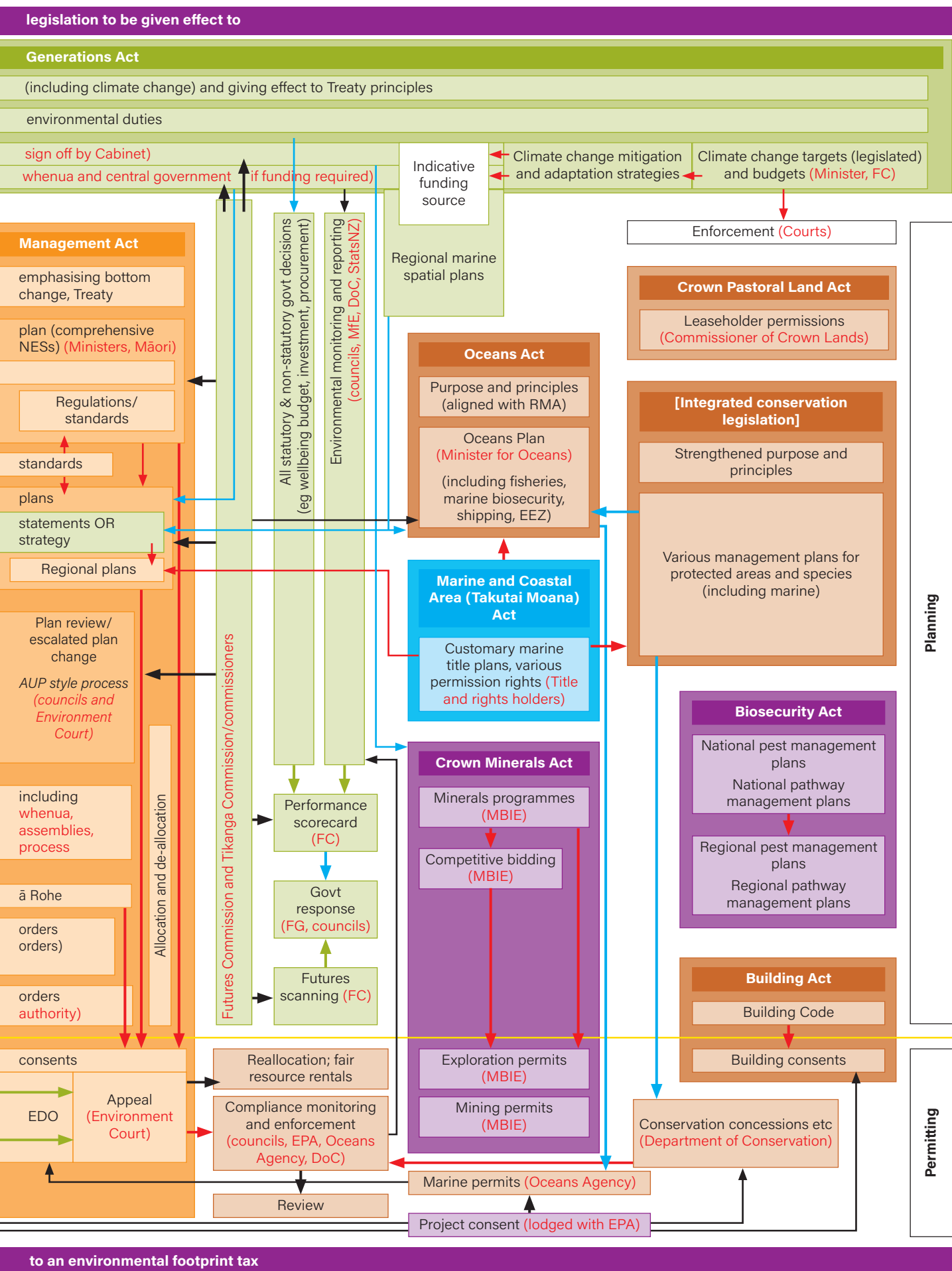


Figure 0.3: Key elements and interactions in a proposed future system



KEY for figure 0.3 on page xxii

Where relevant, decision-makers are included (in brackets, and in red text).

Arrows indicate different relationships between elements of the system.

➡ Red arrows: “give effect to”, “directly insert” or equivalent;

➡ Blue arrows: “be consistent with” or equivalent;

➡ Green arrows: “have regard to”, simple “input”, or equivalent

➡ Black arrows simply indicate the direction of a process without a particular normative instruction

Box colours are not significant, other than to highlight distinctions between different legislative frameworks.

ACRONYMS

CCO	Council-controlled organisation
DoC	Department of Conservation
EDO	Environmental Defender's Office
EEZ	Exclusive economic zone
EPA	Environmental Protection Authority
FC	Futures Commission
FG	Futures Group
Kāinga Ora	Kāinga Ora – Homes and Communities
MBIE	Ministry of Business, Innovation and Employment
MfE	Ministry for the Environment
MoT	Ministry of Transport
NZTA	New Zealand Transport Agency
RTC	Regional Transport Committee

ENDNOTES

- 1 This report can be found at <www.eds.org.nz/our-work/rm-reform-project/>
- 2 Compare the draft terms of reference for the government's resource management system review group, available at <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 3 The breadth of the system is so wide as to mean reform might not be capable of a single omnibus bill. It is also likely to require a staged approach over several years or (for some things) longer, which does not lend itself to a single legislative intervention. Some reforms may not require legislative change at all.
- 4 Some longer-term proposals may only be required or triggered if shorter-term measures prove inadequate to improve outcomes. They would be a conditional set of deeper reforms. For example, we suggest later that the Environmental Protection Authority could take on some regulatory roles under the RMA. Other longer-term proposals would not be conditional (ie they would be planned), but would take longer to implement.
- 5 Available at <www.eds.org.nz/our-work/rm-reform-project/>
- 6 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), chs 6.
- 7 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.4 on different lenses that could be used to divide our statutes.
- 8 See Chapter 5 of this working paper, describing the current system, including Figure 5.7. Statutes would do different things, or the same kinds of things for different reasons.
- 9 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.3, at 139.
- 10 It is unclear what proposals for infrastructure and service delivery will emerge from the government's three waters review, but options being seriously considered include some that would see responsibility for planning and funding being shifted away from councils. Generally, see <www.dia.govt.nz/Three-Waters-Review>
- 11 New Zealand Infrastructure Commission/Te Waihanga Act 2019.
- 12 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123; *Legislative Design and Advisory Committee Legislation guidelines: 2018 edition* (2018) at 9; Parliamentary Commissioner for the Environment *Making difficult decisions: Mining the conservation estate* (2010).
- 13 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 124.
- 14 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 141, 144, 169.
- 15 As we said in the Phase 1 report (at 124), “separate statutes should not do the same kinds of things for the same kinds of reasons.”
- 16 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123, 125, 152; *Legislative Design and Advisory Committee Legislation guidelines: 2018 edition* (2018).
- 17 See <www.mfe.govt.nz/climate-change/climate-change-and-government/establishing-climate-change-commission>; New Zealand Infrastructure Commission/Te Waihanga Act 2019; Resource Management Amendment Bill 2019, cl 13.
- 18 Unless there are persuasive reasons not to, decisions should be taken closest to those affected. However, assumptions of localism can shift (eg in the context of housing affordability and aspects of urban planning). See generally New Zealand Productivity Commission *Better urban planning* (2017) at 57.
- 19 The scale of investment that will be required will be enormous, given that billions of dollars of assets and tens of thousands of people are at risk. New funding mechanisms will likely be needed: see J Boston and J Lawrence *The case for new climate change adaptation funding instruments* (Institute for Governance and Policy Studies and New Zealand Climate Change Research Institute, 2017).
- 20 See <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 21 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 14.
- 22 For example, as with cigarettes and road safety. We can see aspects of this in recent advertising by the Energy Efficiency and Conservation Authority.
- 23 For example, investment in an energy hub in Taranaki to provide something of a pathway away from fossil fuels; the subsidisation of electric vehicles alongside import restrictions for polluting vehicles; and considering alternatives when banning products under the Waste Minimisation Act. See generally the proposals in the Tapuae Roa: Make Way for Taranaki Strategy: Taranaki Regional Council *Taranaki Regional Economic Development Strategy* (August 2017) <www.makeway.co.nz>.
- 24 Which is already being progressed in the context of teaching New Zealand history.
- 25 This is already in train, although it could benefit from strengthening of environmental considerations in a new Public Service Act. See generally <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>

1. INTRODUCTION

1.1 The context

There is an urgent and compelling need for Aotearoa New Zealand to rethink how it manages its natural and physical taonga, resources and environment. Our resource management system – New Zealand’s collection of laws, regulations, institutions and incentives – is extremely important to improving environmental, social, economic and cultural indicators of wellbeing. This system, and its significance, goes well beyond just environmental protection. It is about stewardship, wellbeing, resilience and using our country’s natural wealth prudently and wisely.¹

We defined the system in the Phase 1 report.² In a nutshell, it is about how we shape our physical surroundings. But at the outset of this working paper we should mention our unease at the very nature of the term “resource management”. It arguably denotes passivity or reactivity (management), a degree of anthropocentric arrogance about what the subject of the system really is (resources), and is focused on what we are doing (managing) rather than the nature of the outcomes we really need to be pursuing (restoration, fairness, vitality). That said, it is a convenient term, and one that most are familiar with in the context of system-wide reform. We will therefore continue to use it, despite our strong reservations as to its fitness.

As in the rest of the world, we face enormous problems and challenges in this area. Reforms to the Resource Management Act 1991 (RMA) – New Zealand’s main environmental statute – have occurred in a piecemeal fashion since it was passed, producing an overarching framework and patchwork of provisions that, in 2019 have lost much of their original simplicity and coherence. An overall review of the Act as a whole is now due. While an exhaustive look at the RMA – provision by provision – is beyond the scope of this work, it is something that will need to follow reforms at a framework level.

The system through which we manage our natural and built environments is much wider than the RMA, however. It embraces infrastructure planning and funding, conservation management, climate change mitigation, the role of Māori, affordable housing, institutional structures, capacity and capability, and a raft of other topics that overlap and connect. One could attempt to draw a complex spider or Venn diagram of all such “topics”, but that would only serve to highlight the more general points: everything is connected, and a formal system that engages with this web of social and ecological connections is, and will always be, complex. It will also always be the subject of argument and debate, because it involves conflicting values.



Queen Charlotte Sound

It is in this context of complexity and fragmentation that significant environmental challenges have emerged or worsened in recent times.³ Many indicators of environmental health are now rapidly declining. For some, such as freshwater and coastal environments, tipping points appear not far away. When pressures become too great, steady ecological and social states can rapidly shift, in unpredictable ways, to less desirable ones. Cumulative effects are not being addressed well, and the result has been an inexorable creep towards environmental degradation. Climate change is a pressing issue that needs addressing. Environmental laws like the RMA – now over 25 years old – have not fully realised their aspirations of sustainable resource management and ecosystem integrity.

As well as “environmental” (in the broad sense of ecological) problems, the system is failing to deliver on social, economic and cultural outcomes. This is particularly evident in large urban areas (especially Auckland), where dramatic increases in population and development pressures have caused many to question whether the system remains fit for purpose in the context of planning how cities grow and develop. Prominent issues have coalesced around the general topics of infrastructure, urban growth, housing unaffordability, water quality, process complexity, and many others. They stem from many different parts of the system. We are under pressure no matter what direction we turn.

Much ink has been spilled describing particular problems, proposing solutions, and attributing blame. But at some point the accumulation of problems becomes so great, and so suggestive of deeper systemic problems, that there is merit in sitting back and considering how the system works as a whole, and the foundations on which it is based. This is so we can reflect on the system’s overall health, and not just treat symptoms as they emerge. There is a growing feeling among many people and public and private sector organisations in New Zealand that we have reached such a systemic reflection point.

There is now substantial political appetite for system-wide reform. In particular, the Minister for the Environment has set up an independent review group to undertake a first

principles review of the system, centred on but not limited to the RMA.⁴ A consortium of varied interests that makes up the Resource Reform NZ group has, over recent years, pushed strongly for such a rethink.⁵ A broad appetite for fundamental and integrated reform has only become more noticeable over the past two years, with several high profile conferences and reports having themes or dedicated sessions on system design or a return to first principles.⁶ It is crucial that the government’s numerous reform measures being rolled out⁷ are thought about in the context of wider system change.

1.2 The EDS project

EDS has been, for a while now, driving this broad conversation forward. In our *Reform of the Resource Management System* project, we have been looking, over the past two and a half years, at how we could do better. This has been a first-principles exercise: we are asking fundamental, future-focused questions about how our overall package of relevant laws and institutions should and can work. We are not just reacting to particular problems or looking at better ways to do the same things. We are asking *why* we do certain things, *whether* we should be doing them, and *how* we should be doing things in the future.

The project has two phases. Phase 1 (the Next Generation) has been completed, and culminated in a final synthesis report released in February 2019. This provided extensive analysis and outlined three possible broad models for what a reformed system could look like. The report, which provides the foundations for the second phase, is referenced extensively in this working paper. However, we encourage readers to engage with it separately.⁸

It is crucial to keep the momentum going. The project’s second and final phase – of which this paper is a part – is called “A Pathway to Reform”. It seeks to complete the project in three key ways:

1. By generating a set of criteria for selecting a preferred model for reform



2. By applying that set of criteria to develop core elements for a preferred model
3. By mapping out a pathway to the preferred model from what we have now

We need to transition from a general framework for thinking about issues, and a series of options for reform, to a specific model that could actually be implemented (or form the basis of further work to do so). In a nutshell, the intention of Phase 2 of the project is to provide a tangible roadmap for change that will serve as a reference for a government embarking on its own reform journey,⁹ and a platform for others wishing to be part of that process.

We recognise that the process of change is not easy. It must be carefully managed, and does not have to happen all at once or by the same means. However, that should not be used as an excuse to be less ambitious, or to compromise, about much needed reform. A model that some may disagree with may seem less objectionable when reasonable timeframes and safeguards are put around the process of getting there. Meaningful and durable reform is about the journey as much as the product. Therefore even if some people disagree with the specifics of the proposals that we put forward for discussion, there is significant value in looking at the ways in which reform *could* proceed and where stumbling blocks are likely to be found along the way.

As our country faces an unprecedented amount of change over the coming decades, we need to have a system of managing resources that not only protects what we need to safeguard but also strives to encourage the use of resources in ways that will be in New Zealand's long-term interests and will align with the values of its people. This system needs to be adaptable, flexible and a good fit for the New Zealand of the future. It is hard to underestimate the importance of reform. In many areas, we are seeing the conversation change from one of "sustainability" to one of "emergency". This cannot be dismissed as just a marketing strategy for interest groups. It is reflective of a broader reality that, as a country and as a world, we are facing tipping points from which we may struggle to recover. There are profound implications here not just for what we protect, but also for how we arrange ourselves as a society. Yet we still live in a society that on some levels seems to be complacent, or to want to target particular problems at the expense of others or as an alternative to a more systemic rethink.

Reform relies on political – and ultimately underlying social – appetite for change. Pragmatism is important if we do not want to recommend everything and achieve nothing. Yet the project presents a rare opportunity to influence a once in a generation political and social appetite for change. Having laid a foundation for reform in Phase 1, Phase 2 is all about translating that into a practical toolbox for policy makers by constructing a specific and concrete model and outlining steps to implement it over time. We are looking forward to some much needed – albeit hard – conversations over the remainder of 2019 and beyond.

1.3 This working paper

This working paper outlines what we are initially proposing as core components of a future system. It explores and test ideas, and is designed to stimulate discussion. To this end, general questions are posed for the reader to consider. While it ultimately presents a particular viewpoint (our own), as a working paper it also represents a work in progress. Its content will evolve over the remainder of the project and be synthesised into a final report. As such, this working paper is intended to elicit feedback, and we are still open to alternative ways of thinking.

Responses can be directed, by 30 October 2019, to RMProject@eds.org.nz. A presentation based on parts of this paper was the topic of discussion at workshops held in late August 2019, and we are grateful for the valuable and insightful responses we received as well as the robust conversations that were held.

We will leave these introductory remarks with a slightly less bureaucratic thought. In recent times we have seen a global discussion, often focused on climate change but sometimes wider in scope, about whether it is more effective for reformers to stand on a "panic" footing or not. Pessimism is said to lead to people simply giving up. The sheer scale of the problems we face make them seem intractable; in the best tradition of apocalyptic Hollywood films, we might as well embrace a hedonistic revelry as if it were our last night on Earth rather than bust our guts trying to do things that won't work. Yet excessive optimism is also said to breed complacency; if we don't panic at least a little bit, we won't bother doing what needs to be done urgently.

This paper tries to avoid engaging in such questions directly. We leave that to the psychologists. Our general sense is that a healthy mix of enthusiasm and trepidation, coupled with a good dollop of accessible and integrated messaging about what our current trajectory, and solutions, are likely to mean for ordinary New Zealanders – will be needed.

What we do say strongly is that – whether they come from fear or hope – *proactive* measures, not reactive management techniques, are required both to avert future catastrophe and to produce positive outcomes. Those are simply different ways of describing the same thing: a bright future for our children. Ultimately, the enemy in a democratic country like New Zealand is not capitalism, or big business, or entrenched sectoral interests. In fact, they are core to the solution.¹⁰ The biggest threat is the apathy of ordinary New Zealanders who have the power to demand meaningful solutions from their politicians, and the sense that all of this is beyond the control of the man or woman on the street. That is not true. We have both the means and the need to reform our resource management system, and we must stride forward with conviction.

ENDNOTES

- 1 In the general meaning of this term – not to imply a return to the “wise use” provisions in the Town and Country Planning Act that carried with it the assumption of command and control planning.
- 2 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 32.
- 3 See Ministry for the Environment and Statistics New Zealand *New Zealand’s environmental reporting series: Environment Aotearoa 2019*.
- 4 <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 5 M Steeman “A coalition of powerful business groups urges a complete overhaul of the resource management system”, <www.stuff.co.nz>, 19 November 2018.
- 6 For example, the “Founders debate” at the 2017 Resource Management Law Association (RMLA) conference, the system-focused theme of the 2014 and 2018 RMLA conferences, “blue-skies” work by Local Government New Zealand, work by the Productivity Commission on the urban planning system, and work by Infrastructure New Zealand on integrated planning, governance and delivery.
- 7 For example, the three waters review, urban development authorities, the Essential Freshwater programme, the Zero Carbon Bill, measures to tackle plastics, new and reviewed national direction under the RMA on productive soils, urban development, biodiversity, water, and forestry, and a raft of other proposals. See Chapter 5.
- 8 See <www.eds.org.nz/our-work/rm-reform-project/>
- 9 On the use of the EDS work as one input into the process, see *Comprehensive review of the resource management system: Scope and process* (2019 Cabinet Paper) at 18.
- 10 *J Diamond Collapse: How societies choose to fail or survive* (Penguin, 2011) at 17.

2. THE STRUCTURE OF THIS WORKING PAPER

The resource management system is extremely large, and will always be complex. It covers all of New Zealand (including its exclusive economic zone (EEZ)), all “environmental” domains, and all human activities that use or protect natural and physical resources. A description of a future system – the core of which is floated in this working paper – therefore needs to be approached in a logical, structured way (see Figure 2.1).

Our first step (in Chapter 3) is to choose a coherent set of criteria for reform. This will guide all other choices. We presented some options in working paper 1, and we begin this paper by describing a preferred criteria set. The second step (in Chapter 4) is to consider what that means for the ethics and principles that will underpin the system as a whole, and what roles the system as a whole will need to play in the future.

The third step (in Chapter 5) is to get a high level sense of the system we have at the moment. This is important not only to understand how different a proposed system would be from the current one, but also to make it easier to describe a pathway between the old and the new. At that point we also briefly consider the nature of “problems” that have been seen in the current system. Fixing problems is not the be all and end all, but they do need to be addressed in a reformed model. In Chapter 6, we start our description of a preferred model for change by looking at the future of the RMA. Subsequent chapters explore other key statutory frameworks we envisage operating in the future, including a new Future Generations Act, infrastructure legislation, and more integrated laws for our oceans.

There is no one “right” way to describe or split up a future system. For example, the system has an urban component, a rural (or non-urban) component and a marine component, so we could equally consider each

of these spaces. The system also manages a variety of human activities, so we could consider different sectors in turn – farming, fishing, mining and so forth. And the system is concerned with different kinds of natural and physical resources, so we could look at domains like freshwater, climate, soil and so on.

In the Phase 1 synthesis report we structured our thinking according to a cascade of “themes”: from norms (ethics and principles), to functions (what roles the system should and should not play), to structures (laws, institutions, public participation), and finally tools (concrete interventions, like regulations and taxes, that shape people’s actions). That approach was useful, because it encouraged thinking about the system as a highly interconnected whole, not just as a collection of independent sectors, spaces and domains, or a series of existing statutes or discrete topics.¹ As we said in that report:²

[T]he greatest risk is that domain-based, spatial and sectoral approaches all have a tendency to presuppose at least something. A domain-based approach assumes that each receiving environment can be considered, at least partly, in isolation of the others. In reality, they are intimately connected across varying spatial scales. Similarly, a spatial approach tends to focus on spaces artificially delineated by humans – the rural-urban divide or the line between private and public space. Yet today’s rural may well be tomorrow’s urban. It also runs the risk of ignoring ecological and other units (eg landscape or cultural units) that frequently exist across lines on a map. Furthermore, considering sectors is not only hard to do (there are thousands of potential categories, from horticulture to fishing), but also risks neglecting the importance of cumulative effects on receiving environments (which may be impacted by a large number of different sectors at the same time).



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To that we can add that focusing on existing legislative boundaries can encourage siloed thinking, and risk a further round of tinkering. Especially for cross-cutting challenges, like climate change and urban growth, we cannot just play around with the RMA and then turn our minds to other frameworks. We need to think about how to construct a truly interconnected system to deal with interconnected issues, which might mean that legislative and institutional boundaries need to be reconsidered. For all of these reasons, in Phase 1 we thought about the system in terms of themes, and let design options fall out of them.

However, Phase 2 of the work is different. It is about describing a single preferred model,³ which requires a different approach. We think it is most useful, and intuitive, for readers to be guided through the legislative “skeleton” of a future system, off which most formal regulatory, policy and institutional measures will hang. For example, ethics, the system’s roles and the kinds of tools used will for the most part be embedded “not within the ‘system’ generally, but within particular statutory frameworks having different purposes and design features”.⁴ The reader will probably want to know “what would the RMA look like in the future?” before she or he demands “how will ecocentrism be provided for?” In short, proposed statutes are a much more digestible way to *present* a future system, even if that only emerges from an *analysis* based on cross-cutting themes.⁵

Of course, a structure based primarily on key statutes (or related groupings of them) is not to diminish the importance of other themes or ways of cutting up the system (eg by theme, by sector, by domain), or to underplay the importance of system features other than legislation (eg institutions, norms, processes, tools and even cross-cutting “topics”). Many of those (eg urban development) will continue to span statutes, as they do in the current system.⁶ Our thought process has been sensitive to that.

Furthermore, the system as a whole cannot be confined to legislative boundaries (ie particular “resource management statutes”).⁷ Some reform measures may

even be so systemic as to not comfortably fit within a specific statutory framework (eg where resource management reforms put out tendrils into the education or tax systems). The focus of this working paper is on core resource management statutes, but we touch upon more systemic aspects in its final chapter (for fuller exploration in the final report).

Chapter	Topic
1	Introduction
2	The structure of this working paper
3	Preferred criteria for reform
4	Criteria, ethics and the roles of a future system
5	What we have now: The current system
6	The future of the RMA: Legislative design and Part 2
7	Planning under a new RMA: Central government
8	Planning under a new RMA: Local government
9	Strategic legislation (and climate change): A Future Generations Act
10	Other legislation for the “built” or “urban” environment
11	Oceans legislation
12	Concluding comments: From legislative frameworks to wider system change

Figure 2.1: Structure of the working paper



Throughout the working paper, we also pose questions for discussion and feedback, provide boxes summarising particular sections, and shine “spotlights” on specific features and examples that warrant more in-depth exploration.⁸ The temporal element of reform (how we see reforms being introduced over time) is also crucial. There are many reasons why a staggered approach to change looks best, and these have been mentioned in working paper 1. We cannot think about whether choices are desirable or not without thinking about *when* they would be implemented. This is because timing is built into our criteria set (especially pragmatic criteria concerned with things like resourcing and political palatability, but also the urgency of action needed to address things like environmental bottom lines). What an ideal and realistic system may look like in ten years’ time may not be what it looks like in three years’ time.

As such, we do not just select one arbitrary point in time at which we propose that a single preferred model would snap into existence. Roughly speaking, however, we are thinking about a reform pathway in three broad steps:

1. What could be done within a single parliamentary term (short-term)
2. What would require multiple (roughly, a further one) parliamentary terms (medium-term)
3. What would be a desirable end point, but with no specific timeframe around it other than (roughly) one decade (longer-term)

No doubt readers will be most interested in the first one or two categories, as only they could involve realistic policy proposals to put before a reform-minded government. It is therefore useful to identify and describe those kinds of reforms in more detail. However, longer-term reform is equally important, and a transformational end point is desirable. This step should not simply be ignored because it cannot form an immediate reform bill or the focus of a political mandate defined by

parliamentary terms. The further into the future we look, the more apt it is to speak of a broad “corridor” with several branches than a narrow “pathway”.

Our short-term reform proposal is about building on the basic frameworks we already have, with some significant additions. This still requires considerable legislative change.

In the medium term, we see more far-reaching reforms, albeit still ones that build on many of the basic structures we already have (including the RMA, or a new statute resembling it).⁹ Longer-term proposals will be more about far-reaching systemic change to the underlying drivers of human behaviour (eg the tax system), not just the legal frameworks that tend to react to those drivers.

We are thinking about a reform pathway in three broad steps:

1. What could be done within a single parliamentary term (building on the current framework with important add-ons)
2. What would require multiple (roughly, up to two) parliamentary terms (deeper legislative and institutional reform)
3. What would require up to a decade (addressing more systemic shifts in society)

We incorporate this temporal element of reform *within* legislation-based chapters. We do not, for example, have a dedicated chapter on “short-term” reform and then another on “medium-term” or “longer-term” reform. Instead, we consider, in turn, how each framework would develop or change over time. We anticipate that in the final report we will also present the system from a strictly temporal rather than legislative viewpoint (eg “this is how the whole system would change within three years” and “this is how it would look in six or seven years’ time”).



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- 1 For example, one sector (eg agriculture) can use multiple resources and impact multiple domains (eg water, soil), while one domain or resource (eg water) can support multiple sectors (eg fishing, electricity generation). Sectors (eg transport) and domains (eg air) can also cut across multiple spaces (eg urban, rural), while multiple sectors and domains can exist within one kind of space (like a city). As described in the Phase 1 report, we also have existing statutes that focus on domains, on sectors, on general outcomes, on particular institutions, or on particular spaces (see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8). Finally, "problems" or "topics" (eg housing affordability) cut across all of the above categories. A system needs to be cognisant of the links between all of them.
- 2 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 34.
- 3 The system as defined in the project is one of public interventions, so does not include "informal" social, moral or ecological systems. We are not describing how nature works, or promoting a moral utopia; we are presenting a system of laws, institutions and tools that we can look to public authorities to implement.
- 4 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 9.
- 5 On the importance of statutes in resource management law, and in law reform, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.
- 6 Different statutes may contain the same basic norms (eg sustainability), provide roles for the same institutions (like the Environment Court), and deal with the same domains (eg coast or climate).
- 7 For example, the property system (eg dealing with covenants on land or access to minerals) and local government system (eg how councils are funded) intersect strongly with the resource management system, even if entire statutes cannot be called "resource management" statutes.
- 8 Because the focus of the paper is on a proposal for a future system, the nature of these spotlights differs from in the Phase 1 report. Those were more about particular examples of issues, or examples of options that could be adopted. Here, spotlights are more about exploring particular proposed features of a new system.
- 9 We consider that some longer-term proposals may only be required or triggered if shorter-term measures prove inadequate to improve outcomes.

3. PREFERRED CRITERIA FOR REFORM

3.1 Options for criteria

In working paper 1, we explored the concept of criteria: a set of statements against which we can measure how desirable different reform measures are. As a country, we face so many choices (ecocentrism or anthropocentrism? Sustainability or resilience? Centralism or localism? Market or regulation?) that we need a way of deciding which ones are best. Criteria can help us do so. Essentially, they express the overall objectives of the reform exercise – what we as a country want to get out of it.

We also explored why criteria are important. This is to focus on the *why* of reform before the *what* or the *how*; to reduce the risk of incoherence and instability resulting from ad hoc negotiations between interests over time; to make choices more transparent by justifying them against clear, overarching metrics. Criteria don't provide specific answers, but they at least *frame* conversations in ways people can agree on at the outset,¹ so that the goalposts do not keep shifting as we talk about different problems, challenges, or topics. They tell us not to dilute our overall goals when policy choices become tough at a more granular level. They remind us of the bigger picture.

Criteria express the overall objectives of the reform exercise – what we as a country want to get out of it. They are a way to measure and compare the different options we face in a consistent and coherent way.

We looked at many different individual criteria we could adopt (or reject), and the key relationships between them. Some criteria are mutually exclusive alternatives (eg subtle but important variations in wording like “enabling” or “providing for” human wellbeing). Others are mutually reinforcing (eg the resilience of ecosystems and the resilience of communities that rely on those ecosystems support each other). Other criteria are compatible, but only if the relationships between them are well defined (eg promoting economic growth and respecting the intrinsic worth of nature). How those relationships are expressed is crucial to producing a set of criteria that is coherent and not simply a wish list of things we might like to (but cannot realistically) have.

One of the most important considerations in any set of criteria is the relationship between what we have called “substantive” criteria (the outcomes we want to achieve) and “pragmatic” criteria (what we think could actually be achieved through the reform process). For example, there could be overwhelming political opposition to changing Part 2 of the RMA, or there could be resourcing issues within government if we tried to do too much at once. But what is realistic or possible can change depending on timeframes. A political mandate can develop over time as society changes its views. Legislative change can happen gradually to allow case law and users to adjust. The pathway to a future system, not just the features of

the final system itself, is therefore of critical importance to what can be achieved.

It is interesting to observe that such questions do not tend to receive the attention they deserve until they are put into the real-world context of what changes people are willing to stomach. On paper, we have overall received broad support for outcomes not being overly stymied by pragmatic concerns (like increased uncertainty, resourcing implications, or overriding existing case law). But we have also seen that when this is talked about in the context of, for example, reforms to Part 2 of the RMA, or institutional change, some preferences have become much more conservative and geared towards much more incremental and cautious change.

That is okay – often our true appetite for reform only comes into focus when the practical challenges hit home – and the criteria and the reforms that follow will continue to exist in an evolving relationship with each other. However, if the need to amend criteria to “soften them” gives us pause for thought, then that is also a good thing. For our own part, we see that as a call to think closely about achievable timeframes and how we get to an ambitious end point, rather than dispense with the end point altogether.

One of the most important things in developing criteria is how to describe the relationships between them. Criteria can sometimes pull in different directions, and we need a sense of what that means. Of particular importance is the relationship between substantive criteria (the outcomes we want) and pragmatic criteria (our practical ability to get there). The latter should not unduly undermine the former, but we also need to be realistic.

Criteria do not spit out an obvious blueprint for reform. There is a lot of room for argument in how they are applied. For example, we may all easily accept that the system needs to safeguard the ability of the natural world to support human life as one “bottom line” outcome. But what does that mean for reform? For example, would splitting up the RMA be the best way to do that? It is by no means obvious. Settling criteria at the outset does, however, move the conversation forward. It changes the focus of the conversation from a value-based debate to an evidence-based one (even if some evidence cannot be talked about in empirical or even scientific terms).²

Of course, that doesn't always make the reform task easier – even if we agree on the outcomes we want, evidence about what would best get us there can still be contested.³ For example, many have debated the extent to which urban planning restrictions have been responsible for housing unaffordability.⁴ Sometimes hard evidence is impossible to find. For example, how does one prove that splitting the RMA would produce better outcomes? The reality is that we often lack clear information to base

decisions on, or people interpret it differently. Furthermore, applying criteria is not *just* about assessing evidence – considerable subjective judgments can remain. What does a criterion of “fairness” or “efficiency” mean in specific contexts? In short, criteria are useful to provide an anchor for debate, but by no means a substitute *for* that debate.

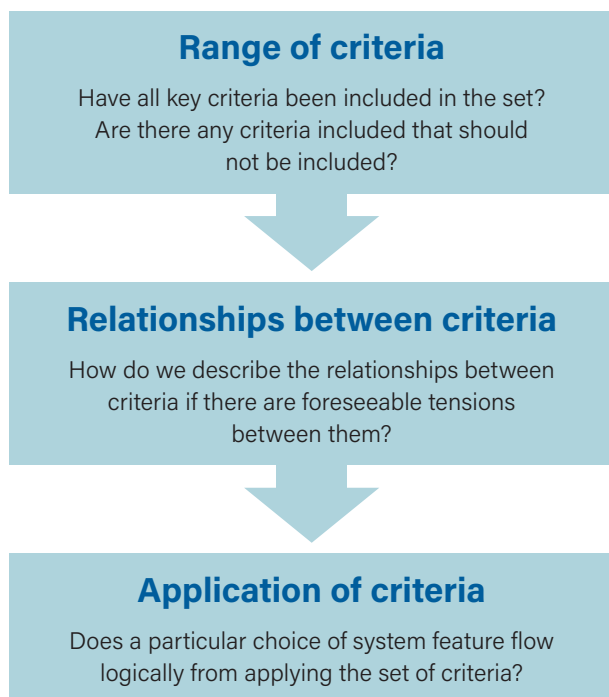


Figure 3.1: *Three points at which debates are needed in relation to criteria. In working paper 1, we looked at the first and second boxes. In this working paper, we choose a preferred set of criteria and then apply it (the third box) to construct a recommended model for the future.*

Criteria do not spit out a blueprint for system reform. Instead, they offer a guide, and an anchor for discussions. These discussions are often about evidence – which reform options would best fulfil the criteria and why. Relatively few models that have been proposed for reform are actually seeking completely different outcomes; they simply see different mechanisms as being more effective at achieving them.

In working paper 1, we concluded by offering three alternative sets of criteria that could be adopted. These were described respectively as “progressive”, “transformational” and “market-led”. Other sets are possible, but we considered that these three spanned an appropriate range of viewpoints while all being realistic. The differences between them were not so much based on the inclusion of entirely different criteria, but rather subtle differences in language within criteria and in the descriptions of relationships between them. We direct readers to working paper 1 for descriptions of these.⁵

3.2 Which criteria set is best?

Generally, we have adopted the “progressive” criteria outlined in working paper 1. These are described below.

We emphasise that there is no objective or correct manner in which one set of criteria can be chosen over another. We are not adopting a particular pre-existing theory or ideology to drive our choice, nor have we chosen criteria based on a general sense of what current New Zealanders as a “whole” currently value (eg based on surveys or interviews, or cultural analyses).

Instead, we are adopting criteria that we think will drive changes that are the best fit for New Zealand now and in the future. We entirely accept that this is a matter of judgement. Yet while people are certainly free to disagree, we do not think that the criteria we have selected are one-eyed. Indeed, we think it is important that most New Zealanders see their own concerns, and outlooks, reflected or respected. Those are about social and economic wellbeing as well as environmental protection, and as much about a Māori perspective as a Western one. The system needs to work for all, even if it is not *perfect* for all. And we think that a degree of consensus is needed to make a system durable, even if some aspects of change may be confronting for some.

We also note that substantive criteria – an expression of the outcomes we want – ultimately come from a person’s worldview. However, it is equally true that a person’s worldview can be changed or influenced by the outcomes he or she experiences or desires. In other words, if people are faced with the hard reality of choices, changing societal perspectives, or a growing body of evidence, they may choose to change their outlooks in response. One hundred years ago, for example, it would have been extremely challenging to convince a government to curtail the emission of greenhouse gases, to recognise the intrinsic worth of nature, or to implement co-governance arrangements with Māori. Times have changed, and so have people’s perspectives. Similarly, we think that the coming decades will demand a different perspective to that which has shaped twentieth century resource management systems. The system itself can actively shape people’s outlooks to achieve the best outcomes for the future, not just respond to them as “bad stuff” happens.⁶

In our view, the “progressive” criteria set presented in working paper 1 generally offers the best fit for the New Zealand of the future. We present this criteria set in full further below.⁷ This is not intended to be something that actually appears in a statute; it is, instead, an overall guide for the reform exercise.

The criteria below are not a simplistic “checklist”. In fact, meaningful criteria will never be of this nature because how we define the multifaceted relationships *between* the outcomes we want is the most important aspect, not the outcomes themselves. If they are treated as a checklist then they become a list of unrealistic “nice to haves”, and the inevitable trade-offs between them would instead be left at the mercy of either chance or the underlying (and sometimes underestimated) economic and social forces influencing what people naturally do.⁸

As a whole, our adopted criteria generally reflect the need for real change – not just tinkering around the edges. We are convinced that the system needs fixing, and not just through “soft” mechanisms or a focus solely on “implementation”.⁹ That said, it is by no means a foregone conclusion that the need for change in *outcomes* requires a complete overhaul of the *machinery* of current system – starting again from scratch – to get there. A significant change in outcomes can sometimes be achieved by making targeted but forceful interventions within legal frameworks that already exist. Such surgical measures are certainly not the same thing as the ad hoc “tinkering” that has plagued the system over the past two decades (“serial reform and quick fixes”).¹⁰ Indeed, many parts of the system strike us as being underused or even “sleeping”, and as having great potential.¹¹

Our criteria set reflects the need for real change, not tinkering. However, change in outcomes does not necessarily mean overhaul of the current framework and starting again from scratch. To some extent, it may be frustrations over the many failings of something like the RMA that lead to a desire to throw it in the bin, rather than a true conviction that nothing about it is worth keeping.

We outline our preferred set of criteria in full below, followed by a pictorial representation of how relationships between them are conceived. The key messages, though, are presented first.

1. We see two key categories of criteria: substantive (outcomes we want, including relationships or hierarchies between them) and pragmatic (what reform measures we are willing to take to get there). We recognise that changes need to be politically *possible*, but that there should be no automatic bias towards the status quo. This is particularly important when we think about timeframes for reforms, and the pros and cons of disrupting case law.
2. Within substantive criteria, we see four key categories: environmentally protective outcomes, resource use outcomes, the Treaty of Waitangi, and procedural outcomes.

3. Existing and future Treaty settlements will need to be upheld. This does not, however, mean that the broader frameworks with which particular settlement acts interact need to be set in stone.
4. A future system will need to give effect to the principles of the Treaty. There is a degree of flexibility and ability to evolve built into those principles, so there is no need to approach them inconsistently.
5. True biophysical “bottom lines” need to be pre-eminent over considerations of resource use, and held firm.
6. Necessities for current and future human survival are non-negotiable, and we cannot speak about trade-offs in that context.
7. Alongside the broader intrinsic worth of the natural world as a functioning whole, indigenous species specifically have intrinsic worth that are deserving of firm bottom lines. This is not just where they are threatened or faced with extinction.
8. Overall human wellbeing is about more than just economic and social freedom to act, or the provision of public goods to support private choices. It is about many other things – including building social and economic resilience, respecting communities’ wishes, and outcomes and processes that are fair rather than just efficient.
9. Fairness is not just about the interests of current versus future generations of humans. It is also about the future of the natural world, and about fairness between different groups of people.
10. Flexibility and agility are important to provide for timely outcomes. But within that, the system should maximise certainty; we do not desire vagueness for its own sake or as an excuse to pass responsibility to others (or avoid it altogether).
11. Public participation in processes cannot come at the expense of timely outcomes, but needs to reflect what is fair.
12. An accessible and user-friendly system is important, but it cannot come at the expense of clarity. The system will always, to some extent, be complex.



A preferred set of criteria for reform

1. The reform choice protects and enhances aspects of the natural world on which all humans (including present and future, and of all socio-economic circumstances) rely for their survival and basic quality of life. This includes the idea that nature is a human habitat, and must retain its ecological ability to function and provide services in the future.
2. **Reinforcing (1)**, the choice recognises people's responsibility to protect the intrinsic moral right of nature as a whole, and indigenous species specifically, to exist and thrive in New Zealand.¹²
3. **Subject to (1) and (2)**,¹³ the choice protects and enhances aspects of the natural world on which humans (present and future, and of all socio-economic circumstances) rely for overall collective wellbeing.¹⁴
4. **Reinforcing the biophysical protections in (1)–(3)**, the choice strengthens biophysical resilience to disruptive change.
5. **Within the constraints of the biophysical protections in (1)–(3)**,¹⁵ the choice represents a fair allocation of rights and responsibilities between people (including present and future, and of all socio-economic circumstances).
6. **Subject to the biophysical protections in (1)–(3)**, the choice promotes the social wellbeing (Te Oranga), economic wellbeing (Te Ōhanga) and cultural wellbeing (Te Rarawatanga) of New Zealanders where it is in the public interest (including the protection of cultural and non-natural heritage).¹⁶
7. **Reinforcing the promotion of wellbeing in (6) and biophysical resilience in (4)**, the choice results in social and economic resilience to disruptive change where the change would impact on the public interest.
8. **Subject to the public interest restrictions in (1)–(7)**, the choice provides people the freedom to provide for their own social, economic and cultural wellbeing.
9. **Subject to biophysical protections and fairness in (1)–(5), and in considering the promotion of wider human wellbeing and resilience in (6) and (7)**, the choice promotes efficiency and cost-effectiveness in resource use.
10. **In considering all substantive criteria (1)–(20)**, the choice implements the Crown's obligations under the Treaty of Waitangi and reflects the principles of the Treaty, including greater recognition of Māori rights to exercise tikanga, and upholding Treaty settlements.
11. **In considering the biophysical protections in (1)–(4)**, the choice implements an anticipatory and precautionary approach to risk and uncertainty associated with actions that threaten survival, intrinsic values, and collective wellbeing in the future.¹⁷
12. **Subject to the public interest restrictions in (1)–(7), Treaty and precautionary obligations in (10)–(11), and process concerns in (15)–(18)**, the choice ensures an efficient management system (including decision-making processes).¹⁸
13. **To achieve the biophysical protections in (1)–(4) and broader human wellbeing outcomes in (6)–(7), and taking into account fairness in (5) and subject to Treaty obligations in (10)**,¹⁹ the choice provides sufficient agility to address existing problems and future challenges in a timely way.
14. **Subject to the need for agility in (13)**, the choice maximises regulatory certainty to users and permit holders, and respects existing property and statutory rights.²⁰
15. The choice promotes transparency in public decision-making.
16. **Subject to the flexibility in (13) and Treaty obligations in (10)**, the choice allows and encourages people to have a say to the extent there is a public interest (unless their interests are already represented) or their interests are directly affected.²¹
17. **To the extent it reflects fairness in (5) and reinforces either Treaty obligations in (10), efficiency in (12) or transparency in (15)**, the choice maximises knowledge and facilitates its transmission.
18. **Subject to the need for certainty in (14)**, the choice makes the system accessible to users.
19. **Reinforcing, but also subject to the biophysical protections in (1)–(3)**,²² the choice addresses current problems according to their urgency.
20. **Reinforcing the biophysical protections in (1)–(3)**, the choice allows New Zealand to meet its international obligations.²³
21. **All substantive criteria (1)–(20) are subject to** the need for choices to be within the realms of political possibility and workable in practice.
22. **In considering what is workable and achievable in (21)**, choices are to take into account the feasibility of staggering or ramping up reforms over reasonable timeframes, keeping in mind the urgency of issues and the likelihood of imminent social change.²⁴
23. Choices are preferred that minimise disturbance to the status quo, retain existing case law, and support legal stability **only if they are equally or more effective at achieving all substantive criteria in (1)–(20) than alternatives.**

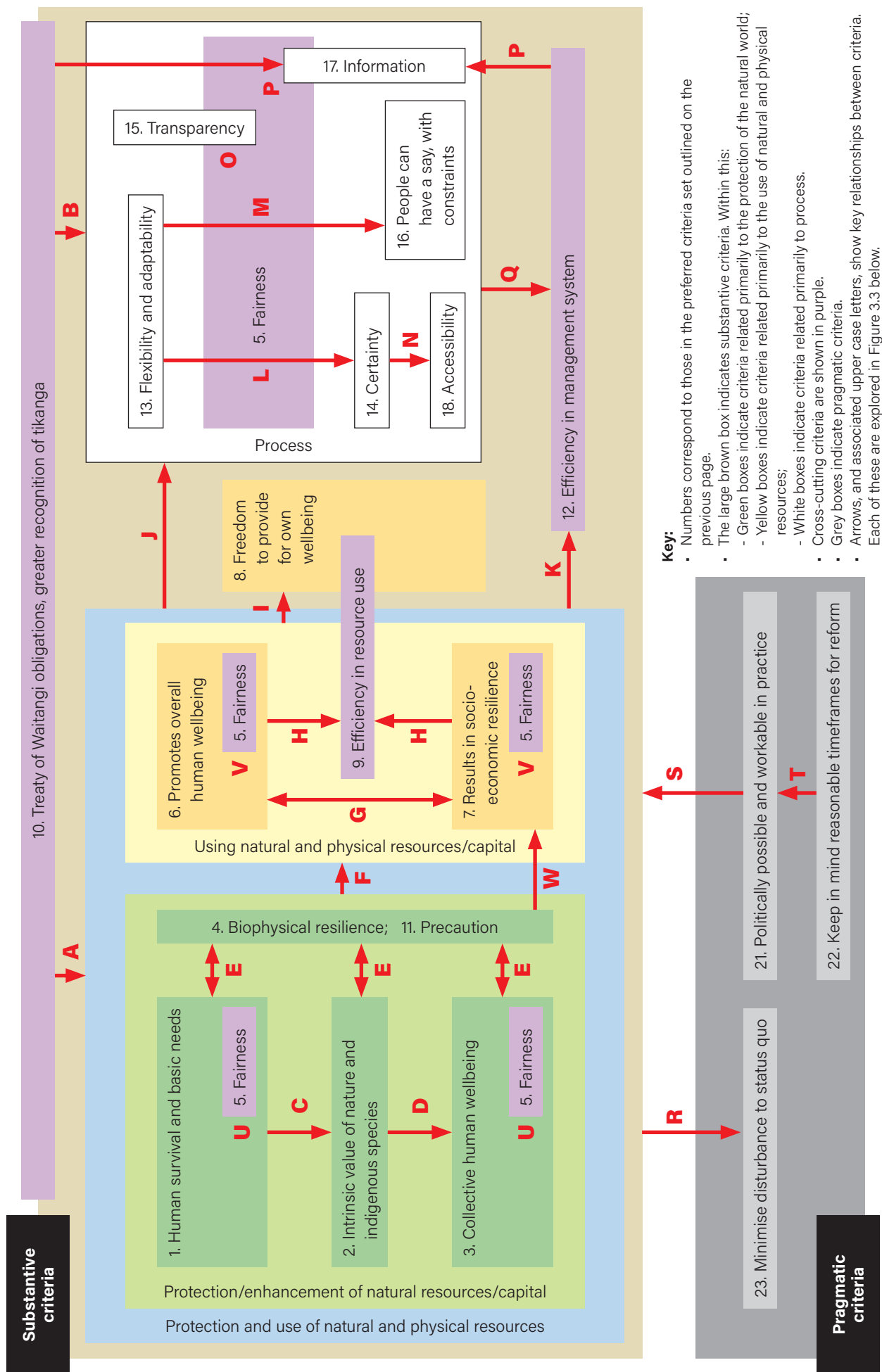


Figure 3.2: A preferred set of criteria for reform

A	All substantive criteria are subject to the need to implement the Crown's obligations under the Treaty of Waitangi, including reflecting Treaty principles, as well as greater recognition of tikanga. However, while this is a hierarchical relationship, it should be emphasised that the nature of Treaty obligations and principles themselves are not absolute, and are constantly evolving. More specifically, actual Treaty settlements will need to be upheld in any reform.
B	As in (A) above, Treaty obligations and a greater recognition of tikanga are to be reflected in the processes of the system. In particular, the need for flexibility is subject to the need to uphold specific Treaty settlement rights.
C	The human responsibility to protect the intrinsic worth of nature as a whole, and indigenous species specifically, will realistically be subject to the need to manage resources in a way that allows for the survival and basic quality of life for all New Zealanders. Primarily, the two things reinforce each other, but there may be some tensions in particular applications.
D	Protecting the natural world (natural capital, natural resources) on which humans rely for wellbeing above a basic quality of life is subject to the intrinsic worth of nature as a whole and indigenous species.
E	If the ecosystems/biosphere on which humans and indigenous species rely for survival and wellbeing are resilient to disruptive change, the latter reinforces and supports the former. Precaution is related to resilience, because it recognises that sometimes we do not know how far human use can push ecosystems/resources before they reach tipping points.
F	Promoting the social, cultural and economic wellbeing of people more broadly (ie everything in the yellow box) is subject to protecting the natural world/natural capital to the extent needed to achieve human survival/basic needs, recognise the intrinsic value of indigenous species, and secure overall human wellbeing (ie everything in the green box).
G	Securing people's social, economic and cultural wellbeing over time is supported by increasing the resilience of people and communities to disruptive change.
H	Using resources in the most efficient way possible is desirable, but is subject to the need for fairness (in allocating both rights and responsibilities) and subject to what would promote overall social, economic and cultural wellbeing and resilience. In some cases, the most efficient resource use may support those things, but in other cases it may not. Similarly, in some cases, enabling people to provide for their own wellbeing may produce efficient outcomes, but not always (indicated by the overlap between boxes 8 and 9).
I	People are to have the freedom to manage resources to provide for their own wellbeing, as they are often best placed to decide such questions. However, that is subject to the need to defend biophysical bottom lines (ie everything in the green box) as well as to secure overall human wellbeing more broadly where there is a public interest (eg urban planning, infrastructure, green spaces etc – ie everything in the yellow box).
J	Processes are ultimately designed to achieve the system's substantive outcomes (ie those in the blue box), but can do so in different ways. Specific process outcomes are important. In particular, flexibility and adaptability are needed to ensure that biophysical protections can be implemented in a timely way where needed (to achieve those things in the green box), but also to achieve change where there is an element of public interest in securing social, economic and cultural wellbeing (ie those things in the yellow box). Some of these are urgent and should not be delayed. Flexibility is subject to Treaty obligations – see (B) above.
K	Efficiency and cost-effectiveness in the design of the system, including in its processes (ie more than just the efficient use of resources), is subject to the need to achieve its other substantive outcomes (ie those matters in the blue box).
L	Subject to the need for the system to be flexible enough to achieve its substantive outcomes in a timely way (ie address problems and future challenges), it must provide as much certainty and security to people (eg property and statutory rights holders) as possible. Fairness is important to consider here, not necessarily to determine whether change should happen (although that may well be fair in some contexts), but to determine what should happen in response to change (eg compensation).
M	There is a need for public participation not to come at the expense of timely outcomes where needed urgently to achieve matters contained in (1)–(3) and (6)–(7) (those in the green and yellow boxes). However, broader "efficiency" is subject to other outcomes we wish to see from giving people a voice (fairness and where a public interest is at stake). Furthermore, constraints on involvement do not apply where needed to implement Treaty obligations – see (B) above.

N	It is important that the system is not only as accessible and easy to use as possible, but also that it is subject to the need to provide sufficient certainty and predictability concerning legal rights and processes. This recognises that the system is inherently complex and needs to address many interrelated matters. An overly simplified system may simply require later amendments or extensive interpretation through case law in order to provide clarity.
O	Fairness demands that decision-making be as transparent as possible, although fairness may also influence where the costs of that transparency fall.
P	The system should strive to use and transmit the best information and knowledge possible (including mātauranga Māori), and the ways in which information is obtained and shared can make decision making more efficient (reinforcing criterion 12) and transparent (reinforcing criterion 15). However, information can be costly and imperfect, and the system's approach to it must reflect what is fair (criterion 5).
Q	Efficient and cost-effective processes are important, but subject to other process outcomes we wish to achieve (ie those matters in the white box).
R	It is desirable to minimise disturbances to the status quo, but only to the extent that doing so would be as effective or more effective as other measures in reflecting substantive criteria.
S	All other criteria are subject to the need for a choice to be workable in practice and at least within the realm of political possibility.
T	What is considered within the realm of political possibility and workable in practice should be determined in light of what is possible over reasonable timeframes, and the extent to which the urgency of problems may drive sharp changes in social and therefore political will. More measures may become possible when viewed in this light.
U	Achieving fairness is important when considering, in the context of what natural resources need to be protected and enhanced, what "human" survival and wellbeing is. In particular, fairness constrains our ability to reduce one person or group's wellbeing in favour of others' wellbeing, or to look only at the overall wellbeing of the country without thinking about different communities and generations.
V	Overall human wellbeing cannot be increased without regard to how the relative wellbeing of groups and people within society are affected by resource management decision-making. Fairness, rather than absolute equality, needs to be achieved.
W	The resilience of ecosystems/the biosphere supports the social and economic resilience of people and communities that rely on them existing in a stable state.

Figure 3.3: *Explanation of key relationships between criteria in a preferred set*

3.3 Concluding comments

In this chapter, we have outlined a preferred set of criteria for reform. We have described this as a "progressive" set, recognising both the need for change and the envelope of pragmatic factors within which realistic reforms could happen. Criteria will always be about balancing inherent tensions in the system, and a lot will be about the institutional and legislative arrangements that follow – including *who* gets to decide where that balance lies, and under what legislative principles. However, we consider that it is useful to provide a general framework of criteria to drive our choice of such system features. In exploring the core features of a future model in coming chapters, we have held these criteria in mind.

Questions for discussion:

- Is it appropriate to adopt a generally "progressive" set of criteria as outlined above? What might need to change?
- How useful are criteria when so much, in practice, is about what trade-offs can be achieved at a political level?

ENDNOTES

- 1 Or at least, if there is not agreement, in a way that makes it obvious what is being sought and in what measure.
- 2 For example, how do we measure if the intrinsic value of indigenous species has been recognised and provided for?
- 3 For example, it requires us to consider counter-factual scenarios (what if the RMA had not been enacted?).
- 4 See T Hazledine "Economics and the Resource Management System" in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working Paper 3* (EDS, 2018) at 158.
- 5 G Severinsen and R Peart *Reform of the resource management system: A pathway to reform – Working paper 1: Criteria for reform* (EDS, 2019) available at <www.eds.org.nz/our-work/rm-reform-project/>.
- 6 Education or advocacy campaigns are examples of this (eg the recent advertising of the Energy Efficiency and Conservation Authority concerning climate change and energy use).
- 7 This incorporates some amendments from that described in the first working paper.
- 8 For example, if we desire both economic growth and environmental protection "at the same time" without further elaboration, then the reality will be that the former constantly pushes and undermines the latter.
- 9 This is a common thing to hear: that the RMA itself is not broken, it is just implemented poorly. That may well be the case, but our formal system of laws and institutions should also be expected to facilitate or demand effective implementation.
- 10 M Williams Resource management system: Reform or transform? (April 2018) Resource Management Journal 3 at 4.
- 11 For example, section 17 of the RMA imposes a general environmental duty on all people, but has not really been used in a meaningful way.
- 12 Including the natural systems on which they rely for these things. A focus on indigenous species (as opposed to introduced species) is deliberately broader than endemic species (those that exist only in New Zealand). This is on the basis that intrinsic or moral value is not just about preventing the extinction of a species on a global scale; it is also about preserving New Zealand's unique natural heritage and respecting a Māori perspective on kaitiakitanga.
- 13 The hierarchy here is significant, because enhancing natural resources for overall human wellbeing (eg forestry, horticulture) can still threaten the survival of indigenous species. Furthermore, enhancing natural resources to increase the wellbeing of some may threaten the basic quality of life of others (eg through some forms of offsetting that mean adverse impacts are felt in some places and benefits are felt in others).
- 14 Where wellbeing is measured in an inclusive way (for example, the wellbeing that people obtain from connection with nature and wilderness).
- 15 This means fairness is important *within* criteria (1)-(3) (for example, environmental protection that produces human wellbeing means sufficient wellbeing for people of all socio-economic circumstances and generations), but also that fairness is *subject* to the outcomes in criteria (1)-(3) (for example, one cannot breach environmental bottom lines in order to give additional rights to people who are currently deprived of them).
- 16 In many cases that will be consistent with safeguarding and enhancing natural resources/natural capital, because there is a direct link between them. In some cases, it may not (for example, urban expansion into versatile soils), hence the need for hierarchy.
- 17 This may include proactive measures to prevent tensions between different outcomes from arising in the first place (eg over allocation of freshwater can produce issues over fairness, so it is prudent not to over allocate).
- 18 Efficiency should not necessarily be equated with centralisation or a drive for economies of scale.
- 19 For example, if measures are needed to compensate or reduce the impact on people where not to do so would be unfair, or where there is a tension between Treaty obligations and urgent action.
- 20 This is intended to safeguard Treaty settlement rights encompassed by (10), as well as support people's freedom to provide for their social and economic wellbeing (8).
- 21 Reinforcing (5), concerning fairness.
- 22 "Subject to" in the sense that addressing one problem should not exacerbate problems that threaten the outcomes contained in criteria (1)-(3).
- 23 In particular, in the context of climate change mitigation.
- 24 In that more measures may become politically possible if these matters are considered.

4. CRITERIA, ETHICS AND THE ROLES OF A FUTURE SYSTEM

4.1 Introduction

The primary structure of this paper is based on key pieces of future legislation we are floating for a future system. We start with a discussion of the RMA in Chapter 6. However, there are two preliminary points that should be made before launching into discussion of specific legislation. Both of these points are important for the same reason: they are general, system-wide or cross-cutting conclusions that need to be held in mind when thinking about what all statutory frameworks do and how they do it.

The first point is what our adopted criteria have to say about the worldviews/ethics and principles that will bind a future system together. The second is what criteria tell us about the future roles that the system, as a whole, needs to perform.

4.2 What criteria mean for ethics and worldviews in a preferred model

Ethics and principles will form common threads running throughout a future system. They may not be expressed in exactly the same way in all statutes (after all, statutes are often deliberately split up because they pursue quite different aims or similar aims in different ways,¹ and in some, ethics may be implicit rather than specifically described).² But very few provisions in the law will not rest on strong, coherent, normative foundations, and it is best to be clear about what those foundations are. Ethics and principles represent who we, as New Zealanders, want to be, and what we want our country to look like. In the

Phase 1 report, we investigated various ethical theories, and said:

In relation to resource management, big picture ethical questions concern the basic ways in which we see ourselves in relation to our surroundings and the natural world. Many different ethical theories exist, but they all seek to strike a balance between resource use and protection. Neither one of these things is ever absolute.

There are four key questions here: how to distribute costs and benefits amongst people alive today, between current and future generations, between private and public interests, and between humans and non-humans (nature). Although it is a dramatic simplification, it is useful to think of Western theories about the environment as being either anthropocentric (human-focused) or ecocentric (nature-focused). An economic approach informed by anthropocentrism tends to reduce the natural and physical world to monetary terms. This is only one possible way of valuing the environment and resources within it. A non-economic anthropocentric worldview focuses on the weighing of a broader range of human values concerning the environment, and rejects money as the only measure of value. In contrast, an ecocentric worldview sees the natural world as having intrinsic value, dignity and rights beyond its usefulness to humans. It rejects economic measurement and human values as the only metrics for valuation.

Māori worldviews – Te Ao Māori – are arguably more closely aligned to Western notions of ecocentrism



Awana, Great Barrier Island

than to anthropocentrism or an economic worldview. However, they are by no means the same thing. Te Ao Māori is a specific way of seeing the world, developed over centuries and incubated within an integrated social and cultural setting. It does not so much put nature at the heart of things or as something apart from human activity, rather it sees humans and nature as part of the same cosmology where the physical, economic and spiritual cannot be separated.

So should an ethical theory drive the outcomes we are seeking or, instead, should the outcomes we desire shape our ethics? This is a chicken and egg situation. However, as will be obvious from our discussion of criteria, we have chosen the latter approach. We therefore emphasise again that we are not adopting a single theory or worldview.³ We will not, for example, be seeking to construct an “ecocentric” system or an “anthropocentric” one.⁴ Nor – even though we envisage a significant space for its growth and influence – are we proposing a future based entirely on tikanga Māori.⁵ In fact, the plural worldviews and norms reflected in our criteria set make this kind of thinking impossible. So while different worldviews are highly visible *within* criteria (eg it is easy to see a generally ecocentric train of thought in the notion of intrinsic worth, and an economic perspective in the notion of efficiency), as a whole our criteria are not driven by a particular ethical perspective.

On this approach, worldviews, ethics and principles are not ways to decide what we want. Instead, they can be useful tools in legal frameworks for *achieving* the outcomes we want. For example, legal personhood (eg for a river or mountain) we see less as something that is necessary to reflect an inflexible moral perception of the natural world, and more as a potentially useful way to ensure it is protected in a way that achieves what society is seeking (eg healthy water, respect for tikanga, landscape value etc).⁶ In some situations, that may be useful (eg in the situation of Te Urewera). In others, it may make less sense (eg giving legal personhood to a dairy farm).⁷ Similarly, the use of economic instruments (eg in resource rentals or trading schemes) would not be embraced because we see the world in an instrumentalist way, but rather because they could be useful tools to achieve outcomes we want (eg to reduce wasteful consumption or to direct things to their highest value use).⁸

That said, “changes in people’s mindsets may happen over time in response to the ways in which they are compelled or encouraged to behave”.⁹ Thus the use of more ecocentric language and tools in the system may, over time, mould people’s perspectives so that they become much stronger, self-regulating social norms, driving action that is considered natural rather than as something being imposed on them.

Our preferred criteria describe the outcomes we would like to see the system deliver. They reflect many different ethics and worldviews. These outcomes, rather than any given ethical theory, are our starting point for reform. The extent to which changes in ethics and worldviews can help us achieve those outcomes will then determine how, and in which parts of the system, those ethics and worldviews are embraced.

In particular, we consider that embracing synergies between anthropocentrism, Te Ao Māori and ecocentrism more within a plurality of ethics will provide a positive normative direction of travel and allow for better recognition of the Treaty relationship. We need to seek nodes of agreement where possible, rather than ringfencing Māori concepts like kaitiakitanga (broadly, stewardship) as islands surrounded by a sea of Western ideas, or simply mentioning nature’s intrinsic value within a framework still targeted at “resources”.¹⁰ This is not to suggest that Māori concepts (or, indeed ecocentrism) have a monopoly on environmental wisdom, or that a Western Judeo-Christian tradition is responsible for environmental decline.¹¹ It is simply to say that no worldview has an unassailable claim to be the best. A more integrated ethical approach can be seen within concepts like Te Mana o Te Wai,¹² in which most people, we think, could see something to identify with.¹³

Our approach here is partly because a multiplicity of worldviews reflects the reality of New Zealand society (and therefore future political appetite for change). It is a pragmatic concern. In fact, we see much more room for agreement and constructive dialogue over the outcomes we want as a country than in a debate about the value of particular ethical traditions. We are a diverse country, with a diversity of people and cultures, and we will do well to remember that our future will not be one ruled by philosopher kings trumpeting ideologies (even if we may listen to what they have to say from time to time). As we have said previously, “a system in which significant parts of the population cannot see their own basic outlooks reflected is unlikely to be durable”.¹⁴

Aside from practical considerations, we also think that plurality is a very good thing,¹⁵ and that there are underestimated synergies to be explored.¹⁶ Almost 20 years ago, one commentator described the RMA simply as “a complex set of values enshrined in law”.¹⁷ This, we think, remains a good way of describing how we see the broader system’s norms operating in the future, with a possible addition: such values need to be steered more towards common outcomes and ethical convergence (eg economic drivers supporting broader environmental outcomes, and nodes of agreement between Māori, Western and other values).

In our view, embracing synergies between anthropocentrism, Te Ao Māori and ecocentrism more within a plurality of ethics will provide a positive normative direction of travel.

Questions for discussion:

- Is it appropriate to focus reforms on achieving a realistic balance of outcomes that are desirable, rather than adopting a particular theory about environmental management?
- Is ethical plurality a desirable – or inevitable – feature of a future system?
- To what extent are there synergies in different world views to be embraced, or tensions to be resolved?

At this point, we comment on what this project is seeking to do in relation to Māori views. This working paper represents an EDS view of the world, and while we have sought expert input, the constraints of the project have meant we have

not been able to conduct as comprehensive an approach to tangata whenua engagement (eg hui) as may be expected of, say, the Crown. However, we recognise that Māori will have their own views on resource management reform. It is also possible that there will be a diversity of perspectives within Māori on reform.

That said, we do not consider that the suggestions put forward in this working paper come from a solely “Western” perspective. We propose measures that, in our view, would better reflect the partnership nature of the Treaty relationship as well as recognising the value of Māori approaches to environmental management. We do not purport to represent Māori views, but note that we have given careful thought to the Treaty relationship in developing our own.



Whareniui, Ōrākei Marae

4.3 Principles

A future system will need to incorporate a number of more specific legal principles, summarised below in Figure 4.1. These were discussed in the Phase 1 report as options, and while we direct readers there for a more fulsome account, we amend them slightly below to reflect what are firmer requirements of the criteria we have adopted.¹⁸

This does not mean that the principles below would be repeated in every single statutory framework, or that they

will always be expressed in the same way. In some cases, principles can be implicit in more detailed provisions rather than specifically listed as considerations for discretionary decision making. For example, we already see a highly precautionary approach to marine dumping under the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012 (EEZ Act),¹⁹ even though the word “precaution” is not mentioned in those sections. All the principles outlined below will need to be reflected across the system in some way.

Sustainability ²⁰	Sustainability provides a framework within which other more detailed substantive principles can be applied. It is essentially about balancing the value of resource use with the value of environmental protection in a way that can be maintained over time. Sustainable development is (to some) concerned not only with ensuring environmental protection in the face of development pressures, but also with active recognition of the need to drive socioeconomic development. Sustainable management, in the New Zealand experience of the term, has a narrower focus of protecting the environment. Its scope will need to expand to encompass the active pursuit of other indicators of wellbeing (including environmental enhancement and specifically urban outcomes), while being much firmer about protecting true biophysical bottom lines. Alternative “umbrella” principles to sustainability in a future system could include resilience and risk management. Resilience will be particularly important as an addition to sustainability.²¹
Environmental justice and distributional equity ²²	Environmental justice and distributional equity seek to distribute the costs and benefits of resource use and protection between groups in present-day society, according to equity or sensitivity to harm. Ecological justice is an extension of this idea, which embraces separate rights or interests for the natural world (and corresponding responsibilities on humans to defend them). Both will be important in future, including to address fairness in resource allocation.
Intergenerational equity ²³	Intergenerational equity seeks to distribute costs and benefits of resource use and protection between present and future generations, so that the interests of future generations are recognised and valued. There will need to be considerably greater emphasis placed on the moral equality of future generations, not just safeguarding their basic needs.
Polluter-/ user-pays ²⁴	The principle of polluter-/user-pays seeks to distribute the costs of resource use between private and public interests. It generally places costs on the polluter or user unless there is good reason not to. A future system will need to be much clearer and more transparent about who actually bears the cost of polluting activities, and provide measures to transition towards a more equitable distribution of costs.
Common but differentiated responsibilities ²⁵	The principle of common but differentiated responsibilities seeks to distribute the costs of environmental protection among the international community. It means that New Zealand bears greater responsibility for the costs of mitigating climate change than some other countries. It also has relevance in other contexts (eg responsibility for reducing relative contributions to pollution in catchments).²⁶
Subsidiarity ²⁷	Subsidiarity seeks to locate decision-making responsibilities closest to (and according to the values of) the relevant community of interest. There is a separate Māori community of interest alongside national, regional and local ones. Subsidiarity is not the same thing as devolution, and communities of interest can change over time in light of social, cultural and biophysical circumstances. A future system will need to be much clearer about what subsidiarity actually means, and expectations as to what will be done at a local and central level.
Principles of the Treaty of Waitangi ²⁸	The principles of the Treaty of Waitangi include active protection, good faith, remediation of past grievances, and informed decision-making. They will be extremely important in a future system and will need to be given effect to beyond the context of specific Treaty settlement acts.

Kaitiakitanga, mauri and mātauranga Māori ²⁹	Māori values in the system are not just a way to provide recognition or power to Māori as a distinct group. They also have merit in their own right. In the resource management context, the central Māori idea is often kaitiakitanga (stewardship), but other important concepts are mauri (life-force or essence) and mātauranga Māori (knowledge and ways of knowing). A future system will need to provide recognition not only for these concepts, but also for Māori to exercise them.
Resource development	The development principle is a convenient label for a principle that recognises that the resource management system should place value on, and incentivise or mandate, some resource uses that are in the public interest. It is not usually recognised as a separate “principle”, but in reality underlies many frameworks for the provision of public goods. A future system will need to more explicitly recognise the need for the development of resources, but ensure that this does not infringe biophysical bottom lines and that it also complements efforts to improve environmental wellbeing.
Conservation ³⁰	The conservation principle recognises that protection and enhancement of the environment must be relatively absolute in some geographical areas, for some species, and for the functioning of the natural world as a whole. It encompasses the principle of non-regression, which states that measures beneficial for the environment should not subsequently be removed or eroded, and the public trust doctrine, under which the state acts as trustee of the ecological health of public areas. It demands an ecosystem wide view to be taken. It is not just about preventing extinctions or saving threatened species from further decline.
Precaution ³¹	The precautionary principle states that where there is uncertainty as to the adverse effects of an activity, this is not a reason to fail to take action to address them. It includes approaches to risk identification, risk assessment, and risk management. Precaution will need to be implemented at a system wide level in a future system, not just on a project-level basis.
Participation ³²	The participatory principle provides that the public have a legitimate interest in being involved in decisions about resources and the environment that impact on them or are of significant public interest. It is essential that decisions are based on robust information, which can be provided by offering wide participation. But such rights are not absolute. They must be balanced against the need for efficiency, and cannot be permitted to prevent timely decision-making where the need is urgent. Māori should have relatively strong participatory rights because of their status as Treaty partners, but that is not a substitute for other Treaty obligations. Access to information, transparency of process, and access to justice are also important.
Efficiency ³³	In terms of process, decisions should be streamlined and use comparable units of measurement where possible, but must be balanced against the need for good information, public participation, and the evaluation of values, not just monetary units. It must also be remembered that efficiency is only about the most efficient way to achieve a desired outcome, not a substitute for a debate about what that outcome is. Sometimes the best outcomes will require time and cost.

Figure 4.1: *Principles that a future system will need to adopt*

A future system will need to adopt, in some shape or form, all of the legal principles discussed above. These include sustainability, inter-generational equity, the principles of the Treaty, polluter-pays, and subsidiarity. How they are expressed specifically in particular statutory frameworks (or if they need to be explicitly stated at all), will vary.

Question for discussion:

- Are there any other legal principles that need to be incorporated into a future system?



4.4 Criteria and the roles a future system needs to perform

The second preliminary observation we want to make in this chapter relates to the roles that a future system, as a whole, will be expected or allowed to perform. This question cuts across, and will influence, all statutory frameworks. We devoted considerable space to this question in Chapters 6 and 7 of the Phase 1 report, and will not repeat that here.³⁴

The “system” we are concerned with in this project is limited to public intervention (albeit that is much wider than just *regulatory* intervention).³⁵ It is about formal laws and institutions, and we are not talking about reforming social systems, moral systems or ecological systems.³⁶ But this system does not need to do everything, and its scope needs to be defined with reference to what it is allowed or expected to do. It is about resource management, not resource micro-management. Nor is the system a replacement for private action. Many good outcomes already come from dedicated individuals and groups doing great things in their communities, or even from people acting in their own interests.³⁷ They deserve support, encouragement, coordination and visibility – not constraints, prohibitions or inflexible directions.³⁸

We have heard some support for a narrow role for the system, in that the role of “planning” (at least in the urban context) should be limited to the internalisation of externalities (ie implementing the polluter pays principle), the provision of public goods (eg infrastructure) and the coordination of these two things.³⁹ Some have expressed concerns about scope creep and the uncertain boundaries of (in particular) council controls on development.⁴⁰

Furthermore, some outcomes can be left to be achieved by other “systems” of public intervention (eg the health system, justice system, or education system).⁴¹ There is a question here about where things are done, and how targeted “resource management” frameworks should be. For example, should urban planning under the RMA play a role in tackling obesity by encouraging active transport? Or by designing communities and infrastructure to minimise crime?⁴² Should environmental management be not just about *stopping* people doing things, but *making* people do things? Or reaching out into the school curriculum? These boundaries are often fluid, given that there is no clear definition of what constitutes such “systems”.

We recognise that there are legitimate concerns underlying such perspectives. However, in our view, there are risks in going too far in the other direction. We have pointed out several reasons why a narrow focus on externalities would have significant risks.⁴³ Ultimately, our



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criteria support the general view expressed in the Phase 1 report that public intervention is warranted in broader circumstances – where there is a public interest in how we interact with our environment and use resources, and where it is needed to respect and implement the Crown's Treaty relationship and interests of Māori.⁴⁴ In fact, this rationale for intervention already underpins a lot of our current system.⁴⁵

Ultimately, we think that our future is too full of challenges – including climate change and the need to restore and enhance degraded aspects of the environment – to unduly narrow the scope of what the system can do based on an outdated neoliberal orthodoxy and arguments about market freedom. As we pointed out in the Phase 1 report, the public interest may need to encompass:

a set of incentives to encourage the uptake of electric vehicles, funding for community-led environmental enhancement measures, or measures to transition land uses to those that are more sustainable for the country as a whole (eg forestry on erodible hill country). It embraces the principle of resilience, and could proactively shield people from external and non-attributable impacts (such as natural hazards, a changing climate, and global economic shocks). It also recognises that outcomes-based urban planning is not just about guarding against "bads" or providing public goods like infrastructure. It is also about creating a wide variety of future-focused strategies to enhance the wellbeing of communities and to move our collective human endeavour forwards – getting people on bikes, reducing criminal activity, encouraging social connection.

Again, we emphasise that this does not mean a *regulatory* approach is always the right one.⁴⁶ Regulation, where used, also needs to be proportionate. And this certainly does not mean that we implement a "socialist" system or a command economy. It is simply to recognise that the system has a broad role to play in the resource management system of the future, for many reasons. We are not convinced that intervention should be constrained to where the market has clearly "failed" – rather, the market should be seen as a tool, as a servant of the New Zealand people, to help achieve the outcomes we want. In many cases it will, but sometimes it will not.

Thus, although we are not adopting an ecocentric approach, we also resist the idea of limiting the role of the system to the language of economic approaches. As Professor Tim Hazledine has said, giving legal personhood to the natural world is "fundamentally subversive of economic orthodoxy"⁴⁷ and is clearly much more than the internalisation of a negative externality. Similarly, Dr Tim Denne has pointed out that the relative reduction of people's existing rights to pollute (eg nutrients in an overallocated catchment) is a dilemma well outside the comfort zone of traditional environmental economics.⁴⁸

We also reinforce our conclusions in previous work that the system as a whole will be expected to perform seven core roles:

1. Impose firm environmental bottom lines

2. Facilitate trade-offs above bottom lines
3. Fund and ensure the delivery of public goods (including infrastructure)
4. Pursue "good" outcomes (not just prevent or manage "bad" outcomes)
5. Protect and promote Māori interests⁴⁹
6. Resolve disputes
7. Allocate rights to use non-private resources

Each of these distinct roles is necessary to reflect our criteria for reform, but should only be exercised to the extent necessary to achieve the outcomes contained within those criteria (recognising that intervention is not desirable for its own sake). We also think that these seven roles will need to be performed differently in the future, in the ways outlined in the Phase 1 report.⁵⁰ How they do so will be explored within the contexts of more specific statutory frameworks (especially the RMA) over the remainder of this working paper and the final report.

In our view, reform criteria require a future system to perform seven core roles. These reflect a relatively expansive view of when the system can intervene in people's lives, although it is important to note that such intervention will not always be regulatory in nature (forcing people to do or not do things) and should be proportionate.

The seven roles identified above are not a viable way to split up statutes. We cannot realistically have one act for bottom lines, one for dispute resolution, and another one for allocation, for example.⁵¹ Many roles are too interconnected to make that kind of approach to legislative design workable or desirable as a blanket rule.⁵² For example, there are benefits in one institution or statute performing multiple roles, and in multiple institutions or statutes performing a single kind of role.⁵³ Sometimes, it may even be necessary for a single *decision* within a statutory framework to perform several roles that are inextricably connected (eg determining environmental limits and determining who gets rights to use resources within those limits).⁵⁴

Yet there is value in holding each of these core roles in mind while discussing more specific statutory frameworks. The system, when looked at as a whole, needs to be adequately performing them in an integrated and coherent way. For example, is it acceptable for minerals and fisheries to be allocated in a highly structured way, but for the allocation of freshwater to be largely left to market forces? Is it right to impose a bottom line on carbon emissions under climate change legislation but to continue to promote the exploitation of fossil fuels that may undermine them?⁵⁵ Or for bottom lines under Part 2 of the RMA to be overridden by the strategic development objectives of a specific urban area?⁵⁶ Is it anomalous that in current legislation we have several different variants of "sustainability" and different directions in relation to Treaty principles? We need to start thinking about the system's seven core roles in a more holistic way.

4.5 A final thought on ethics, principles and the roles of the system

We end this chapter with a provocative thought that is relevant to both ethics and the roles the system will be expected to play, and which will be good to hold in our minds as we explore the (inevitably) more technical aspects of system design in coming chapters. The thought is this: most would consider it morally repugnant to talk about our children in the way we continue to talk about natural “resources” and the internalisation of “externalities”. We do not look after our tamariki/children because they are a future source of labour, an input into our economy, or market actors. We do not avoid hurting them because of some economic theory demanding the internalisation of harm to ourselves. Instead, we do so because we love them. They have beauty and potential, not amenity and monetary value. When it comes to our children, we are first and foremost ethical and social creatures, not rational economic actors.

Why then, is there often so much opposition to treating the natural world – comprised in part by living, sentient, and threatened forms of life with whom many have a profound emotional or spiritual connection as well as reliance on for human health – as a thoroughly moral one as well as an economic one? One answer is obvious – our children occupy a very different place in our hearts than a chicken or a cow, or a tōtara. As Professor Jared Diamond has somewhat apologetically pointed out in his book *Collapse*, “while I do love New Guinea birds, I love much more my sons, my wife, my friends”.⁵⁷ We suspect that would be true for most of us, and this provides a powerful lesson for how we market resource management reforms: something that

will have direct benefits to people and the things they care about most. Indeed, there is truly existential significance for our children here, not just another round of reforms aimed at improving a vague notion of “wellbeing” or to save the birds and trees for their own sake.

But there is not just an economic or even anthropocentric element here – there is a moral imperative too. We are used to moralising over the extinction of creatures like the dodo, the deforestation of the Amazon rainforest, or (closer to home) the threat to iconic features or species like kiwi, kākāpō or kauri. But there is much less recognition of the moral place of nature as a whole in our collective consciousness. We need to push back against the idea that moral, spiritual or emotional concern has no place in public policy discourse on environmental matters, or that it is *only* the concern of integrated socio-spiritual systems like tikanga Māori.⁵⁸ Falling back only on the economic language of externalities, management, transactions and cost-benefit analyses de-emphasises the importance of an ethical element in what we are trying to do. For example, some have suggested that while cost-benefit analysis is certainly useful, it should deal with trade-offs only where they are small scale and within our moral comfort zone.⁵⁹ It is not a substitute for values-driven and regulatory environmental limits.⁶⁰

Questions for discussion:

- Are the seven core roles we have identified for a future system appropriate?
- Do we limit the scope for public intervention to where there is an externality or other market failure?



ENDNOTES

- 1 For example, we have various expressions of “sustainability” and “precaution” in our existing laws (eg under the Fisheries Act, EEZ Act and Hazardous Substances and New Organisms Act).
- 2 For example, in providing for participation, Māori involvement, or precaution.
- 3 To do so would probably require the adoption of the perspective of a single theorist, given that there are huge differences in approach and detail within these general categories. For some different theories, see DR Keller (ed) *Environmental ethics: The big questions* (Wiley Blackwell, 2010); RL Revesz *Foundations of environmental law and policy* (Oxford University Press, 1997); K Bosselmann *The principle of sustainability: Transforming law and governance* (Ashgate, 2008) at 102; E Hargrove *Foundations of environmental ethics* (Prentice Hall, 1989); K Palmer “Introduction to environmental law” in D Nolan (ed) *Environmental and resource management law* (5th ed, LexisNexis, 2015);
- 4 In that there are many different approaches to these broad categories – including approaches where boundaries break down entirely (eg ecological economics). On variants of ecocentrism, see C Stone “Should trees have standing?” (1972) 45 S Cal LR 450; P Taylor and J Kleinig *Valuing life* (Princeton University Press, 1991); P Burdon “Wild law: A proposal for radical social change” (2015) 13 NZJIL 157; P Singer *Animal liberation* (Random House, 2015); P Taylor *Respect for nature* (Princeton University Press, 1986); C Stone *Earth and other ethics* (Harper and Row, 1987).
- 5 While we are not the right people to do it, we do see merit in the development of a tikanga based model by Māori as a tangible option for reformers to explore.
- 6 Of course, that may be different depending on who you are.
- 7 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 231 for some misgivings about rolling our legal personhood across the country, on a pan-tenure basis and without thought of Treaty partnership implications.
- 8 For an account of why we should embrace economic instruments more in the allocation (and reallocation) of water resources, see E Crampton *Valuing the Priceless* (New Zealand Initiative, 2019).
- 9 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 62.
- 10 For example, see Resource Management Act 1991, ss 6-7.
- 11 For example, green taxes are an economic concept, but could be extremely effective at improving environmental outcomes. See T Hazledine “Economics and the resource management system” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working Paper 3* (EDS, 2018); T Denne “Resource Management Law Reform and Economics” in G Severinsen and R Peart *Reform of the resource management system: The next generation – Working Paper 3* (EDS, 2018).
- 12 See the National Policy Statement for Freshwater Management.
- 13 See also the more tikanga-focused solutions in the bespoke frameworks for Te Urewera and Tu Awa Tupua/Whanganui River: Te Awa Tupua (Whanganui River Claims Settlement) Act 2017; Te Urewera Act 2014. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 60.
- 14 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 61.
- 15 Compare SJ Burton “Normative legal theories: The case for pluralism and balancing” (2012–2013) 98 Iowa L Rev 535.
- 16 For example, Te Mana o Te Wai or the field of ecological economics.
- 17 D Young *Values as law: The history and efficacy of the Resource Management Act* (Victoria University of Wellington Institute of Policy Studies, 2001) at 85.
- 18 See Chapter 3 of this working paper, and G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 5.
- 19 There is a presumption that something cannot be dumped unless expressly listed as acceptable (see ss 10(1)(b), 20G). This implements the “white list” approach required by the London Protocol on marine dumping.
- 20 A general term incorporating different terms (eg sustainable development, management, utilisation etc). On sustainability, see D Grinlinton “Integrating sustainability into environmental law and policy in New Zealand” in K Bosselmann, D Grinlinton and P Taylor (eds) *Environmental law for a sustainable society* (2nd ed, New Zealand Centre for Environmental Law, 2013); World Commission on Environment and Development *Our common future* (Oxford University Press, 1987); Resource Management Act 1991, s 5; Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, s 10. See also *Reith v Ashburton District Council* [1994] NZRMA 241 (PT).
- 21 See N Robinson “Re-conceptualising sustainability: The Anthropocene agenda” (2015) 11 RM Theory & Practice 99.
- 22 Sometimes referred to as “intra-generational equity”. On these principles, see generally V Been “What’s fairness got to do with it?” (1993) 78 Cornell Law Review 1001; K Bosselmann *The principle of sustainability: Transforming law and governance* (Ashgate, 2008) at 9; E Hudspeth “Freshwater management in New Zealand” (2013) 16 NZJEL 277 at 285; *Meridian Energy Limited v Central Otago District Council* [2011] 1 NZLR 482 (HC) at [119]; K Palmer “Resource Management Act 1991” in D Nolan (ed) *Environmental and resource management law* (5th ed, LexisNexis, 2015) at 111-112; Ministry for the Environment *Report of the review group on the Resource Management Bill* (1991) at [3.3]; *St Columba’s Environmental House Group v Hawkes Bay Regional Council* [1994] NZRMA 560 (PT) at 528; *Central Plains Water Trust v Ngai Tahu Properties* [2008] NZCA 71, [2008] NZRMA 200 (CA) at [90]-[91]; S Beder “Costing the Earth” (2000) 4 NZJEL 227 at 236; Resource Management Act 1991, ss 85A, 104(3)(c)(iv); D Sheppard “The Resource Management Act – from principles to practice” in T Daya-Winterbottom (ed) *Frontiers of resource management law* (Thomson Reuters, 2012) at 233; *Treasury Guide to Social Cost Benefit Analysis* (2015) at 47.
- 23 On inter-generational equity, see generally K Palmer “Origins and guiding ideas of environmental law” in K Bosselmann, D Grinlinton and P Taylor (eds) *Environmental law for a sustainable society* (2nd ed, New Zealand Centre for Environmental Law, 2013) at 16; Resource Management Act 1991, s 5(2)(a); Conservation Act 1987, ss 2, 6(c); Local Government Act 2002, s 14(1)(h)(iii); EB Weiss *In fairness to future generations* (United Nations University Press, 1989); EB Weiss “Intergenerational justice and international law” in S Busuttil et al (eds) *Our responsibilities to future generations* (Foundation for International Studies, 1990), from 98; J Boston *Safeguarding the future: Governing in an uncertain world* (Bridget Williams Books, 2017).
- 24 On the polluter-pays principle, see generally *Machinery Movers v Auckland Regional Council* (1993) 1A ELRNZ 411 (HC) at 416. In the international context, see P Schwartz “Principle 16: The polluter-pays principle” in JE Viñuales (ed) *The Rio Declaration on Environment and Development: A commentary* (Oxford University Press, 2015).
- 25 See generally D Shelton “Using law and equity for the poor and the environment” in Y Le Bouthillier et al (eds) *Poverty alleviation and environmental law* (Edward Elgar, 2012).
- 26 For example, the Land and Water Forum has recommended that when a catchment is overallocated, high emitters of nitrogen that contribute most to overallocation must reduce, while at the same time providing some upward movement for those with no or little discharge: see Land and Water Forum *Advice on improving water quality: preventing degradation and addressing sediment and nitrogen* (May 2018) at 2.
- 27 See generally M Bramley “Institutional and governance structures of environmental law” in P Salmon and D Grinlinton (eds) *Environmental law in New Zealand* (1st ed, Thomson Reuters, 2015) at 398; B Gussen “Subsidiarity as a constitutional principle in New Zealand” (2014) 12 NZJIL 123.
- 28 See generally Treaty of Waitangi Act 1975, s 8; *New Zealand Māori Council v Attorney General* [1994] 1 NZLR 513 (PC) at 515; *New Zealand Māori Council v Attorney General* [1987] 1 NZLR 641 (CA) (Lands Case); *Huakina Development Trust v Waikato Valley Authority* [1987] 2 NZLR 188 (HC) at 210; R Boast “The Treaty of Waitangi and environmental law” in R Harris (ed) *Handbook of environmental law* (Royal Forest and Bird Protection Society of New Zealand, 2004) at 513; R Joseph “The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward” in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 30-32; R Beverley “The incorporation of the principles of the Treaty of Waitangi into the Resource Management Act 1991” (1997) 1 NZJEL 125; M Palmer *The Treaty of Waitangi in New Zealand’s law and constitution* (Victoria University Press, 2008); *Carter Holt Harvey Ltd v Te Runanga o Tuwharetoa ki Kawerau* [2003] 2 NZLR 349 (HC) at [27]. In practice, it is arguable the extent to which this has been done. See the report from Wai 262, *Ko Aotearoa Tenei*; *McGuire v Hastings District Council* [2002] 2 NZLR 577 (PC) at [21].
- 29 See generally U Klein “Belief-view on nature” (2000) 4 NZJEL 81; A Tunks “Tangata whenua ethics and climate change” [1997] 1 NZJEL 67 at 8; R Joseph “The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward” in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 33.
- 30 See generally J Sax “The public trust doctrine in natural resources law” (1970) 68 Michigan Law Review 471; P Wallace “Integrated conservation management” (2011) 15 NZJEL 185 at 191; J Ruru “Managing our treasured home” (2004) 8 NZJEL 243; Department of Conservation *Te Kōiara o Te Kōiara: A discussion document on proposals for a biodiversity strategy for Aotearoa New Zealand* (2019).
- 31 See generally A Gillespie “Precautionary New Zealand” (2011) 24 NZULR 364 at 365; G Severinsen “Letting our standards slip? Precaution and the standard of proof under the Resource Management Act 1991” (2014) 18 NZJEL 173; C Iorns Magallanes and G Severinsen “Diving in the deep end: Precaution and seabed mining in New Zealand’s exclusive economic zone” (2015) 13 NZJIL 201; *Shirley Primary School v Christchurch City Council* [1999] NZRMA 66 (EnvC) at [136]; *Contact Energy v Manawatu-Wanganui Regional Council* [2010] NZEnvC 406, [2011] NZRMA 155 at [71]; Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, s 34(2); Fisheries Act 1996, s 10(c); Hazardous Substances and New Organisms Act 1996, s 7.
- 32 See generally B Barton “Underlying concepts and theoretical issues in public participation in resources development” in D Zillman, A Lucas and G Pring (eds) *Human rights in natural resources development* (Oxford University Press, 2002); G Palmer “The Resource Management Act – how we got it and what changes are being made to it” (2014) RM Theory & Practice 22; D Sheppard “The Resource Management Act – from principles to practice” in T Daya-Winterbottom (ed) *Frontiers of resource management law* (Thomson Reuters, 2012) at 226; *Ko Aotearoa Tenei* (Wai 262 Waitangi Tribunal Report, 2011).

- 33 See generally E Hudspith "Freshwater management in New Zealand" (2013) 16 NZJEL 277 at 284; Resource Management Act 1991, s 32(2)(b); M Christensen "Valuation of natural assets under the Resource Management Act" (2013) 17 NZJEL 291 at 294; JR Jackson "The role of economics in the RMA" (1999) 3 NZJEL 19 at 32.
- 34 In particular, see pages 94-100 concerning the imposition and defence of biophysical bottom lines.
- 35 There are many other forms of public intervention (eg education, subsidies, economic penalties, formal collaborative processes, behavioural incentives and so forth).
- 36 A formal system of public intervention can, of course, influence connected social and moral systems (eg through public education campaigns), so that remains within scope. The point, however, is that we are not concerned with reforms to informal systems themselves, only with reforms to public interventions that can influence them.
- 37 For example, people are unlikely to degrade their own property (eg land) to the extent that it loses value in their own lifetimes, and many feel a moral or spiritual connection to the world around them and act accordingly.
- 38 For example, people wanting to grow food on road margins.
- 39 See New Zealand Productivity Commission *Better urban planning* (2017) at 39 and 47; (4 July 1991) 516 NZPD 3019-3020. On externalities, see G Hardin "The tragedy of the commons" (1968) 162 Science 1243; T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 40 New Zealand Productivity Commission *Better urban planning* (2017).
- 41 On statutes that span different "systems", see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 132 (Figure 8.13).
- 42 See New Zealand Productivity Commission *Better urban planning* (2017) at 412.
- 43 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 83. These include risks of an overly short-term focus; undervaluing intangible or immeasurable effects, including nature; a lack of information until it is too late; giving up opportunities to improve people's and nature's wellbeing; and removing the impetus for changes in ethics.
- 44 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 88.
- 45 Ibid at 85.
- 46 Ibid at 88.
- 47 T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 154.
- 48 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 244, and endnote 33.
- 49 See generally *ibid* at 110. For perspectives on what that role entails, see R Beverley "The incorporation of the principles of the Treaty of Waitangi into the Resource Management Act 1991" (1997) 1 NZJEL 125; R Boast "The Treaty of Waitangi and environmental law" in R Harris (ed) *Handbook of environmental law* (Royal Forest and Bird Protection Society of New Zealand, 2004) at 513.
- 50 We went through these at some length in the Phase 1 report (at 100-114), and those general conclusions are applied when we cover particular statutory regimes in a future system, rather than being repeated here.
- 51 Many people have pointed out to us that the allocation of things like freshwater cannot be meaningfully separated from decision-making on limits to human use as a whole, and decisions on trade-offs above those limits. Interestingly, some roles are largely performed in separate statutes – for example, infrastructure (public goods) associated with land use change is funded through the Land Transport Management Act and Local Government Act rather than under the RMA, and the allocation of minerals, fisheries, and greenhouse gas emission rights is done through other legislation too.
- 52 Although in some cases it may make sense. For example, we floated one option in the Phase 1 report where the RMA would be split into separate acts focusing on (1) bottom lines and (2) making trade offs above them.
- 53 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 54 See *ibid* at 148.
- 55 See Crown Minerals Act 1991, s 1A, which promotes the mining of Crown-owned minerals.
- 56 As proposed in the concept of an urban development authority (see Chapter 10 of this working paper).
- 57 J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011) at 16.
- 58 We would suggest that a great many New Zealanders have strong emotional or spiritual connections to aspects of the natural world.
- 59 T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 60 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 255.

5. WHAT WE HAVE NOW: THE CURRENT SYSTEM

5.1 Introduction

The task before us is to describe a preferred model for the future. While many features of the *current* system have been described at various places in the project,¹ and problems identified with them, we have deliberately not used that as the starting point for analysis. This is because we did not want our options and analysis to be constrained by existing ways of thinking, or to focus on tinkering with existing frameworks or silos.

But to fully understand where we should be going, it is useful to refresh ourselves – at a framework level – about what we currently have. Visualising the “gap” between what is there now and what we want allows us to think about pragmatic concerns in a meaningful way. For example: how much effort would be required to make a change? Does it represent a sharp jolt, or a continued evolution? How much political and social appetite would there be for this extent of disruption? We cannot answer these questions without knowing how different a new system would be from what we have.

Furthermore, the reality is that we are not creating a system from scratch. Charting a rough pathway to reform – what happens when – therefore relies on having a reasonably clear picture of a starting point. We also need to have a sense of what is wrong with what we have (and, equally, what is *not* wrong) before recommending

change.² In other words, we need to be careful not to throw the baby out with the bathwater. There is much that we might want to keep.

It is important to have a sense of what the current system looks like so that (1) we understand the extent of change envisaged between old and new; (2) we have a clear starting point for a pathway to reform; and (3) we can identify deficiencies in the current system.

To make comparisons between the old and the new (and the points in between) easier, it makes sense to describe them in the same way. Therefore (unlike in the Phase 1 work) we will look at the existing system in terms of its statutory frameworks.³ A simplified version of this is presented visually (see Figure 5.8), and comparisons can be made to the diagram describing a future model (see Figure 12.1 in Chapter 12, reproduced in Figure 0.3 in the Executive Summary).⁴ If, however, the reader is more interested in jumping straight to a proposed model, he or she may wish to move on now to Chapter 6.

5.2 The current system

New Zealand’s current resource management system is complex and has a fascinating history,⁵ and we will not attempt to describe every detail of it. From a purely legislative design perspective, we have already discussed



the key statutes we have in the Phase 1 report (see Chapter 8 of that report). There, we concluded that while there are significant tensions and overlaps, and much room for rationalisation and reorganisation, the basic logic of what we have makes some sense.

At the heart of the system are broad, outcomes or effects-based statutes like the RMA and EEZ Act (as well as more targeted ones concerned with, for example, biosecurity and waste minimisation – which are not only more focused, they also use quite different tools). Outcomes-based statutes generally apply across the whole country and are based on general aims or effects rather than categories of human activities (eg sectors).⁶ Other types of statutes then fill gaps (or some deliberate carve-outs) in outcomes-based statutes. First is a layer dealing with domains not covered under more general legislation but which still apply across the board (eg climate change), then particular areas that require an additional layer or modified set of provisions (eg in national parks), and then sectors (eg mining, fisheries, forestry) and institutions (eg local government).⁷

Each layer of statutes – those based on outcomes, domains, locations, sectors and institutions – generally seeks to do a different kind of thing from others. More specific ones concerned with particular domains or locations tend to fill gaps in broader, outcomes-based ones (see Figures 5.1 and 5.2 below). For example, mining legislation is about the proactive allocation of the Crown's property, not the environmental effects of mining. Thus while the RMA applies to almost all kinds of activity having environmental impacts (including mining), mining has an additional management framework on top of that. Where there is an overlap in aims (they seek the same kinds of outcomes), legislative separation sometimes reflects the fact that frameworks use quite different kinds of tools (eg an emissions trading scheme, or product stewardship scheme, looks quite different to RMA plans and consents even though the RMA's broad purpose encompasses the outcomes they are pursuing). There are still, however, tricky boundary issues to navigate (eg a sectoral one between the RMA and Fisheries Act,⁸ or a spatial one between the RMA and EEZ Act).

Outcomes-based statutes	Domain-specific statutes	Location-specific statutes	Sector-specific statutes	Institution-specific statutes
Resource Management Act 1991	Climate Change Response Act 2002	National Parks Act 1980	Crown Minerals Act 1991	Local Government Act 2002
Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012	Ozone Layer Protection Act 1996	Reserves Act 1977	Forests Act 1949	Environment Act 1986
Civil Defence Emergency Management Act 2002	Marine Mammals Protection Act 1978	Marine Reserves Act 1971	Land Transport Management Act 2003	Heritage New Zealand Pouhere Taonga Act 2014 ⁹
Biosecurity Act 1993	Wildlife Act 1953	Continental Shelf Act 1964 ¹⁰	Wild Animal Control Act 1977	Environmental Protection Authority Act 2011
Hazardous Substances and New Organisms Act 1996	Native Plants Protection Act 1934	Numerous location specific statutes ¹¹	Fisheries Act 1996	Queen Elizabeth II National Trust Act 1977
Waste Minimisation Act 2008	Marine and Coastal Area (Takutai Moana) Act 2011	Numerous Treaty settlement statutes	Building Act 2004	Local Government (Auckland Council) Act 2009
Litter Act 1979		Conservation Act 1987	Housing Accords and Special Housing Areas Act 2013	
Environmental Reporting Act 2015		Crown Pastoral Lands Act 1998	Electricity Act 1992	
			Energy Efficiency and Conservation Act 2000	
			Gas Act 1992	

Figure 5.1: *Statutes in the current system*

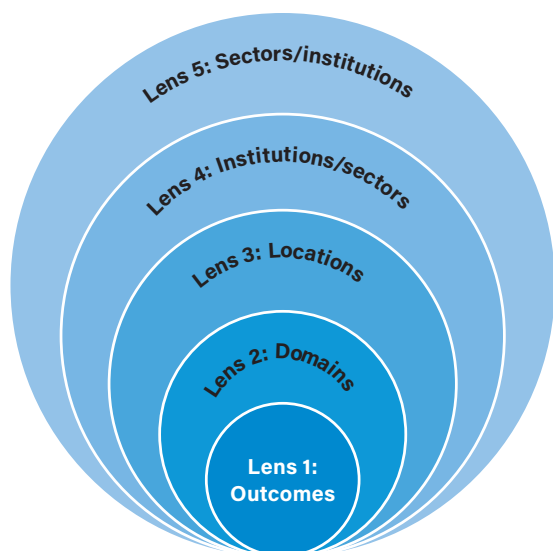


Figure 5.2 The sequence of legislative design lenses applied in the current system. The widest circle represents the boundaries of the system as a whole. Outcomes-based statutes like the RMA have “first dibs” on the content of the system. Subsequent layers of statutes generally only fill the gaps left by previous ones (represented by layers of crescent shapes) and do not encroach on their territory.

In the Phase 1 report we also mentioned a number of institutions we currently have, in terms of the characteristics they have (eg central or local, independent or accountable),¹² and the appropriateness of those characteristics for the roles they should play (eg to what extent independence is desirable in setting bottom lines).¹³ Furthermore, we outlined the key planning instruments used in the system (and permits), and the relationships between them, both within statutes and across statutes.¹⁴ For example, under the RMA a regional plan must give effect to a national policy statement (NPS), but there is a much weaker connection between an NPS under the RMA and the land transport programme under the Land Transport Management Act 2003.¹⁵ Relationships across statutory boundaries tend to be relatively weak, unclear and complex even where strong coordination is required (eg between the RMA and infrastructure-related legislation to manage urban growth).¹⁶

The purpose of this chapter, then, is to draw all that theme-based analysis together to provide a more holistic bird’s eye view of what we have now in terms of statutory frameworks. It provides a snapshot of the current system that can be compared to a snapshot of a future one.



5.3 The RMA

At the core of the current system is the RMA. It establishes the framework for the management of “natural and physical resources” in New Zealand to the outer limits of the territorial sea. It is a product of its time (the late 1980s and early 1990s), and reflects a desire for integrated management, effects-based rather than prescriptive decision-making, open and transparent government, Māori values, devolution, public input, and a degree of faith in the market as to how resources are used.¹⁷ The Act has a broad purpose of “sustainable management”.¹⁸ Despite a chequered history and ongoing debate about what this purpose means and does (culminating in the *King Salmon* decision),¹⁹ its intention has always been to ensure that firm environmental bottom lines are imposed. Many of these are expressed within the principles of the Act in section 6 (matters of national importance, which decision-makers must recognise and provide for) and section 7 (other matters, to which they must have particular regard). The Act applies to a wide variety of “domains”, including land, freshwater, the coastal and marine environment, soil, air, and impacts on the “environment” more broadly (which is defined to include the condition of communities as well as more tangible resources).

While the purpose of the Act is extremely broad on its face (and has been interpreted in an even broader way),²⁰ the things that it actually does in practice are largely limited by Part 3 of the Act. This, essentially, outlines what people are not allowed to do (eg dam, divert or take water; discharge contaminants; occupy the seabed etc) without express permission.²¹ People are free to use private land how they wish, unless its use is expressly restricted.²² In practice, most land uses are restricted in some way. But the RMA is not, for example, a place in which infrastructure is planned or funded, where the generation of waste is minimised, or where the construction of buildings is regulated. It can seek positive outcomes,²³ but the ways in which it can do so are limited.²⁴ Some have therefore described it as a reactive, or (adverse) effects-based, framework.²⁵ Yet it is also a framework by which land use decisions are made, and therefore the main statute by which urban planning occurs.²⁶ Its suitability for this kind of thing has been questioned in light of its purpose and principles.²⁷

The RMA operates in practice through the development of a hierarchy of subordinate instruments (see Figure 5.3 below). Central government can, if it wishes, promulgate national direction in the form of NPSs and national environmental standards (NESs). The New Zealand Coastal Policy Statement (NZCPS) is the only mandatory form of national direction, but a number of other NESs and NPSs have been created.²⁸ These must be given effect to in a cascade of lower level instruments: regional policy statements, regional plans and district plans. That is a strong direction.²⁹ Regional plans are developed by regional councils according to their functions (largely although not exclusively to do with the management of common pool resources like air, water and the coastal marine area).³⁰ District plans are developed by territorial authorities, and are primarily concerned with land use.³¹ Combined plans can also be created, which are effectively

a combination of regional policy statement, regional plans and district plans.

RMA plans contain objectives, policies and rules that expand on the purpose and principles of the Act, and determine what people are and are not allowed to do in relation to land, water, air, soil, and so forth. Plans can now be created and/or changed according to different processes (eg collaborative,³² streamlined, directly referred), but there is opportunity for public participation and, usually, appeal rights on the merits of a plan for submitters to the Environment Court for final determination. More bespoke, and quite different, planning processes have also been introduced for the creation of the Auckland Unitary Plan (following council amalgamations) and the Christchurch Replacement District Plan (to facilitate the post-earthquake rebuild).³³ National planning standards – designed to provide consistency between different council plans – are now another measure that central government can use.³⁴

Rules in district and regional plans, and NESs at a national level, can either prohibit or allow an activity. They can also require a person to obtain different categories of resource consent before undertaking an activity.³⁵ Consent applications are usually decided by councils. Most applications are not publicly notified,³⁶ and the RMA provides for restrictions on what can be considered for some kinds of things.³⁷ If an application is notified (or “limited” notified), submitters generally have appeal rights to the Environment Court, and there is the ability for some consents to be “called in” and referred directly to the Court (or to a specially appointed board of inquiry) for decision.³⁸ There are no appeal rights in relation to notification decisions, although judicial review is possible.

It is also worth noting that, while a resource consent under the RMA is primarily a formal recognition that an activity meets the purpose of the Act (essentially, that it does not have unacceptable impacts on the environment), in some cases it effectively doubles as an exclusive allocation of rights to one person over another in the nature of a license (eg to take freshwater, or to occupy coastal space). While the Act does allow for more structured approaches to allocating resources,³⁹ for the most part the first person to apply for permission gets the right to use what may be a scarce resource.⁴⁰ A degree of trading of consented rights (eg to take freshwater) is allowed, but is fairly heavily restricted.

The RMA also provides for other project or site-specific mechanisms: designations (where an approved requiring authority is able to make decisions on land use instead of the relevant council),⁴¹ heritage orders (a similar concept where decision-making power rests with an approved heritage protection authority, not the council),⁴² and water conservation orders (a more protective tool that can be imposed, upon application, to safeguard the values of a specific water body).⁴³ It also contains enforcement provisions, including abatement notices, enforcement orders, and prosecutions.⁴⁴

There is the ability under the RMA for councils to transfer powers to iwi authorities, or for joint management agreements to provide for the shared exercise of powers with Māori.⁴⁵ However, uptake has been patchy. Some

5.4 Local government and infrastructure legislation

Alongside the RMA are statutes with quite a different purpose. The Local Government Act and the Land Transport Management Act relate to the active provision (including funding) of public goods and services (including infrastructure like roads, footpaths, streetlights and water pipes), with the former also providing for the pursuit of overall community wellbeing and the exercise of local democracy.⁴⁸

Both acts provide for separate planning frameworks. Under the Local Government Act, councils are charged with producing long-term plans (describing the activities and community outcomes to be pursued over the coming 10 years, and including both a financial and infrastructure strategy) and annual plans (including budgets), which support the achievement of the long-term plan.⁴⁹ Local councils are also obliged to assess the need for, and provide, water services (with some exceptions),⁵⁰ and provide some other public services.⁵¹ (In this context, the government is conducting a wide-ranging review of the water sector, including the potential for institutional and funding reform.)⁵² Local government legislation also provides for the establishment of CCOs – arms-length entities owned by councils and tasked with pursuing particular goals or performing operational functions on a business footing.⁵³ Many of these have been established around the country. Some, such as Wellington Water, are owned by multiple councils.⁵⁴ There is a wide ability under the Local Government Act for councils to engage in strategic planning for many things (including spatial plans for urban growth).⁵⁵ However, these do not have immediate effect under other legislation that could put them into effect (eg the RMA).⁵⁶

Land transport infrastructure (eg roads) is jointly funded and planned between central and local government. State highways are planned and maintained nationally.⁵⁷ But while local contributions ultimately come through the long-term and annual planning processes, the Land

Transport Management Act provides for an additional layer of processes by which central government transport planning intersects with local planning. National contributions come from a national Land Transport Fund, which has multiple sources of revenue.⁵⁸ A key point of the framework is for these central government funds to be distributed to local roading projects according to both national and local priorities.

In short, national and regional land transport programmes under the Act are informed by an overarching government policy statement (GPS) on land transport. The Minister of Transport issues the GPS, which must contain a three-year land transport investment strategy and must take into account national direction under the RMA.⁵⁹ The New Zealand Transport Agency (NZTA) develops a land transport programme, which sets out what is expected to be funded by the national Land Transport Fund. This must give effect to the GPS, but also take into account regional land transport plans (as well as instruments under the RMA). In this way, transport planning is both top down and bottom up, meeting in the middle (in a national land transport programme).

Regional councils are required to establish regional transport committees (with regional, local and central government membership),⁶⁰ which are tasked with developing regional land transport plans.⁶¹ These plans contain a list of projects for which national land transport funding is sought, over a six year period, and must be consistent with the GPS.⁶² They must also take into account all possible sources of funding (including through Local Government Act processes)⁶³ as well as RMA instruments. A simplified version of the way in which the Local Government Act and Land Transport Management Act operate (including in relation to the RMA) is shown in Figure 5.4, and we also refer readers to the more detailed Figures 14.1 and 14.2 in the Phase 1 report. Of note is the strong connections that exist between instruments made within a single statute, but much weaker connections between instruments made under different statutes.



Quay Street, Auckland

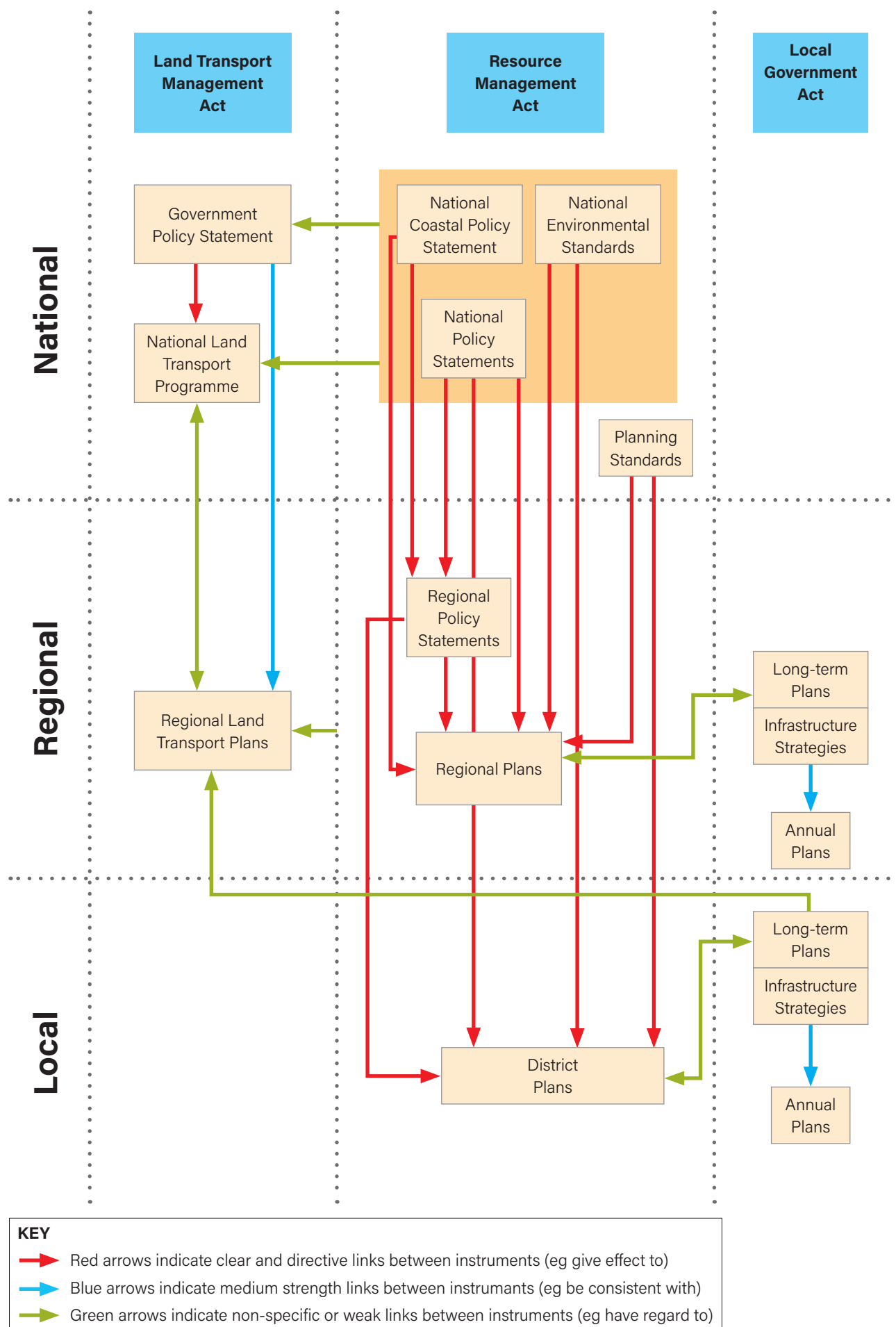


Figure 5.4: Planning instruments under the RMA, Local Government Act and Land Transport Management Act

Public authorities have a variety of other proactive duties to provide public goods and services. For example, regional councils have positive obligations for flood and erosion control measures under separate legislation, not just functions under the RMA to regulate for these things.⁶⁴ On a broader view, legislation has recently been enacted to create an arm's-length Infrastructure Commission, which (among other things) is to work with multiple layers of government and the private sector to develop a 30-year infrastructure strategy. As explored in Chapter 10, an urban development authority (Kāinga Ora – Homes and Communities) has also now been established. This is a Crown entity that is proposed to have significant infrastructure planning and funding powers (among other powers, including under the RMA) in designated project areas.⁶⁵

It is also worth noting here that bespoke local government legislation has been enacted for Auckland. That includes provisions relating to the RMA (a bespoke process for producing a unitary plan for the region), the provision of infrastructure (in the institutional form of Watercare and Auckland Transport), and the mandatory development of a higher level spatial plan for Auckland intended to inform multiple other statutory frameworks.⁶⁶

5.5 Building Act 2004

The Building Act (and Building Code) regulates how buildings themselves are constructed, rather than their impacts on the surrounding environment. It is designed, primarily, to ensure people can use buildings safely and without endangering their health, but has no real spatial element (which things should go where). It recognises that buildings should have attributes contributing to the wellbeing of people, but also that "buildings are designed, constructed, and able to be used in ways that promote sustainable development".⁶⁷ The Act requires building consents to be obtained, meaning that often the development of land requires authorisation under both the RMA (eg land use consent, designation, subdivision consent) and the Building Act.

We noted in the Phase 1 report that there is a degree of conceptual overlap between the Building Act and the RMA, in that both are concerned with the potential impacts of activities on people's health and safety, with the latter restricting the use of land (including for buildings) partly for this purpose.⁶⁸ Although the Building Act covers a lot of matters that are not about resource management per se, we have previously highlighted the need to align its objectives and ensure it contributes to the outcomes the system is pursuing.

5.6 Heritage legislation

Historic heritage is partly protected under the RMA. Section 6(f) of the Act requires all decision-makers to recognise and provide for the protection historic heritage from inappropriate subdivision, use and development as a matter of national importance. Historic heritage

can be more specifically addressed through a heritage order, which, like a designation, ensures that protected features or places are identified in the relevant district plan.⁶⁹ But even in the absence of heritage orders, territorial authorities play a significant role here. District plans identify heritage issues, prescribe objectives and policies, outline information requirements and standards for assessing relevant consent applications, and contain a heritage schedule.⁷⁰

Alongside the RMA is a statute dedicated solely to heritage: the Heritage New Zealand Pouhere Taonga Act 2014. Its purpose is to promote the identification, protection, preservation, and conservation of New Zealand's historical and cultural heritage. Heritage New Zealand (an autonomous Crown entity) is tasked with maintaining the New Zealand Heritage List/Rārangi Kōrero (previously the Historic Places Register), and is informed by the Māori Heritage Council. The purposes of the List are to inform the public about historic heritage, to notify the owners of historic heritage, and to be a source of information for the purpose of more formal protections through the RMA. The List identifies historic places, historic areas, wāhi tūpuna, wāhi tapu and wāhi tapu areas. Historic places are divided into Category 1 (places of special or outstanding historical or cultural heritage significance or value) and Category 2 (places of historical or cultural heritage significance or value). However, the List does not have direct regulatory consequences – protections need to be progressed through tools like district plans or heritage orders under the RMA. District councils must have regard to relevant entries on the List when preparing or changing district plans.

That said, Heritage New Zealand also has statutory responsibility for the identification and protection of archaeological sites. It is charged with issuing archaeological authorities where activities may modify or destroy part or all of an archaeological site. In contrast to the Heritage List, this is a tool that has regulatory effect.⁷¹

5.7 Climate change

Climate change mitigation and adaptation are becoming increasingly central issues within the context of resource management. To date, climate change has primarily been addressed through the Climate Change Response Act 2002, which has established an emissions trading scheme designed to allow greenhouse gas emissions to be traded and offset, and to meet New Zealand's international obligations.⁷² There have been criticisms of the scheme, including its effective lack of a "cap" on emissions and the exclusion of some sectors (notably agriculture).⁷³ It has been subject to several reviews.⁷⁴

In contrast, the RMA does not address climate change mitigation in a meaningful way (except to promote renewable energy generation in a very general sense). In fact, councils are expressly prohibited from considering the impacts of greenhouse gas discharges, and central government has not chosen to exercise its powers to fill that gap.⁷⁵ The RMA itself goes further in the context of

climate change adaptation,⁷⁶ although it still lacks national direction on the subject.⁷⁷ Alongside climate change legislation, New Zealand's commitments under the Montreal Protocol on substances that deplete the ozone layer are contained in the Ozone Layer Protection Act 1996 and regulations. That Act establishes broad controls for ozone-depleting substances.

As discussed further in Chapter 9, the “Zero Carbon Bill” is currently progressing through the parliamentary process.⁷⁸ This would amend the Climate Change Response Act, and strengthen it considerably beyond being a framework for emissions trading. It would be endowed with a stronger purpose, a legislated set of targets, a carbon budgeting framework, and roles for an independent Climate Change Commission. There would be national level plans for emissions reductions and adaptation.

5.8 Marine legislation and mining

The RMA encompasses the management of most natural and physical resources within New Zealand's coastal marine area. Regional councils are largely responsible for this, alongside roles for the Minister of Conservation.⁷⁹ But fisheries are managed separately to the RMA, partly for historical reasons and partly in recognition that allocative issues, and proactive stock management of fish as a renewable resource, require more targeted attention than under a laissez-faire environmental effects regime.⁸⁰ The Fisheries Act – a sectoral framework – therefore governs fisheries management throughout New Zealand's territorial sea and EEZ. There are property rights – quota – by which rights to take fish are recognised.⁸¹ Alongside the Fisheries Act is the Māori Fisheries Act 2004, which puts into effect a settlement with the Crown concerning Māori fisheries rights.

More generally, the Fisheries Act encourages utilisation (quite different from the RMA's effects-based ethos), while ensuring sustainability.⁸² The Minister of Fisheries is responsible for taking sustainability measures and for approving fisheries plans under the Act. Sustainability measures can include setting a total allowable catch, and implementing measures to manage the impacts of fishing activities on fish stocks and the broader marine environment. Fisheries plans are not mandatory. Regional councils under the RMA are not allowed to regulate coastal wild fisheries takes or quota, although they retain a role in managing aquaculture (more directly relevant to the use of coastal space).⁸³ There is a tricky interface between what can be done under the RMA and what can be done under fisheries legislation to protect the natural environment.⁸⁴

Also relevant to the environmental management of the coast and oceans are aspects of the Biosecurity Act 1993, the Maritime Transport Act 1994, various conservation statutes (explored further below), and the Marine and Coastal Area (Takutai Moana) Act 2011. The latter act restored a right for Māori to claim customary rights and title over parts of the common marine and coastal area.⁸⁵ As to be expected, there is a complex relationship with the RMA and plans made under it, including provision for additional permission rights to be granted by rights holders and for customary activities to occur.⁸⁶ Regional councils must consider whether RMA plans need to be changed to recognise and provide for plans concerning customary rights. But subject to existing private rights and the establishment of Māori interests, the Act makes clear that no one can own the foreshore and seabed.⁸⁷ The Act also safeguards access rights for all New Zealanders as well as fishing and navigation rights.⁸⁸

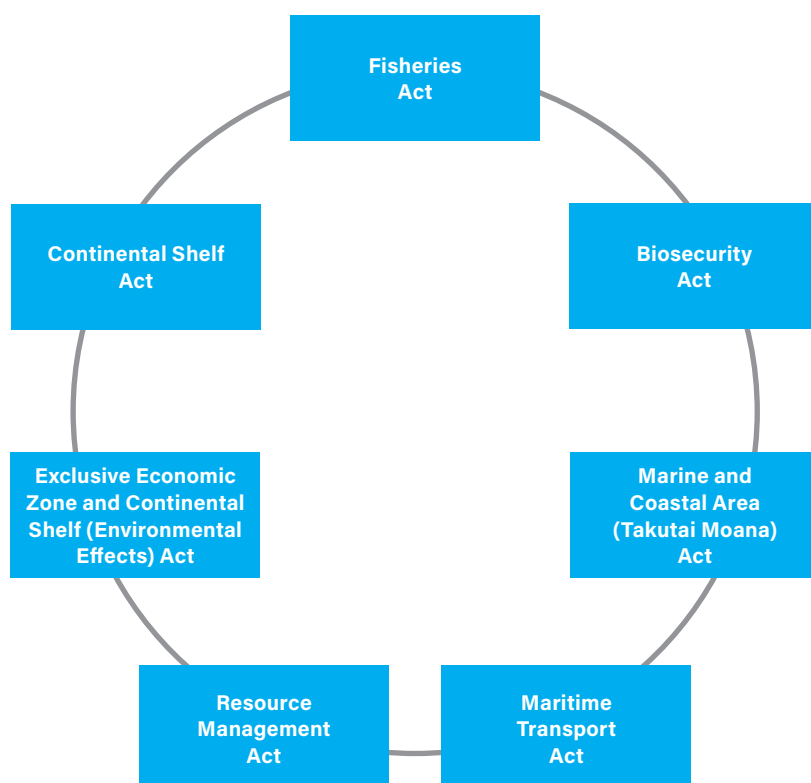


Figure 5.5: Key legislation having a bearing on marine management in the current system

The RMA is also complemented by a similar, but much simpler, framework for managing natural resources in the EEZ and continental shelf.⁸⁹ Decision-making here is much more centralised, with roles performed by central government and the EPA through regulations, national policy, and the issuing of permits.⁹⁰ The Act has a generally comparable purpose to the RMA based on sustainability, but a number of novel features (including a much more directive purpose relating to marine pollution, and a firm precautionary principle).⁹¹ This framework has proved controversial, especially in the wake of high profile applications for seabed mining being declined.⁹²

The Continental Shelf Act 1964, which previously formed the much less robust framework under which some of the EEZ Act's decisions are now made,⁹³ remains in existence. However, it is now primarily a vehicle for making decisions about mining, and piggybacks on and extensively cross-references the more evolved framework of the Crown Minerals Act 1991. That Act is about encouraging the exploitation of Crown-owned minerals for the benefit of New Zealanders,⁹⁴ and is primarily about the Crown allocating rights (often through competitive processes like block offers) to explore for and mine its property (as well as access arrangements so miners can get to them).⁹⁵ That includes oil and gas.

The minerals regime is highly discretionary (and involves the development of minerals programmes and the issuing of permits largely in isolation of other regimes like the RMA),⁹⁶ and the current government has signalled that it will not be allowing new offshore oil and gas exploration (largely for climate change reasons).⁹⁷ Authorisation to explore for or mine minerals does not, however, remove the need to obtain other permissions, for example under the RMA, EEZ Act, or conservation legislation. It is primarily an allocative and access framework, not an environmental one. To complement that separation, the RMA is explicit that sustainable management does not include the depletion of mineral resources.

5.9 Conservation legislation

The approach to conservation issues has been fairly fragmented within the current resource management system, with a number of protective statutes addressing different conservation concerns.⁹⁸ Some are species-centric, as in the case of the Wildlife Act 1953 or Marine Mammals Protection Act 1978, whilst others are location-specific. Among those that are location-specific, the protective scope and rationale varies, from highly protective national parks to a wide variety of reserve categories.⁹⁹ The RMA applies across the whole country, but conservation legislation provides an additional layer of restrictions and obligations in relation to particular areas or species.

The Conservation Act 1987 forms something of an overarching framework for conservation, and extensive cross-references are made to it in more targeted statutes. It empowers the Department of Conservation to protect natural and historic resources, and provides for the

establishment and categorisation of various areas.¹⁰⁰

These are managed through hierarchies of general policy instruments, management strategies, and conservation plans. There are many categories of protected areas that have different, albeit overlapping, purposes. For example, conservation parks are about protecting natural and historic resources and providing for recreation, while amenity areas are about protecting indigenous natural and historic resources and fostering their recreational attributes. Other categories include wilderness areas, ecological areas, sanctuary areas, watercourse areas, and wildlife management areas.

Alongside the Conservation Act itself are more targeted frameworks. There is the National Parks Act 1980, which aims to preserve in perpetuity designated national parks, which "contain scenery of such distinctive quality, ecological systems, or natural features so beautiful, unique, or scientifically important that their preservation is in the national interest".¹⁰¹ Status as a national park requires legislative change to remove.

There is also the Reserves Act 1977, which provides a different kind of area-based protection for many different reasons (eg recreational use, wildlife, landscape amenity or scenic value; the preservation of representative natural ecosystems or landscapes and the survival of indigenous species; and the preservation of public access to the coastline, islands, lakeshore and riverbanks).¹⁰² Reserves can be administered by many different bodies, depending on who is appointed or in whom the reserve land is vested (including the Department of Conservation, councils, or trustees). There are many different kinds: national, recreation, historic, scenic, nature, scientific, government purpose, and local purpose.¹⁰³ Reserves can be specified as wilderness areas under the Conservation Act, which has further implications for their management. Crown land can be set apart as a reserve for any public interest reason under the Land Act 1948.¹⁰⁴ It is all very complicated.

Then there is the Wildlife Act, under which most wildlife species are absolutely protected and some partially protected. No one is allowed to kill or capture any bird or animal that is absolutely protected unless a permit is obtained.¹⁰⁵ Various types of areas can be recognised under the Act: wildlife refuges, sanctuaries (which may prohibit entry of the public), management reserves and districts.¹⁰⁶ The Act provides for management plans to be developed. Alongside these protections for fauna is an act focused on flora: the Native Plants Protection Act 1934.¹⁰⁷ Public access for recreation and enjoyment, one important (albeit not pre-eminent) consideration in conservation efforts, is facilitated through the Walking Access Act 2008. This seeks to open up access to the outdoors, including on private land.¹⁰⁸

Some frameworks are focused more specifically on *marine* conservation. Notable are the Marine Reserves Act 1971 and the Marine Mammals Protection Act. Some conservation statutes span both terrestrial and marine environments (eg the Wildlife Act). To add further complexity to the conservation regime, we have a range of bespoke statutes that set up distinct management

Conservation Act	National Parks Act	Reserves Act	Marine Reserves Act
Wildlife Act	Marine Mammals Protection Act	Native Plants Protection Act	Walking Access Act
Geographically-specific legislation	Treaty settlement legislation (aspects)	Queen Elizabeth II National Trust Act	Crown Pastoral Land Act (aspects)

Figure 5.6: Legislation relating to conservation in the current system

and institutional frameworks for particular areas (eg for the Waitakere Ranges, Fiordland’s marine area, and the Hauraki Gulf).¹⁰⁹ Some acts, like the Queen Elizabeth II National Trust Act 1977 (which provides for, among other things, the imposition of open space covenants on properties and an advocacy role for the Trust), are not limited to a particular place but instead targeted at the roles of a particular institution or a specific kind of tool.¹¹⁰ Others, like the Crown Pastoral Lands Act 1988, have important conservation elements, but are focused mainly on particular kinds of Crown land and tenure types that also require management for other reasons (eg as a working and productive landscape).¹¹¹ The process for tenure review (by which different parts of leasehold land

are reduced to full public and private ownership) has proved controversial and is being phased out.¹¹²

Various Treaty settlement statutes complete the picture, some of which can be described as being focused on conservation (eg the Te Urewera Act 2014, which provides legal personhood and a bespoke co-management framework for a place that used to be a national park).¹¹³ Similarly, legislation for Te Awa Tupua/Whanganui River and Waikato River can be said to contain important conservation components.¹¹⁴ Overall, the regime has become complex and fragmented. Generally speaking, links between conservation legislation and the RMA are not strong, and there are effectively two layers of plans that apply on conservation land. In practice, RMA plans tend to reflect that reality, by zoning areas for “conservation”.



Kaikōura

5.10 Biosecurity

The Biosecurity Act 1993 is about dealing with unwanted organisms, for both economic and environmental reasons. It is a framework for border controls aimed at preventing unwanted organisms from entering the country, for establishing surveillance to detect organisms once they have arrived, and for the control and eradication of pests once they have become established.¹¹⁵ It applies out to the limits of the EEZ and therefore spans terrestrial and marine environments.

Functions under the Biosecurity Act are split between the Ministry for Primary Industries, other government departments, and regional councils. The Ministry for Primary Industries oversees the implementation of the legislation, undertakes border control, manages national surveillance programmes, carries out responses to incursions and manages national control programmes. Regional councils monitor established pests and prepare regional pest management plans¹¹⁶ and pathway management plans.¹¹⁷ These cannot be inconsistent with regional policy statements and regional plans made under the RMA. Regional councils are also required, under a National Pest Management Plan of Action, to provide leadership by promoting coordination of pest management between regions. A National Policy Direction for Pest Management¹¹⁸ was developed in 2015 to improve the alignment and consistency of pest management plans and programmes across the country.

Significantly, the Act also provides the ability to compel private persons to act to address pests on their property,¹¹⁹ which is quite a different stance to a reactive framework like the RMA. Thus while biosecurity is also very much about sustainably managing our natural and physical resources,¹²⁰ the regime is one that overall is much *firmer* about particular types of bottom lines (eg pest incursions). This may be partly explained by the significant implications that pests have for the economy and the livelihoods of primary producers. There are fewer questions of values or trade-offs to be considered than under a framework like the RMA (for example, we do not angst over whether we should eradicate possums or try to stop kauri dieback, as we do not receive any real benefit from allowing those things to happen).

5.11 Hazardous substances and new organisms

New Zealand has a more targeted framework for the management of hazardous substances and genetically modified organisms, under the Hazardous Substances and New Organisms Act 1996. While there is some tension and overlap between what the RMA and this Act are concerned with, the latter controls some things that the RMA does not (eg the import, manufacture and use of manufactured chemicals that have hazardous properties – not just their release to a receiving environment).¹²¹ Import or manufacture requires approval, which outlines controls relating to storage, identification, emergency management and disposal. The Act is also the place

in which the control, testing and release of genetically modified organisms is regulated.¹²² There is ongoing debate about whether this framework is too restrictive, in light of the potential benefits and risks for the economy and environment.¹²³

5.12 Waste management

Waste management (in the sense of the disposal of unwanted material)¹²⁴ is the concern of a number of statutes and institutions in the current system. The RMA, for example, deals with pollution by prohibiting discharges of contaminants (including solid or liquid waste into land) unless expressly allowed.¹²⁵ Aspects of this “pollution” control are overseen by regional councils (for example, in relation to risks to waterways).¹²⁶

However, we also have a more targeted framework for waste *minimisation*. The Waste Minimisation Act 2008 seeks to protect the environment from harm and to provide environmental, social, economic and cultural benefits. It is a more proactive regime than the RMA, in that it tries to prevent waste issues from arising in the first place, rather than dealing with the effects of things that can become waste when discarded. To do that, it allows for harmful “priority products” to be declared, and mandatory product stewardship schemes to be created (cradle to the grave management of the product).¹²⁷ Businesses can also be accredited in relation to voluntary schemes.¹²⁸

Some products can be banned altogether (we have recently seen a ban on single-use plastic bags).¹²⁹ The framework also allows for the development of incentives for waste reduction. For example, the government has recently signaled the introduction of measures like a deposit refund scheme.¹³⁰ Funding is another component of the framework; a waste disposal levy is imposed on disposal facilities (and is set to expand).¹³¹ Half of this is received by territorial authorities and the other half made available to projects aiming to reduce waste through the Waste Minimisation Fund. The Act also creates a Waste Advisory Board to advise the Minister.¹³² The Waste Minimisation Act specifically outlines its relationship with the Local Government Act, given that waste management needs to be planned for under the latter’s long-term and annual plans.

Alongside this broad statute is the narrower Litter Act 1979, which deals with one particular problem of waste disposal: littering. Among other things, it provides for enforcement officers and litter wardens who may issue fines and abatement notices for littering offences, allows councils to require the removal of litter, and provides for the making of bylaws.¹³³

5.13 Other sectoral frameworks

We have mentioned the Crown Minerals Act, Land Transport Management Act and Fisheries Act above, but there are other sector-focused frameworks in the current system. For example, there is the Forests Act 1949,

which is concerned with imposing restrictions on felling, processing and exporting indigenous timber,¹³⁴ and with aspects of climate change.¹³⁵ While they stray beyond the resource management system, aspects of the Electricity Act 1992 and Gas Act 1992 are also relevant to the provision of particular types of publicly important goods that are largely privatised.

5.14 Cross-cutting frameworks

Most of the statutory frameworks described above could be described as “implementation” statutes – they target particular outcomes, domains or sectors and impose restrictions and obligations on government and people. However, we also have a large number of statutes that are concerned with establishing more cross-cutting or framework-type features – eg creating institutions with multiple roles, producing cross-cutting strategies, and outlining general processes that feed into other statutes. We have mentioned Treaty settlement legislation in the context of protected areas (eg the Te Urewera Act), but such statutes can also alter how more general acts like the RMA apply.¹³⁶ A good example is settlement legislation relating to the Waikato River, on which we shone a spotlight in the Phase 1 report.¹³⁷

We also have a dedicated Environmental Reporting Act 2015, which requires the government (the Ministry for the Environment and StatsNZ) to issue information on the state of environment at a national level, including a rolling cycle of reporting on particular domains (eg the atmosphere and climate, air, freshwater, land, and marine).¹³⁸ The Environmental Protection Authority Act 2011 establishes the EPA as a Crown entity (with a fairly loose mandate), although it is given particular roles mainly under other acts (eg the RMA, EEZ Act, Climate Change Response Act and hazardous substances legislation).¹³⁹ Some cross-cutting institutions (like the Environment Court, Department of Conservation, and Conservation Authority) are established/continued under legislation where they have their primary or initial role (eg the RMA and Conservation Act),¹⁴⁰ not in bespoke legislation. However, both the Parliamentary Commissioner for the Environment and the Ministry for the Environment are established under a statute (the Environment Act 1986) where that act of creation (and associated mandate) is the

Act’s primary purpose.¹⁴¹ It is fairly unusual for a ministry to be established formally in legislation.

The Parliamentary Commissioner is a particularly significant framework feature of the system. This officer of Parliament has a wide but firmly protective mandate, and is charged with conducting investigations and reviews on environmental issues.¹⁴² The Commissioner is strongly independent, and reports directly to Parliament. There is also a targeted statute for energy efficiency and conservation.¹⁴³ This establishes an arm’s-length Energy Efficiency and Conservation Authority, and provides for strategies to be created which must be had regard to when making plans under other statutory frameworks (including the RMA and Land Transport Management Act).¹⁴⁴

Finally, the system is comprised by a number of non-statutory measures, including the management of various government funds (eg the Housing Infrastructure Fund, Freshwater Improvement Fund)¹⁴⁵ and initiatives (eg the One Billion Trees programme; a “wellbeing framework” for the government budgeting process; and cooperative arrangements with local government, Māori and others – like the Auckland Transport Alignment Project, Auckland to Hamilton spatial planning exercise, and Sea Change Tai Timu Tai Pari initiative).¹⁴⁶

In Figure 5.7 below, we provide a highly summarised representation of the core of the current system, although it does not (and cannot) cover all the frameworks described. If we had to sum this up in one word, it would be “complex”. In fact, there is a huge number of other, more detailed aspects of the system that could be added to the above description. To do that would take hundreds, if not thousands, of pages. This overall complexity is an important thing to keep in mind for future changes, in that no system-wide reform exercise could possibly result in something that is “simple”. Instead, we can strive to make the system no more complex than it needs to be to achieve the outcomes we want.

A feature of the current system is its considerable complexity. We have many separate statutes, planning process and institutions. While there may be scope for rationalisation and simplification, the system will to some extent always be complex, because it manages complex issues.



Rakino Island

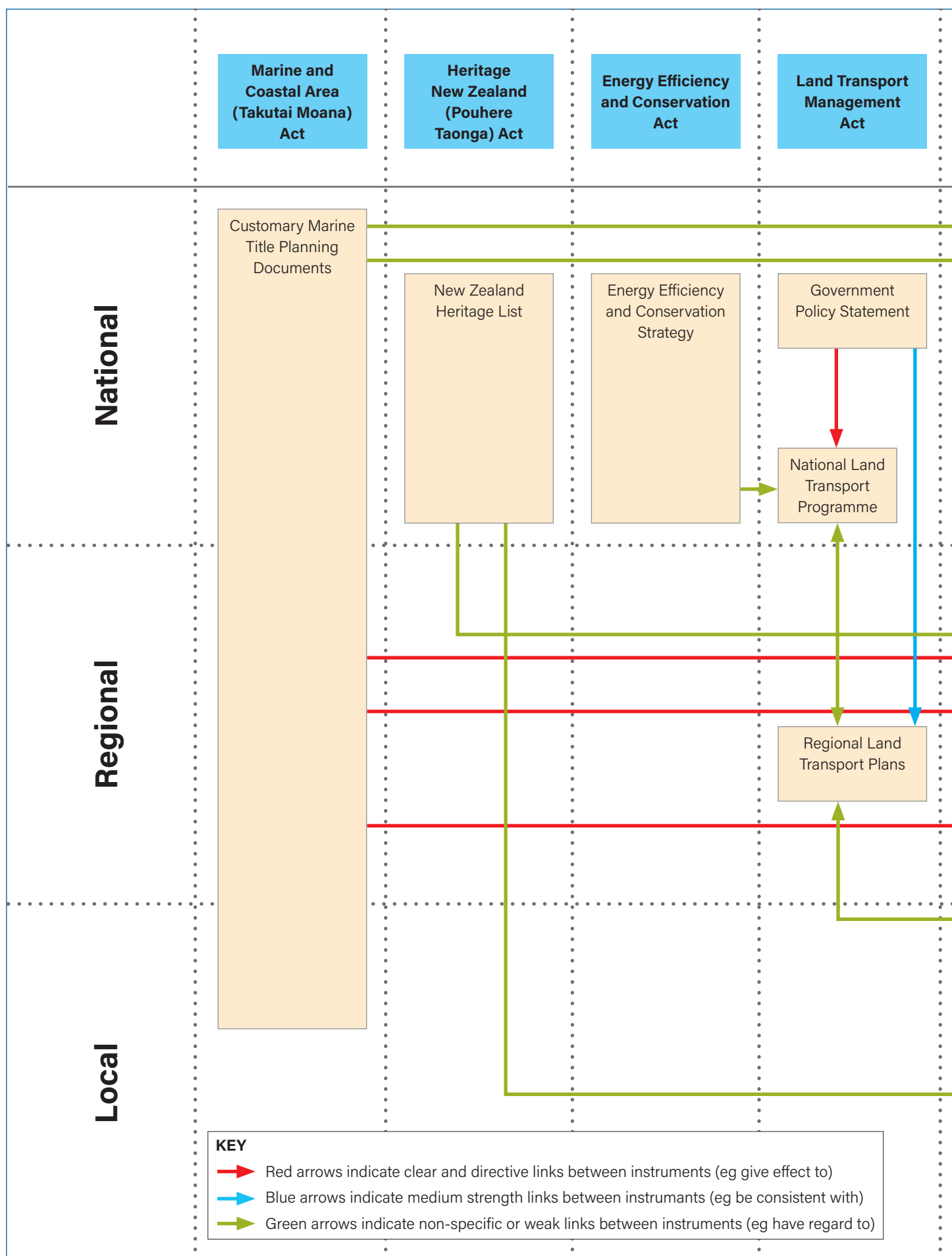
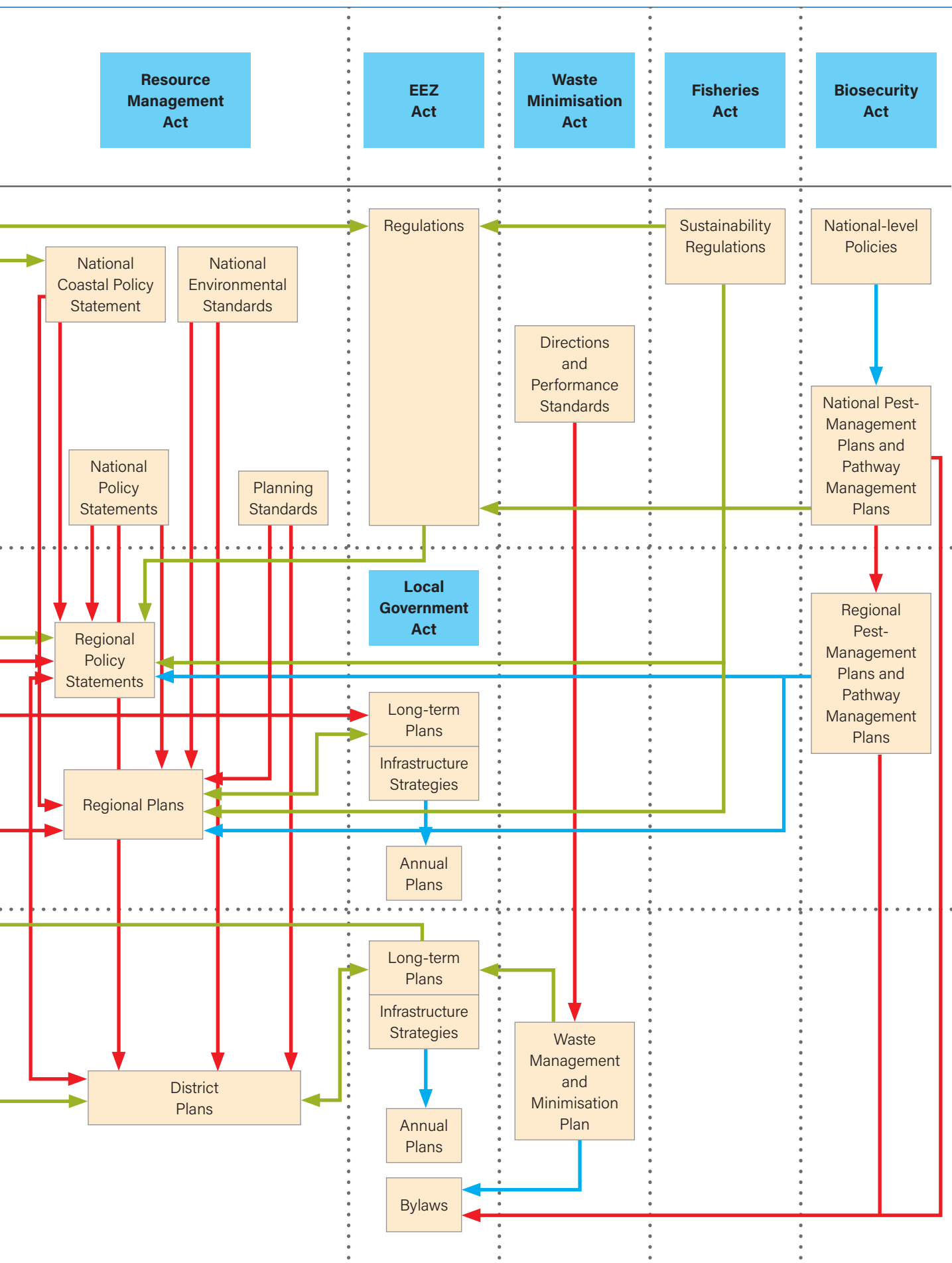


Figure 5.7: A simplified representation of the current system, based on key statutory frameworks



5.15 Problems with the current system

Having described the features of the current system, it is worth briefly thinking about what is wrong with it. Fixing problems is not the entire basis for a reformed system. It is equally about what as a nation we want the system to look like, the need to have laws that are fit for purpose for a future that will look very different,¹⁴⁷ and the desire to have a system that is sensitive to a uniquely New Zealand cultural and historical context.¹⁴⁸ Central to that is the contested relationship between Māori and the Crown, which forms an important backdrop to reform.¹⁴⁹ Yet problems – poor outcomes that are manifesting now – also need to be addressed.

We outlined a number of problems and challenges in the Phase 1 report.¹⁵⁰ We will not repeat those in full here. Suffice it to say that, despite some areas of improvement,¹⁵¹ overall a concerning number of environmental indicators are poor and continuing to decline (notably in relation to biodiversity, freshwater, soil, coastal and marine, and climate change).¹⁵² More recent results of national environmental reporting over the last year have told a similar story.¹⁵³ Problems exist with monitoring, compliance and enforcement.¹⁵⁴ Urban-specific challenges are becoming increasingly prominent (eg housing affordability, homelessness, urban congestion, resistance to densification, climate risks, and the need for major infrastructure upgrades for things like water supply and treatment).¹⁵⁵ The increasing scarcity of natural resources in parts of the country, including freshwater, has put pressure not just on environmental limits but also raised questions of fairness over resource allocation.¹⁵⁶

Across all of this, the system has become increasingly complex and fragmented, and inaccessible to users. That will be obvious from the description provided earlier in this chapter, but is equally true of specific statutes within it (like the RMA). Former Chief Justice Sian Elias put it well when she said that the RMA is “meant to engage communities, not alienate them” and bemoaned the “impenetrability” of the Act.¹⁵⁷ Multiple carve-outs exist,¹⁵⁸ some frameworks pull in different directions,¹⁵⁹ and there has been a proliferation of alternative processes.¹⁶⁰ Māori voices are saying that they feel excluded or marginalised from decision-making processes and that the system does not reflect Treaty principles.¹⁶¹ When considered against criteria, in our view all of these are significant deficiencies in the current system that need to be addressed.

We also identified in previous work that problems can be of a very different character. “Systemic” challenges, for example, exist because the system was not really designed to do some things it should have been required to do (eg resolve allocative questions, coordinate tools needed to support urban growth, or provide for environmental enhancement under the RMA).¹⁶² Part of these deficiencies may be down to the market-led ethos of the era in which much of the system was put in place.¹⁶³ “Coherence” challenges are different: they exist because of ad hoc changes that have, over time, resulted in an

excessively complicated and fragmented system (eg carve-outs for special housing areas and a proliferation of distinct planning processes under the RMA).¹⁶⁴

Some challenges are not problems per se, but reflect inherent tensions that will never be resolved or “fixed” to the satisfaction of all parties (eg the tension between participation, efficiency and timeliness of decision-making).¹⁶⁵ These can *become* problems, however, if the balance is skewed too far in one direction. In our view, for example, there is a need for more timely decision-making in RMA planning even if it means limiting opportunities for public involvement in some ways. But perhaps the most significant problem is that the system has failed to achieve what it was always clearly meant to: notably in its establishment and defence of many environmental bottom lines and associated limits on human activities. Some of these are nearing crisis point.¹⁶⁶

The current system has a great many problems and challenges. Some are gaps to be filled, some are tensions to be recalibrated, and others are broken promises to be fixed. There is also a great deal of complexity in the system.

It is worth pausing, before moving on to describe a future system, to consider the *nature* of resource management problems as a whole. We have broadly defined a resource management “system” in this work,¹⁶⁷ but it is not easy to define an associated set of peculiarly resource management “problems”. Problems often defy such neat categorisation because their causes (and their solutions) can come from multiple places. This is important, because it shapes our expectations of exactly what things reforms will be expected to “fix”.

It is often more appropriate to talk not about resource management problems, but rather the extent to which the resource management *system* – a particular collection of public interventions – can address more general problems. These problems can arise from, and can cut across, many other systems.¹⁶⁸ For example, the problem of obesity is not a “resource management” problem; it is a general problem that may find solutions or contributions in many places (eg facilitating active transport choices through urban design, but equally through other solutions like a sugar tax or a response through the public health system).

Affordable housing is another example of this challenge. Often the blame for housing unaffordability is laid at the door of restrictive planning provisions produced under the RMA (including urban limits and nimby – “not in my backyard” – restrictions on density). That is certainly part of the picture,¹⁶⁹ but is by no means the whole story (other factors have played their part in the problem, and must also play their part in the solution).¹⁷⁰ Furthermore, housing affordability problems partly arising from one tool (eg an urban boundary) can be addressed or mitigated through the use of another tool (eg mandatory provision of smaller dwellings as part of new residential developments).¹⁷¹

Overall, it might be more reasonable to expect the resource management system not to *solve* problems, but rather to *contribute as much as it can* (within its scope) to addressing them.¹⁷² This kind of wider thinking needs to temper our seemingly insatiable appetite for tinkering with statutory frameworks like the RMA in the future,¹⁷³ or only blaming regulatory restrictions for poor outcomes. For example, some have suggested joining immigration and spatial planning portfolios to make sure related things are joined up in decision-making.¹⁷⁴

Just as it is impossible to speak of distinctly “resource management” outcomes, it is sometimes hard to speak of a “resource management” problem as distinct from other problems. The system is often expected to contribute to solving problems of a much more general nature, which have multiple causes and can be addressed through multiple systems.

In some cases, however, the resource management system may be more obviously responsible for providing solutions to problems, either because the system itself has caused a problem or because the only real means of fixing a problem is through the direct management of natural and physical resources. In such cases it is more reasonable to talk about a specifically “resource management” or “environmental” problem (eg the decline in indigenous biodiversity, the poor quality of freshwater, or a failure to engage Māori in RMA processes).

These distinctions are important when it comes to measuring the success of a future system. For example, a system that does not make housing “affordable” – or even one that has a some negative impact on affordability (eg an urban limit or density restrictions) – is not necessarily problematic in itself.¹⁷⁵ Restrictions can exist for very good, long-term reasons not necessarily reflected in market forces (eg protecting productive soils for food security).¹⁷⁶ Solutions or contributions may instead be required from



elsewhere, and it is always worth thinking about other, overlapping, systems when looking at targeted policies (eg for housing). However, a resource management system that fails to protect a clean freshwater resource for drinking has categorically failed, because there are no other systems that can do so effectively. We therefore consider that it is useful to think about problems, and their solutions, as part of a typology.

A spotlight on types of “problem” in the system

1. Incidental problems

Problems can arise as an unacceptable by-product of the kind of thing the resource management system is meant to do.¹⁷⁷ In pursuing one outcome or solving one problem, the system can create a different kind of problem (eg restrictions on the development of land can inflate the price of housing).¹⁷⁸ This is only a problem to be “fixed” if the balance is skewed in a way that does not reflect criteria (eg density restrictions may be required for good reasons – eg natural hazards or heritage protection). Otherwise, it is a tension, with solutions to be found elsewhere.

2. Process problems

Problems can arise from how the system operates (eg inefficient, unfair, or excessively slow processes). Again, there are often trade-offs to be made here, and arguments about whether processes are “problems” or not (eg slow planning and consenting decisions). Sometimes processes impose necessary costs. Much will depend on whether such tensions strike the right balance in light of criteria.

3. Failures and gaps

Problems can arise from what the system is directly meant to do, but does not. For example, the system may not safeguard freshwater or soils to a standard necessary to support human life in the future, or it may fail to consider how to allocate non-private resources in a way that is fair or efficient.

For incidental and process problems, we can say that the system is a *cause* of the problem (the issues would not exist, or would be less pronounced, if the system itself had not intervened). For failures and gaps, the system is not the cause. It has simply failed to provide a solution to problems that have arisen elsewhere.

But just because the system is a cause (or exacerbator) of a problem does not mean it needs to be the mechanism (or sole mechanism) for providing a solution. For example, urban limits may play a part in increasing the price of land, but a solution to that may lie elsewhere (eg regionally specific subsidies for home ownership, changes to monetary policy, or restrictions on foreign buyers).¹⁷⁹ Similarly, and more obviously, the system can still be expected to play a role in addressing a problem even if it has not created it. The RMA does not *cause* climate change, but it might be expected to play a significant role in addressing it.

Kind of problem	Example of problem	Cause (or partial cause)	Location of solution	Example of solution
Incidental problems	Housing unaffordability due to constrained residential land supply	Resource management system (eg urban limits)	Partly the resource management system, partly other systems	Ability to intensify in existing suburbs; first home subsidies
Process deficiencies	Excessively slow planning outcomes	Resource management system	Resource management system	Single stage hearing process
Failures and gaps	Infringement of biophysical bottom lines (eg climate change, freshwater flows)	External sources (other systems ¹⁸⁰ or private behaviours) ¹⁸¹	Resource management system	Stronger limits on human activities

Figure 5.8: Different ways of thinking about “problems” with the resource management system

Problems can have causes that arise from multiple places. Equally, solutions can come from different places. It is useful to think of them in different categories. Incidental problems arise as a by-product of what the system is doing to address a different kind of problem; process deficiencies arise from poor procedural aspects of the system; failures and gaps arise from a failure of the system to do something it should be expected to achieve.

- The need for significant infrastructure development, replacement, relocation, and renewal
- Global political and economic dynamics
- Increasing political and economic expectations of Māori¹⁸³

A future system will need to pre-empt and address issues, and pursue opportunities, in a future that will be very different from the present.

Questions for discussion:

- What kinds of problems should the resource management system be expected to address?
- What if the system causes some problems in the pursuit of addressing others?

5.16 Future challenges

In the Phase 1 report, we also highlighted that the future will be very different to the present, for many reasons.¹⁸² A reformed system will need to address future challenges as much as it will need to address current problems. We refer readers to that previous work. In particular, the system will need to contemplate, and pre-empt/respond to:

- Population change, and its implications for urban growth, food and water security, and environmental pressures
- Changes in primary production, including impacts on the environment
- Climate change, including its implications for land use change and funding of new and existing infrastructure
- Other forms of environmental change
- Technological change, including its implications for environmental, social and economic disruption

5.17 Reform measures underway

It is natural that clear problems with the current system have not simply been ignored by the government. Some targeted reforms have been completed over the years, and now find themselves part of the fabric of the existing system. For some of these (such as the Auckland Unitary Plan), only time will tell whether they have been effective in addressing particular problems. Targeted reforms have also caused or exacerbated some problems – notably contributing to complexity and incoherence in the wider system.¹⁸⁴

Other reform measures are still underway and at various stages (see Figure 5.10 below). Indeed, the current government has an extremely active reform programme. Wider system reform needs to be sensitive to all of this. For some measures (eg climate change legislation in the form of a Zero Carbon Bill), it may be a matter of locating the substance of reforms within a wider narrative of a system review, and clarifying how it would fit in. We think that many planned reforms will lead us in a positive direction. For others (eg an urban development authority) we consider it may be a matter of amending or reshaping proposals more fundamentally. In the Phase 1 report, we highlighted some reform measures being taken, and we update that below.

One measure that deserves particular emphasis is the government’s recent creation of an independent review panel on fundamental system reform, which has a broad

Kāinga Ora – Homes and Communities Bill (urban development authority proposal) ¹⁸⁶
Three waters review (how we regulate and deliver services for drinking water, waste water and stormwater) ¹⁸⁷
A short-term amendment bill to the RMA (focusing on a bespoke freshwater planning process, greater enforcement role for the EPA, and the repeal of several previous RMA amendments) ¹⁸⁸
A review of the state sector, and a new Public Services Act (among other things, to encourage cooperative working arrangements within the public service) ¹⁸⁹
The Essential Freshwater Programme (including a proposal for NESs for Freshwater and for Ecological Flows, and a new NPS for Freshwater Management, under the RMA) ¹⁹⁰
A review of the NES on Plantation Forestry under the RMA ¹⁹¹
The development of an NPS for Urban Development (to replace and expand on the NPS on Urban Development Capacity) ¹⁹²
Development of a (non-statutory) forestry strategy, and rollout of the One Billion Trees programme ¹⁹³
Development of an NPS concerned with the protection of highly productive land ¹⁹⁴
The Zero Carbon Bill (an amendment to the Climate Change Response Act) ¹⁹⁵
A refresh of New Zealand's Biodiversity Strategy ¹⁹⁶
The development of an NPS on indigenous biodiversity under the RMA (following a report and draft NPS produced by the Biodiversity Collaborative Group) ¹⁹⁷
Spatial planning work under the urban growth agenda ¹⁹⁸
A Productivity Commission inquiry into local government funding ¹⁹⁹
Implementation of a review of the emissions trading scheme under the Climate Change Response Act ²⁰⁰
Creation of an Infrastructure Commission (Te Waihanga) – an autonomous Crown entity intended to help improve the long-term planning and coordination of significant infrastructure ²⁰¹
Ongoing work to consider or implement the environmental aspects of the Tax Working Group's recommendations ²⁰²

Figure 5.9: Resource management reform measures currently being pursued by the government (and related entities)

draft terms of reference to investigate the future of the resource management system.¹⁸⁵ However, the focus of the terms of reference as it stands is on the RMA and its connections to other legislation, rather than the broader system defined in this project. At the time of writing, the group is engaged in working up an issues and options paper. Our work is intended to feed into that process to the extent it falls within its final terms of reference, although it is by no means bound to mirror its conclusions.

There is an active reform programme being pursued by the current government. Wider system reform will need to be cognisant of such measures, including varying timeframes. Of particular importance is the government's establishment of an independent review group to rethink the resource management system as a whole.

Questions for discussion:

- Are the government's current reform measures sufficiently aligned and coordinated?
- Which should be incorporated into wider consideration of system reform?

5.18 Concluding comments

In this chapter we have described the core features of the current resource management system, and considered the nature of problems and future challenges to be addressed. The government is engaged in an active programme of more targeted reforms that, when combined, have significant implications for the system as a whole. It is important that those measures are aligned within a more comprehensive rethink of a future system, which is now on the cards following the establishment of an independent review panel.

In the following chapter, we begin a description of a preferred model for change, which can be compared to the current system described in this chapter. Most of the government's existing reform programmes will be incorporated in some way into this model, albeit not always in the form currently envisaged.

ENDNOTES

- 1 For example, in the Phase 1 work we looked at approaches in different statutes to public participation, and provided a brief history of the current system. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2; G Severinsen and R Peart *Reform of the resource management system: The next generation – Working paper 2* (EDS, 2018), appendix 3.
- 2 This will not be exhaustive as a problem definition, and there would be merit in future work unpicking this further. We will be focusing on big picture problems (eg a failure to achieve environmental bottom lines) that need to be addressed in changes to resource management frameworks.
- 3 Again, this is not to say that we have approached our analysis by looking at the statutes we have and how we could change them.
- 4 This reflects the same kind of format in which we have described alternative models in Phase 1: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 15.
- 5 Ibid at 38–40; D Young *Values as law: The history and efficacy of the Resource Management Act* (Victoria University of Wellington Institute of Policy Studies, 2001); G Palmer "The Resource Management Act – how we got it and what changes are being made to it" (2014) RM Theory & Practice 22. See also the historical account of Catherine Knight in *Beyond Manapouri: 50 years of environmental politics in New Zealand* (Canterbury University Press, 2018).
- 6 Which was a deliberate choice by the framers of such statutes.
- 7 Some sectors are managed within broad institutionally-focused legislation (eg water services under the Local Government Act), while some narrower institutional arrangements are subsumed within sectoral legislation.
- 8 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 136 (spotlight on the *Motiti* case).
- 9 Ibid at 164–173.
- 10 Ibid 174–193.
- 11 See also Figure 14.3 (G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 280–281) for brief descriptions of relationships between instruments, and Figure 14.5 (ibid at 285) for a description of relationships between permits.
- 12 Ibid at 277.
- 13 Ibid 174–193.
- 14 See also Figure 14.3 (G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 280–281) for brief descriptions of relationships between instruments, and Fig 14.5 (ibid at 285) for a description of relationships between permits.
- 15 Ibid at 277.
- 16 Ibid at 280–281 (Fig 14.3).
- 17 Ibid at 39–40.
- 18 Resource Management Act 1991, s 5.
- 19 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97; Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd [2014] NZSC 38, [2014] 1 NZLR 593. See also Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group (2012).
- 20 Especially in the context of urban planning and allocation of resources. Triggers for urban planning are weak in Part 2 of the Act, relying on things like the efficient use of land as a resource, the improvement of a widely defined "environment", and amenity effects.
- 21 Sections 9, 11, 12, 13, 14, 15, 15A and 15B of the RMA impose restrictions on the use of land, subdivision, the use of the coastal marine area, the use of lake and river beds, the use of water, and the discharge of contaminants into the environment.
- 22 Section 9.
- 23 See section 7 of the Act, in relation to environmental enhancement.
- 24 For example, there are issues with imposing green taxes, which require clear statutory authorisation: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 13.
- 25 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015). See also G Severinsen "Glass half empty or glass half full? Adverse effects, positive effects and conditions under the Resource Management Act 1991 and Resource Legislation Amendment Bill 2015" (2016) 11(9) BRMB 110. For example, the RMA requires consent conditions to be linked to adverse effects (s 108AA), as does the EEZ Act (s 63(1)).
- 26 See Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991 (April 2012); Ministry for the Environment *Building competitive cities: reform of the urban and infrastructure planning system* (2010).
- 27 See New Zealand Productivity Commission *Better urban planning* (2017); Ministry for the Environment *Building competitive cities: reform of the urban and infrastructure planning system* (2010).
- 28 See <www.mfe.govt.nz/rma/rma-legislative-tools>
- 29 *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 30 Resource Management Act 1991, s 30. Regional councils also regulate land use for particular reasons.
- 31 Resource Management Act 1991, s 31.
- 32 Note, however, the proposal to replace this process with a more directive one related only to freshwater: see Resource Management Amendment Bill 2019.
- 33 Local Government (Auckland Transitional Provisions) Act 2010; Canterbury Earthquake (Christchurch Replacement District Plan) Order 2014.
- 34 Resource Management Act 1991, ss 58B–58J.
- 35 The Act classifies activities into six primary categories: permitted, controlled, restricted discretionary, discretionary, non-complying and prohibited.
- 36 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10.
- 37 For example, councils are heavily restricted from considering impacts of activities on climate change. Controlled or restricted discretionary activity status can also constrain the matters that can be considered by a consent authority.
- 38 Resource Management Act 1991, pt 6AA.
- 39 Resource Management Act 1991, pt 7 and 7A; s 31(1)(fa).
- 40 *Fleetwing Farms Limited v Marlborough District Council* [1997] 3 NZLR 257 (CA).
- 41 Often for significant infrastructure having public importance (eg networks like transmission lines, prisons, schools etc).
- 42 Resource Management Act 1991, pt 8.
- 43 Resource Management Act 1991, pt 9.
- 44 Resource Management Act 1991, pt 12.
- 45 For example, that established between Taupō District Council and the Tuwharetoa Māori Trust Board on 17 January 2009. This agreement provides for publicly notified resource consents and private plan change applications, in relation to multiple-owned Māori land within the rohe of Ngati Tuwharetoa and within the Taupō district, to be decided by a panel of decision makers comprising two commissioners chosen by each party and a jointly appointed fifth commissioner and chairman.
- 46 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 47 Resource Management Amendment Act 2019.
- 48 Local Government Act 2002, s 10.
- 49 Local Government Act 2002, ss 93–97.
- 50 Local Government Act 2002, pt 7.
- 51 A previous obligation to have particular regard to core services (eg network infrastructure) has recently been repealed, reflecting a return to the idea of local government being about broader wellbeing, not just about infrastructure provision.
- 52 See <www.dia.govt.nz/Three-Waters-Review>
- 53 Local Government Act 2002, pt 5.
- 54 See Wellington Water "Our story" <www.wellingtonwater.co.nz>.
- 55 For example, the Smart Growth initiative in the Bay of Plenty and Urban Development Strategy in greater Christchurch: Greater Christchurch Partnership "Urban Development Strategy" <www.greaterchristchurch.org.nz>; SmartGrowth <www.smartgrowth.org.nz>.
- 56 For example, the Christchurch Urban Development Strategy (including an urban boundary) needed to be translated to the Canterbury regional policy statement through extensive litigation under the RMA.
- 57 Land Transport Management Act 2003, s 95(1)(c).
- 58 Land Transport Management Act 2003, s 10.
- 59 Land Transport Management Act 2003, ss 66–91.
- 60 Land Transport Management Act 2003, s 105.
- 61 Land Transport Management Act 2003, s 13.
- 62 Land Transport Management Act 2003, ss 13–18H. Regional councils also adopt regional public transport plans: see Land Transport Management Act 2003, s 117–129.
- 63 See Land Transport Management Act 2003, s 14(c)(iii).
- 64 See Soil Conservation and Rivers Control Act 1941; Land Drainage Act 1908.
- 65 See <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>; Kāinga Ora–Homes and Communities Act 2019.
- 66 Local Government (Auckland Transitional Provisions) Act 2010; Local Government (Auckland Council) Act 2009.
- 67 Building Act 2004, s 3.
- 68 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 151.
- 69 Resource Management Act 1991, pt 8.
- 70 Resource Management Act 1991, ss 72–77.

- 71 Heritage New Zealand Pouhere Taonga Act 2014, ss 42-64.
- 72 Climate Change Response Act 2002, s 3.
- 73 On the history and challenges of the emissions trading scheme, see C Leining and S Kerr *Lessons learned from the New Zealand emissions trading scheme* (Motu working paper 16-06, 2016).
- 74 See <www.mfe.govt.nz/climate-change/new-zealand-emissions-trading-scheme/reviews-of-nz-ets>
- 75 Resource Management Act 1991, ss 70A, 70B, 104E, 104F.
- 76 Resource Management Act 1991, s 7(i).
- 77 See <www.environmentguide.org.nz/issues/climate-change/domestic-law/resource-management-act/>.
- 78 Climate Change Response (Zero Carbon) Amendment Bill 2019.
- 79 For example, in the production of the NZCPS and in the signing off of regional coastal plans.
- 80 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 150, where we noted that protections for fish (to be able to continue to consume them) are imposed for quite different reasons to the protection of, say, kiwi.
- 81 See R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018).
- 82 Fisheries Act 1996, s 8.
- 83 Resource Management Act 1991, s 30(2).
- 84 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 136.
- 85 Marine and Coastal Area (Takutai Moana) Act 2011, pt 3.
- 86 Marine and Coastal Area (Takutai Moana) Act 2011, pt 3.
- 87 Marine and Coastal Area (Takutai Moana) Act 2011, s 11.
- 88 Marine and Coastal Area (Takutai Moana) Act 2011, ss 26-28.
- 89 Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012.
- 90 Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, pts 3, 3A.
- 91 Partly to implement strong international agreements on dumping under the London Protocol.
- 92 See generally C Iorns Magallanes and G Severinsen "Diving in the deep end: Precaution and seabed mining in New Zealand's exclusive economic zone" (2015) 13 NZJPI 201.
- 93 Much was also contained within regulations made under the Maritime Transport Act 1994, in recognition that many environmental risks and human activities have traditionally been associated with ships.
- 94 Crown Minerals Act 1991, s 1A.
- 95 Crown minerals will often exist under private land.
- 96 Crown Minerals Act 1991, pts 1A, 1B.
- 97 See Crown Minerals Amendment Act 2019; <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12030956>
- 98 We note that "conservation" itself is a fuzzy term, and is often used to denote more active management and stricter protection of species, areas and historic or built features from weaker "sustainability", which also applies to activities that can threaten species, heritage and protected areas. But other "forms" of conservation exist: for example, soil "conservation" is about making sure that soils do not disappear through erosion or degradation, while resource "conservation" more generally is about making sure we do not "waste" natural resources.
- 99 Some are contained within frameworks that are not about conservation in the same sense. For example, there is provision in the Soil Conservation and Rivers Control Act for soil conservation reserves, and the ability to acquire land to address erosion issues.
- 100 Conservation Act 1987, pt 3.
- 101 See <www.doc.govt.nz/about-us/our-role/legislation/national-parks-act/>
- 102 Reserves Act 1977, pt 3.
- 103 Reserves Act 1977, pt 3.
- 104 Land Act 1948, s 167.
- 105 Wildlife Act 1953, Pt 1.
- 106 Wildlife Act 1953, ss 9-14AA.
- 107 "An Act to provide for the protection of native plants" under which the taking of protected plants is restricted.
- 108 See section 3.
- 109 Waitakere Ranges Heritage Area Act 2008; Fiordland (Te Moana o Atawhenua) Marine Management Act 2005; Hauraki Gulf Marine Park Act 2000.
- 110 The Trust has functions to advise the Minister of Conservation on the protection of open space, to formulate policies, undertake reviews, classify any potential reserves or recreation areas, promote interest in the establishment of other areas and encourage coordination of activities among government departments, local bodies and other persons, and enter covenants to protect land.
- 111 Although ecological concerns are, by law, pre-eminent: for example, see Crown Pastoral Land Act 1988, s 24.
- 112 Crown Pastoral Land Act 1988, pt 2; <www.beehive.govt.nz/release/government-end-tenure-review>
- 113 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 60.
- 114 Ibid at 60.
- 115 See <www.environmentguide.org.nz>
- 116 Biosecurity Act 1993, ss 68-78.
- 117 Biosecurity Act 1993, ss 88-98.
- 118 <www.mpi.govt.nz/dmsdocument/9464-national-policy-direction-for-pest-management-2015>; Biosecurity Act 1993, ss 56-58.
- 119 Biosecurity Act 1993, s 73(5).
- 120 Biosecurity Act 1993, s 54.
- 121 Hazardous Substances and New Organisms Act 1996, pt 5.
- 122 Hazardous Substances and New Organisms Act 1996, ss 34-45B.
- 123 See, for example, New Zealand National Party *Our environment: Discussion document* (2019) at 23-24.
- 124 As opposed to "wasting" a valuable resource or inefficient use.
- 125 Resource Management Act 1991, pt 3.
- 126 Resource Management Act 1991, s 30.
- 127 Waste Minimisation Act 2008, pt 2.
- 128 Waste Minimisation Act 2008, s 11.
- 129 See <www.mfe.govt.nz/waste/single-use-plastic-shopping-bags-banned-new-zealand>
- 130 See <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12270651>
- 131 Waste Minimisation Act 2008, pt 3; <www.mfe.govt.nz/more/funding/waste-minimisation-fund/about-waste-minimisation-fund>
- 132 Waste Minimisation Act 2008, pt 7.
- 133 Litter Act 1979, ss 5-8, 9-12.
- 134 Forests Act 1949, pt 3A.
- 135 Forests Act 1949, pt 3B.
- 136 See Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010.
- 137 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 189.
- 138 Environmental Reporting Act 2015, pt 2.
- 139 For example, see Resource Management Act 1991, s 42C.
- 140 Conservation Act 1987, s 5; RMA, pt 11.
- 141 Environment Act 1986, long title.
- 142 Environment Act 1986, s 16.
- 143 Energy Efficiency and Conservation Act 2000.
- 144 Energy Efficiency and Conservation Act 2000, s 8.
- 145 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 256.
- 146 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 187.
- 147 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.
- 148 Ibid, from 38; Waitangi Tribunal *Wai 1040 Claim; Ko Aotearoa Tenei* (Wai 262 Waitangi Tribunal Report, 2011); Waitangi Tribunal *Wai 2358: The stage 2 report on the national freshwater and geothermal resources claims* (2019).
- 149 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 38.
- 150 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.3.
- 151 For example, air quality and some aspects of freshwater – see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 41.
- 152 MA Brown, RTT Stephens, R Peart and B Fedder *Vanishing nature: facing New Zealand's biodiversity crisis* (EDS, 2015); MA Brown *Evaluating the environmental outcomes of the RMA* (EDS, 2016).
- 153 Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 154 See MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (EDS, 2017); MA Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 155 Beca *Cost estimates for upgrading water treatment plants to meet potential changes to the New Zealand drinking water standards* (2018); GHD and Boffa Miskell *Cost estimates for upgrading wastewater treatment plants to meet objectives of the NPS Freshwater final report* (September 2018).
- 156 See New Zealand Government *Essential freshwater: Healthy water, fairly allocated* (2018) at 14.
- 157 S Elias *Righting environmental justice* (address to the Resource Management Law Association, 25 July 2013) at 2. Compare TM Lenihan and J Bartley *Review of Māori planning futures: Review of the Productivity Commission's "Better urban planning" draft report* (Nga Aho and Papa Pounamu, 2016) at 36.

- 158 For example, in the use of special housing areas under bespoke legislation (altering the application of Part 2 of the RMA), and in the removal of local government consideration of climate change mitigation.
- 159 For example, the idea of a development-oriented Government Policy Statement on Housing and Urban Development could jar with protective instruments under the RMA.
- 160 For example, in the streamlined and collaborative processes available as alternatives to the normal planning process.
- 161 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 162 For example, there is very little guidance in the Act about how to allocate resources like freshwater.
- 163 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2.
- 164 See S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (2016) *Resource Management Journal* 1; S Berry S, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) *Resource Management Journal* 3.
- 165 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10.
- 166 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 167 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 32. The definition of the system is not constrained by the type of outcomes sought (eg health, crime, environment), but rather by the subject (what is being managed). Thus all physical and natural resources can be managed to contribute to a wide variety of outcomes.
- 168 Or that arise outside any formal system; for instance, where human behaviour or natural systems create outcomes that are undesirable and require intervention.
- 169 See New Zealand Productivity Commission *Better urban planning* (2017); Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system* (2010).
- 170 See T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 158.
- 171 Which the market might not ordinarily be incentivised to provide.
- 172 Again, "solving" problems here means reflecting a better balance of outcomes, not pleasing everyone (or solving one problem while creating a worse one). Conceivably, that may mean in some cases that housing would be less affordable than it would if the resource management system did not exist.
- 173 See G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 *Wai L Rev*.
- 174 This has occurred in some overseas jurisdictions.
- 175 It may be beyond its capacity to fix, or it may be required to pursue other outcomes more vigorously and leave it to other systems to mitigate impacts.
- 176 Reflected in the proposed NPS on Highly Productive Land.
- 177 On our view of what the system is "meant" to do – its proper roles – see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), chs 6-7.
- 178 See New Zealand Productivity Commission *Using land for housing* (2015).
- 179 See <www.laneneave.co.nz/significant-new-restrictions-overseas-buyers-residential-property/>
- 180 For example, incentives stemming from the tax system.
- 181 For example, the concept of the tragedy of the commons: see G Hardin "The tragedy of the commons" (1968) 162 *Science* 1243.
- 182 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.5.
- 183 A specifically Māori economy is thought to currently be around \$50 billion. See Chapman Tripp *Te Ao Māori: Trends and insights* (June 2017) <www.chapmantripp.com>; Treasury *He tirohanga mokopuna: 2016 statement in the long-term fiscal position, New Zealand* (2016).
- 184 See G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 *Wai L Rev*; S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (2016) *Resource Management Journal* 1; S Berry S, H Andrews and J Vella "The death of the RMA by a thousand cuts: The next two incisions" (2017) *Resource Management Journal* 3.
- 185 See <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 186 The entity itself has been established under the Kāinga Ora–Homes and Communities Act 2019, and further legislation is anticipated later in the year to give development powers to it.
- 187 See <www.dia.govt.nz/Three-Waters-Review>
- 188 Resource Management Amendment Bill 2019.
- 189 <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 190 New Zealand Government *Essential freshwater: Healthy water, fairly allocated* (2018); New Zealand Government *Action for healthy waterways* (2019).
- 191 <www.mfe.govt.nz/land/land-acts-and-regulations/national-environmental-standards-plantation-forestry/about-standards>
- 192 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 193 <www.mpi.govt.nz/funding-and-programmes/forestry/one-billion-trees-programme/about-the-one-billion-trees-programme>
- 194 New Zealand government *Valuing highly productive land: A discussion document on a proposed national policy statement for highly productive land* (2019).
- 195 Climate Change Response (Zero Carbon) Bill 2019.
- 196 Department of Conservation *Te Kōihoa o Te Kōihoa: Our shared vision for living with nature* (2019).
- 197 <www.mfe.govt.nz/more/biodiversity/upcoming-government-biodiversity-initiatives/developing-national-policy-statement>
- 198 <www.hud.govt.nz/urban-development/urban-growth-agenda/>
- 199 <www.productivity.govt.nz/inquiries/local-government-funding-and-financing/>
- 200 <www.mfe.govt.nz/climate-change/proposed-improvements-nz-ets>
- 201 Now created through the New Zealand Infrastructure Commission/Te Waihangā Act 2019.
- 202 <www.beehive.govt.nz/release/govt-responds-tax-working-group-report>

6. THE FUTURE OF THE RMA: LEGISLATIVE DESIGN AND PART 2

6.1 Introduction

Having (1) adopted a set of high level criteria to guide reform choices; (2) considered the general ethics, principles and roles that will need to underpin our laws; and (3) outlined the current system that will form the starting point for change, we can now turn to what our future system should look like. In the chapters that follow, we explore the statutory frameworks that we see forming the core of a future system.

It makes sense to start with the RMA. This Act sits at the heart of New Zealand's current resource management system, and arose from a complex and shifting set of political and social priorities described in the Phase 1 report.¹ The Act's main point is to protect the environment from human activities (although it is, of course, not the only framework that does this).² It seeks a balance between a range of outcomes, which are enshrined within a carefully defined purpose statement of sustainable management. There have been complaints that it is primarily a regulatory, reactive, and effects-based framework, as opposed to being strategic, proactive and outcome-focused.³ In other words, to some, it lets things happen if they're not too bad, but it doesn't make things better. In fact, it has allowed many things to get *worse*.

There are considerable strengths in the RMA. The Act is not primarily about regulating specific sectors or spaces,⁴ and (at least in theory) it provides restrictions based on the effects that activities have rather than on arbitrary distinctions between activities themselves or between private and public activities.⁵ It is also integrative, in that it brings together a wide range of "environmental" domains into one decision-making framework. Its purpose and principles (in Part 2 of the Act) are important, but its actual application – what it does – is limited not by that wide purpose and principles but by the human activities that actually trigger restrictions (in Part 3) and most subsequent decision-making (on plans and consents) by public authorities. These relate to land use, subdivision, noise, discharges, and the use of various "resources" like water and coastal space. In other words, the RMA does a lot, but it does not do as much as its purpose might suggest.⁶

The RMA and its integrative approach was revolutionary when it was enacted in 1991. By international standards that largely remains the case. And yet it has been the subject of many complaints, and almost constant amendment, since it was enacted. It is now reasonably clear that it lacks coherence and that it has become overly complex, as well as failing to do what it was meant to do.⁷

So is the RMA, as it stands, an appropriate framework to have at the core of a future system? Or is it time for a fundamental overhaul?

That is not an easy question to answer. Many complaints about the RMA are legitimate (eg interminable delays in

planning, a failure to respect environmental limits, a lack of enforcement),⁸ but that itself is not a good reason to throw the entire Act in the bin and start again. Other reasons for overhauling the Act – including that land use planning and associated infrastructure provision need to be more closely linked in a radically different "Planning Act" to manage urban growth – have a stronger conceptual basis.

At the other extreme, some talk about the need simply to implement the Act better rather than change it, although such suggestions can be vague as to what that would entail (other than a need for greater resourcing and training).

In light of the disruption that a fundamentally new approach to legislative design could create, we think that it is at least worth thinking about whether the outcomes we are seeking could be delivered by building on the basic framework we already have. We need to be cautious about getting rid of something simply out of frustration at some of its features, just as we need to be cautious about retaining something just because we are wary of change. In other words, it may be possible for the RMA to change considerably while still retaining its basic integrity as an integrative, outcomes-based statute at the heart of our system.

Some have suggested throwing the RMA away and starting again. Others have said we should keep it and focus on "implementation". We see merit in exploring the middle ground – where we build on the RMA to make meaningful legislative change.

6.2 Should we split the RMA?

Let us consider the question of splitting the RMA more specifically (not just whether we chuck the Act in the bin). Should the RMA continue to do the wide range of things it does (or is meant) to do? There are many conflicts and gaps in it. In the Phase 1 report, we looked at principles of legislative design,⁹ and investigated options for splitting the RMA by looking through different lenses.¹⁰ One option was for "bottom line" outcomes to be established and defended in one act, and for the facilitation of trade-offs to occur in another. That would reflect the idea that balancing equally weighted considerations does not belong in a truly protection-focused act.¹¹ While that makes some sense, a hard split is not an immediately attractive option because of the complexity it would create (the need for links to be made between different statutes dealing with the same ecosystems and the same resources). Instead, as explored later in this chapter, the RMA itself will need to be much firmer about the distinction between bottom lines and trade-offs.

Nor do we recommend designing our legislation along sectoral or spatial lines (eg one act for agriculture and one for forestry; or one for cities and one for the countryside). A different way of splitting, however, which has received a

lot of traction in recent times, is to have separate statutes dealing with environmental protection on one hand, and “planning” on the other.¹² This idea is summarised below.

A spotlight on a Planning Act

Infrastructure New Zealand and others have proposed a radical rethinking of what resource management legislation could look like in the future.¹³ There would be a separate “Development Act” alongside a specific statute designed to protect the biophysical environment: an “Environment Act”. Three core statutes – the RMA, Local Government Act and Land Transport Management Act (and potentially others)¹⁴ – would be rearranged along different lines to morph into these two new acts. The Development Act would be concerned with “planning”, and might alternatively be called a Planning Act.¹⁵ The Environment Act would be concerned with environmental sustainability. There would be a cascade of plans created under a Development/Planning Act at a national and regional level¹⁶ (including regional unitary plans, regional spatial plans, long term plans, various targeted investment plans, infrastructure strategies, asset management plans and transport plans), which would be subject to national and regional environmental policies and regulations made under an Environment Act. We summarised how that would look in the Phase 1 report.¹⁷

Such a proposal is designed to address a wide range of very real issues. In particular, it would address the fact that the “existing planning framework (the Land Transport Management Act, Local Government Act and RMA), requires separate plans without strong linkages between them. Where linkages do exist, these have different weightings and are often inconsistent between the statutes.”¹⁸ This results in a “complex maze of approvals” and a situation where there is “a lack of common purposes and goals across the planning framework and the hierarchy between the ... plans is unclear”.¹⁹ There is also temporal misalignment to be fixed – plans under the different acts are made according to different timeframes and processes. The overall thrust is that land use and infrastructure planning and funding are not well aligned, and that this leads to confusion, complexity, and a lack of timely outcomes, particularly in fast growing urban areas.

There is a lot to be said for having this kind of split, as long as planning/development legislation were firmly subordinate to “natural environment” legislation (in other words, “the Environment Act would put the environment first”).²⁰ Indeed, we have heard from some environmentalists, not just the development community, that such a strict separation could be a very good thing. It could help to enshrine a hierarchy (one act trumps another) under clear and distinct environmental principles. It therefore avoids the balancing approach that has for most of its history proved so damaging under an integrated RMA,²¹ where the temptation is always to make trade-offs between protection and use.

The idea is that an Environment Act outlines a biophysical envelope within which development can occur, and planning legislation then facilitates (and, indeed, encourages) quality and timely development within it. Conceptually, it would not be too different to the context of minerals: mining is subject to the RMA, but is explicitly encouraged in separate legislation within the parameters of RMA restrictions.²² A planning/environment split could cause some additional complexity (inter-statutory links would still need to be made), but it could arguably produce better environmental and development outcomes.

So is this the way forward? The question requires close attention. In particular, the mechanics of separating “environment” and “planning” need to be picked apart. How would it work? For the reasons outlined below, on balance we think that a single, integrated statute like the RMA should remain at the heart of a future system. However, we want to be very clear about one thing: this does not mean another round of tinkering with the Act. Meaningful, systemic change to the RMA (and other frameworks) will be needed, and change will need to be reasonably durable.²³ The concerns that have led to proposals for a separate Planning Act – notably urban ones – are legitimate and urgent.

6.3 What do we mean by integrated management?

Sometimes, the question of splitting the RMA is presented as a dichotomous tension between “integration” and “fragmentation”. Implicit in this is the idea that fragmentation is bad and to be resisted, and integrated management is a good thing to be retained. But the more pressing question is more nuanced and finely weighted: *what* should we integrate? And *what* should we fragment? After all, we already split up many things (eg see the vast range of statutes in the current system presented in the Phase 1 report).²⁴ We are not living in a utopia of integrated management, nor can we expect to throw everything under the sun into one single resource management statute. Targeted frameworks, with focused purposes and targeted institutions, are very valuable.²⁵

In particular, the (quite legitimate) idea behind a Planning Act is that, despite the rhetoric around the RMA’s integrated management, the current system is actually quite fragmented in one important way. Laws relating to the planning of how land is used (or not) are found in a completely different framework (the RMA), and operate under different processes and principles, to laws relating to planning and funding the infrastructure needed to make changes in land use actually happen (largely the Local Government Act and Land Transport Management Act). There is no point rezoning land from, for example, farmland to housing if there is no plan (or money) for roads to get people there, or for water to come out of taps. Similarly, roads and pipes are useless if a plan doesn’t allow for houses to be built on the land.²⁶ There is also a question of timing here – one should not wait too long for the other.

If we were to put those things – land use and infrastructure – in one statute, managing rapid land use change (particularly urban greenfield growth where a lot of new infrastructure is required) could become more timely and effective. There would be one process by which it all happened. The important political and social context to note here is the idea that timely development of residential land will lead to greater supply, and therefore affordability, of housing. Housing affordability is an issue that is both socially urgent and politically pressing,²⁷ and this has lent credence to the idea of an integrated framework for urban development that could deliver on it.²⁸

It is neither feasible nor desirable to have a single, “mega statute” that does everything. Targeted frameworks are important. And yet integrating the system in one way can cause fragmentation in another. In the current system, land use planning under the RMA happens in a separate framework to the planning and funding of infrastructure needed to make land use change actually happen (especially in and around cities). These things *could* be integrated into a Planning Act.

In the notion of a planning/environment split, it is usually clear what changes in outcomes are being sought (eg recognising the benefits of integrated urban growth and timely development, or reducing inefficiency and confusion). But less clear is what, respectively, the different acts would actually do to achieve those outcomes.

The implication, at least, is that “planning” is about the spatial aspects of how we use land (notably restrictions under sections 9 and 10 of the RMA) and that the

“environment” is about protecting or enhancing common pool resources like water, soil and air (essentially, most of the other human actions restricted under the RMA).²⁹ The crucial question, in our minds, is where the *stronger* (intra-statutory)³⁰ connections are needed. Do we loosen the connections between land use and “environment” to achieve stronger connections between land use and infrastructure? As we noted in the Phase 1 report:

The strength of connection needed ... between land and other domains under the RMA may mean that legislative separation between the RMA [and infrastructure legislation] is desirable in a future system. Connections can [instead] be made through aligning planning processes under each. Some may, however, see the connection between infrastructure planning and land use as more significant. That could see the integration of the infrastructure and land use components of the ... acts within a single statute (such as a Planning or Development Act).

Intuitively, splitting the RMA sounds like a good idea. The natural environment would get its own act, with firm purpose, principles and restrictions, to which a separate Planning/Development Act would be subservient. And the latter would then be free to extol the virtues of development and focus on getting it done in a timely and integrated way. That is also important for human wellbeing. But what exactly do we mean by the natural environment? Is it just about preventing “pollution” or maintaining the quality of common pool resources like water and air? And is the control of land use distinct enough from the rest of the environment to warrant a separate act? That is largely how things are done overseas, but in the RMA have we moved on from all of this?



We considered the conceptual basis of legislative design in the Phase 1 report. Building on that, there seem to be four key grounds on which we might want land use controls to be put into a separate act. We address each below.

1. To align decision-making on land use with associated planning and funding of infrastructure

This is a legitimate concern, especially in the context of urban growth, and we have touched on it above. However, we also note that there are other ways to align statutory frameworks without integrating them into one act (eg aligning processes, and engaging in higher level spatial planning – which would also have much farther reaching benefits). This is discussed in Chapter 9. We also see potential for separate infrastructure planning and funding components to be integrated more closely, in a single “Local Government and Infrastructure Act”.

2. Because the kinds of tools used under frameworks are fundamentally different

The purpose and principles of the RMA are broad enough already to encompass the minimisation of waste, construction standards, climate change mitigation, pest management, hazardous substances and genetically modified organisms (among other things). But these have more targeted frameworks, largely because they provide for a very different architecture of decision-making from the planning and consenting framework of the RMA.³¹ However, we are not convinced that this is a reason to separate land use controls from controls relating to other aspects of the environment. The RMA planning and consenting framework already comfortably encompasses the core kinds of tools needed for managing land use. It is not clear that fundamentally different kinds of mechanisms would be used under a Planning Act than, for example, those contained in a district plan.³²

3. To provide for a different or faster process for decision-making concerning land use

There has been much debate in recent years about the need to make land use planning faster. The RMA has proved too slow to deliver timely outcomes. The most tangible examples of this have been in the bespoke planning process by which the multiple plans in the Auckland region were combined into a single unitary plan (although this was not limited to land use or to the urban context),³³ the introduction of a streamlined planning process in the RMA,³⁴ and rather ill-conceived restrictions on Environment Court appeals linked to activity status.³⁵

However, we do not consider this to be an issue unique to urban planning or land use, or a reason to split its management into another act. Equally pressing is the need to ensure planning for other aspects of the environment – notably freshwater and climate change – are progressed in a much faster way.³⁶ In fact, plan agility is a concern across the board and our criteria reflect this.

4. To provide for a different purpose and principles under which land use decisions are made

In our view, this comes to the crux of the matter.

A key reason to separate statutes is because different acts are directed by different purposes and principles.³⁷ We do not, for example, provide for the funding and construction of roads under the RMA, because that is not the point of that act (sustainable management does not demand the construction of roads, only that their construction is done in a way that does not unduly harm the environment). Clarity of purpose is important when it comes to defending the environment from harm, as we have seen from a turbulent history of interpreting Part 2 of the Act.³⁸ For that reason, we do not suggest that we integrate all acts – including those concerned with infrastructure development and funding – into one “super” RMA, just as we would not integrate mining laws into conservation legislation.

So where does land use fit? Rather than land per se, some have suggested that the “built” environment should be subject to different decision-making principles to the “natural” environment *within* the RMA (a soft split).³⁹ As discussed in the Phase 1 report, we are certainly sympathetic to the view that the RMA does not do enough to recognise the benefits of using resources, or to clarify the relationship between use and protection.⁴⁰ It needs to do both of those things – as long as there are clearer bottom lines and robust safeguards to achieve them. There could, therefore, be new principles inserted into the RMA relating to the “urban” space (just as there is already for the “coastal” space)⁴¹ or broader recognition of the value of urban design or the use of land than there is currently. We discuss this further below in the context of Part 2 of the Act.

The implication of an entirely separate *statute* for land use is, however, that its principles would be quite different from those applying to other domains. Here, we can consider the coastal environment, which also looks very different. Yet we do not consider it necessary to put that into a different act. So does land use (urban, built, or otherwise) warrant a fundamentally different set of decision-making principles? We urge caution here. Historically, we may have thought of town and country planning as being quite a different thing to environmental protection. The former was primarily about sanitary conditions and health concerns, and subsequently about managing people’s interactions with each other when living in close proximity.⁴² The latter was about stopping point source pollution and protecting specific areas or species from harm (more akin to our conception of nature “conservation” or the “commons”). However, in our view, thinking has moved on.

We are painfully aware in 2019 that how we use land has significant implications for the wider environment; they are not separate things. Urban development and expansion does not just discharge construction sediment and wastewater to rivers and the sea; it also has more systemic implications over the long term for biodiversity,

the climate, and food production. If done right, it can also be positive (eg by recognising the value of urban biodiversity corridors). Rural land uses (eg dairy or forestry conversions) have similar implications. Our land use choices can lock in environmental risks for decades to come. For example, it can take many years for agricultural nutrients to find their way into water bodies, and afforesting steep land can create an expectation for clear fell harvest decades into the future.⁴³ It is particularly difficult to reverse urban sprawl once it occurs – we are giving up many alternative land use choices (eg food production) when we concrete over soils, and locking in transport modes in our choice of urban form. These decisions have significant long term environmental consequences. Of course, equally robust or even identical environmental principles could be built into a Planning Act dealing only with land use. But then, what would be the point of splitting up the RMA in the first place?⁴⁴

There are also important cross-cutting concepts like landscape, ecosystem-based management, and catchment scale management that require a tightly integrated regime between land use choices and their consequences for other domains. How would these concepts be meaningfully provided for if land use planning were to be located under a different regime? To us, this suggests the need for a single act restricting land, water, air and so forth.

There are four potential reasons we might want to split the RMA into statutes focused on planning and environment: (1) to better coordinate decision-making on land use and infrastructure; (2) because the kind of tools required for land use and other environmental domains would be fundamentally different; (3) to provide a more agile planning process for land use decision-making; and (4) to make decisions on land use under a separate purpose or principles. We find the latter three unconvincing, and note that coordination issues can – and must – be addressed in other ways.

In short, we see risks in splitting the RMA, especially if based on the idea that land use and other domains are subject to different principles. How land is used – and not just the health of the soil under it – is a crucial part of the environment, and strong connections need to be made between all aspects of the biosphere. Often, how we manage land is crucial to a precautionary and preventative approach to environmental management more broadly.

Again, we emphasise that more clearly needs to be done to align or coordinate RMA land use planning with infrastructure planning and funding under other frameworks. That is important for a generally efficient system, as well as to ensure that housing supply issues are addressed. But the main issue here is one of coordination of process, not the need to weaken environmental protections in the face of development pressures. There are ways to do that (eg through cross-statutory spatial planning, and aligning decision-making timeframes).⁴⁵

An integrated statute like the RMA – combining decision-making on land use and other aspects of the environment like water, soil and air – should remain at the heart of a future system. Greater coordination between land use and infrastructure planning and funding is needed, and can occur in other ways – including a layer of strategic spatial planning (discussed later).

Questions for discussion:

- Do the pros of retaining an integrated statute like the RMA outweigh the cons?
- Is it more important to have connections between land use decisions and the management of other aspects of the environment within one statute, or is it more important to have such connections between land use decisions and associated infrastructure needed to support urban growth and development?

6.4 An Oceans Act

Finally, we note in the context of splitting the RMA that we are floating the idea of a separate “Oceans Act”. This would not be a split between domains (eg land vs other domains) in the same way as the concept of a Planning Act, but rather a spatial separation (applying roughly beyond 3 nautical miles) in a conceptually similar way that the RMA is currently separated from the EEZ Act. An Oceans Act would provide for the more tightly integrated management of the deep sea, by integrating various other legislation relevant to oceans in one place.⁴⁶ An integrated RMA would continue to apply to the coastal area within roughly 3 nautical miles. Oceans legislation is explored further in Chapter 11.

We are floating the idea of a separate Oceans Act managing the marine area from (roughly) 3 nautical miles, which is discussed in Chapter 11.



Colville Channel

6.5 Significant change to the RMA: Why is it needed?

Just because we do not recommend splitting up the RMA into environmental and planning legislation does not mean we believe the Act should remain as it is. We see merit in some fairly significant legislative, institutional and process changes. These would be needed to reflect our criteria, including what they have said about the roles the system is expected to play in the future. In particular, change to the RMA is needed to protect biophysical bottom lines, to more actively recognise and pursue positive outcomes above bottom lines (including environmental enhancement and urban development), to implement the Treaty relationship, and to provide for allocative functions. In this chapter, we consider changes to the purpose and principles of the Act. In the chapters that follow, we consider changes to planning processes (and associated institutional measures) at both national and local levels.

The current RMA has failed to protect many biophysical bottom lines that it was meant to.⁴⁷ This is a serious problem, with the defence of bottom lines among the most absolute requirements of the criteria we adopted in Chapter 3. A new RMA must, and will, do so better, even though it will not be the *only* framework under which bottom lines are imposed.⁴⁸

The RMA needs to do much better at defending environmental bottom lines.

In the Phase 1 report we looked at the question of what a biophysical “bottom line” means.⁴⁹ Not all environmental protections warrant this term. Instead, we are treating bottom lines as those aspects of the biophysical world that are sacrosanct, and are described in terms of inflexible outcomes rather than trade-offs. Many are fundamental to human survival and basic wellbeing (eg a drinking water supply that does not make anyone sick, or rivers that are swimmable), while others recognise the intrinsic worth of elements of the natural world (eg preserving the wild and scenic nature of some rivers).⁵⁰ Often these things go together (eg the moral right of nature as a whole to persist and regenerate, by which it also supports human life and wellbeing).

Bottom lines (statements of outcomes) also need to be translated into firm limits or restrictions on what people are or are not allowed to do. They need to “bite” in a regulatory sense.⁵¹ For example, to achieve waterways that are swimmable, restrictions are needed for diffuse discharges for both urban and rural activities. Specific regulatory limits may need to change over time (eg become tighter) in order to make sure bottom line outcomes are not infringed or (where they have been overshot already) are recovered, but the overall goalposts should not be anticipated to shift according to government policy. They are about preventing or fixing a clearly defined outcome, not considering various matters or mitigating harm.

Environmental bottom lines are outcomes-based lines in the sand that need to be defended strictly and vigorously against erosion by cumulative human actions. They are not just about preventing harm; in some cases securing bottom lines is about enhancing the environment to an acceptable state. They need to be translated into firm regulatory restrictions on human action.

In workshops, we heard some people object to the very concept of a “bottom line”. It was described as unambitious and as setting a low bar when what we need is a more aspirational, proactive push towards enhancement and restoration. Let us be clear: in no way are we advocating for a system that *only* imposes bottom lines. We also see a pressing need to improve environmental outcomes considerably, and to align incentives so that economic and social drivers actually enhance the environment.⁵²

However, we still see a bottom line as a valuable concept. If we do not set a firm threshold between the outcomes that are absolutely unacceptable and those that we are wanting to push towards (improvement), it raises risks that the two get blurred in decision-making, to the detriment of bottom lines. That has been the experience under the RMA, because the distinction between bottom lines and trade-offs has been conflated in interpreting Part 2 of the Act.⁵³

It may be useful to imagine going out on a bike ride: you are legally compelled to wear a helmet (protecting your head is a bottom line), but that does not mean you ever intend to even come close to falling off. Instead, you will seek opportunities that both improve your safety and maximise your enjoyment and the enjoyment of others. The resource management system should not be too different from that mentality, in that bottom lines are a necessary, but not sufficient, safety net. In the context of the corporate world, there is an analogy to be made with a company that is trading while insolvent. That outcome is never the aim for shareholders or directors – and is to be avoided if at all possible – but the law still draws a line in the sand where to do so is not acceptable for the wider public good.

The concept of an environmental bottom line is not enough for environmental wellbeing. However, it is a valuable and necessary measure in a future system.

6.6 What’s wrong with Part 2 of the RMA?

With this brief discussion on bottom lines in mind, we can turn to what specifically needs to change about the RMA. This will not *just* be about recognising environmental bottom lines. The Act is also deficient when it comes to urban matters and allocative matters, as well as Treaty obligations. Part 2 – the RMA’s purpose and principles – has been described as the normative “engine room” of the Act.⁵⁴ If the RMA is to remain, it is a logical place to start when thinking about reform.

Over the years, there have been many attempts to change Part 2. Some (such as a focus on natural hazards) have succeeded politically, while others have failed.⁵⁵ The purpose of the Act in section 5 has proved remarkably stable (although some might say that is because it can mean anything to anyone). More attention has tended to focus on what needs to change in sections 6 and 7 of the Act, which is where most environmental bottom lines, and other normatively meaningful statements, are contained.

Part 2 is important not just because it contains the purpose of the Act (a useful statement about what the rest of the Act is designed to do and an aid to interpretation), but also because it has a very active and direct role to play in specific, legally binding decisions. While it is not an “operative” provision,⁵⁶ very few other statutes have a purpose or principles section with the direct legal influence of Part 2,⁵⁷ or a framework whereby public decisions are legally scrutinised with such care against these provisions (often by a specialised court).⁵⁸ Part 2 will be an important touchstone – and often an ultimate legal test – for decisions that perform several different roles under the Act (imposing bottom lines, protecting Māori interests, allocating resources etc).

With respect to bottom lines, the range of “topics” or “domains” contained in Part 2 (notably sections 6 and 7) is generally appropriate. The lists, containing things like public access, historic heritage, ancestral lands, and indigenous vegetation, are certainly hard to argue with at a conceptual level. In many ways (with some glaring exceptions like climate change), the Act’s framing of the things we value remains as relevant today as it was in 1991.

This is an understandable motivation behind some commentators’ desire to retain Part 2 itself and focus instead on better implementation through process and institutional change. For example, some have recommended that “the core principles and fundamental approach of the RMA ... be retained” as well as the hierarchy of sections 6 and 7.⁵⁹ To some extent we agree, and in the Phase 1 report we indicated that many of the matters in Part 2 provide a good starting point for thinking about what a future system needs to treat as sacrosanct.⁶⁰ Where there is desirable case law to be retained, a future Part 2 should piggyback on the kinds of language that underpinned those decisions.

However, on balance, we see merit in reworking Part 2 more thoroughly, even if many changes would build upon what we have at the moment. This is for a number of reasons, which we outline below. Some relate to the need to more clearly recognise environmental bottom lines. Others relate to allocation, the Treaty of Waitangi, and positive (including urban) outcomes.

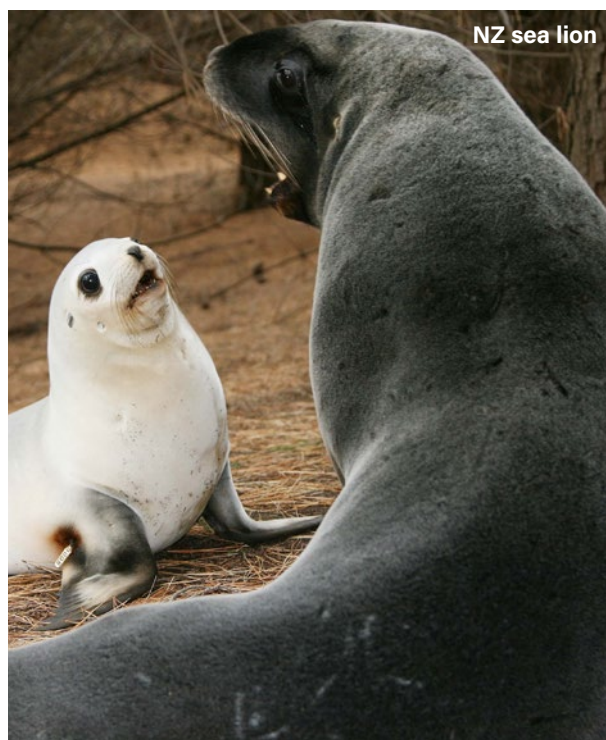
1. There needs to be a clearer distinction between the kinds of outcomes that are true environmental bottom lines (eg freshwater quality, biodiversity) and aspects that are more inherently about trade-offs where there is a need to balance many interests (eg urban amenity, the efficient use of resources). Part 2 is not just a policy framework within which many value-based

judgments are to be resolved⁶¹ – some values need to be preeminent as a matter of law.⁶² And where values are not preeminent, there needs to be clearer guidance about what that means for trade-offs.⁶³

In practice, the stronger and more active direction in section 6 of the Act, which largely contains key biophysical protections rather than matters that are likely to come into tension, have been treated as resembling bottom lines.⁶⁴ Those things need to be “recognised and provided for”. In contrast, section 7 contains a more diverse (yet still clearly incomplete) range of matters, some of which are biophysically focused and others that are not.⁶⁵ These things need to be had “particular regard” to. Yet there is significant room for interpretation, and it is still by no means clear that there are coherent reasons for some things to be “elevated” to section 6 and other things to be “demoted” to section 7.

Overall, Part 2 could be said to lack a clear and coherent vision. It would therefore, in our view, be useful to introduce and specifically define the term “bottom line” in terms of a series of inflexible outcomes to be achieved, rather than relying on wording that still requires legal weighting to be considered for particular things (or which places weight only on things that are considered to be matters of *national* importance).⁶⁶

2. There is a need for a clearer statement in Part 2 concerning the *relationship* between clearly defined bottom line outcomes and trade-offs. The former needs to be more explicitly insulated from the latter than at present (eg by replacing the term “while” in section 5 with the term “subject to”). As explored in the spotlight below, the *King Salmon* jurisprudence took positive measures, but has still not really addressed the crux of this issue.



3. There are also problems with how several so called "bottom lines" (notably in section 6) are expressed. In particular, using words like "inappropriate" and "significant" to qualify protective provisions are vague and can create perverse or unclear outcomes that often rely on private litigants to clarify.⁶⁷ For example, we consider that landscape protection should also explicitly include landscapes that are only partly natural.⁶⁸
4. The existing Part 2 also strikes us as a fairly scattergun approach to particular topics,⁶⁹ and incomplete in its coverage. Climate change mitigation is a good example of something that is missing in action, but there are also questions around why, for example, the protection of the habitat of game fish species should be singled out over aquatic habitat more broadly, or non-significant habitats of indigenous fish.⁷⁰ It is, moreover, nothing short of alarming that freshwater quality is not explicitly included as a matter of national importance.⁷¹ Soil conservation is singled out in section 5 but, strangely, not in sections 6 or 7.
5. There is a need for Part 2 to more strongly recognise the need for environmental enhancement and restoration. The Act is not just about setting bottom lines and then seeing what people choose to do. Having "particular regard" to the maintenance and enhancement of the environment is no longer good enough, especially since it is not directed at any particular outcome (What are we restoring? To what end? By when?).⁷² It is clear that restoration is now a matter of national importance in order to achieve bottom lines that have been infringed.

Furthermore, we can question whether the "passive" language in sections 6 and 7 is good enough. "Recognising and providing for" is a strong direction, but the descriptions of the things being recognised and provided for ("preservation" or "protection" of various matters) envisages a world in which we are stopping further decline rather than recognising we have already overshot in many areas. The environment is on the defensive. The general direction to "avoid, remedy and mitigate", enshrined in section 5 – especially "mitigate" – is a tacit invitation to make things worse, not better.⁷³

6. More broadly, there is a need for the Act's purpose and principles to be more outcomes-focused rather than effects-focused.⁷⁴ It needs to upgrade from the reactive concept of management, to one embracing the need for active and conscious change – both to achieve bottom lines that have been infringed and to pursue positive social and environmental outcomes beyond them (including resilience).⁷⁵

Currently, the protective matters in section 5 – the lodestar of the Act – set a fairly low bar for what the Act is trying to achieve ("... to meet the reasonably foreseeable *needs* of future generations"; "safeguarding the *life-supporting* capacity of air, water, soil, and ecosystems"). We suggest that we require more ambitious targets to be embedded into the

fabric of the Act, and proactive measures to achieve them.⁷⁶ In the Phase 1 report, we mentioned the more proactive approach of the Welsh Wellbeing of Future Generations Act 2015, which sets out seven wellbeing goals for the future (including, for example, by defining a "resilient Wales").⁷⁷

7. Firmly subject to the need to defend bottom lines, there is a need to give greater recognition to the benefits of using resources (including the way in which land is used in, for example, urban planning). The RMA is about much more than just imposing minimum environmental standards and then walking away to let the market work its magic. It is also about planning resource use in a way that improves overall wellbeing, and facilitating trade-offs and resolving tensions between competing values.⁷⁸

Social and economic factors are increasingly relevant in how we manage resources as a country, despite some historical resistance to engaging with them in Part 2.⁷⁹ For example, it is far from ideal that we now have national direction being promulgated on the protection of highly productive (food producing) land, largely on the Part 2 "hooks" of using resources efficiently or considering their "finite characteristics".⁸⁰ Where is the reference in the RMA to the true issues and outcomes – food security for future generations, social resilience, and the land use that will have the most benefit for society in a future besieged by uncertainty and risk?

8. The weak obligation in section 8 to take into account the principles of the Treaty of Waitangi, in a framework with environmental wellbeing and natural resource management at its heart, seems inconsistent with the Crown's Treaty obligations.⁸¹
9. There is a need to provide some kind of meaningful normative "hook" for resolving allocative questions (eg for freshwater and coastal space). This function is specifically provided for in the Act,⁸² but there is no meaningful guidance in the purpose and principles as to what should drive such decisions or what outcomes that would be expected to achieve.⁸³ That is a fairly astonishing (albeit politically understandable) omission, given how foreseeable these issues have always been. The relationship between the principles of the Treaty of Waitangi and allocative guidance will be significant, especially in the context of freshwater.

We see a need for Part 2 of the RMA to be reconsidered rather than just added to or amended. It needs to better provide for a more coherent set of true environmental bottom lines (including action where these have already been infringed). That is its first, and overriding, task. Beyond that, it needs to more explicitly pursue positive outcomes, recognise the value of responsible resource use (including urban design), give effect to the principles of the Treaty of Waitangi, and provide a normative hook for questions of allocation to be considered.

A spotlight on Part 2 of the RMA: Why is *King Salmon* not enough to protect bottom lines?

The *King Salmon* jurisprudence has made a significant positive contribution to how environmental bottom lines are recognised in the RMA.⁸⁴ The legal position prior to the case was that decision-makers were to engage in reaching what was generally called an “overall broad judgment” when making decisions.⁸⁵ That meant that a decision-maker was ultimately to have recourse to Part 2 of the RMA in balancing the benefits and costs of a proposal, even if objectives and policies in lower planning instruments were much more specific, directive and protective.

In *King Salmon*, the Supreme Court overturned that approach. It emphasised that in certain circumstances the Act was about defending firm environmental bottom lines set under it, not weighing up many factors. Central to the decision was the fact that the NZCPS contained directive and firm provisions concerning the protection of the coastal environment.⁸⁶ It made clear that national direction could impose firm, policy-based⁸⁷ bottom lines and that subsequent lower-level decisions would not be allowed to undermine them by referring back to the wider, more balanced set of considerations in Part 2 of the RMA. Since 2014, the Supreme Court’s message has been applied and refined through a number of other decisions.⁸⁸

However, overall, this line of case law falls short in a number of senses. It has since been made clear that a balancing approach (including in the consenting context) will often still need to happen (eg where there are no firm and directive policies to point to, or where there are multiple provisions that conflict).⁸⁹ The Supreme Court also said that Part 2 is not an operative set of provisions; it sets an expectation that a cascade of subordinate instruments will impose strict protections.⁹⁰ But it does not itself *demand* that firm bottom lines are generated through planning instruments; regional plans are not mandatory, rules are not required, and the government could make the NZCPS *less* protective if it wished.⁹¹ *King Salmon* does not change the “deliberate openness” of Part 2 itself.⁹² The important lesson from the Supreme Court is, essentially, that authorities can impose bottom lines if they consider Part 2 demands it, and it is not permissible to undermine a higher level authority’s decision to do so.⁹³

In the context of the coastal environment, that is a very good thing. Reasonably firm environmental bottom lines are imposed under the NZCPS for varying (including historical and cultural) reasons. But outside of the coastal environment, the policy landscape is much more varied, and there are fewer comparable bottom lines to give effect to (especially in national direction).

There are other risks here, too. As the government becomes more active in producing national direction, not all of it is about setting environmental bottom lines. A concerning trend is, essentially, for the RMA to be used to impose “top lines” in the interests of wider policy agendas, even where corresponding national level environmental bottom lines are not in place.⁹⁴ This highlights something of an identity crisis about what the RMA is really for, which has been at least latent since its inception.⁹⁵ For example, the latest discussion document on a proposal for a new NPS on Urban Development specifically talks about bottom lines as *minimum* levels of development.⁹⁶ A similar trend can be seen in the NES for Plantation Forestry, where in the interests of inter-jurisdictional consistency there are limits on the environmental restrictions councils can impose, despite Part 2.⁹⁷

This is not to say that those measures are inherently undesirable. It is simply to point out that there are risks that the key contribution of *King Salmon* – the primacy of firm and directive policies, especially in national direction – can swing both ways depending on what those policies actually say. The jurisprudence sounds protective, but is not necessarily so. To us, this suggests a need to focus on improving Part 2 itself, to ensure both that national direction is appropriate and that any balancing that continues to be necessary has constraints based on clear bottom line outcomes.



A spotlight on urban issues in Part 2 of the RMA

The RMA is not just about imposing environmental bottom lines, despite how some have perceived it. The reality is that, even above firm bottom lines, many trade-offs need to occur. Planning is also about actively pursuing people's and communities' wellbeing. This is particularly the case in urban settings, where there are more people doing more things close together; these activities can be coordinated in ways that both minimise their bad effects and enhance people's lives (sometimes described as agglomeration benefits). In other words, "good planning practice goes well beyond the avoidance, remediation and mitigation of adverse effects on the environment; it is about maximising good social, economic and cultural outcomes in their own right".⁹⁸ For example, while urban density is not appropriate everywhere, it can have significant benefits for both the natural environment and other indicators of urban wellbeing.⁹⁹

Some have complained that this kind of thinking is not well reflected in Part 2 of the RMA.¹⁰⁰ In the Phase 1 work, we pointed out that:¹⁰¹

To some, the RMA is little more than a "regulatory" statute (one that addresses "bads"). For example, [Part 2] contains scant references to social, economic and cultural wellbeing or the benefits of urban development and design. It is reactive. Some have even said that "the concept of sustainable management has failed to provide a philosophical foundation for planning under the RMA".¹⁰²

... we have sympathy for those who complain that the RMA is not a particularly proactive or inspirational framework for planning our cities. A future system needs to be more explicit and specific about what many of its users already practice.

If an Act like the RMA is going to be used to actively pursue social, economic and cultural wellbeing in cities in a proactive way, we suggest that its purpose and principles should be amended to reflect this.¹⁰³ It is anomalous that we are now seeing national direction on urban matters (eg "quality urban environments") being developed under an Act with a purpose and principles that have very little to say about them, aside from the need to address adverse effects and to consider amenity and the efficient use and finite characteristics of land.¹⁰⁴

Previous suggestions to include the value of resource use alongside protective matters in Part 2 (in a non-hierarchical way) were, quite rightly, met with strong resistance and ultimately failure (notably in the wake of the recommendations of the Minister's Technical Advisory Group on the purpose and principles of the RMA).¹⁰⁵ This is because such proposals were intended to conflate environmental bottom lines with the making of trade-offs, and essentially codify the "overall broad judgement" approach that was, at the time, the legally correct approach.¹⁰⁶ It was not the right one.

What we are suggesting here is very different. Bottom line outcomes would be defined and firmly protected. Only above them would there be the ability to consider the benefits of development. We do not think that this would be environmentally unfriendly. In fact, we envisage that many of the development-focused matters to consider would strongly integrate environmental outcomes, in order to embrace the many synergies that exist (eg in the densification and greening of urban areas, the energy efficiency and climate change benefits of compact urban form etc).¹⁰⁷ As we have mentioned previously, "we need no longer accept a project that enhances economic [indicators of] wellbeing must come at an environmental cost".¹⁰⁸ Nor, we might add, should opportunities be passed over for *improving* the environment.¹⁰⁹ At present, the lack of guidance in the RMA means there is a risk that development is seen as constantly in conflict with the environment, and as constrained by protections and red tape. The system needs to move towards a model where, through careful planning, the benefits of both can occur at the same time.¹¹⁰ Part 2 needs to reflect that better.¹¹¹

The RMA needs to set firm environmental bottom lines, but also provide for greater recognition of the benefits of good urban design and development as long as those bottom lines are not infringed. Good urban design should include strong recognition of the synergies between urban and environmental outcomes.

Question for discussion:

- Does Part 2 of the RMA need to be rewritten, or amended in less fundamental ways?



6.7 Is changing Part 2 worth the effort?

When it comes to changing Part 2, pragmatic considerations are also important. It has become something of a political football,¹¹² and that is unlikely to change. Amendments would also involve disruption to provisions that have proved remarkably resilient and stable when a lot of other things have changed in the RMA. To some that may be good; to others it may be bad. Some have expressed unease about “giving up” jurisprudence like *King Salmon*.

However, we are not convinced that a desire to retain case law on Part 2, or to retain the stability of the current system, should be overriding factors in reform if changes are both politically realistic and would drive better outcomes.¹¹³ There are certainly risks to be aware of, and many questions of detailed drafting to be worked through to avoid unintentional consequences.¹¹⁴ But the reality is that significant changes in outcomes are clearly needed, and Part 2 is uniquely placed to be one driver for that change.¹¹⁵ We should not shy away from that challenge; fundamental reform means questioning or strengthening the norms that arose in a time very different from the present and no longer reflect society or the current biophysical context. Even if Part 2 is not to *blame* for our problems (some suggest focusing on poor implementation and process),¹¹⁶ changes to it can still make a meaningful contribution to solutions. In short, disruption is part of the point. Within that, we must be careful to embed, and build on, positive aspects of case law. In particular, *King Salmon* provides a good foundation for change, but (as explored earlier) can be taken further.

In workshops, we also heard a quite different perspective. Some said that rethinking Part 2 of the RMA is a red herring. It was put forward that meaningful change will not happen by agonising over the specific words used in a general statement of purpose and principles. That is particularly the case with section 5, in that sustainable management is arguably only a buzzword, “pushing and pulling the boundaries of true primary norms”.¹¹⁷ We would by no means go that far – the ink that has been spilled in court defining almost every word in Part 2, and cross-referencing to it in the Act,¹¹⁸ reinforces a view that it is significant. So too does a new provision specifically stating that plans must include only matters relevant to the purpose of the Act.¹¹⁹ But we do take the point that, in isolation, changes to the Act’s purpose and principles will not be *enough*. We explore institutional and procedural changes to the RMA below, but also recognise that a lot comes down to more fundamental social and economic incentives that people face in society and the economy.¹²⁰

The extent to which reform of Part 2 is needed may therefore depend on how much we expect these provisions to do. On the one hand, have we come to expect too much from a list of general principles?

Are decision-makers drawn reluctantly back to the generalities in Part 2 because they cannot always trust the coherence, robustness or completeness of subordinate instruments made under the Act? In other words, would the importance of Part 2 diminish if we got higher level instruments right in the first place?¹²¹ On the other hand, don’t we *need* a reasonable degree of legal precision and clarity in Part 2 if it is to form the basis of even high level decision-making in a space that will always contain fiercely contested values and discretionary decision-making?¹²²

We suggest the answer is somewhere in between. A strengthened Part 2 will remain extremely important as the top of a cascade of decision-making criteria in a reformed RMA, and will set a crucial normative tone for what people do under the Act. It is well worth the reform effort. But we should also not expect to find all the answers there, or rely on it too much. It is a starting point, not something that needs to provide for every eventuality.

We therefore remain unrepentant about suggesting the inclusion of fairly subjective concepts like “fairness” or “environmental justice”¹²³ in a revised Part 2 (see below). After all, similar concepts like “justice” pervade our legal discourse and have done for centuries, without a single definition; yet they are still vital to our legal system. Indeed, an entire field of law has developed (albeit in other contexts) around “equity”,¹²⁴ and inter-generational equity already appears in the RMA.¹²⁵ There are even proposals for national direction that include terms like “quality urban environments”.¹²⁶ The reality is that ideas like fairness will always come up in resource management decision-making (especially for allocative questions, the distribution of adverse effects, and transitional measures). Recognising this in legislation at least provides a hook or anchor for such questions to be explored, even if concepts cannot be defined exhaustively.¹²⁷

On balance, we consider that the need to drive change through a revised Part 2 outweighs pragmatic concerns (eg changes to case law). The purpose and principles of the Act would continue to be legally meaningful, and would therefore be well placed to drive change when accompanied by further reforms to processes, subordinate instruments, and institutions.

We do not include specific drafting in this working paper. Instead, we propose to include a draft revised Part 2 in the final report, in light of feedback. We consider that this change could usefully happen in the short-term (within a single parliamentary term). This is because it is something that would be able to be drafted in a single bill, and norms are a good starting point for change (they need to drive all subsequent decisions). There would, of course, need to be an appropriate term for transitional arrangements (eg for planning instruments to be reworked over time to give effect to it). For now, we simply offer our thoughts on what a revised Part 2 would do differently.

A spotlight on a revised Part 2 of the RMA

In our proposed model, a revised Part 2 would:

- Replace “sustainable management” with a more aspirational and wide-ranging collection of outcomes: sustainability, resilience, liveability, health, and fairness
- Specifically refer to the importance of climate change mitigation
- Remove the specific reference to avoidance, remediation and mitigation. Decisions could still *require* these things, but they would need to do so in a way that complied with the purpose and principles of the Act
- More clearly define the kinds of things that are subject to bottom lines (eg including freshwater, but excluding urban amenity),¹²⁸ including recognising the intrinsic worth of nature as a whole¹²⁹
- Strengthen and clarify the legal direction in relation to things that are truly bottom lines (in that broader considerations of wellbeing would be “subject to” biophysical bottom lines)
- Clearly *set* bottom line outcomes (not just provide for them to *be* set in subordinate instruments). These would be expressed in language embracing both Māori and European traditions (as in Te Mana o Te Wai)
- Make clear that bottom lines are not just about protecting and preserving what we have left, but also about returning to acceptable outcomes where the environment has been degraded already
- More clearly articulate the bottom line outcomes that are being imposed (eg rather than just “preserve” or “protect”, state that the Act requires freshwater to have a particular set of characteristics)
- Explicitly recognise that environmental bottom lines require limits on human activities
- Recognise that the natural world is a human “habitat” vital for life, not just a supermarket shelf of resources to be exploited or “environmental” values to be protected
- Be geared towards positive action (including environmental enhancement), not management
- Strengthen directions in relation to the Treaty of Waitangi (including to “give effect to” Treaty principles)
- Better reflect the wording of the Declaration on the Rights of Indigenous People and the Rio Declaration, and envisage the “growth” of ancestral relationships
- Provide for the consideration of mātauranga Māori alongside other forms of knowledge
- Subject to (and embracing synergies with) bottom lines, recognise the importance of good urban planning and design and responsible resource use
- Recognise that people’s wellbeing is not to be secured only by enabling them to do so themselves, but also by proactively pursuing wellbeing (especially in urban contexts)
- Provide a normative hook for allocative decision-making based on fairness, efficiency and the public interest
- Recognise the importance of concepts like fairness; proportionality; environmental security; ecological, social and economic resilience; and the achievement of synergies
- Provide an explicit principle of precaution, including the use of meaningful buffer zones to insulate bottom lines from infringement
- Clarify that the interests of future generations (of both people and nature) are as important as the interests of current generations, and that a long-term view must be taken in all decision-making
- Embed concepts of net environmental gain and non-regression

Questions for discussion:

- Should we replace Part 2 of the RMA, tinker with it, or leave it unchanged?
- How significant is Part 2 in the grand scheme of reform? How much will changing it make a difference?
- Which elements of the reforms described above are desirable? Which are not?

6.8 Concluding comments

In this chapter, we have considered two related matters. The first was a question of legislative design at the heart of a future system: should we keep, or split, the RMA? In particular, we have put forward a view that there is considerable strength in having an integrated, wide ranging, and protective statute like the RMA at the core of the system. While there are many attractive things about splitting the RMA into separate statutes for planning and environment, on balance we do not recommend doing so. Central to that view is the need for land use to be proactively managed alongside other domains, in a tightly knit planning regime, to produce better environmental outcomes. That said, we do stress the need to better

align land use decision-making under the RMA with infrastructure planning and funding under separate legislation. We explore this question later in the paper.

The second matter we have considered in this chapter is the place of the purpose and principles of the RMA. In short, we see considerable potential for revision rather than just further tinkering. Part 2 is legally significant in a way that the purposes of other statutory frameworks are not (or are less so), and is therefore well placed to drive the real change that is required for the future. The mechanics of how that would be realised in practice – through planning processes that implement the normative direction of a new Part 2 – are explored in the chapters that follow.



Kaitoke wetland

ENDNOTES

- 1 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), from 38. See also G Palmer "The Resource Management Act – how we got it and what changes are being made to it" (2014) RM Theory & Practice 22; C Knight *Beyond Manapouri: 50 years of environmental politics in New Zealand* (Canterbury University Press, 2018).
- 2 Some may argue that the Act is much wider than just an environmentally protective one. For example, the definition of "environment" is much wider than biophysical concerns, and includes communities.
- 3 See New Zealand Productivity Commission *Better urban planning* (2017) at 97; Parliamentary Commissioner for the Environment *Managing change in paradise: Sustainable development in peri-urban areas* (2001); B Rae "Urban design and reform of the RMA" (April 2009) Resource Management Journal 16; New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 4 Although subordinate instruments can and do take a more focused approach – eg for forestry or urban areas.
- 5 Although those can be targeted within subordinate instruments (eg forestry, urban areas) and some sectors like aquaculture and renewable electricity generators are, rather unusually, singled out in the Act itself.
- 6 For example, the following are (at least currently) beyond its mechanics and require measures to be taken elsewhere: waste minimisation, the internal design of buildings, restrictions on greenhouse gas emissions, fisheries stock management, export restrictions on native timber, etc.
- 7 G Palmer "The Resource Management Act – how we got it and what changes are being made to it" (2014) RM Theory & Practice 22; S Elias *Righting environmental justice* (address to the Resource Management Law Association, 25 July 2013) at 2.
- 8 See MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (2017); MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018); M Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (Catalyst, 2018).
- 9 In short, these principles can be described as: coherence, certainty, accessibility, integration, durability, being tailored to New Zealand circumstances, and efficiency.
- 10 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 8.
- 11 See Parliamentary Commissioner for the Environment *Submission to the Minister for the Environment on improving our resource management system* (Discussion document, 2013) at 9; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 145.
- 12 On potential distinctions between "urban" or "built" and "natural" environments, see New Zealand Productivity Commission *Better urban planning* (2017); New Zealand Government *Urban development authorities* (Discussion document, 2017); *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010); New Zealand National Party "New urban planning law for cities" (Press release, 4 September 2017).
- 13 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019); Local Government New Zealand *A "blue skies" discussion about New Zealand's resource management system* (2015) at 41. Also see generally A McLeod "From scratch" (2012) 185 Planning Quarterly 10.
- 14 For example, heritage legislation.
- 15 It could also establish and provide for the wider functions of institutions, including local government.
- 16 A focus on regional planning is because such proposals are sometimes accompanied by regional amalgamation of councils themselves. However, that is not a pre-requisite to legislative separation.
- 17 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 282–283 (Fig 14.4).
- 18 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 19 Ibid.
- 20 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 59.
- 21 As explained later in this chapter, this continues to be an issue, despite the *King Salmon* jurisprudence.
- 22 Obtaining a mining permit does not remove the need to obtain resource consent under the RMA.
- 23 On the risks of constant tinkering, see S Berry and H Andrews "The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015" (September 2016) Resource Management Journal 1; G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev.
- 24 At 132.
- 25 At 141, 144, 169.
- 26 See generally New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 27 Although, as noted earlier, not all blame for housing unaffordability can be laid at the door of restrictive land use rules and policies under the RMA. See T Hazledine "Economics and the resource management system" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 158.
- 28 Compare also the more extreme proposal for an urban development authority, discussed in Chapter 10.
- 29 That is often not made explicit. For example, Infrastructure New Zealand sees the role of an Environment Act as including the protection of "land" as something distinct from the "planning" of land use (see New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 77). But if both frameworks are intended to have a role in how land use decisions are made, is this more, or less, integrative than the RMA? Are there, instead, different reasons or trigger points when each Act would be expected to control land use? It may, alternatively, be that Environment Act protections are intended to refer to the protection of soil health rather than the spatial aspects of land use (what activities can go where relative to each other).
- 30 Which tend to be more certain, and can be managed more easily: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123.
- 31 For example, the Building Code, the emissions trading scheme, product stewardship schemes, packaging, labelling and transport requirements for hazardous substances, and pest management plans.
- 32 Spatial planning would be a different tool, but that relates to the need to align land use and infrastructure (explained above), not a fundamentally different way of controlling land use itself.
- 33 Auckland as a region is, of course, not all urban.
- 34 Resource Management Act 1991, sch 1, pt 5.
- 35 See Office of the Minister for the Environment *Proposed Resource Management Amendment Bill: Stage 1 of a resource management system review* (Cabinet paper, 2019).
- 36 See the proposed changes to plan making for freshwater in the Resource Management Amendment Bill 2019, cl 13.
- 37 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at ch 8.
- 38 See *North Shore City Council v Auckland Regional Council* (1996) 2 ELRNZ 305 (EnvC) at 344–346. Contrast *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [24]; but compare aspects of *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283. On the turbulent history of Part 2 in the courts, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 39 See New Zealand Productivity Commission *Better urban planning* (2017).
- 40 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100–105.
- 41 Ibid at 103.
- 42 Urban design has developed considerably since those days, to encompass things that are much more about enhancing a community's wellbeing in places where they live, play and work.
- 43 Or a difficult trade-off between harvesting pine trees or letting them fall down. There are many other examples of where land use choices have systemic environmental impacts or risks – eg planting new trees requires a lot of water, and planting monoculture can create risks of disease.
- 44 Duplication and overlap should be avoided unless there is good reason for it: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 125; Legislation Act 2012, s 3(e)(ii).
- 45 See chapter 9. See also the legislative design principle of integration discussed G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 124.
- 46 For example, the EEZ Act, Maritime Transport Act, and aspects of the Biosecurity Act.
- 47 See Ministry for the Environment and Statistics New Zealand *New Zealand's environmental reporting series: Environment Aotearoa 2019* (2019).
- 48 For example, environmental bottom lines are also found in conservation legislation, biosecurity legislation, and many other acts.
- 49 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 94–100.
- 50 Some may argue with the concept of intrinsic value, and an alternative way of thinking about it is the overriding value that *people* place on particular aspects of the natural world (eg the survival of the kiwi) even if they do not have affect human's basic needs.

- 51 Compare Parliamentary Commissioner for the Environment *A Zero Carbon Act for New Zealand* (2018) at 10.
- 52 For example, through valuing the natural world (through ecosystem services or natural capital accounting).
- 53 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7.2.
- 54 *Auckland City Council v John Woolley Trust* (2008) 14 ELRNZ 106 (HC) at [47].
- 55 In particular, the most recent proposals to reshape sections 6 and 7 into a completely different configuration were unsuccessful.
- 56 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [151].
- 57 Of course, the *King Salmon* jurisprudence has, in a sense, reduced the direct effect of Part 2 in cases where subordinate instruments are clear on a matter, but those subordinate instruments themselves are only influential because they have been created to directly implement Part 2.
- 58 Many other discretionary decisions of a public nature are made in accordance with a prescribed process and guided by decision making principles, but with legal challenge being done by way of general administrative law principles (reasonableness, relevance etc) rather than an extensive legal definition of a statute's purpose statement.
- 59 M Williams "Resource management system: Reform or transform?" (2018) Resource Management Journal 3 at 3. On sections 6-8 as a hierarchy, and the nature of the language used, see *Unison Networks Ltd v Hastings District Council* EnvC Wellington W011/09, 23 February 2009.
- 60 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), at 156.
- 61 On the view that sustainability is inherently value-based, see N Robinson "Re conceptualising sustainability: The Anthropocene agenda" (2015) 11 RM Theory & Practice 99 at 100-102; D Young *Values as law: The history and efficacy of the Resource Management Act* (Victoria University of Wellington Institute of Policy Studies, 2001) at 31; B Harris "Sustainable management as an express purpose of environmental legislation" (1993) 8 Otago Law Review 51. Compare E Louka *International environmental law: Fairness, effectiveness, and world order* (Cambridge University Press, 2006) at 19.
- 62 Richard Macrory describes these as having a moral dimension if contained within primary legislation: see R Macrory *Regulation, enforcement and governance in environmental law* (Bloomsbury, 2014) at 264.
- 63 As Tim Denne has pointed out, "decision-making criteria can become paralysed" in the absence of trade-offs: see T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 64 See *Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991* (April 2012) at 13; *Wakatipu Environmental Society Inc v QLDC* [2000] NZRMA 259.
- 65 For example, section 7 provides for things like the "efficient use and development of natural and physical resources".
- 66 For example, one bottom line outcome could be no further loss of wetlands.
- 67 See, for example, Resource Management Act 1991, ss 6(a) and 6(c).
- 68 Resource Management Act 1991, s 6(b).
- 69 Compare A Dormer and ors *Report of the Minister for the Environment's Technical Advisory Group* (February 2009) at 38.
- 70 Compare M Williams "Resource management system: Reform or transform?" (2018) Resource Management Journal 3.
- 71 Resource Management Act 1991, s 6.
- 72 There is a specific function for councils to pursue environmental improvements (See Resource Management Act 1991, ss 30(1)(a) and 31(1)(a)), but the strength of direction in Part 2 ("have particular regard to") is fairly weak. Furthermore, enhancement needs to be accompanied by practical measures to achieve it, which are weak under the primarily regulatory framework of the RMA. Triggers are generally focused on adverse effects: see *JF Investments v Queenstown Lakes District Council* EnvC Christchurch C48/2006, 27 April 2006 at [40].
- 73 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7.
- 74 For example, Rt Hon Simon Upton said that the RMA would impose "tightly targeted controls that have minimum side effects" (4 July 1991) 516 NZPD 3020.
- 75 See N Robinson "Re-conceptualising sustainability: The Anthropocene agenda" (2015) 11 RM Theory & Practice 99 at 108; MH Benson and RK Craig "The end of sustainability" (2014) 27 Society and Natural Resources 777 at 778. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 224.
- 76 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 95, 106.
- 77 Ibid at 105; Well-being of Future Generations (Wales) Act 2015 (UK), s 4.
- 78 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 95.
- 79 See, for example, S Upton "The Stace Hammond Grace Lecture: Purpose and Principle in the Resource Management Act" [1995] 3 Waikato Law Review 17 at 40.
- 80 Resource Management Act 1991, ss 7(b), 7(g).
- 81 Compare R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 82 Resource Management Act 1991, s 30(1)(fa).
- 83 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 111-112. There is no provision for allocative policies to be developed, and no recognition that allocation is at all a function of central government (despite some more general policy development outside the RMA: see, for example, Ministry for the Environment *Water programme of action: Water allocation and use* (2004)).
- 84 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 85 *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC). Contrast earlier cases where the primacy of bottom lines was explicitly recognised: see *Shell Oil New Zealand Ltd v Auckland City Council* W8/94, 2 February 1994 (PT) at 10.
- 86 Section 67(3)(b) of the RMA requires a regional plan to "give effect to" the NZCPS. See *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [127]-[129].
- 87 Ones that are so firm that they have to be given effect to in rules and resource consents, rather than being directly binding in a regulatory sense.
- 88 *Man O' War v Auckland Council* [2017] NZCA 24; *Hokio Trusts v Manawatu Wanganui Regional Council* [2017] NZHC 1355; *Royal Forest and Bird Protection Society v Bay of Plenty Regional Council* [2017] NZHC 3080; *Transpower New Zealand Ltd v Auckland Council* [2017] NZHC 281; *Turners & Growers v Far North District Council* [2017] NZHC 764; *Thumb Point Station v Auckland Council* [2015] NZHC 1035; *Royal Forest and Bird Protection Society Inc v Bay of Plenty Regional Council* [2017] NZHC 3080, [2017] 20 ELRNZ 564; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283 (noting the Court of Appeal's comments about the applicability of the *King Salmon* rationale to resource consents); *Environmental Defence Society Inc v Otago Regional Council* [2019] NZHC 2278.
- 89 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316. See also *Turners & Growers v Far North District Council* [2017] NZHC 764 at [46]; *Transpower New Zealand Ltd v Auckland Council* [2017] NZHC 281 at [84]. Generally, national direction should be read in a way that reconciles any perceived conflicts: see *Royal Forest and Bird Protection Society Inc v Bay of Plenty Regional Council* [2017] NZHC 3080, [2017] 20 ELRNZ 564.
- 90 *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593 at [146].
- 91 See Resource Management Act 1991, ss 68(1), 76(1). In practice, rules are found in all plans.
- 92 On this point, see *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC); *Mangakahia Maori Komiti v Northland Regional Council* [1996] NZRMA 193 (PT).
- 93 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 94 For example, corresponding bottom lines in an NPS on biodiversity or an NPS protecting productive soils.
- 95 Essentially, the Act was a marriage between the environmental movement's concerns for biophysical bottom lines and the free market ideology prevalent in the late 1980s and early 1990s. As Caroline Miller has said, "everyone learned at least a slightly different lesson" from the RMA: see New Zealand Productivity Commission *Better urban planning* (2017) at 122, citing the submission of C Miller.
- 96 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 31.
- 97 That may make sense in relation to repeatedly litigated, narrow, scientific questions like the health effects of electro-magnetic waves from cellphone towers, but is less obviously the case where there are still many long-term environmental effects and value judgments to be made about where and how forestry operations occur.
- 98 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 108; New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 99 For example, to support efficient and environmentally friendly mass transit systems.
- 100 Compare Ministry for the Environment *Building competitive cities: Reform of the urban and infrastructure planning system – A discussion document* (October 2010); A Dormer and others *Report of the Urban Technical Advisory Group* (July 2010).
- 101 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 108.
- 102 New Zealand Productivity Commission *Better urban planning* (2017) at 258, citing C Miller *Culture and capability within the New Zealand planning system* (2016). See also S Owens "International developments in environmental planning" in R Peart (coll) *Beyond the RMA: An in-depth exploration of the Resource Management Act* (EDS, 2007); *Report of the Minister for the Environment's Urban Technical Advisory Group* (2010).

- 103 Compare *Report of the Minister for the Environment's Urban Technical Advisory Group* (July 2010) at 68; *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012) from 35; New Zealand Productivity Commission *Better urban planning* (2017) at 211.
- 104 Resource Management Act 1991, s 7.
- 105 *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012).
- 106 *New Zealand Rail Ltd v Marlborough District Council* [1994] NZRMA 70 (HC).
- 107 One may compare the somewhat vague and undefined notion of "quality urban environments" proposed to be included in an NPS on Urban Development (New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019)). This might include the importance of synergies between the social and environmental benefits of urban design choices. On the "environmental" benefits of urban design, see City of Melbourne *Green our city strategic action plan 2017-2021* (2017).
- 108 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 106. Compare See I Carlman "The Resource Management Act through external eyes" (2007) 11 NZJEL 181.
- 109 Although questions of fairness need to be carefully considered, in terms of who pays where improvements are unrelated to harm.
- 110 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 147.
- 111 There is also benefit in having a wider range of principles to consider, to provide the ability to resolve what are essentially private disputes (eg the height of a fence) without reference to lofty principles of "environmental" wellbeing. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 111.
- 112 Especially during the most recent attempts to amend it in 2017.
- 113 M Williams "Resource management system: Reform or transform?" (2018) Resource Management Journal 3 at 4 and 5.
- 114 For example, undermining the positive contribution that *King Salmon* has made.
- 115 Others are institutional or process-based.
- 116 On this perspective, Part 2 can mean anything to anyone, and sustainable management is little more than a buzzword.
- 117 See V Lowe "Sustainable development and unsustainable arguments" in A Boyle and D Freestone (eds) *International law and sustainable development* (Oxford University Press, 1999) at 31.
- 118 For example, consenting decisions are explicitly subject to Part 2 of the Act. Compare *Lee v Auckland City Council* [1995] NZRMA 241 (PT), where section 5 was described as the "lodestar" of the Act.
- 119 Resource Management Act 1991, s 18A(b).
- 120 For example, the tax system, what one's neighbour is doing, social licence, ethical perspectives, the ability to shift costs and benefits, the state of the economy, and so forth.
- 121 That is one important lesson from *King Salmon*. At [137], the Court bemoaned the uncertainty of outcome created by abandoning the specific directions of the NZCPS in favour of an overall broad judgment. However, that uncertainty of outcome is prevalent in an effects-based system that often relies on project level interpretation of general and potentially conflicting policies.
- 122 We can contrast resource management law with (for example) criminal law, where there is (with some notable exceptions), much stronger social consensus about what is right and wrong.
- 123 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 5.
- 124 See A Butler and others *Equity and Trusts in New Zealand* (2nd ed, Thomson Reuters, 2009).
- 125 Resource Management Act 1991, s 5.
- 126 New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 26.
- 127 For example, "precaution" is not mentioned under the RMA specifically, but the precautionary approach has been developed in a fairly sophisticated way in the courts. See A Gillespie "Precautionary New Zealand" (2011) 24 NZULR 364; G Severinsen "Bearing the weight of the world: Precaution and the burden of proof in the Resource Management Act" (2014) 26 NZULR 375.
- 128 This will not be an easy task but, as pointed out in the Phase 1 report, there is a significant difference between the need to protect the life supporting capacity of resources like freshwater and concepts like urban amenity (defined in the RMA as "natural or physical qualities and characteristics of an area that contribute to people's appreciation of its pleasantness, aesthetic coherence, and cultural and recreational attributes").
- 129 We provided a starting point for what these could be in the Phase 1 report (at 98), although we note that it will not be straightforward making a distinction between things that warrant inflexible bottom line outcomes and those that do not.

7. PLANNING UNDER A NEW RMA: CENTRAL GOVERNMENT

7.1 Introduction

There are limits to what reforms to Part 2 will be able to achieve. They are, in our view, helpful and necessary, but not a silver bullet. Endless legal wrangling over the meaning of specific words in a general statement of purpose and principles, especially in the context of project-specific authorisations (eg resource consents), would not provide the clarity required in a future system, for both development and environmental protection.

We therefore need to direct attention to the hierarchy of more detailed instruments that puts Part 2 into effect. We may call this “planning”.¹ In this chapter, we are floating significant change over time – albeit change that builds upon what we already have.

7.2 Tensions: Central vs local, accountability vs independence

Planning, especially in the hierarchical context of the RMA – cannot be separated from the institutional question of who should do it. Generally speaking, plan making currently occurs at three levels under the RMA: central, regional and local. There can be a tension between what is done at what level.

It is an interesting feature of the system that there is no clear delineation between central and local responsibilities by topic or domain. This mirrors the lack of clear constitutional role for these branches of government more generally in New Zealand. In this sense, the RMA does not distinguish between things like freshwater quality and urban amenity – in theory, both can be tackled by multiple levels of government. In practice, central government has often been seen as a reactive intervenor in a resource management system that is, by default, largely devolved (except in the context of coastal management).² Over the first 20 years of the RMA, this may have created an expectation of subsidiarity as localism, but that is increasingly being tested as more resource management issues require, and are receiving, national input.³ For example, central interest in land use and infrastructure has spiked in recent times due to nationally significant growth issues in places like Auckland.

The delineation between regional and local functions under the RMA is clearer, although there is still some overlap when it comes to functions relating to biodiversity, regional level land use planning, cross-boundary issues, and natural hazards.⁴ The distinction largely breaks down when it comes to unitary authorities (which are both regional councils and territorial authorities in one).

There is a further tension in RMA planning between value-based democratic decision-making and technocratic independent review. We explored this question at a more general level in the Phase 1 report.⁵ A tension between independence and accountability exists at both the national and regional/local levels. For example, councils

develop regional/district plans and consider most consent applications, but merits appeals on all of these are often available to a national level, standing, expert Environment Court that has little direct accountability to communities. This arrangement is more about having a check and balance on *local* decision-making, not an independent check on *democratic* decision-making. Central government planning – primarily under the authority of the Minister for the Environment – is not subject to the same independent judicial oversight, but there are varying degrees of independent input on a recommendatory basis (eg boards of inquiry). That said, when it comes to project-specific decisions, independence is relatively strong at the national level compared to the local. Ministers are expected not to get their hands dirty. For example, resource consents can be called in by the Minister and directed to a Board of Inquiry or the Environment Court,⁶ but cannot be directly decided by him or her.⁷

These quasi-constitutional questions about the roles of localism and centralism, and independence and accountability, are significant as context when it comes to reform of RMA planning processes. In short, we see merit in a more proactive, coherent role for central government under the RMA, a more robust planning process that produces more timely outcomes, and a greater role for independent institutions in national level planning rather than just project-specific authorisations.

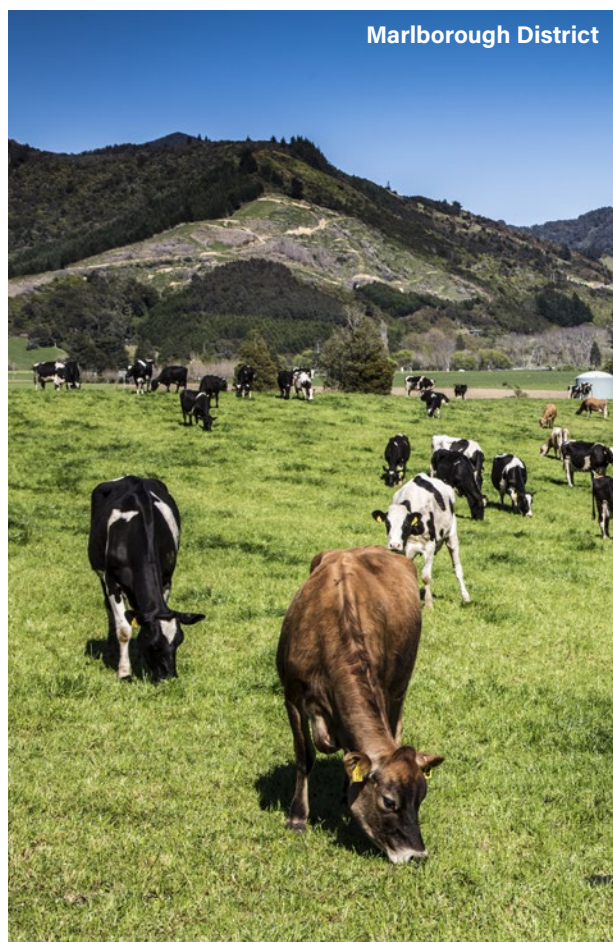
There are tensions in the RMA planning process between central and local decision-making and between elements of democratic and independent input. We see potential for a more proactive and coherent role for central government, a process for more timely outcomes, and a greater role for independent institutions in how decisions are made.

The failure of the RMA (and, indeed, the wider system) to identify clear principles around subsidiarity – what is local and what is national – is problematic. As we have said previously, “we tend to fudge the issue in New Zealand by centralising powers when it becomes urgent to do so, not by having a conversation in advance about where dominant communities of interest should reside”.⁸ That is reflected in the RMA’s rather odd distinction between (1) matters of national “importance” in Part 2 (outlining things that are *more* important than others); and (2) matters of national “significance” on which national direction can be promulgated. Not all nationally significant matters are specified as being nationally important (eg freshwater quality, managed in an NPS, is not contained in section 6), and not all nationally important matters need to be seen as being of national significance (indeed, for a long time, the NZCPS was the only national direction made under the Act).

We have heard, in equal measure, from people who think that in creating national direction the government is finally discharging its responsibilities and people who think

it is intruding into local democracy and frustrating the opportunity for communities to take action in their own way. Either way, there is a great deal of uncertainty, which can result in either droughts of national direction (too little guidance) or avalanches (which councils are expected to implement). National direction can also be, and frequently is, changed in significant ways with little notice, and often according to political dynamics.

Part of this issue may be due to opposing views about the role of the centre in general terms (eg localists may feel that local action is more effective across the board).⁹ But it is equally about what *kinds* of things belong where. For example, we see a strong case for national direction for freshwater quality, climate change, and biodiversity. In a similar way that New Zealanders would not expect significantly different health outcomes in different parts of the country (witness the outrage and subsequent review from the contamination of Havelock North's drinking water supply), there is increasingly a consistent expectation of clean waterways and thriving nature across New Zealand. There is also a strong case for some central levers to control land use – not to shape local communities, but because (as discussed earlier) broad land use choices (eg forestry, urban growth, agriculture) have significant implications for many nationally important outcomes.¹⁰ That is not limited to nationally important environmental bottom lines; indeed, as we have seen, the concern can be equally about resource development (eg in forestry, urban development, aquaculture). Planning – even in the sense of town and country planning – is therefore not *just* a local thing.¹¹



There is always going to be a difficult line to draw here between overlapping national and local communities of interest (eg in the provision of housing and urban development). In some countries, the nationally important status of some large urban centres has resulted in the formalisation of much greater central intervention,¹² whereas in New Zealand things have tended to progress in a more ad hoc way.¹³ But there is a significant risk of throwing out the baby with the bathwater. The most extreme example of this is in the concept of urban development authorities, and their potential powers to plan large chunks of urban areas to progress narrow (albeit still important) government agendas (like housing) at the expense of local place shaping and environmental priorities.¹⁴ We discuss urban development authorities further in Chapter 10.

A sensible approach would seem to be that if a matter is identified as being of national importance, then there is a reasonable expectation that some form of national guidance will follow.¹⁵ A degree of clarity is desirable as to what things are – or are not (or for what reasons) – nationally important and therefore open to a role for central government. The existing Part 2 of the RMA (particularly section 6 matters) provide a useful starting point for matters of “national importance”, although this hierarchy has been used mainly to refer to things that are *more* important rather than to provide a transparent trigger or justification for when central government (rather than local) actually has a role.¹⁶

For now, we leave this as an open question, and simply note that we see a case for some more formal expression of subsidiarity in the system.¹⁷ This could form a “principle” in Part 2 of the RMA, but would probably be more suited to parts in the RMA dealing with the functions of various levels of government.¹⁸ It could also be expressed more broadly as a quasi-constitutional principle in the Local Government Act, or in higher level “strategic” legislation (described in Chapter 9).

We suggest that a future system should more clearly define what subsidiarity means (which things, and for what reasons, are to be locally or centrally decided).

Questions for discussion:

- Would it be helpful to define subsidiarity in the RMA (or elsewhere) as a guiding principle?
- What things should be entirely local, and is there anything under the RMA that should be entirely centralised?

7.3 A more proactive role for central government

Central government needs to be both a system steward (providing oversight, and making sure the system as a whole is working well) and an active player (making decisions). The RMA already allows it to be both of these

things,¹⁹ but does not require it for the latter. For example, the only national direction that is mandated by the Act is the NZCPS, and Ministers generally have rights, rather than responsibilities, to intervene in instruments at regional and local levels.²⁰

Is that the right approach for the future? We have heard many people express a frustration that the government has, over most of the life of the Act, failed to produce national direction, even though it was intended to happen. For example, it is concerning that national direction on indigenous biodiversity is only now forthcoming, even though that was already a pressing issue when the RMA was enacted almost 30 years ago. More generally, many issues facing New Zealand (eg climate change) are of a scale or complexity that could prove challenging for councils to address, and require more central government involvement.²¹

This situation is frequently described by commentators as a failure of “implementation”. That may be true, but it is equally true that a failure of implementation can be seen as a failure of the legal framework to *require* implementation or at least to intervene to make it better. That complaint holds in many other contexts too.²²

In hindsight, it may have been naïve to expect a non-directive framework like the RMA to result in central action, especially in light of the political and economic circumstances leading to its enactment (eg a reaction against Muldoon-era central planning, faith in the wisdom of the market, maximising economic productivity).²³ The pendulum has swung back in recent years with the creation of more national direction, but it has taken a long time to do so. For some things (eg climate change and freshwater), it has come far too late and will require a painful process to correct. This is not the “fault” of particular groups or sectors – it is the product of a system that has not done what it was meant to.

The RMA generally does not compel central government to plan or intervene, other than in the context of the coastal environment. It does, however, *enable* government involvement in a wide variety of ways.

Aside from greater clarity around the roles of central and local government, we consider that it is desirable for the system to provide an active obligation for central government to act, not just to react. With the exception of the NZCPS, national direction has to date (to a large extent) responded to issues rather than pre-empted them, and has therefore not been particularly precautionary (freshwater is a prime example). In the future, we do not think we should see an increasingly complex patchwork of NPSs and NESs, of varying specificity, format and topic, promulgated only when to do so becomes politically feasible or when problems are already manifest.

We should also not see national direction targeted at low-hanging fruit, or to impose “maximum” environmental outcomes in the absence of “minimum” bottom lines.²⁴

For example (leaving aside the question of how desirable it is in principle), it is difficult to see how a minimum level of urban development (in the form of a proposed NPS for Urban Development) is more important than national policy bottom lines on biodiversity,²⁵ or how direction on storing tyres is more important than national standards on freshwater quality.²⁶

It is telling that, in the absence of a proactive obligation, a significant portion of national direction has been driven by direct impacts on people’s health²⁷ or the desire to facilitate development or resource use.²⁸ There is nothing inherently wrong with that (the reasons behind them are by no means unreasonable), but it speaks to the risks of leaving nationally important environmental protections solely to political prioritisation. If people get sick, there is (rightly so) an immediate national outcry; but if we slowly ruin our rivers or erode our biodiversity, government can be much slower to take notice. Illness and GDP can be measured easily in three-yearly political cycles, but many environmental problems are slower burning, and political blame can be easier to shift. If national direction only appears as a result of problems as they emerge, the government is engaged in a giant game of whack-a-mole.

In our proposed model, there would be an acceptance that, in recognising outcomes as being of national importance,²⁹ there is a corresponding obligation to provide some form of national guidance and action. We have always recognised that need for the coastal environment under the RMA (the NZCPS has always been mandatory), but in principle there is no difference between that and many other matters (eg freshwater, biodiversity, soil or, indeed, climate change).

That does not mean that central government does everything. On the contrary, even for matters of national importance, local action and ownership – including locally imposed regulation – will often (although not always) be more effective than a top-down imposition from Wellington.³⁰ However, it does mean that the government has a duty to turn its mind to whether, and to what extent, it needs to intervene to achieve the purpose and principles of a revised Part 2 (including its preeminent consideration: the imposition of environmental bottom lines and associated limits). Sometimes that will require a regulatory response, and not just to create efficiency by having common rules across the country³¹ (an NES on freshwater quality has come late in the day). We would envisage that at least some form of guidance, in the form of policy, would be needed for all matters of national importance, but that much of that would be given effect to at the regional or local level.³²

We are suggesting a *requirement*, not just a power, for central government to promulgate national direction that gives effect to a revised purpose and principles of the RMA. This means that there would be an expectation of at least *some* national policy response to matters identified as being of national importance..

7.4 A more coherent role for central government

At the time of writing, the government is in the process of promulgating several new NPSs and NESs and reviewing or reworking a number of existing ones.³³ This is, in principle, not a bad thing at all – as will be apparent from the above discussion. Also positive is that some of this new guidance can be said to impose meaningful environmental bottom lines.³⁴ What has been politically unpalatable in the past is now well within the realms of achievability, partly on the back of significant social change and environmental awareness.³⁵

Yet the lack of a defined role for central (as opposed to local) government under the RMA, and the lack of any active obligation to create national direction in a considered and proactive way, means that this is being done in a fairly ad hoc manner in response to particular issues. The more separate pieces of national direction that are promulgated, the more complicated the relationships and cross-referencing between them (if any) become.

To exacerbate things further, many NPSs are characterised by fairly general wording. Few impose the kinds of firm, directive bottom lines contained in parts of the NZCPS (the interpretation of which, incidentally, *still* required litigation up to the Supreme Court to clarify).³⁶ The outstanding example may be the NPS for Renewable Electricity Generation, which arguably expands very little beyond what the Act already says and certainly does not meaningfully resolve direct tensions between renewables projects and other RMA concerns like landscape or biodiversity protection.

Some policies in NPSs can even pull in different normative directions. They seek to achieve quite different (and

arguably not entirely compatible) things, which we might call “horizontal” misalignment. For example, there are real tensions between the NZCPS and NPS on Urban Development Capacity, and between the proposed NPS for Urban Development and the proposed NPS for Highly Productive Land. Again, part of this is due to the crisis of identity at the core of the RMA (is it about imposing environmental bottom lines? Or is it also about preventing the extent to which environmental protections can be imposed?). But it is also a product of a system that sees central government as a reactive intervenor rather than proactive planner. We are left with “a rather curious collection [of national direction] given the original [environmental] intention of the legislation”.³⁷

We can also see “vertical misalignment” in the system. Regulatory provisions in an NES can exist in a policy vacuum, with no clearly associated policies (in an NPS) to clarify why rules and standards are there, or even to guide decisions where rules require resource consent. For example, it seems anomalous that there are regulatory provisions relating to biodiversity protection in the NES for Plantation Forestry, but no accompanying NPS on indigenous biodiversity (which is set to follow only years afterwards). That is not to say that it would have been preferable to delay addressing real issues with forestry;³⁸ it is simply to point out that there are drawbacks in having a legal regime where sectorally focused regulation can be created without a broader policy framework to drive it.

A positive sign is that more specific sectoral provisions under an NES (for agriculture) are being developed as part of a wider package of measures for freshwater under the Essential Freshwater programme (including a new NPS).³⁹ However, there is nothing in the law that *requires* that to happen.



A spotlight on relationships between NPSs

A number of NPSs have been promulgated by the government under the RMA. As we highlighted in the Phase 1 report, relationships between them, and their overall purpose as a package, can be unclear. For example, the NPS for Renewable Electricity Generation is partly in place to achieve environmental goals (eg the reduction of greenhouse gases), but the adverse effects of activities are not addressed in detail (only one policy in that NPS contemplates that there may be “residual adverse effects”).⁴⁰

Similarly, the NPS on Urban Development Capacity is concerned almost entirely with making more land available for urban development, with no consideration of the environment within which that capacity is being provided (eg the rivers that may need to be crossed or piped, or the significant natural areas that may be impacted) or whether the values of that environment might place a sensible cap on expansion. The quality of the natural environment within cities is given only cursory attention.⁴¹

A proposed replacement for this NPS – one more broadly focused on urban development – aims to insert considerations relating to intensification and urban design.⁴² But there are few cross-references between instruments, and significant questions about relationships (in particular, between urban objectives and proposed measures to protect highly productive land or to manage land use for climate change adaptation).⁴³

At the very least, every policy proposal for a new NPS now has to go to increasingly heroic lengths to outline its relationships with a web of existing and proposed NPSs that have been created for very different reasons. This can be reduced to somewhat hopeful statements such as, for example, that they “are intended to be compatible” and “should be complementary”.⁴⁴ While it is in the nature of much RMA policy to require tensions to be balanced and resolved in more specific contexts (which often needs to play out at the local level), meaningful cross-referencing should still be made within a coherent package of national direction. As we have previously said, the system as a whole needs to be “much clearer and more honest about the hierarchy of our basic objectives ... where they may come into conflict”.⁴⁵ Central government is no exception.

National direction also has no standardised format and structure (despite, ironically, a big push for *councils* to standardise terminology and formatting through planning standards). Any standardisation has been left to the discretion of Ministers. Instruments have also been produced using inconsistent lenses. For example, some (like freshwater) are of broad, domain-based application (focused on the things in need of protection, which can be impacted on by multiple activities); others, like plantation forestry and renewables projects, are focused on sectors (particular ways in which people use resources and which

can impact on multiple domains); and still others, like urban development capacity and the NZCPS, are focused on particular spatially defined areas (which contain multiple domains and multiple sectors). It is largely left to local government to figure out how everything works together in practice, through plan reviews and consenting decisions.⁴⁶

National direction under the RMA is at risk of both horizontal misalignment (it is not clear how different topics are meant to work together or influence each other), and vertical misalignment (regulatory provisions can exist without a broader statement of policy). Their format and structure can also look very different, adding to confusion for councils expected to give effect to them. This issue will become more pronounced as more national direction is promulgated to target particular problems.

A succinct way of putting all this is that we lack a national level version of a regional policy statement, within which all significant matters relating to central government’s functions can be dealt with in an integrated way.⁴⁷ We can also learn a valuable lesson from the Auckland Unitary Plan process; several people have highlighted to us the importance of getting the broader policy landscape right *before* thinking about more detailed questions of rules and standards for particular areas or activities. This leads us to propose not just an active obligation for central government to promulgate national direction, but that it do so in a single, integrated document: what we are calling a “National Environment Plan” (NEP).

We are proposing a requirement for all national direction to be incorporated, over time, into a single, coherent National Environment Plan.



Hastings District

A spotlight on a National Environment Plan

An NEP would be a one-stop shop for central government direction under a new RMA. It would encompass all matters that the government would be obliged, in a new RMA, to provide direction on. This would ensure (1) coherence across policy provisions (currently contained in different NPSs); (2) consistency between regulatory and policy provisions (which can currently exist as islands); (3) adequate connections (all direction would be in one place with close links);⁴⁸ and (4) completeness (it would be an integrated instrument covering all matters of national importance, in line with a more specific expression of subsidiarity). An NEP would have a broadly defined structure and format, designed to dovetail with planning standards for council plans.

An NEP would be required to give effect to a revised Part 2 of the RMA. This means that its first task would be to provide a comprehensive coverage of the biophysical bottom lines set out in those provisions, on a domain by domain basis (those things we want to protect and enhance) but within an overarching concept of the ecosystem or biosphere. There would no longer be a situation where nationally significant development priorities could be given effect to – through a targeted NPS – without corresponding environmental bottom lines. Nor could there be regulatory provisions (eg for forestry) that did not link closely to associated policies and objectives (eg for biodiversity and climate change). There could still, of course, be targeted, sector-specific provisions (eg regulatory provisions on electricity transmission). But all such parts would need to be created within a broader policy framework targeted at domain-based bottom lines. Clear national level biophysical thresholds would be established in an NEP that, if breached, would trigger an obligation for the government to investigate and take corrective action.⁴⁹

The role of central government here would not, however, just be to expand on the RMA's bottom lines and impose associated limits. It would also be to resolve tensions between matters requiring a coherent framework for trade-offs at a national level, and to embrace synergies. Many matters of national importance involve complex trade-offs (eg a tension between landscape values and renewable electricity projects, or between the provision of housing and the protection of highly productive food growing land). If such tensions were addressed in a single instrument, they would likely be identified and addressed in a much clearer way than at present. To reflect its more nuanced role, the Ministry for the Environment's mandate under the Environment Act could usefully be expanded to more explicitly include good urban planning.⁵⁰

We have heard from some people that the concept of an NEP would amount to a considerable centralisation of functions, and the decline of a devolved system. That is not the intention, other than to say that central government should be expected to produce at least some direction concerning matters of national importance. We also note that while the current system may in practice be fairly devolved, it could in theory actually be highly centralised (and is becoming more so by the day as more national direction is produced).

An NEP would be primarily about providing a clear and coherent policy framework for central government to exercise its functions. It would not mean that central government would do everything; in many cases, nationally important matters – including environmental bottom lines – may be best achieved through national policy guidance but local *translation* of it to more specific policies and regulatory tools. We would not envisage, for example, that central government would directly impose catchment-specific freshwater regulations across New Zealand. There would also, as mentioned above, be matters that were identified as being of firmly regional/local rather than national interest under a more clearly defined principle of subsidiarity in the RMA.

However, an NEP *could* be a place in which more directive and geographically targeted powers were exercised by the Crown, if outcomes were nationally important. This could include particularly vulnerable, at risk, or valuable areas. Some matters can be nationally important but locally unique, and these are not limited to Crown-owned land or the conservation estate. For example, an NEP could provide a useful integrative policy environment under the RMA for an area like the Mackenzie Basin, which spans multiple local authority boundaries, or to develop policies for areas defined by ecology or landscape rather than catchments (regions) or communities of interest (districts). The RMA already provides for NPSs to be regionally targeted,⁵¹ and this cross-cutting aspect could be a key part of an NEP to encourage a more nuanced, place-based integration that councils may not be able to achieve as effectively.

An NEP would not, however, just be an integrated set of NESs and NPSs. It would also be oriented towards change and "anticipatory governance",⁵² to reflect the nature of a revised Part 2 of the RMA. In this sense, it would be an "action plan" (a way to get from A to B)⁵³ as well as a "regulatory" plan (a framework for making decisions about what is and is not allowed). Central to that would be the mandatory establishment of targets for nationally important environmental indicators, especially (but not solely) to achieve bottom lines that had already been breached. These would be a form of commitment device,⁵⁴ elevating the status of the outcome and ensuring a long-term view is taken.⁵⁵ We have heard from many people that we are now at the point where we need to change footing from management to action, and our legal regimes need to reflect that. This is increasingly being recognised anyway (through climate change targets and freshwater targets),⁵⁶ but we see merit in embedding that approach in the RMA itself.

There could even be a cascade of responses “waiting in the wings”, to be deployed if targets were not met. For example, some have suggested the use of fast-track measures to allow changes to input controls for nutrient management (eg stocking rates) if output controls were not effective at achieving targets.⁵⁷

It would be important for targets to be accompanied by an assessment of (and indicative source for) the funding required to achieve them.⁵⁸ In the Phase 1 report, we pointed out that “it does not seem unreasonable for central government to fund local planning to the extent needed to implement national level instruments ... where control is already present but without corresponding funding”.⁵⁹ The costs of implementing national direction can be significant.

Transitional arrangement would be crucial here. We are not suggesting that we clean the slate of national direction and start again. There is much of value to retain, and years’ worth of effort. Existing NPSs and NESs (and regulations)⁶⁰ would be deemed to be incorporated into a single NEP framework and added to and reviewed. That process would fill in gaps, and review existing national direction in light of the RMA’s revised purpose and principles. This will take time and resource, but prioritisations should be made according to a coherent set of criteria that reflects the purpose and principles of the Act. That should be made plain in transitional arrangements. We would envisage this starting with a general alignment process for existing national direction (within a single parliamentary term), followed by a systematic assessment of which gaps needed to be filled under the Act’s new purpose and principles (within two terms). Alongside that, there would need to be reasonable time (and assistance) for that to be given effect to in council plans.

Transitional arrangements leading to the integration of national direction into an NEP would be crucial. We do not want to lose much of the valuable work that has been done to create national direction over the past decade, including processes that are underway or nearing completion. That is particularly important for instruments that impose firm environmental bottom lines and associated limits.

7.5 An NEP and climate change

It is worth noting specifically that an NEP would be required to address climate change mitigation measures. At the moment, an NES *can* but does not *have* to do so.⁶¹ Strangely, the potential for an NPS on climate change to be promulgated is unclear.⁶² In practice, however, we have neither of those things. The RMA would not be the *only* legal framework within which climate change would be addressed – it is almost uniquely cross-cutting and needs to be dealt with in multiple places⁶³ – but an NEP would be the logical place to provide a nationally consistent approach under an Act that has real potential to do something.⁶⁴

A key question, and one we address in Chapter 9, is the nature of the relationship between specifically climate-focused “planning” (emissions reduction plans and adaptation plans proposed under separate Zero Carbon legislation) and RMA instruments (including an NEP, and council plans). Such a relationship will need to be very clear, as well as legally meaningful.

There will be an important link to be made between an NEP and broader climate change-focused instruments. The NEP will be one place in which a nationally coherent approach to mitigation could be implemented. Climate change is discussed in Chapter 9.

7.6 A process for producing and reviewing a National Environment Plan

How would this integrated NEP be created or reviewed? We envisage a process broadly similar to how national direction is currently produced, albeit with some significant structural differences outlined below. The general process for an NEP that we are floating is presented below, and involves (1) co-development, (2) public notification, (3) the consideration of submissions and independent review in light of a revised Part 2 of the RMA, and (4) continual review based on new information from (among other things) environmental reporting. Changes could, of course, be made to an NEP once in place, but such changes could not target particular domains or sectors without considering the impact on the whole. At present, changes to NPSs under the RMA can be pursued largely independently of changes to others (or the development of others).⁶⁵ The process for changing an NEP would be the same as the process for its development.⁶⁶

There are several novel elements of this process to note. The first is that an NEP would be prepared and reviewed in close collaboration with Māori, to better reflect the importance of the Treaty partnership. How that would happen in practice poses significant challenges, especially in terms of what a “representative” Māori body would look like at a national level with whom the Crown would collaborate. To some extent that kind of question needs to be resolved by Māori, not imposed from the top as part of “system reform”. However, we think it merits close attention and further investigation.

An NEP would also be developed in close consultation with councils, recognising that much of the actual leg work of implementation (eg translating to more detailed, place-specific policies and regulation) will still need to be done at the local and regional levels. We have heard repeatedly that meaningful council involvement in actual development (other than just ad hoc secondments) would produce much better outcomes and much less pushback than presenting a finished policy proposal for feedback and submission, which fosters the perception that decisions have already effectively been made. It might

also mean that local funding concerns are brought to light much earlier, and (ideally) addressed sooner. The basic idea, albeit on a fairly informal basis, can be seen in the establishment of a Regional Sector Group as part of the government's Essential Freshwater programme. Councils deserve a place at the table.

Perhaps the most significant innovation in the NEP process (and, indeed, well beyond that context) is the proposed creation of an independent "Futures Commission". This would be tasked with considering submissions, reviewing an NEP (including the adequacy of targets within it) in light of the purpose and principles of the Act, and providing advice to the government on changes. The government would be required to provide

reasons for departing from any recommendations. This is not too different from the existing *process* for NPSs, in that the Futures Commission would take the general place of appointed Boards of Inquiry. However, the nature of this Commission would be quite different, and we envisage that it would evolve over time.

We are suggesting a process for producing and reviewing an NEP that in some ways resembles the current process for national direction. However, there would be greater involvement for Māori and councils in co-production, and review by a new, standing, independent Futures Commission.

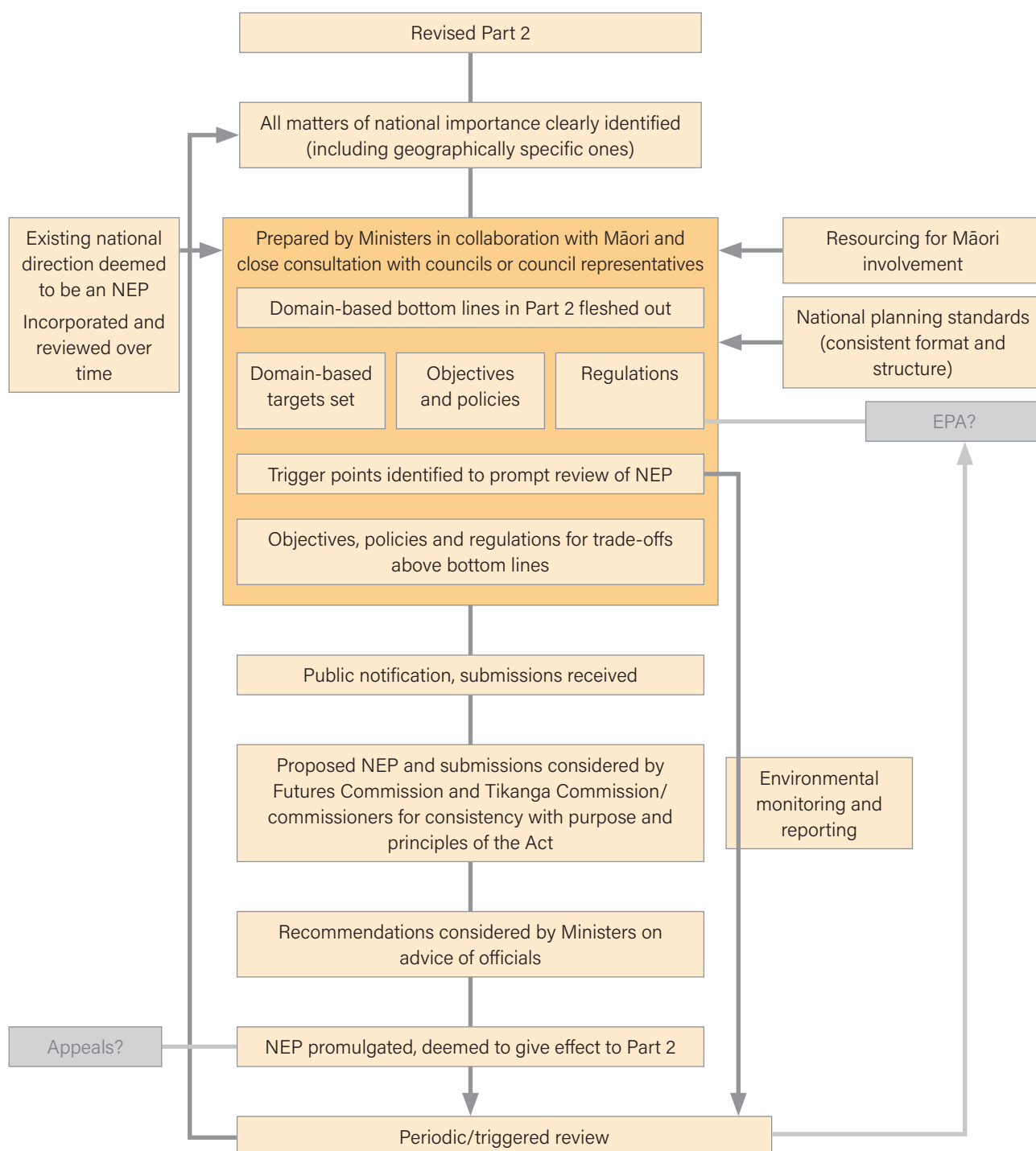


Figure 71: A process for producing a National Environment Plan

A spotlight on a Futures Commission for New Zealand

Over recent years, we have seen a proliferation of plans for (or suggestions for) various standing commissions: for infrastructure,⁶⁷ climate change,⁶⁸ fresh water,⁶⁹ and the coastal environment.⁷⁰ We already have a Parliamentary Commissioner for the Environment. We have also had bespoke, task-based institutional arrangements of varying formality, such as the Independent Hearings Panel for the Auckland Unitary Plan or various government appointed advisory groups like those concerning freshwater management.⁷¹

The basic driver for such institutional arrangements is similar. It is the desire to have an independent (or at least arms-length) body tasked with both advising accountable bodies (usually the government, sometimes councils) and/or reviewing their actions. They are designed to enhance transparency and accountability even if they do not have final decision-making power.⁷² As we said in the Phase 1 report:⁷³

[A] degree of independence is valuable where its purpose is to enhance the accountability of elected institutions ... In particular, short-term political cycles make long-term, future-focused decisions less likely. Climate change decisions are a good example of this. Despite having good knowledge of the causes and implications of climate change for decades, decision makers at local, national and international level have been reluctant to make decisions today to decarbonise the economy because of the short term cost, without taking full account of the long-term benefits or the long-term costs that not making those decisions would incur on future generations.

We are seeing strong recognition of this in the proposal for an independent Climate Change Commission. But is climate change really so unique? Are other, slow-burning, environmental challenges so different? The RMA has generally taken the approach that strong independent oversight or input is crucial for local government decision-making (eg through the use of the Environment Court and commissioners), but less so for central government. In our view, that assumption needs to be challenged. A long-term, independent voice needs to be built into all decisions – including centralised ones – that will impact on people beyond both political cycles and the current generation. As we pointed out previously, “elected institutions need to be held accountable to their promises, and constantly tested on their progress towards broad goals that transcend politics and the short term concerns of elected bodies.”⁷⁴ We see this as a role for a Futures Commission.

So what would a Futures Commission look like in this model? It would be very different to the Commission for the Future that briefly existed in the 1970s (largely a science and technology focused think tank).⁷⁵ The nature of the Commission would evolve, from relatively humble beginnings, to an integrated and influential voice across many statutes. It would end up being of quasi-constitutional significance.

The Commission would be independent from government. In its beginning, it may be enough for it to be an independent Crown entity, rather than an officer of Parliament. It would be separate from the Parliamentary Commissioner for the Environment and the Climate Change Commission, recognising the risks of short-term disruption. However, from the outset, it could potentially incorporate any Freshwater Commission or other institution of a similar nature. Details of membership, the appointment process, and term of service/tenure would need to be worked through very carefully.

A Futures Commission would be established under statute⁷⁶ and be a permanent, standing institution. Initially, it would take on a handful of targeted functions to fill what we see as gaps in the system. Some of those would be under the RMA. In particular, it would play a crucial role in the process for developing an NEP, as outlined above. Other roles would be outside the RMA, and these are discussed elsewhere in this working paper.

Generally speaking, the idea is that a Futures Commission would have a structured role in the system’s particular legal processes rather than just a general investigative or advisory function.⁷⁷ This would make it much more like the Climate Change Commission, which is proposed to be tasked with reviewing and recommending carbon targets and budgets. The Futures Commission would not be an “operational” or “regulatory” body; it would perform a structured advisory and watchdog function in relation to the decisions of accountable institutions, but not do things like decide particular authorisations (like resource consents).

Perhaps most importantly, the nature of a Futures Commission can be seen in its name. It would have a general, and powerful,⁷⁸ mandate⁷⁹ focused firmly on the future – and the interests of future generations – which are often not well represented in either politics or economic transactions.⁸⁰ The environment – and therefore the RMA – is one natural place for the Commission to have a meaningful role. Overall, it would be “a real, nationally-focused effort at looking ahead”,⁸¹ a force for policy stability, and a counterbalance to the important, but ultimately insufficient, accountability provided by the ever-changing elected institutions. The short-termism of parliamentary cycles means that we risk flip flopping on policies that really require continuity – this is as much about things like freshwater and biodiversity as it is about climate change. Adequate resourcing of the Commission would be crucial.

It would also be important to implement the Treaty relationship in the design of a Futures Commission. As in the Western tradition, it is important to have both “representative” and self-organising Māori bodies in the form of iwi and hapū (involved in co-development of instruments like the NEP, as mentioned earlier) and “expert” bodies (respected and independent persons having experience with mātauranga and tikanga).⁸²

Such an expert Māori institution could exist alongside other independent experts in a Futures Commission, but we see two alternative ways in which this could happen. First, a single Commission could have a number of dedicated “tikanga commissioners”.⁸³ Alternatively, there could be a separate “Tikanga Commission” acting alongside (or as a clearly defined branch within) the Futures Commission, with the government having a relationship with both. That body could provide a separate assessment of the extent to which an NEP gave effect to Treaty principles and reflected tikanga, and make recommendations for change.⁸⁴

In the longer term, there is a very good question here about fragmentation and complexity in the system. As some have pointed out, we have a habit in New Zealand of seeking considerable legislative and institutional fixes to particular problems,⁸⁵ and we can ask whether it would be desirable to continue to have separate independent institutions, performing similar kinds of functions. We could think of the Climate Change Commission, a Freshwater Commission, and the Parliamentary Commissioner for the Environment in this category. We therefore see merit, in the longer term, in moving towards greater integration. One way of looking at this would be to expand the strongly independent role of the Parliamentary Commissioner for the Environment to subsume the previously separate roles of the other commissions. This would lead to a single, integrated Futures Commission as an officer of Parliament, with more targeted branches within it to discharge particular functions under different statutory frameworks (eg for climate change, freshwater, urban planning etc).⁸⁶ This is also needed to provide focused pools of subject-matter experts.

But a single Futures Commission would have one integrated mandate, and would be well placed to take a much needed holistic view of interconnected resource management issues, including under the RMA. We have already seen the risks of having different institutions focused narrowly on particular domains or particular sectors,⁸⁷ and that applies equally to independent institutions as it does to elected ones (different government departments). We discussed the pros and cons of the “subject focus” of institutions in the Phase 1 report, concluding that at the highest levels of the system we require a wide, integrated focus that can then filter down into more targeted focus areas. Often, valuable synergies only appear where a subject focus is broad enough for the dots to be joined. That said, we are not convinced that a Futures Commission should incorporate the proposed Infrastructure Commission, which is a positive step but, by its nature, quite a different thing.⁸⁸

A final note should be made about concerns that a Futures Commission would be too powerful. We would respond that stronger independent influence is part of its point (and why an appointment process and questions of tenure are important), but also that its actual powers would vary depending on the statutory frameworks under which it had functions. For example, in the development of an NEP under the RMA, its role would not be to make final decisions but rather to provide a fully independent assessment and recommendations to an elected government. In short, “accountability is important, but elected institutions’ long-term focus needs to be watched closely by an independent body that is not on a short-term political cycle”.⁸⁹

We propose creating a standing, independent Futures Commission with a strong, future-focused mandate and roles under various pieces of legislation, including the RMA. To start with, the Futures Commission would be separate from other existing or planned commissions (eg the Parliamentary Commissioner for the Environment and the Climate Change Commission), but in the longer term could usefully be integrated with them.

Questions for discussion:

- What are your thoughts on the creation of a dedicated Futures Commission?
- What institutional form would be most appropriate, and should there be integration of other institutions into it?

7.7 Appeal rights for national direction?

Does a role for a Futures Commission in the development and review of an NEP provide an adequate check and balance on the decision-making power of Ministers? Does it go far *enough*? At workshops, we heard opposing perspectives on the role of accountable and independent institutions at a national level. Some thought that it wrong, for example, that there is a strong independent check and balance (binding Environment Court appeals) in the local planning process, but no comparable mechanism for central government action (only judicial review).⁹⁰ We have also previously highlighted that the lack of appeal rights under national decision-making frameworks (eg fisheries) can lead to an uneasy coexistence with closely connected frameworks under which local environmental decisions *can* be appealed (eg regional coastal plans under the RMA).⁹¹

Others thought that it would be inappropriate for an independent (less unaccountable) institution like a court to bind an elected government that may have a clear mandate for change.⁹² There was a fear in some quarters of rule by “philosopher kings”. A broadly similar debate is currently occurring in relation to the proposed Climate Change Commission, and whether its powers (eg to set carbon budgets) should be binding or only recommendatory.

There are compromise options here that could be pursued. For example, as with the bespoke Auckland Unitary Plan process, a future system could provide for merits appeals on an NEP, but only to the extent that the government departed from the recommendations of the Futures Commission. A still softer mechanism would be

for the Environment Court (or higher court) to have power to make a declaration that an NEP was inconsistent with the purpose and principles of the Act, in a similar way that the courts can declare legislation to be inconsistent with the Bill of Rights Act.⁹³ There would be no ability to “strike down” an NEP on these grounds, but it could send a powerful signal to voters.

However, we are not going so far as to propose blanket appeals to the Environment Court in relation to an NEP. In our view there are still too many value-based, nationally significant, questions to answer under the RMA (compared to arms-length decision-makers like the EPA under the Hazardous Substances and New Organisms Act or the Climate Change Response Act)⁹⁴ to remove ultimate policy-making power from Ministers (and, ultimately, Cabinet).⁹⁵ Accountability to the New Zealand public is important, and a court should not have the power to bind an elected government in matters that are still, ultimately, ones of policy.⁹⁶

That said, the situation may be different for particular issues. To the extent that a decision can be seen as one purely of “science” or “implementation” rather than one of values or policy, an independent institution may be more appropriate.⁹⁷ For example, if we can quantify the aim we are after in specific terms, that can become a matter for technocratic decision-making. Arguably climate change, with legislated targets or at least a global agreement on outcomes and nationally determined contributions, falls into this category, and there is a robust debate happening now over what is a question of “science” and what is a question of “values”.⁹⁸ Targets for something like biodiversity or freshwater may be more difficult to describe with such precision in legislation, but that may change over time. In the longer term, we therefore leave the question of appellate jurisdiction open.

We also question the practical usefulness of providing a further step, by which the Environment Court could make a declaration that an NEP is inconsistent with Part 2 of the RMA (a Bill of Rights Act-type model). The concept is useful, but the appropriate place for such a declaration would be in the recommendations of an independent Futures Commission. To provide an additional step would be both inefficient and add complexity and confusion about what it meant for an NEP’s later interpretation in planning and consenting contexts.⁹⁹ Of course, judicial review would remain, and we see this option as being assisted by a Part 2 that is clearer and firmer.¹⁰⁰

We do not, at least in the short to medium term, suggest allowing appeals on an NEP. While it would be useful for a Futures Commission to comment on whether a notified NEP would be consistent with the purpose of a revised RMA, we do not see room for an additional step whereby a declaration of inconsistency can be made by the courts.

7.8 Concluding comments: A role for the EPA?

Overall, we see the need to introduce a more robust independent check and balance on central government decision-making in a future system. This is a theme that flows throughout our proposed model, and it recognises that resource management issues are not *just* about providing a framework for contested values to be weighed and expressed by democratic institutions. There is also a considerable expert or technocratic element here, notably where the outcomes we want are actually made quite clear in a revised Part 2 of the RMA, and require not so much debate about values but courage to translate them into meaningful, and durable, restrictions and limits.¹⁰¹ They are of constitutional importance, and require constitutional safeguards in the form of careful institutional arrangements.

That leads us to one final point about institutional arrangements surrounding an NEP. As discussed in the Phase 1 report, there is, conceptually, a distinction to be made between policy-making and regulation-making.¹⁰² Those tasks need to be closely connected; we have talked earlier about the need to have regulations firmly linked to a surrounding policy landscape, and policy under the RMA lacks real teeth if not accompanied by regulatory restrictions.¹⁰³ But objectives and policies usually involve some creation of values (elaborating on Part 2 of the Act), whereas regulatory provisions are for the most part about *implementing* those values.

We therefore do not see it as beyond the pale for an accountable institution (a Minister) to create the values-based policy component of an NEP (an integrated NPS), and for a more independent institution – perhaps an operational agency like a strengthened EPA – to translate that into regulatory terms (an integrated NES).¹⁰⁴ We do not want highly technical questions to be relitigated under the guise of value judgements or political choices,¹⁰⁵ and in our view we are fast approaching a point at which there is a strong convergence in national values concerning things like freshwater.¹⁰⁶ This might justify “a more consistent, independent voice in setting [regulatory] bottom lines in advance”,¹⁰⁷ and therefore two separate “parts” of an NEP: a policy one and a regulatory one. If the EPA were to take on such a role, its mandate and its resourcing would have to be strengthened considerably,¹⁰⁸ and the Victorian model provides a good example. As we pointed out in the Phase 1 report:¹⁰⁹

[The Environment Protection Act 2017 (Victoria)] establishes the objective of the EPA as being “to protect human health and the environment by reducing the harmful effects of pollution and waste.” This can be contrasted with the current objective of the New Zealand EPA, which is much vaguer: to undertake its functions in a way that “contributes to the efficient, effective, and transparent management of New Zealand’s environment and natural and physical resources; and enables New Zealand to meet its international obligations.” The Victorian model

demonstrates the success of an EPA which has a clear purpose and tight focus on dealing with serious environmental risks.

However, we do not recommend giving the EPA a national level regulatory role under the RMA in the short to medium term, as its potential benefits are outweighed by the need to have policy and regulation developed as part of a coherent package. We propose giving a new NEP and Futures Commission a chance to “bed in” under a revised Part 2, and only to consider a regulatory role for the EPA if environmental indicators continued to decline. It would, in other words, be a conditional longer-term reform.

In the short to medium-term, we do not suggest separating a policy creation role (for central government) from a regulatory role (for the EPA) for national direction under the RMA. However, if indicators did not improve, that could be the next cab off the rank for reform.

Questions for discussion:

- What are your thoughts about a single National Environment Plan, and a more structured role of for an independent Futures Commission in its creation and review?
- What about the role of the EPA? Should it have regulation setting powers for environmental bottom lines, with a policy creation role for central government?



Ocean Beach, Hastings

ENDNOTES

- 1 Planning is a general term for a collection of different but connected tools being deployed in the same place for the same purpose. It can encompass strategic tools, regulatory tools, and non-regulatory tools. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12.
- 2 For example, the NZCPS is the only mandatory central government instrument under the RMA.
- 3 See, for example, The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative's visit to Switzerland* (2017). In recent times, central government has been much more involved in questions of urban planning (precipitated by housing issues) and other land uses (eg forestry). See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 166-167.
- 4 Resource Management Act 1991, ss 30-31.
- 5 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 6 Resource Management Act 1991, pt 6AA.
- 7 More direct powers of central intervention and approval are more noticeable in Australian states.
- 8 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 167.
- 9 For example, see The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative's visit to Switzerland* (2017).
- 10 For example, climate change, food production, nationally significant infrastructure, energy, and housing.
- 11 Especially where it requires central funding.
- 12 For example, in Copenhagen.
- 13 For example, central government created a legislative framing for the development of the Auckland Plan and Auckland Unitary Plan, but decision making was largely left at a local level.
- 14 See Chapter 10 of this working paper. See also New Zealand Government *Urban development authorities: Discussion document* (2017).
- 15 Even if it is just a robust assessment that local jurisdiction is the best way to achieve the national interest.
- 16 For example, housing supply and freshwater quality are not explicitly mentioned in section 6 of the RMA, and yet are a strong focus of national direction. NPSs can be developed for matters of national "significance", but that is not the same thing as matters of national "importance" in section 6.
- 17 The closest the RMA comes is in section 45, where the purpose of an NPS is said to be to deal with matters of national significance. That is not exhaustively defined.
- 18 Resource Management Act 1991, pt 4.
- 19 Resource Management Act 1991, s 24; Environment Act 1986, s 31.
- 20 See Resource Management Act 1991, ss 24A-25B.
- 21 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 49.
- 22 For example, a failure of enforcement is a failure of the system to ensure enforcement is being done.
- 23 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 3.2.
- 24 For example, this can be seen in the proposed NPS on Urban Development (bottom lines for urban development).
- 25 Work on an NPS on indigenous biodiversity is still being progressed.
- 26 An NES on freshwater is currently proposed.
- 27 For example, air quality, contaminated land, the protection of drinking water sources, even the concept of "swimmability" for freshwater are about human health.
- 28 For example, for forestry, urban development, electricity transmission, and renewable energy development.
- 29 Which would also be expanded (see discussion on Part 2 in Chapter 6).
- 30 Communities need to have buy in to make measures most effective.
- 31 As with forestry, for example.
- 32 Or be targeted at the needs of particular places. Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39.
- 33 See <www.mfe.govt.nz/rma/rma-legislative-tools>
- 34 For example, a new NPS and NES on freshwater.
- 35 Environmental issues were prominent during the most recent election.
- 36 *Environmental Defence Soc Inc v New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593.
- 37 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 268.
- 38 On concerns with forestry, see M Wright, S Gepp and D Hall *A review of the Resource Management (National Environmental Standards for Plantation Forestry) Regulations 2017* (EDS and Forest and Bird, 2019).
- 39 See New Zealand Government *Essential freshwater: Healthy water, fairly allocated* (2018); New Zealand Government *Action for healthy waterways* (2019).
- 40 Policy C2.
- 41 Objective suite A.
- 42 Noting this is not yet in the form of a draft NPS, only a discussion document with some potential wording. See New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 43 There are often sections in discussion documents on such relationships, but these are often fairly vague and are no substitute for cross referencing between actual legal instruments. See, for example, New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) from 57.
- 44 Ibid at 57-58.
- 45 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100.
- 46 Ibid at 268.
- 47 Compare also the United Kingdom National Policy Planning Framework, which was created to align fragmented and conflicting planning policies. See Ministry of Housing, Communities and Local Government (UK) *National Planning Policy Framework* (July 2018).
- 48 As in a combined plan for a region.
- 49 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 287; MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 196.
- 50 See Environment Act 1986, ss 31-32.
- 51 Resource Management Act 1991, s 45A(3).
- 52 See J Boston "Anticipatory governance: How well is New Zealand safeguarding the future?" (2017) 12(3) Policy Quarterly at 11.
- 53 Compare the Welsh approach: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 224.
- 54 See J Boston "Anticipatory governance: How well is New Zealand safeguarding the future?" (2017) 12(3) Policy Quarterly at 11; and J Boston *Safeguarding the future: Governing in an uncertain world* (Bridget Williams Books, 2017).
- 55 Compare New Zealand Productivity Commission *Low emissions economy* (2018). Budgets, akin to carbon budgets, may also be appropriate for some things (eg pollution) where reductions are required over time to meet targets.
- 56 For example, in the NPS for Freshwater Management, pol A6.
- 57 Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39.
- 58 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 100.
- 59 Ibid at 249.
- 60 We don't see this incorporating national planning standards, although we also envisage that these would no longer have the ability to include substantive content. Any substantive policy and regulatory provisions would be contained within the NEP.
- 61 See Resource Management Act 1991, ss 70A-70B.
- 62 See G Severinsen "Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?" (2014) 22 Waikato Law Review 117.
- 63 For example, firm climate change considerations need to pervade higher level strategic legislation, transport legislation, infrastructure planning, government investment and procurement decisions, and many other frameworks.
- 64 Not just in restricting or providing standards on direct emissions, but also through land use considerations (eg for urban form, which has the potential to lock in carbon-heavy transport modes).
- 65 For example, there are separate but overlapping processes for developing national direction on freshwater and indigenous biodiversity.
- 66 Although reviews and changes would be triggered by the monitoring of particular indicators.
- 67 Now established through the New Zealand Infrastructure Commission/Te Waihangā Act 2019.
- 68 Proposed under the Climate Change Response (Zero Carbon) Amendment Bill 2019.
- 69 See the concept of a Chief Freshwater Commissioner proposed in the Resource Management Amendment Act 2019.
- 70 There are many other targeted commissions, as opposed to "commissioners" (for example, the Walking Access Commission established under the Walking Access Act 2008).

- 71 For example, the Land and Water Forum and the various advisory groups that are part of the Essential Freshwater programme.
- 72 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164-166.
- 73 Ibid at 175. Compare New Zealand Productivity Commission *Better urban planning* (2017) at 240, where it is suggested that independence is important where oversight of government power is needed.
- 74 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 75 For example, issues with forestry planting being geared towards climate targets rather than long-term and more holistic or synergistic concerns.
- 76 Under a strategic Future Generations Act, discussed in Chapter 9. Formality of creation would be important to give it durability and insulation from outside pressure: see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 172.
- 77 The Commission would also have other key roles (eg futures scanning, review of council plans under the RMA, and issuing a report card to the government on its environmental performance). See chapters 8 and 9.
- 78 Contrast the weak mandate of an institution like the EPA: see Environmental Protection Authority Act 2011, s 12.
- 79 In the same sense as the "purpose of local government" in the Local Government Act 2002. On the importance of a clear mandate, see New Zealand Productivity Commission *Low emissions economy* (Final report, 2018) at 231.
- 80 See J Boston "Anticipatory governance: How well is New Zealand safeguarding the future?" (2017) 12(3) Policy Quarterly at 11; and J Boston *Safeguarding the future: Governing in an uncertain world* (Bridget Williams Books, 2017).
- 81 See <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=11745529>
- 82 Compare the Independent Māori Statutory Board that provides advice to Auckland Council.
- 83 A stronger approach than the appointments process for boards of inquiry, where there is generally a requirement to consider the need for appointees to have knowledge of tikanga (eg see Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, s 52(5)(c)).
- 84 This general approach, in a more informal sense, can be seen in the Kahui Wai Māori (Māori Freshwater Forum) arrangement under the Essential Freshwater programme.
- 85 G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev 1 at 3.
- 86 On the importance of targeted tasks and subject focuses, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 172.
- 87 For example, issues with forestry planting being geared towards climate targets rather than long-term and more holistic or synergistic concerns (eg indigenous biodiversity, landscape value).
- 88 It is focused on the future, but it is also concerned above all with development.
- 89 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 90 Ibid at 214.
- 91 Ibid. That led us to suggest that fisheries sustainability decisions could usefully be integrated into a more holistic statute akin to the RMA, with its associated checks and balances (including the potential for appeals). We pursue this idea in Chapter 11 (oceans legislation).
- 92 Compare the discussion at G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 173.
- 93 New Zealand Bill of Rights Act 1990.
- 94 For example, consenting being done by the EPA or independent commissioners.
- 95 Later we note a conditional reform that translating such policies to actual regulation could be done by an arms-length EPA, if indicators did not improve.
- 96 Although it is arguable the extent to which an NEP contains "policy" in this sense, if the purpose and principles of the Act were to be strengthened.
- 97 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 98 See <www.newsroom.co.nz/2019/07/05/667804/lighter-methane-target-for-farmers-a-question-of-equity-not-science-report>
- 99 For example, what would it mean for decision-making on council plans if councils were tasked with giving effect to an NEP, but there was also a declaration by the Environment Court that the NEP itself was not in accordance with Part 2? How would that affect the interpretation and weight given to different objectives and policies in the NEP? It would create a significant amount of uncertainty.
- 100 There would be more clarity around whether an NEP is unreasonable (in administrative law terms) in light of Part 2, and whether anything has failed to be considered (especially climate change).
- 101 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164-165.
- 102 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164-165.
- 103 Policies under a regional policy statement can be "rule like" and even mapped (eg an urban boundary), but still require expression in a district plan to restrict what people can do on the ground.
- 104 This logic could also apply to policy creation vs rule making in local government RMA planning, but may be less appropriate in the context of rules and zonings for urban planning.
- 105 Compare M Sagoff "The economy of the Earth: Philosophy, law and the environment" in RL Revesz *Foundations of environmental law and policy* (Oxford University Press, 1997) at 22.
- 106 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 174.
- 107 Ibid. Compare also New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5 and 7.
- 108 Environmental Protection Authority Act 2011, s 12.
- 109 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176.

8. PLANNING UNDER A NEW RMA: LOCAL GOVERNMENT

8.1 Introduction

As under the current RMA, in a future system it would be important for national direction (now in an NEP) to be given effect to in council plans. In some cases, this may be a matter of simply inserting policies or regulatory provisions directly from the NEP without further process.¹ That is necessary to achieve timely outcomes where the need is urgent. But, in other cases, council plans would be expected to give local expression to general policies, or to put in place locally tailored responses to achieve national level targets. As we said in Chapter 7, an NEP is not intended to be a replacement for local government planning under the RMA. The idea is that a single, integrated, and coherent national level policy instrument would compel the government to provide direction on matters of national importance and at the same time would be much easier to translate and implement at the local level. Many things addressed in council plans would also be about matters of local rather than national importance, and would be constrained² but not driven by an NEP. There would be a clearer definition of subsidiarity to describe what that meant. Approaches to many aspects of land use (eg shaping places in urban communities) would be a good example of firmly local responsibility.

We also see merit in linking new obligations in an NEP to expected funding mechanisms for local government (including, potentially, grants from central government).³ This would recognise that while councils are legally responsible for implementing national direction, they are also quasi-constitutional partners with the Crown in environmental management, not branches of central government. Such a notion would also be reflected in the arrangements for close consultation with councils when central government is developing an NEP, so that cost implications for local government could be worked through from the outset. This is not to say an NEP needs to be *accompanied* by funding per se, only that expected costs and sources of funding are at least identified and that there is an opportunity to broadly agree on them as feasible and fair.⁴



8.2 Local government structural reform

In at least the short to medium term, we are not suggesting the mass restructuring (eg amalgamation) of local government. This is partly because such questions are beyond the scope of the resource management system (local government does many other things), and partly because it would be an intensely controversial process that could distract from other reform measures that we see as more urgent. That said, we do see a strong case for revisiting questions of amalgamation where local government units are no longer economically viable, particularly where this is impacting on their capacity to discharge functions relating to environmental protection.⁵ This could be done through compulsory referenda.⁶ While local democracy is extremely important, communities of interest and connections between them can change over time, and scale does matter when it comes to the increasing complexity and challenges of integrated environmental management, especially in a small country like New Zealand.⁷

In the longer term, we support an ongoing conversation about the broader role of local government. It may be that a desirable focus on shared services and cooperation at the regional level will break down barriers to eventual structural reform,⁸ as long as there are meaningful mechanisms for local communities to retain ownership over truly local issues.

But even if there is no reorganisation of local government itself (eg regional unitisation), we see a strong case for stronger cooperation at a regional level in planning (both in the RMA and beyond). Infrastructure New Zealand has put forward persuasive reasons for thinking regionally for some things, including urban planning and infrastructure provision. Others have stressed the benefits of grass-roots localism, which in some cases also makes sense.⁹ The more basic point, we think, is that issues need to be managed at scales where communities of interest lie and where there is the ability to address issues effectively, efficiently and fairly. There can be tensions between those things, and a difficult adjustment to be made where circumstances change (eg costs become prohibitive to deal with things at one scale). Communities of interest do not always reflect the ability of a population to fund some of their functions. For example, small and dispersed populations are expected to fund planning and consenting activities across huge geographical areas that, in some cases (as in the Mackenzie Basin), can have nationally significant implications.

However, the appropriate level of decision-making will be different for different things, which suggests that shifting functions (eg escalation pathways for particularly technical or tricky regulations,¹⁰ or compulsory shared services for some things, including costly infrastructure)¹¹ may be more prudent than jumping too soon towards wholesale institutional reform of local government.

A spotlight on thinking regionally

Many have stressed the benefits of thinking regionally, which applies both to the specific functions of councils under the RMA and in a broader sense (eg through cross-statutory spatial planning, discussed in Chapter 9). We currently have dozens of regional, unitary and local councils, most of the latter being fairly small, and some have pointed out the increasing challenges and burdens facing them in light of their financial, technical and human capacity.¹² Some of that relates to regulatory services under the RMA (eg plan making, consenting), and some of it is related to the provision of community services (including infrastructure like roads, water pipes and treatment plants, and streetlights). Scale clearly matters for some things.¹³ That has led to suggestions for shared services or, more dramatically, to fundamentally overhaul what local government boundaries look like.¹⁴

A recurring criticism of district and regional planning, under the RMA specifically, is its fragmented nature, and a lack of consistency or integration between documents. Since the inception of the Act, there has been the ability for territorial authorities and regional councils to “agree to jointly prepare, implement, and administer” combined district plans and unitary plans (which incorporate both district and regional planning documents).¹⁵ Yet outside the six existing unitary councils, only the Wairarapa Combined District Plan and the newly announced West Coast Combined District Plan appear to have taken advantage of this. This is despite the direction to local authorities to “consider the preparation of a combined regional or district plan under this section whenever significant cross-boundary issues relating to the use, development, or protection of natural and physical resources arise or are likely to arise”.¹⁶

Despite its benefits (consistency across a region, accessibility for users, potential for shared resources, cross-boundary concerns like labour markets and movements of people), there are difficulties with doing this. Under section 80, a combined document must still be prepared in accordance with the provisions of Schedule 1 of the RMA, and needs to be approved by each local authority. A territorial authority cannot delegate the approval of a planning document.¹⁷ This exposes any combined planning process to potentially different political pressures, depending on the councils involved.

Some have therefore suggested that the solution is regionalisation of local government units, whether along current lines or different ones.¹⁸ We think that, in the longer term, it is worth testing communities of interest in relation to where functions can be most effectively and efficiently performed, through a nationally led, but not centrally determined, process.

We are not recommending widespread structural reform for local government, at least in the short to medium term. However, we encourage a longer-term conversation about regionalisation of functions or institutional integration to continue, and see room for greater (including enforced) cooperation at a regional level.

Questions for discussion:

- To what extent should local government units be amalgamated or otherwise restructured through the resource management reform process?
- Will this intensely controversial process risk undermining or distracting from other measures that are more important in the short term?

8.3 Local government planning under the RMA

Aside from the question of institutional reform, there are serious questions to be asked around the RMA planning process for regional plans, regional policy statements, and district plans. There are two key things that we think need to be done differently in the future. The first is the need for more joined-up decision-making at a broader (regional) spatial scale, irrespective of council amalgamation. The second is that more timely outcomes are required, particularly for urban planning in areas of high growth¹⁹ and for freshwater. The last five years or so have seen a stream of targeted and ad hoc measures designed to address such things (eg special housing areas, an NPS on urban development capacity, the Auckland Unitary Plan process, proposed urban development authorities, a

streamlined planning process, and proposed changes to freshwater plan making).²⁰

The need for plan agility, however, seems more systemic than those particular examples. There is urgency in relation to a whole range of matters, including in the defence of environmental bottom lines and climate change adaptation. We have heard many complaints that the Schedule 1 process is costly, time-consuming, and almost inevitably results in appeals that can drag on interminably. Plans can take up to 10 years (from notification to resolution of final appeals) to become fully operative, just in time for another review. An average timeframe of four to five years for a plan change is far from ideal.²¹

A need for speed is, however, tempered by the need for robust, evidence-based decision-making and a role for the public to participate and provide input. There is an inherent tension here, as explored in the Phase 1 report.²² As at the national level, there is also the important question of associated institutional arrangements for local planning, including the proper role of independent institutions (eg commissioners, the Environment Court) and accountable ones (councillors).

There are some surgical, less intrusive and incremental reforms that we consider would be useful in the short term. In particular, we encourage the further development of national planning standards (which would also apply to an NEP) including a common core of definitions, format

and structure for plans, along with reasonable timeframes for transition.²³ In particular, we encourage a structure that requires the clear bottom lines outlined in a new Part 2 of the RMA to be addressed in a common way, enabling easy comparisons across jurisdictional boundaries and making it easier to give effect to bottom lines in an NEP. More generally, we see room for reducing the complexity and the sheer length of the RMA.²⁴ It is groaning under its own weight. We do not suggest specific measures by which that could happen here – that would involve an almost section by section analysis of the Act – but express support for that process to happen following identification of more framework level changes.²⁵

However, we think that change is also required to the core of the plan-making process, by making it more agile at the same time as ensuring robustness of decision-making and encouraging participation.²⁶ These concerns were among the key drivers behind the bespoke process for developing the Auckland Unitary Plan, and this experience is instructive.

A new planning process under the RMA needs to be more agile, so it can respond to a rapidly changing biophysical and social context. This should be done in a way that provides for robust decision-making, meaningful public participation, and more timely outcomes.

A spotlight on the Auckland Unitary Plan process²⁷

The process for producing the Auckland Unitary Plan (an RMA instrument) was outlined in special legislation, following recommendations from the Royal Commission on Auckland Governance in 2009. Auckland's eight former city, district, and regional councils were amalgamated into the unitary Auckland Council, and with them went their associated district and regional plans. With the formation of an integrated institution came the need to integrate the former councils' RMA planning instruments.

However, the first step in the Unitary Plan process was a completely different plan required under another piece of legislation, called (rather confusingly) the Auckland Plan. This was a "spatial plan" for Auckland, the purpose of which was different to the RMA (to contribute to Auckland's social, economic, environmental, and cultural wellbeing through a comprehensive and effective long-term strategy for Auckland's growth and development). The Auckland Plan was to set a strategic direction for Auckland and provide a basis for aligning infrastructure plans, regulatory plans (including RMA ones), and funding programmes of the now unitary Council. We shone a spotlight on the Auckland Plan in the Phase 1 report.²⁸

The Unitary Plan followed a modified RMA (Schedule 1) process, whereby things were (generally) streamlined. For example, while the time for submissions and further submissions was extended (because of the enormity of the exercise), there was no discretionary ability to extend or waive time limits beyond that. The Council was then required to deliver up the proposed plan, all submissions, a section 32 report and other information to an Independent Hearings Panel. That panel was established by the Minister for the Environment and Minister of Conservation. The entire process from notification to recommendations was required to be completed within three years.

When the Plan was notified in 2013, 13,000 submissions were lodged. Across 249 days and 70 topics, the Panel considered over 10,000 items of evidence and over 4000 appearances by submitters. Hearings were held by topic, with the "big picture" regional policy statement and Auckland-wide topics heard first, before a host of more specific zoning questions.²⁹ Hearings largely followed the usual RMA process, with legal submissions, summaries of pre-circulated evidence, and questions from the Panel. Cross-examination was the exception, rather than the rule.³⁰

However, there were significant challenges, and important lessons. For example, the Council's summary of requested decisions ran to some 4000 pages, presenting significant issues of scope for submitters. The Council itself lodged a lengthy submission on its own plan. Towards the end of the process, it became apparent that the Panel might not report within the three-year timeframe. Last minute changes were made in response.³¹

The result was that, by the end of the process, there was a significant increase in submitter burnout. The rezoning topics, which had a large number of site-specific submission points, were held at breakneck pace in the last four months of the 20-month process, after most of the other Auckland-wide topics had been heard but before any decisions had been made. Hearings on proposed changes to the rural urban boundary, another contentious issue, were also held towards the end of the process. The process was also still open to political pressure. In February 2016 the Council voted controversially to withdraw evidence it had filed in support of intensification³² in some suburbs. There were also issues with timing, and a lack of higher order policy to inform lower level decisions.³³ Ultimately, decisions about whether to accept or reject the Panel's recommendations lay with the Council. A number of recommendations were in fact rejected, opening up merits appeal rights to the Environment Court.

The efforts of the Panel to consolidate and integrate Auckland's myriad planning instruments into one coherent document were heroic. That said, implementation has not been without its challenges. Despite constraints on appeals, numerous actions have been filed. A recent decision in the Court of Appeal has even said that the Panel failed to give proper reasons for declining a site-specific rezoning request, and so the Panel (now three years later) must reconstitute to give those reasons. There have also been declaration proceedings brought by landowners, successfully challenging the Council's interpretation of key provisions of its own plan. The result has been yet more plan changes.

In short, and as shown in Figures 8.1 and 8.2, we are floating the idea of reducing a two-stage process for plan making to (largely) a single stage. Because of this, we consider there would no longer be a need for a separate “streamlined” planning process in the RMA. However, as we expand upon below, we are also floating two sub-options for feedback. The future of a separate collaborative process we leave open for debate.

8.4 Option 1: An Auckland Unitary Plan-type model

Option 1 is based broadly on the kind of model used in developing the Auckland Unitary Plan, where an independent institution considers a proposed plan, makes recommendations to councils, and where merits appeals are then constrained.³⁴ However, there would also be significant differences to the Auckland Unitary Plan process.

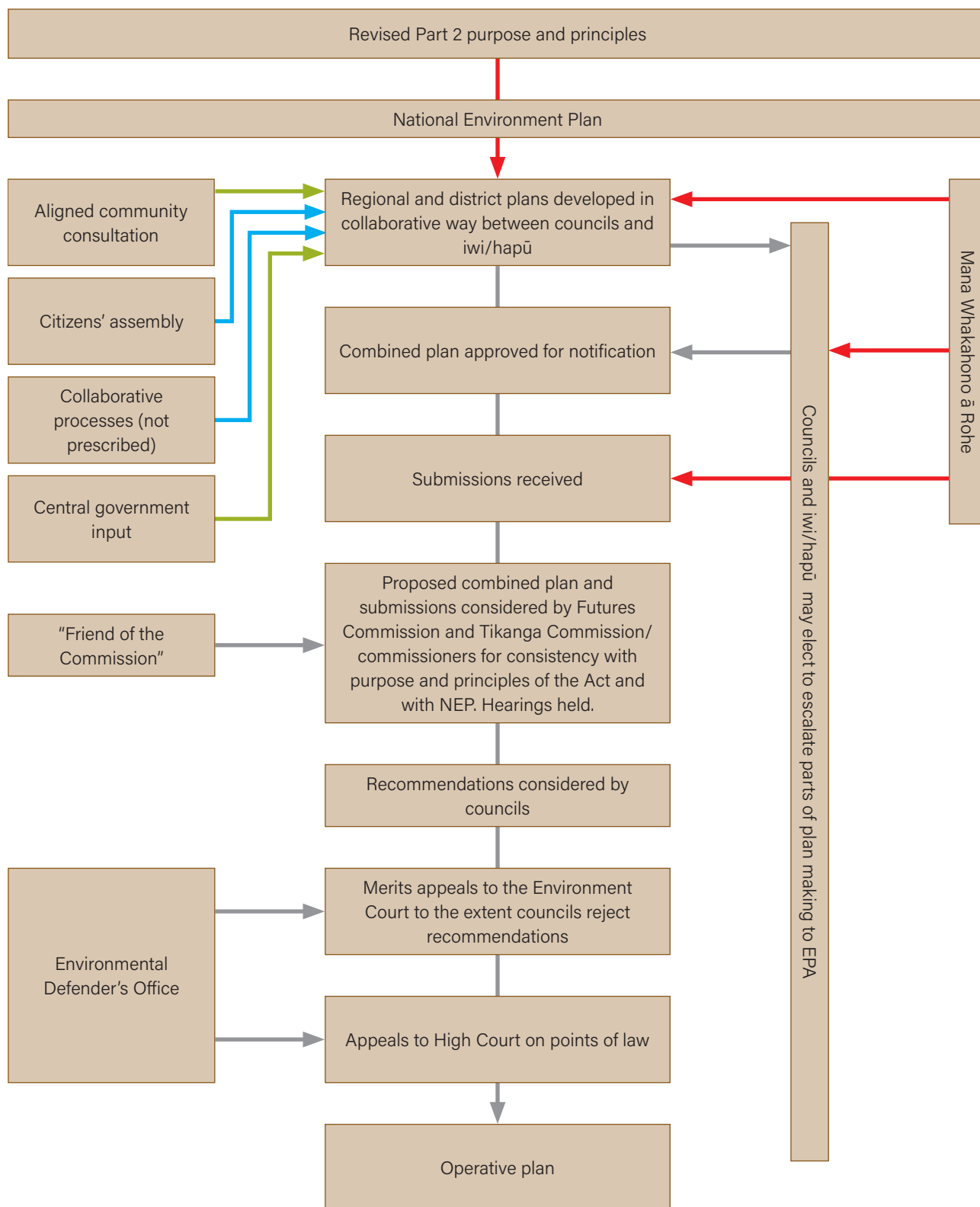


Figure 8.1: An Auckland Unitary Plan-type model for council planning under the RMA

In particular, a single plan – for convenience, a “combined plan” – would be developed in a collaborative way between a regional council, territorial authorities, and iwi/hapū, each consulting with their respective communities. There would be an obligation to work together. This would effectively be compulsory use of what the RMA provides for as “combined regional and district documents”.³⁵ A joint committee, based on the model provided by section 80 of the existing RMA, could be an effective means of implementing this. In terms of staffing arrangements, there would be merit in the use of cross-cutting “project teams” within and across councils. These could break down silos and ensure that planning happened in a coordinated way (including making links to plans under other acts).³⁶ As we said in the Phase 1 report:³⁷

Councils write a huge number of plans: long-term plans and annual plans, pest management strategies, flood management plans and asset management plans, regional and district plans, and transport plans. Those are often produced by different parts of the same organisation...

Some councils have created central “policy” teams – for example Taupō District Council has a policy team that works across different legislation (notably the RMA and Local Government Act). This allows the council to deploy policy resources efficiently to meet fluctuating workloads ... [and could] help lead to more integrated plans as an alternative to legislative integration.

We would also envisage a framework that encouraged creative mechanisms for public engagement as part of plan creation, including the potential for collaborative processes³⁸ and citizens’ juries (see below). Plans should not *just* be imposed from the top down,³⁹ and more emphasis needs to be placed on community co-design rather than reactive submissions and litigation. Community and stakeholder buy in and ownership is essential to durable outcomes, and innovation in engagement will be important to reach out to what will be a more diverse and rapidly changing population, especially in urban areas.⁴⁰ There is huge potential in the use of social media and technology to innovate in this area, which many are already exploiting to positive effect.⁴¹

In particular, we see collaborative processes (which we shone a spotlight on in the Phase 1 report)⁴² as a good idea in principle. Getting stakeholders in a room together to work through disagreements and find common ground can create more durable agreements, encourage creativity, reduce later tension and litigation, and provide for increased awareness of issues.⁴³ Although they were not without their challenges, significant steps forward have been achieved through groups like the Land and Water Forum and the Sea Change – Tai Timu Tai Pari stakeholder working group, which were designed to influence policy more broadly than just under the RMA.⁴⁴

In the RMA specifically, a collaborative group’s consensus recommendations could usefully be something to which decision-makers are obliged to have particular regard.⁴⁵ However, we see the existing collaborative planning track

in the RMA as inherently risky, complex and difficult to formalise in legislation as a replacement for (or alternative to) a more general planning process.⁴⁶ In particular, it leaves few safeguards around who can be appointed to a collaborative group, raising risks of entrenching existing interests and creating power imbalances.⁴⁷

A spotlight on citizens’ juries

In the Phase 1 report, we floated the idea of formalising the use of citizens’ juries in the local planning process, as a way to ensure a wider variety of voices are heard. We explained that:

Members of the jury are randomly selected from the relevant population. They jointly hear submissions and evidence, deliberate and reach a conclusion. Such juries have been extensively used overseas...

In the New Zealand context, such a jury could be established, for example, through randomly selecting between 10 and 20 participants from the relevant district or region. The jury could sit in on the public hearings of the proposed plan provisions and then meet to deliberate and provide recommendations to the council. The council could be required to take the recommendations into account.

This model could also be used much earlier in the process, so that a citizens’ assembly actively contributed to creating a plan or plan change. For example, in Vancouver, the City Council established a citizens’ assembly to develop a plan for the Grandview-Woodland community.⁴⁸ An open invitation resulted in 500 volunteers, from which 48 members were selected by lottery. Recommendations in such a model should not be binding (they are not a substitute for local democracy or a replacement for firm limits to achieve environmental bottom lines), but they should have substantial moral authority, contribute useful local information, and provide an indication of community feeling. They should be one matter to take into account.⁴⁹ Broad citizens’ assemblies could be supplemented by ones targeted at underrepresented groups (such as youth).

Furthermore, we see a valuable opportunity for direct input from central government in the development of council plans. That proactive input is lacking at the moment,⁵⁰ and would be valuable early on so that plans (and plan changes) could develop in a way that gave effect to an NEP and linked well to other statutory plans.⁵¹ Alternatively, the Ministry for the Environment and Ministry for Housing and Urban Development could be required to provide comment on a draft.⁵² We also see a case for councils to be *able* to escalate planning issues to an independent central government agency (potentially the EPA) where there are resourcing issues or where necessary to give effect to national direction.⁵³ That could be useful, for example, to implement aspects of an NEP relating to climate change adaptation or mitigation.

A proposed combined plan would then be publicly notified,⁵⁴ and submissions received and summarised. There may be some merit in preventing those who have developed the plan, and approved it for notification, from then making submissions on it. However, in a jointly prepared plan that may be a valuable safety valve by which any differences of opinion (eg between councils or between councils and mana whenua) could be highlighted for consideration.

Another key difference from the Auckland Unitary Plan process would be that the standing Futures Commission (or perhaps a specialised “planning” branch within it) and Tikanga Commission or commissioners would be tasked with reviewing the notified plan, section 32 analysis, and submissions. Hearings would be held in two stages.⁵⁵ The first would be to set the strategic policy framework (including, where relevant, targets), and the second would be to consider more detailed matters (including regulatory provisions).⁵⁶ There would be no opportunity for further submissions. The Commission(s) would make recommendations to councils, based on its assessment of whether the plan implemented Part 2 of the Act, gave effect to the NEP, and gave effect to the principles of the Treaty of Waitangi. Councils (for their respective jurisdictions) would then be able to decide whether to accept or reject those recommendations. As in the Auckland experience, only to the extent they were rejected would there be the opportunity for merits appeals to the Environment Court (in which case other persons could join proceedings as section 274 parties). There would also be appeals on points of law to the High Court.

The Futures Commission in this option would play a valuable role not just as an expert, independent check and balance on local democratic decision-making;⁵⁷ it would also ensure that the plan formed a coherent whole at a regional level. Furthermore, it would provide a voice not just for future generations of people generally, but also future residents of an area. It would closely consider the national, not just local, interest.⁵⁸ While local collaborative processes and citizens’ juries are extremely valuable, they can still run the risk of presenting the views of current residents and seeking to entrench existing preferences (eg low density development). Even “representative” councils themselves can run this risk, given the characteristics of

people who are most likely to vote in local elections and submit on plans (eg older, wealthier people).⁵⁹ A role for the Futures Commission here would provide some balance.

Across all of this, reasonable timeframes and support for participants would be crucial. In the Auckland Unitary Plan context, much feedback has indicated that the time available for submission and decision was too short, and there was considerable submitter burnout. A future system also needs to be mindful of the need not to discourage public involvement in what should be a reasonably informal and non-threatening setting.⁶⁰ Meaningful public participation is crucial for many reasons, as outlined in the Phase 1 report, and needs to be encouraged, not just allowed.⁶¹ As explained in the spotlight below, we can draw similar lessons from the Christchurch experience of a bespoke, streamlined district planning process (albeit in a very different context).

It would in our view be a positive step to establish a publicly funded “friend of the court” (or, in this case, “friend of the Commission”) model to assist participants (especially lay participants) through the process,⁶² as well as a properly-funded statutory environmental defender’s office charged with taking on public interest litigation (to the extent appeals were allowed).⁶³ At present, the Environmental Legal Assistance Fund is fairly constrained, and is not available to individuals.⁶⁴ Civil society groups are often left to litigate under their own steam. These reform measures would be intended to counteract the inequality of resources that often arises in the context of resource management court proceedings, as well as support people and communities through what can be a demanding process.

One option for reforming the local planning process under the RMA is to adopt a variant of the Auckland Unitary Plan model. Merits appeals would be constrained by whether councils accepted or rejected the recommendations of a standing, independent Futures Commission. A “friend of the Commission” model could usefully be established to assist submitters through the process, and there could also be a new, publicly funded environmental defender’s office to pursue public interest litigation.



A spotlight on the Christchurch Replacement District Plan process

The traumatic earthquake of February 2011 presented many challenges for the people of Canterbury, not least of which were crucial decisions as to how Christchurch was to be rebuilt and what shape it would take. Central to this was the development of a Replacement District Plan, effectively rewriting the rulebook for the Christchurch metropolitan area. Pursuant to the Canterbury Earthquake Recovery Act 2011, the Canterbury Earthquake (Christchurch Replacement District Plan) Order 2014 modified the RMA to provide a streamlined process for the review of the existing district plans and for the preparation of a comprehensive replacement district plan for Christchurch.

The process provided for the notification of proposals for a replacement plan and for the making of submissions. A hearings panel, appointed by the Minister for the Environment and the Minister for Canterbury Earthquake Recovery (in consultation with the Christchurch City Council) conducted hearings and made decisions on whether to make changes to any proposal. Almost 5000 submissions were considered, covering over 48,000 submission points in 134 decisions.

The process was complex, and made more so by the overlay of central government direction through a “Statement of Expectation” and the Recovery Strategy (the new Plan had to “have particular regard to” the former and “not be inconsistent with” the latter). The Plan was set down for hearing in three stages. Generally, the first dealt with the strategic level outcomes, temporary activities related to earthquake recovery, repair and rebuild of multi-unit complexes, and rezoning of particular land under the Land Use Recovery Plan. The remaining topics were heard across the remaining two stages, with decisions released on those stages in batches.

The panel notified the stage-one proposal in August 2014. At the other end of the process, final decisions were made in December 2016. Unlike the Auckland experience, the decisions of the Panel were final, and the Crown (through the Canterbury Earthquake Recovery Authority) participated heavily. There were no appeals to the Environment Court, only on points of law to the High Court.

The process was not without its critics. Participants reported feeling bruised by the adversarial nature of the hearing process. Unlike Auckland, cross-examination was the norm rather than the exception. An independent review part way through the process also found that the Council had “not produced an effective plan” for the panel to consider. Staging, in particular, made it difficult for participants to know on which topic and at what level to engage, and by the end of the process sometimes left submitters finding out that their chance to affect change had gone already.



A spotlight on Māori as gatekeepers

There are significant questions to be asked in the local planning context about the role of Māori, especially in light of any strengthened Treaty obligations in a revised Part 2 of the RMA. Should iwi and hapū as “representative” groups be treated as gatekeepers (ie final decision-makers, among others) at the system-wide level,⁶⁵ not just as co-designers in plan production, or “expert” advisors on Māori issues or tikanga/mātauranga? Is a strengthening or greater resourcing of Mana Whakahono ā Rohe agreements the way forward, to allow those questions to be tailored and negotiated up front between councils and Māori?⁶⁶ Do they need to be brokered more actively by the Crown as Treaty partner?⁶⁷

In the model described above, there is provision for co-production of plans by mana whenua⁶⁸ and independent review by a Tikanga Commission/commissioners. This recognises that Māori are not just “objects” of the system to be protected, but also Treaty partners whose voices must be heard and contribute to plan development.⁶⁹ This is more than just “consultation”,⁷⁰ and should ensure that sites and landscapes of particular significance to Māori are identified in plans, preventing the kinds of issues that arose in relation to the non-notified consenting of earthworks on Te Mata Peak.⁷¹ It should also address concerns that iwi management plans have proved only a weak input to RMA processes despite councils having to take them into account,⁷² given that there would be a champion for such plans in the development process. There may need to be greater resourcing by the Crown to allow some iwi and hapū to collaborate in such ways,⁷³ although the exact nature of what collaboration looks like would not necessarily need to be prescribed by law.⁷⁴

However, recommendations here are still ultimately left to be accepted or rejected by councils, followed by potential (albeit constrained) appeals to the Environment Court. Thus while the model strengthens Māori involvement relative to the current RMA process, some may question whether it goes far enough to give effect to the principles of the Treaty.⁷⁵

Alternatively, does there need to be more fundamental institutional reform in actual decision-making entities? For example, a future system could introduce Māori wards for councils themselves, or provide more specifically for co-governance arrangements and power sharing between councils and iwi/hapū (and potentially also the Crown, as under the Waikato River Authority model).⁷⁶ There could even be the mandatory delegation of some functions, beyond specific Treaty settlement obligations, or an obligation for the Futures Commission’s recommendations to be approved/rejected by mana whenua as well as the relevant councils (thereby opening up appeal rights).

The extent to which there is direct representation by Māori as final decision-makers across the system is a challenging issue – especially if there are many different iwi or hapū across a region. We welcome thoughts on that question, and whether more should be done. Self-organisation is a matter for Māori themselves rather than something to be imposed from above, but greater clarity around who has the authority to speak and engage with councils could be useful. In the Phase 1 report, we noted that:⁷⁷

In some areas there is little or no ambiguity about which is the relevant iwi to engage with In other areas it is very unclear and often highly contested. For example, in Northland there are hundreds of hapū, some with populations greater than many iwi. In practice, engagement with hundreds of hapū is not usually possible. How should councils determine which to engage with? What criteria are relevant when deciding this?

This is an area for which improved statutory definitions, processes and standards could be developed. In some places, such as Auckland City, the “mana whenua” recognised are those with Treaty settlements. While this ensures that the entities have a legal personality and constitutions providing for accountability to beneficiaries, a tikanga based solution is an alternative ... Whatever the solution, the problem is a real one for both councils and tangata whenua in many regions and could usefully be addressed in system reform.

In any reforms, we must also take care to ensure that existing Treaty settlements (which may significantly alter the default local government planning process) are upheld, as well as more general legislation like the Marine and Coastal Area (Takutai Moana) Act.⁷⁸ It may be that some questions of co-management and engagement may be resolved through existing avenues,⁷⁹ including greater resourcing and uptake of Mana Whakahono ā Rohe agreements between Māori and councils, or transfer of functions, but to some that may have limitations.⁸⁰



8.5 Option 2: A hybrid hearings panel

Option 2, shown in Figure 8.2, looks quite different to both Option 1 and the status quo. It seeks to combine the independent and accountable aspects of decision-making into a single-stage hearing by one “hybrid” institution. This reflects the idea that independence and accountability, as well as central and local, can be reflected in the internal design of an institution rather than having hierarchical roles for separate institutions (eg appeals).⁸¹

In this model, proposed regional and district plans would be prepared separately by territorial authorities and regional councils (albeit with a direction to work together), in close collaboration with iwi and hapū. (As in Option 1, there would be room for collaborative processes and creative forms of community engagement, such as citizens’ assemblies, to inform that process.) Regional and district plans would continue to remain separate (ie they would not be joined into a combined plan), although regional plans and regional coastal plans would be integrated into a single regional document.⁸²

However, instead of a truly independent hearings panel (the Futures Commission) considering submissions

and making recommendations, there would be a hybrid institution making a final decision. This would comprise Environment Court and/or independent commissioner expertise, iwi/hapū, as well as elected members of the relevant territorial authority or regional council.⁸³ There would also be the opportunity for Crown and (for district plans) regional council representatives to contribute as observers. In the current system, there are very few formal places where this kind of coming together of different levels of government, and government with Māori, occurs, and we think it would be a positive step.⁸⁴ An alternative way of looking at the model would be for the Environment Court to simply “co-opt” members onto a panel in a way prescribed by statute.⁸⁵ Either way, the panel would have latitude to establish its own procedures.⁸⁶

Taking Wellington City as an example, a hybrid decision-making panel could comprise:

- An Environment Court Judge (Chair)
- One (or two) independent commissioners appointed by the Chair⁸⁷
- One member nominated by relevant iwi/hapū

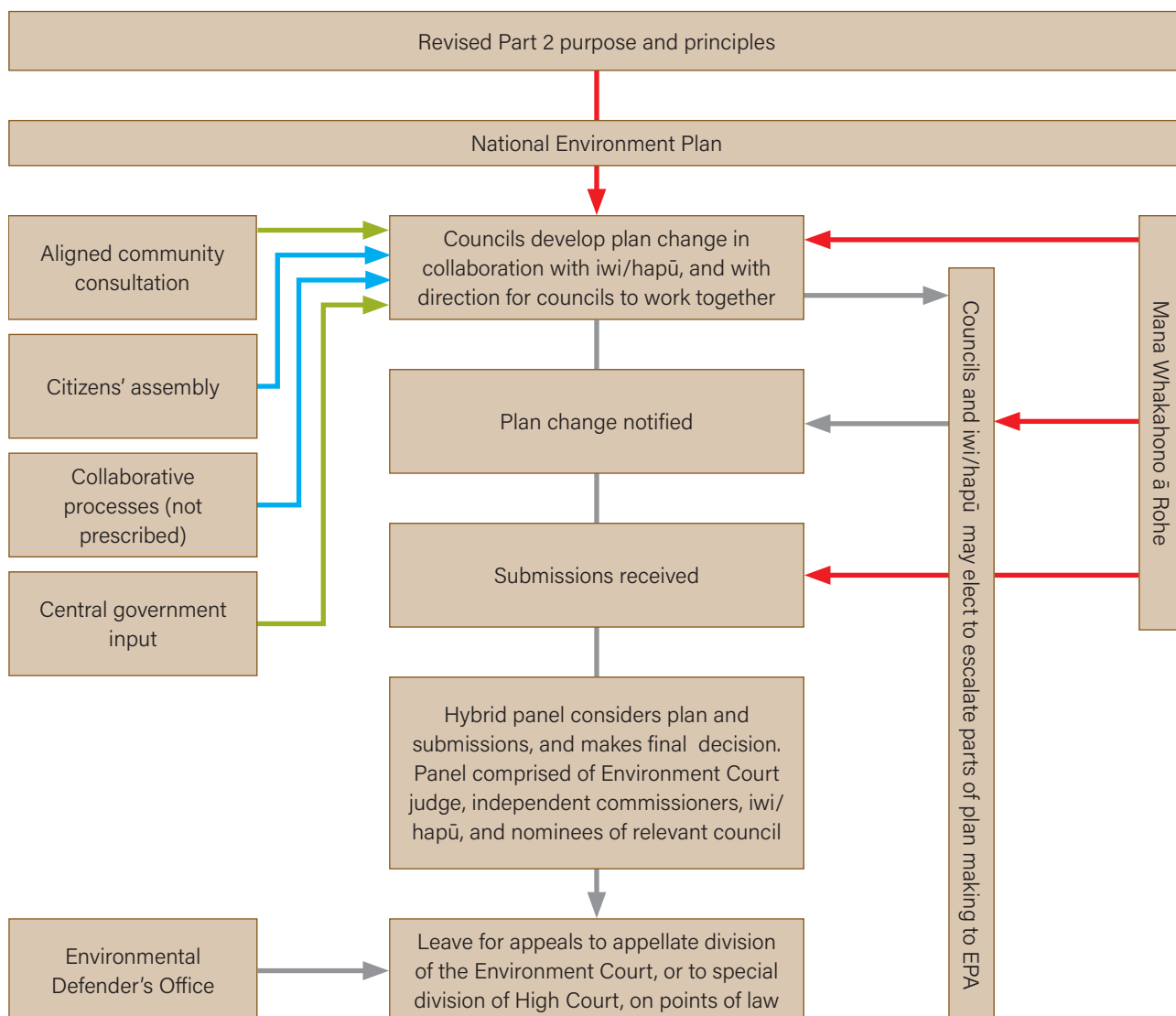


Figure 8.2: A “hybrid” panel model for council planning under the RMA

- Two members nominated by the Wellington City Council
- Observers from the Greater Wellington Regional Council and the Crown

As in Option 1, there would be limited rights of appeal from the decisions of this hybrid institution. Appeals could either be limited to points of law to the High Court⁸⁸ or to a new senior “appellate division” of the Environment Court. In either case, there could also be a requirement to obtain leave, or prove a *prima facie* case. For example, appellants could be required to demonstrate an issue of local or regional importance, so that the Court at appellate level is not bombarded with site-specific zoning appeals.

In this hybrid model, it would be important to ensure relative parity between the independent and locally elected members of a decision-making panel. Such questions will no doubt prove controversial, and are open to allegations of undermining local democracy. However, it is important to remember that the current system is already strongly defined by an (ultimately) independent decision-making power (in the Environment Court), even if merits decisions are limited by the scope of appeals. An institution with a preponderance of independent members would therefore not necessarily be “less” democratic than what we now have, just independent or accountable in a different way.

There may also be issues over the extent to which iwi/hapū should be represented relative to the community more broadly (or whether other mechanisms, like Māori wards for council elections, would be more appropriate), and how decisions are to be made in the event of intractable conflicts between members of the panel. The issues explored in the earlier spotlight on Māori as gatekeepers would be equally relevant, although we note that iwi/hapū *would* be directly represented on the hybrid decision-making panel in Option 2, not just as co-developers of a plan.

A second option for a revised RMA local planning process would be to have a single-stage hearing by a hybrid institution (combining the Environment Court, commissioner(s), councils and iwi/hapū). Appeals would be limited to points of law.

8.6 Which option is better?

Both of the options outlined above have positive and negative features. While some may see the current Schedule 1 process as preferable to either, on balance we consider a new approach is needed to provide greater agility. Option 2 offers some benefits in terms of (arguably) a more democratic blend of panel members, as well as a (largely) single-stage process. However, it has drawbacks. Some of these have been mentioned above (questions over the relative representation between different groups, and how conflicts are resolved).

Furthermore, the model would not address the fragmented planning landscape, or integrate plans at the regional level (through a combined plan). Instead, it would see the retention of distinct district and regional plans as separate instruments. While it would be possible to require councils to work together across boundaries in developing a single plan for a region (as in Option 1), the hybrid institution proposed in Option 2 would present serious challenges when it came to making final decisions on such a plan. In particular, it would undermine local democracy if panel members from, or nominated by, one local authority (eg Porirua) could have influence over decisions applying to another (eg Wellington City). There would therefore need to be sub-panels that applied only to particular district plan or regional plan components, with the same judge and commissioners sitting across all of them. That strikes us as introducing too much complexity.⁸⁹

The model could, however, have real promise in the longer term if there were to be more widespread unitisation of councils at a regional level. While we have not recommended this specifically, it is a dialogue that we would encourage to continue, and may well lead to greater regionalisation (especially in some highly connected and fast-growing urban areas). Option 2 could also be a feasible model for future reviews of the Auckland Unitary Plan or the plans of other existing unitary authorities, where a single plan for a region can be produced by a single democratic institution.

Option 1 has definite attractions, including the consolidation of district and regional planning objectives, policies, and rules within a single combined plan. However, while it *constrains* merits appeals, it does not entirely do away with them. Furthermore, while a recommendatory (rather than binding) role for the Futures Commission preserves some elements of local democracy (councils make final decisions on the plan),⁹⁰ it also opens the door to continued politicisation of issues. Whether that is a good or bad thing may depend on one’s perspective.⁹¹

Both of the options outlined above have positive and negative features.



8.7 On the distinction between plan “creation”, “change” and “review”

On balance, we are thinking that Option 1 is a preferable process for plan *creation* (although we are by no means married to that idea or changes to it). This preference is because we see a greater regional level cooperation in plan making – through a single, coherent combined plan – as a good thing for the future. It would be difficult to achieve that in Option 2, because of the nature of the hybrid panel proposed.

However, there is a potentially important distinction in process to be made between plan “creation” and plan “changes”. Lying somewhere between those two concepts lies the idea of a plan “review”. In some cases a plan review can be an assessment of a whole plan (similar to creating a new plan), and in others it can be more targeted (eg rolling reviews of particular “topics” that are more akin to changing a plan in a targeted way). Many RMA plans are now reviewed in this manner.⁹²

Do we really want an Auckland Unitary Plan style (or scale) process for every single plan change, give that these vary considerably in their potential impacts, geographical extent, and complexity?⁹³ The strength of the status quo is that simple or minor plan changes (or those having little opposition) need not be escalated to the Environment Court at all (if there are no appeals), with councils retaining effective control.

Currently, the Schedule 1 process in the RMA applies to both plan creation/review and plan changes, but that would not need to be the case in the future. It is useful to consider, again, the Auckland Unitary Plan experience. What were the key drivers behind that kind of process?

Speed was one of them. A desire for a strong, independent and national voice was another. To us, those things are generally desirable features for future planning irrespective of the context, scale or significance of the issues in play. But in Auckland there was also the need to align multiple, complex plans in the wake of recent fundamental institutional change (council amalgamation into one super city), and in light of the higher level Auckland Plan (the non-RMA spatial plan).

In short, the idea was to “reset” the planning environment in Auckland under a new unitary framework, not to fundamentally change how the RMA would apply to it in the future. We are now seeing many plan changes to the Auckland Unitary Plan largely progressing in the normal way.⁹⁴ Similarly, recent bespoke planning arrangements in Christchurch were designed as a one-off “emergency” intervention to address post-earthquake regeneration (including for reasons of speed and short-term central government involvement in recovery), not as a permanent state of affairs.

Thus there is a valid distinction to be drawn between a process that “resets” entire plans and one that represents an ongoing process by which parts of plans are then changed. In a future system, such “resets”, applying to whole plans, will in our view be needed for several

reasons: (1) to align plans with each other (eg across a region, to form single combined plans); (2) to implement the normative direction of a new Part 2 (including strengthened Treaty obligations); and (3) to give effect to an integrated, comprehensive NEP. All of those things will take time, but they require a holistic view of a wider planning landscape irrespective of whether local government units ended up, in the longer term, being reorganised along regional lines. The Option 1 process provides this.

However, once plans are reset, is there an ongoing need for this process? In some circumstances, that may be justified. In particular, every so often (eg 10 years) a robust process like that may be required to ensure that everything is working well together (a periodic reset in the form of a whole of plan review).⁹⁵ We see the Futures Commission as having an important role here, where a holistic, future-focused and independent voice has input to all parts of a plan at the same time. The risk otherwise is that the cumulative effects of private and public plan changes (and consents) may lead to a plan becoming disjointed over time, and in need of a more drastic overhaul later on. That would not be a desirable outcome. Despite the best of intentions, plan changes and smaller scale reviews can have significant cumulative effects to the integrity of plans, and potentially, when viewed as a whole, end up departing from the purpose and principles of the Act.

There may also be the need for particularly *significant* proposed plan changes to be escalated to that process. Triggers based on significance may be difficult to pin down, but existing criteria for call-in may provide a useful starting point. Such escalation powers could be exercised by the Minister or by the Futures Commission itself.

However, in between such periodic health checks and for matters that do not meet a significance test, we see merit in using an Option 2 style process. Plan changes will always be necessary in between whole of plan reviews, and in our view they need to be more agile than at present (as well as providing for both public input and more independent decision-making up-front). For example, Plan Change 13 in the Mackenzie Basin has seen an enormous amount of time, energy and cost expended. So too have the site-specific zoning changes to the Frankton Flats area in Queenstown, which have prompted an avalanche of appeals.

While significant steps have been taken in recent times to improve timeliness of outcomes at the Environment Court level (see the spotlight below), and there is the ability to call in (or request call-in) of plan changes for direct referral to the Environment Court, we see an opportunity to address more systemic issues with the two stage plan change process. In short, this would mean using the Option 2 process outlined above for plan changes, (including to implement rolling reviews of parts of a plan). The idea is that direct referral to the Environment Court would no longer be needed. How this would work is shown below in Figure 8.3.

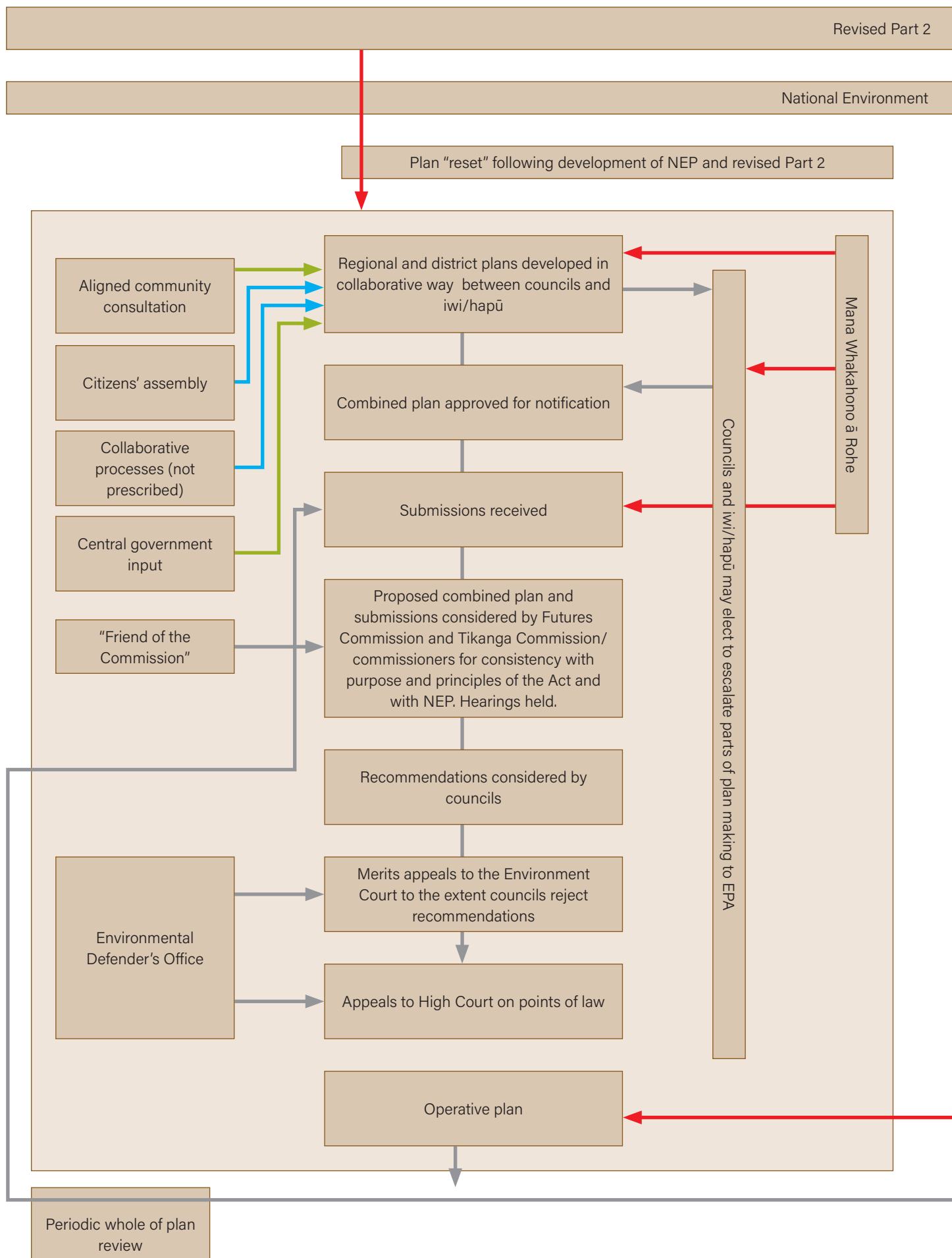
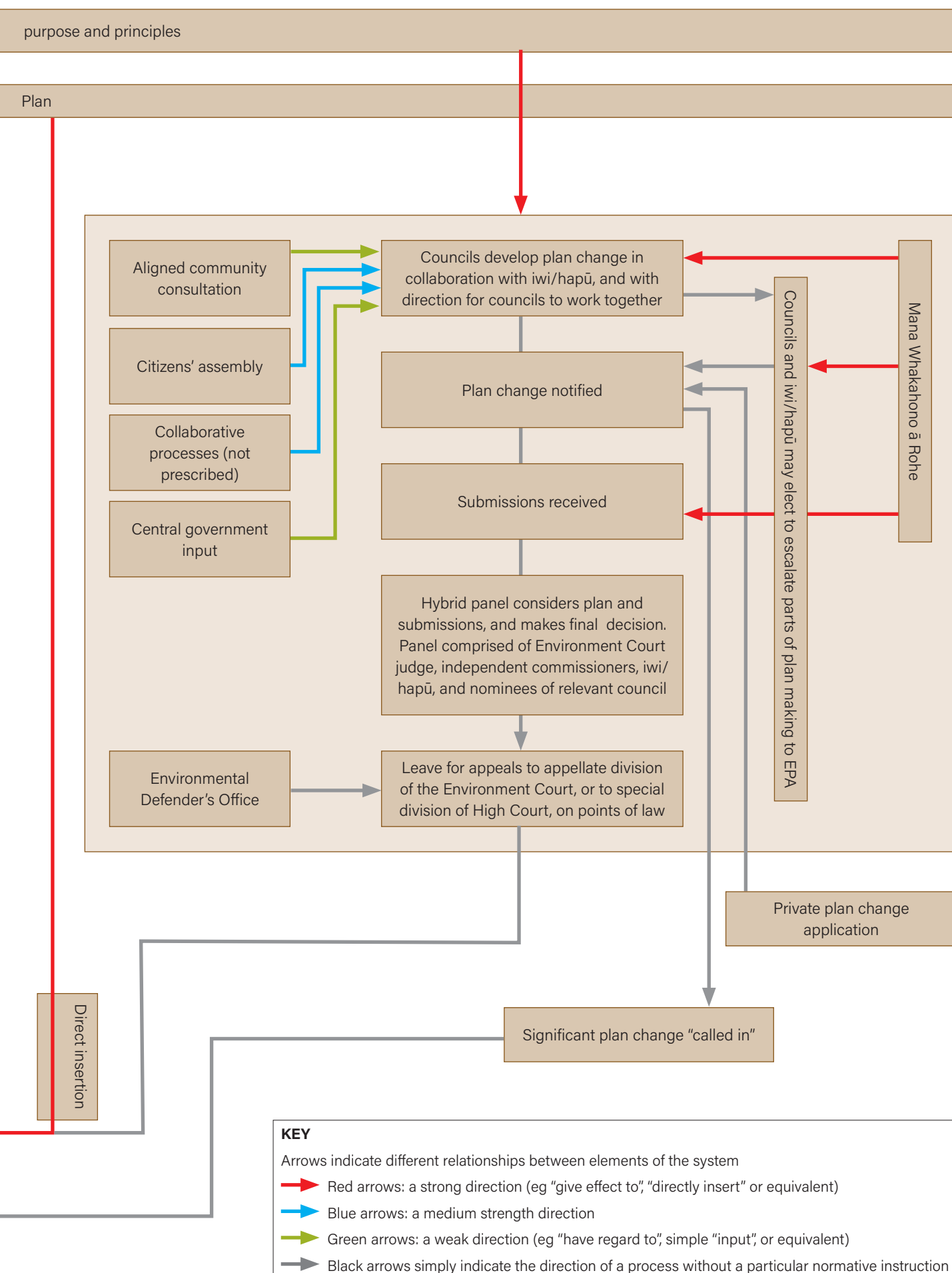


Figure 8.3: A revised process for local planning under the RMA



A spotlight on timeliness in Environment Court decision-making

The Environment Court has established an effective process for narrowing issues in dispute, directing (as much as possible) parties towards resolution, and timely and effective decisions. Participation in alternative dispute resolution is now mandatory (if requested, and unless leave is granted).⁹⁶ Other alternative measures, such as “charettes” or facilitated meetings held by one division of the Environment Court with parties and counsel present, are used to narrow legal issues (such as scope) before a hearing. Expert conferencing can be extremely valuable to focus technical points of agreement. The much more hands-on approach to case management at the Environment Court level means that we are less likely to see the sorts of time and cost blowouts of the past.

Such measures could usefully be applied to both the processes described above. Many (although by no means all)⁹⁷ of these measures are about dispute resolution between parties rather than “planning” per se, but (as discussed in the Phase 1 report), the distinct role of “private” dispute resolution often cannot easily be separated from the “public” decision-making in which those tensions arise.⁹⁸ The important thing will be to resolve such disputes in a way that does not unduly impinge on the timeliness of publicly important outcomes. Proactive measures to resolve disputes can help, even though private settlements do not remove the need for decision-makers to consider all relevant issues under the Act.⁹⁹

It is also significant that plan *changes* (rather than plan creation or whole of plan reviews) are likely to apply only to a single council area/jurisdiction (eg an application to rezone land in one district). This means that the hybrid decision-making entity in Option 2 is far more suited to that process than to a region-wide review of a combined plan. The panel’s members would be comprised of



a mix of independent members and nominees from the relevant council and iwi/hapū, but there would be no representatives of *other* councils and therefore no perverse outcomes for local democracy.¹⁰⁰

A spotlight on mixed-membership panels for private plan changes

Increasingly, decisions on private plan changes under the RMA are being handled by entirely independent hearings panels.¹⁰¹ Those panels then report back to the relevant council with recommendations, which are either accepted or rejected. Other panels have included a blend of independent and councillor membership,¹⁰² with a similar reporting and recommendatory function.

This trend is not so different in principle from what is being floated above, in that there would be a mix of independent and accountable decision-makers in a single institution. The key difference is that this would be formalised in legislation, and that the independent element would integrate the appellate function of the Environment Court with the first-instance hearing function of independent commissioners into a single stage. There would also be a more permanent place for mana whenua, and appeals from the panel’s decisions would be limited to points of law.

An important thing to note is that plan changes are not all alike. In particular, some will be needed to give effect to changes to an NEP. For some of these it would be appropriate for the normal process (floated above) to apply, such as where general policies in an NEP need to be implemented over time. For others (such as regulatory components or policies of more specific or urgent application), it would continue to be important for NEP provisions to be directly inserted into unitary plans.¹⁰³ It would be for the NEP itself to stipulate which process would be followed.

We therefore see merit in adopting both of the two options outlined above, but in different circumstances.

Option 1, involving a wide-ranging independent review from a standing Futures Commission and the ability for constrained appeals to the Environment Court, would be used as a robust process for resetting existing plans under a reformed RMA at an integrated, regional level. It would also be used for periodic whole of plan reviews, and where significant plan changes were escalated on the initiative of the responsible Minister or the Futures Commission.

Option 2, involving a single-stage hybrid decision-making panel comprised of Environment judge/commissioners, council representatives, and iwi/hapū representatives, would be used as a process for other plan changes (except where an NEP required direct insertion of a provision into a plan).

8.8 Regional policy statements in a future system

One of the key lessons coming from the Auckland Unitary Plan process has been the need to resolve higher questions of policy before addressing more detailed questions around rules and zonings. (We have also observed earlier the importance of locating national level regulation within the policy context of an NPS.) And while regional and district plans contain objectives and policies, the ideal place to provide strategic guidance is in the higher level regional policy statement. This must be given effect to in plans, and cannot be changed through private plan change applications.¹⁰⁴ It therefore offers a valuable form of policy stability and integration.

We have heard from many people that getting this level of decision-making right is crucial, and that in some cases its potential is not being realised. Some have pointed out, for example, that these instruments have sometimes been used primarily to parrot general statements from the RMA rather than elaborate on them in the regional context or provide for their specific spatial expression (eg through a mapped metropolitan limit).¹⁰⁵ One reason offered for this was that councils fear legal challenge if they stray too far from what the Act clearly states.

We agree that a regional level policy instrument is vital to integrated management. In the Auckland model, a regional policy statement has been incorporated into the unitary plan.¹⁰⁶ That approach could be rolled out more broadly in the model described above, with decisions taken on that component before proceeding to more detailed questions of rules and zonings.

However, in Chapter 9 we discuss the need to have regional level strategic and spatial planning that aligns not just matters under the RMA, but also other legal frameworks (eg concerning transport and other infrastructure). This would happen under an overarching piece of legislation – a “Future Generations Act”.

The key question, then, is whether it would then be too duplicatory to have both regional strategies/spatial plans under that legislation *and* regional policy statements under the RMA. The former could, instead, be treated as a replacement for the latter. For now, we simply note that some form of regional strategic framework (including its expression in spatial terms), will be desirable in a future system, either as part of a combined plan or sitting above it.

It would be vital to have a level of regional strategy sitting above, or embedded within, combined plans. However, whether this would be an RMA instrument (a regional policy statement) or a broader strategic spatial plan produced under separate, overarching legislation, we leave as an open question. We discuss that separate act and strategic planning in the following chapter.

8.9 A thought on the role of the EPA

It is notable that, above, we are not suggesting an increased role for the EPA in local planning. Independent input is designed to be provided by either the Futures Commission (for plan creation and review) or (for most plan changes) the Environment Court/commissioners. However, in the context of national direction and an NEP, we noted earlier that if environmental outcomes did not improve after changes had a chance to “bed in”, serious thought should be given to separating the policy aspect of that instrument (ie NPSs) from the regulatory aspect (ie NESs).

We consider that a similar stance should be taken on local planning, in that while councils should always have the role of developing¹⁰⁷ objectives and policies for their area, the translation of those to regulatory restrictions (eg specific environmental limits and restrictions that bind people) could be given to regional branches of an expanded and strengthened EPA, at least to the extent that biophysical bottom lines were at stake.¹⁰⁸ That could even provide an incentive to councils to draft policies with greater specificity.

Alternatively, conferring such powers on the EPA could be a less intrusive measure that central government could be permitted to take in the event of council dysfunction (rather than replacing a council with commissioners). We emphasise again that this is not a reform we are specifically recommending for enactment now; we are only flagging that it would be the next step to seriously consider if things did not improve.

At least in the short to medium term, we are not proposing to remove regulation-making powers from councils. However, giving such powers to a strengthened EPA either permanently or on a temporary basis could be a conditional measure, if environmental indicators did not improve.

Questions for discussion:

- What are your thoughts on a revised planning process for local authorities under the RMA? Do we need more agility?
- Is there a case for having separate processes for creating, resetting or reviewing whole plans on the one hand, and plan changes on the other? What should these look like?
- What roles should councils, the Crown, Māori, the courts, commissioners, and the EPA play?

8.10 The planning process and allocation

Above, we have talked about RMA “plans” and the “plan making process” largely in generalities. However, the general concept of planning, even in the specific context of the RMA, hides a number of quite different roles that are being performed. In particular, the Act contemplates

four key roles: setting environmental bottom lines (and associated limits), facilitating trade-offs above bottom lines (including positive outcomes where synergies can be achieved), giving effect to Treaty obligations, and allocating non-private resources covered by the Act.¹⁰⁹

The last of these roles – allocation – deserves a specific mention, because it is of quite a different character. This is about how to apportion the rights to use a (usually scarce) resource between different people or kinds of use.¹¹⁰ We have explored some of the complexities and challenges of allocation in the Phase 1 report.¹¹¹ There are, for instance, different forms that allocative questions can take; we can allocate new rights where no rights have existed; we can reallocate rights in some way between people who have them and those who don't; and we can de-allocate to reduce the overall rights in existence (or, from a different perspective, to return those rights to the environment). In the latter case, we also need to speak of reallocating the proportion of *lost* rights between former rights holders, such as when rights to take water in a catchment have been overallocated and bottom lines have been exceeded. Allocation is not just about "taking" things, but also about using the environment (eg its assimilative capacity for contaminants like agricultural nutrients).

We have also noted earlier that Part 2 of the Act does not provide a meaningful normative hook or guidance for allocative choices to be made, even though it is a function that is specifically provided for under the Act and a role the system clearly needs to perform.¹¹² Councils are, essentially,

left to make of that what they will (with, occasionally, some heroically elastic interpretation of the RMA being made by the courts to help out).¹¹³ The result is, to a large extent, that the allocation of rights to use non-public resources like freshwater and coastal space has occurred as a byproduct of being the first person to obtain a consent to take or use it.¹¹⁴ As we have previously said:¹¹⁵

granting an application to take freshwater for irrigation purposes is not just an abstract declaration that such a use would not infringe minimum flows for reasons of environmental health. It is also a formal conferral of rights to the particular applicant to use the water resource for a certain period of time.

This unthinking approach to allocation has been criticised.¹¹⁶ Among other things, it does not allow for opportunity cost to be considered, leading to inefficient uses and locking in less valuable ones: it is an unintentional, sub-optimal and "bureaucratic" mechanism.¹¹⁷ More structured approaches are possible, but have not been forthcoming in practice.¹¹⁸ Part of this is because the Act was born in the laissez-faire, effects-based landscape of the late 1980s, where the idea of picking and choosing which uses would be better than others was anathema¹¹⁹ (as long as adverse effects are acceptable, "what people get up to is their own affair").¹²⁰ The issue has been brought into sharp relief not only where a resource is scarce, but also where the use is not seen as being in the public's or the community's interests (eg bottling groundwater for export).



Awana, Great Barrier Island

We do not tackle allocation under the RMA in detail here, as our thinking is still evolving on that subject and it is intensely political in nature. What we will say, however, is that a future system will need to grapple with such issues in a far more proactive and courageous way than it has done thus far. Our criteria embrace fairness, not just efficiency, and we see the concept of distributional equity as being important (a “social dimension of sustainability”).¹²¹ In principle, we see a case for the imposition of fair resource rentals to progress over time and in light of the characteristics of different uses (with a return to the public and to Māori),¹²² and for the use of economic tools like trading regimes to be deployed where appropriate, but not universally.¹²³ A degree of reallocation will need to occur over time,¹²⁴ and grandparenting of rights should not be assumed.¹²⁵ Collaborative processes show potential for dealing with the proportionate deallocation of rights (eg within an overallocated catchment), but they will by no means be a silver bullet.¹²⁶

There should also be some ability for communities – not just markets or chance – to influence what a “valuable” use of a non-private resource looks like, at least on any initial allocation.¹²⁷ Whether that should be collaborative or imposed from above – or a mixture of both – we leave as an open question. Some judicial decisions have given us a good platform to build upon,¹²⁸ and we consider that some common high level allocative principles in legislation would be desirable to inform any process (eg attribute weighted tendering).¹²⁹ We have noted in Phase 1 that some jurisdictions, for example, use broad tests based on the “public interest” where there is competition for rights or privileges.¹³⁰

That said, unless done purely through economic instruments like auctioning or trading, allocative functions inevitably involve value judgements and questions of fairness. That suggests institutions responsible for plan-making should be in some way accountable to the whole community, including Māori (albeit with independent oversight), and not purely independent or focused on existing interests.¹³¹ Collaborative processes for allocative issues are certainly useful, but in our view cannot be a replacement for decision-making by elected bodies.¹³²

Different resources will require different approaches, too. For example, the quota management system under fisheries legislation poses its own issues (including the corporatisation of rights in a small number of holders).¹³³ So too does the reallocation of *existing* rights (especially for freshwater), given the robust principle of non-derogation in our law and concerns around fairness.¹³⁴ The allocation of space in the marine environment also presents unique challenges, particularly for aquaculture. EDS has recently released a report on aquaculture within the context of system reform, and note that a future system will require an approach where uses of the marine area can be much more mobile (not spatially fixed), and driven by a higher level marine spatial planning framework focused on ecosystem health.¹³⁵ Any reforms must also uphold Treaty settlement legislation relating to Māori aquaculture rights.¹³⁶

A spotlight on more proactive approaches to allocation

Both the Court of Appeal and Supreme Court have hinted in past years that, even in the absence of a structured allocative method under the RMA,¹³⁷ the merits of consent applications close in time may sometimes be compared. This is on the understanding that one of them might *better* promote sustainable management, and therefore be preferred.¹³⁸ Furthermore, it has been held that using a resource in one way (eg land for commercial purposes) that could otherwise be used for other, more valuable, purposes (eg industrial use) can be regarded as having an “adverse effect” on the environment.¹³⁹ Foregoing the benefits of using a resource in an alternative way from what is proposed is an interesting way to perceive an “adverse” effect under the RMA. It leaves the door open to a much less effects-based approach, and one that embraces allocative principles. Some have expressed a view that the RMA was always meant to be a place where allocation occurred in a more proactive manner.¹⁴⁰

But when is a foregone opportunity to use a resource in a particular way an “adverse effect” to be addressed through something like the RMA, rather than a choice to be driven by the market? We can think of the proposed NPS on Highly Productive Land in this way: we are preserving the potential *benefits* of using land in a particular way in the future (for growing food), not just addressing the adverse effects of urban development on soil, water, flora and fauna. The system is arguably making value judgements about what use is preferable in light of its benefits, not just managing the impacts of an “efficient” choice the market has made.

Some have therefore highlighted the “ingenuity” of using an effects-based, regulatory framework like the RMA, with no real allocative guidance in it, to “make the allocation of resources a necessary means of controlling effects”.¹⁴¹ Instead, there have been suggestions that trading regimes (allowing rights to use resources to be bought and sold) is the way forward for questions of reallocation, notably for freshwater.¹⁴² That allows for new entrants to obtain rights (addressing some fairness issues), and should in theory lead to water being used for its most valuable purpose (at least in monetary terms). However, it also has significant risks.¹⁴³ Trading for nitrogen discharge rights has occurred to some extent in New Zealand already,¹⁴⁴ but the allocation of rights to take water is much more fraught because of the unresolved question of Māori interests.

A future system will need to tackle head-on the issue of Māori rights and interests, notably in relation to freshwater, in a way that reflects the principles of the Treaty. Principles are equally about the use of resources as they are about their protection from use.¹⁴⁵ This issue seems likely to become more acute in coming years, in light of recent recommendations of the Waitangi

Tribunal.¹⁴⁶ However, while aspects of it are purely legal, it is also surrounded by a cloud of politics, and cannot be resolved to satisfaction in a project of this nature. Resource management system reform therefore needs to work alongside any such developments, and provide a comfortable space for that to play out, including in relation to where any resource rental payments end up. It is not, however, a reason to delay other necessary reforms to safeguard the environment or ensure more efficient use of resources, although some have noted that any nationwide attempt to formalise rights in freshwater without resolving Māori interests will exacerbate issues.¹⁴⁷

In terms of legislative design, it seems most appropriate for allocative issues relating to resources protected under the RMA to be resolved within that same framework. In the Phase 1 report, we floated the alternative idea of an integrated “Allocation Act” under which all allocative functions (currently under multiple statutes, including freshwater, fisheries, minerals) would be performed under a common set of principles.¹⁴⁸ That did not seem an unreasonable proposition, given that the RMA has so little to say about allocation to begin with; it would be something new.

However, on balance we do not consider that this is the best way forward. This is partly because different resources have so many different physical and proprietary characteristics. For example, the Crown owns many minerals, and there are property rights in fisheries quota. But the status of freshwater is contested, and (at least for now) no one for the most part owns the foreshore and seabed. Common principles for allocation may be hard to pin down, raising questions about what the point of a single framework would be other than a certain cleanness of presentation.

Furthermore, we need to consider where the strongest (intra-statutory) connections need to be made. The answer to this may depend on the kind of tools we use to allocate, and whether they are largely economic (treated as a separate question)¹⁴⁹ or values-based (much more closely linked to the framework under which a resource is being protected).

For example, rights to explore for or mine Crown minerals can comfortably be considered in isolation of the environmental effects of extraction, because most considerations are financial (a bidding or auctioning process). The use that a mineral is put to is not hugely relevant, and the sustainability of the resource itself is not seen to be a significant question (it is mined until it is gone). Similarly, the emissions trading scheme can be treated as a world apart, because allocative decisions are determined by the market (who is willing to pay, or pay the most, for the right to emit), not a broader set of value-based considerations.¹⁵⁰

In contrast, it is by no means as clear that the environmental effects of taking or discharging nutrients to freshwater should be considered in isolation of the kind of use to which it is put (eg one activity could have better environmental or social outcomes than another,

and *better* achieve the purpose of a statute),¹⁵¹ or that public authorities should have no ongoing say about which use is, in non-monetary terms, valued more highly (eg for freshwater bottling and export). The market is only one way of expressing value. Statutory principles, or democratic choice, are others. Overall, strong links between the allocative and other roles of the RMA suggest to us that both should be done under that Act.¹⁵²

That is not to say that resources like freshwater *should* be allocated only using non-economic tools. Even issues around Māori rights and interests do not seem fatal to an economic approach to allocation (as long as ownership rights were allocated in line with Treaty obligations).¹⁵³ It is simply to say that our choice of tool will determine how connected the allocative process is to the other roles the system plays (eg improving environmental outcomes), and therefore the kind of legal framework under which allocation should occur. Our initial thinking is that allocative choices for resources protected under the RMA should not be made in complete isolation of its purpose, and (even if there were to be the deployment of some economic tools) should still find a comfortable home within it.

We are continuing to give thought to allocative questions within a reformed RMA. However, a future system will need to approach allocative questions in a much more proactive and courageous way than at present. Relying only on a “first in, first served” model would not reflect our criteria.

Questions for discussion:

- Is it better to provide for all “allocative” decision-making under a single Allocation Act? Or to do so under frameworks concerned with the protection of the resource itself (eg continuing to allocate freshwater under the RMA)?
- Should we make greater use of economic instruments in allocating resources under the RMA, including freshwater?

8.11 A word on consenting

We note that while the planning framework will be crucial in a future system, the place of consenting and other site or project-specific authorisations/restrictions (eg the potential to expand the concept of water conservation orders)¹⁵⁴ will also be important. Our thinking on that is still evolving, and we note that a number of suggestions have been put forward.¹⁵⁵ We welcome any further thoughts on that topic. We also note that consenting is not just a local government issue (eg applications can be called in by the Minister, directly referred to the Environment Court, and triggered by national direction), and strictly speaking strays beyond this chapter. However, most RMA consenting is a local business, and it is a useful place to venture some preliminary thoughts.

Generally speaking, we would like to see a future system to place more emphasis on the front end (planning) than the back end (consenting). Having clear, reasonably specific and connected rules, standards and policies in tightly integrated plans should reduce the uncertainty, time and cost associated with discretionary consent decisions (including the need for public participation, since it would be more obvious in the plan itself what development was allowed and not allowed),¹⁵⁶ as well as reduce risks of cumulative impacts. In some senses, this would see a shift away from an “effects-based” framework (although plan provisions themselves would still be based on effects, not arbitrary distinctions between activities or sectors). In the Phase 1 report, for example, we noted that it is “alarming that the imposition of bottom lines in the landmark *King Salmon* decision relied on an extensive argument and interpretation of a ‘rule-like’ policy ... Where were the actual rules?”¹⁵⁷ In particular, the environmental bottom lines (minimum outcomes) defined in a revised Part 2 would need to be translated into regulatory limits, associated more strongly with prohibited activity status, moratoria, or common mandatory consent conditions.¹⁵⁸ That should be the case in both urban and rural contexts, and there should be no hesitation in translating the effects-based limits in an NEP to transparent restrictions or obligations on particular sectors.¹⁵⁹ Close consideration should also be given to smoothing the regulatory pathway for things that have significant benefits (eg through permitted or controlled activity status),¹⁶⁰ while also being acutely aware of the risks that many “beneficial” measures (eg forestry, renewable electricity) can have.

That said, consenting will always be important, as plans cannot cover every eventuality and tailoring conditions to the needs of a particular proposal can often lead to better outcomes. Blanket prescription and proscription is clearly not the answer, but predictability in the system also needs to be improved for both development and environmental protection. Public participation in consenting – especially whether we retain a two stage hearing process – is a significant question. There may be some room for appeals to be curtailed if we have an effective, independent environmental defender’s office to take on public interest litigation under a firm advocacy mandate.¹⁶¹ Constraining merits appeals may even then allow for greater public notification of consent applications (because notification would no longer be automatically linked to hearing or appeal rights),¹⁶² enhancing both communities’ and decision-makers’ understanding of what is happening in their environment and reducing developer pressure for applications to be non-notified.¹⁶³

However, as we have seen with the Department of Conservation’s advocacy role in recent memory, institutional arrangements for public interest litigation can be susceptible to budgetary and political constraints.¹⁶⁴ We need to think carefully about whether appeal rights are truly worth giving up in the context of consents. While red tape is a concern, the Environment Court has developed effective case management and dispute resolution mechanisms over the years (see spotlight earlier in the chapter), and the fact remains that the vast

majority of consent applications remain non-notified.¹⁶⁵ Where notification does occur, there is generally good reason for potential appeal rights to follow.

Perhaps what we really need is more independent oversight over notification decisions, given that they have such significance.¹⁶⁶ This *could* involve introducing new appeal rights in relation to notification decisions. Alternatively, however, it could require information on all council notification decisions to be sent to a statutory environmental defender’s office, which could then determine whether to exercise appeal rights. In other words, only that office would have appeal rights in relation to notification decisions. Alongside that measure, a new notification status could be introduced: where a proposal is notified and submissions invited, but where there are no associated appeal rights. That would allow for valuable information to be received by councils (reducing the risk of a situation like the Te Mata Peak walkway occurring, where consent was granted and construction was commenced before iwi and the public knew about the proposal),¹⁶⁷ and for communities to feel in touch. It would also allow the public to approach an environmental defender’s office to exercise its appeal rights if people felt a notification decision was wrong.

Close consideration of the duration of consents and how they are reviewed will be important too,¹⁶⁸ as will procedural alignment between different permitting processes (including cross-statutory ones). We have previously highlighted that:

For consents, we have direct referral to the Environment Court and call-in procedures where council decision can be bypassed, and a separate designations regime...

we also have separate ... permitting processes under multiple conservation statutes, mining legislation, marine and coastal legislation, and the Building Act. Is this too complex? Is it time to rationalise, or at least connect these ... processes even if we do not integrate statutory frameworks themselves?

We see merit in the idea of an integrated “project permit”.¹⁶⁹ This would be for complicated projects requiring multiple authorisations across statutes, and would be used to align decisions in a procedural sense. An application could be lodged with the EPA, which would oversee the process.¹⁷⁰ However, it would not be a “carve out” for significant projects, and would still require each authorisation to be obtained from decision-makers in the normal manner and under the usual decision-making criteria (eg Part 2 of the RMA for resource consents).

Furthermore, if there is a robust process for producing integrated national direction in the form of an NEP, and that is deemed to implement Part 2, there is little justification for then throwing everything up in the air again at the consenting stage in a big bowl of policy soup. It is remarkable that we have a statutory direction for consent decisions only to “have regard to” national direction alongside a whole range of other matters, but a clear directive to “give effect” to national direction in local

plans.¹⁷¹ This should be changed to “give effect to” or at least “be consistent with” in the context of consents.¹⁷²

Restrictions on how councils can consider climate change in consenting decisions, in place since 2004, also need to be removed. It is anomalous not only that the greatest existential threat of our age fails to get a mention in Part 2, but also that (effectively) it specifically cannot be considered at all when planning and consenting decisions are being made under the RMA.¹⁷³ That requires urgent attention.

Intimately related to a consenting framework is a framework for compliance, monitoring and enforcement,¹⁷⁴ and we are continuing to consider those things in tandem. Alongside both of those things, institutional and funding arrangements will be crucial.¹⁷⁵ In particular, we have pointed out previously that:¹⁷⁶

it is arguable that an institution responsible for creating policy and regulation at the beginning of the policy cycle should not be tasked with enforcement or dispute resolution at the end of it. This reflects an idea central to the separation of powers more generally, that those responsible for creating the law should not be those responsible for interpreting and applying it. Although resource consent decisions are essentially a regulatory role, they are also about implementing values rather than determining them. We can see a recognition of these risks in a trend towards the use of independent commissioners for consenting decisions within councils, and the use of good practice guidelines in depoliticising enforcement decisions.

... a future system could formalise the already common practice of using independent decision-makers (eg commissioners or the Environment Court, or even an expanded EPA) to make decisions on individual projects (eg through resource consents or similar). Infrastructure New Zealand’s concept of a Planning and Environment Commission can be understood in this light; that is about independent decision-making on projects.¹⁷⁷

8.12 Concluding comments

In this chapter, we have considered local government planning under a reformed RMA, and undertaken a brief exploration of consenting. In short, the overall idea behind the reforms floated is to avoid a full two-stage process for local and regional plan making, but to marry up elements of both accountability and independent oversight. We have also sought to provide for greater regional level integration of planning, without the widespread upheaval of structural reform of local government (at least in the short to medium term).

As with the NEP discussed in Chapter 7, transitional arrangements would be extremely important in the local

planning context. There would be many continuities – we are not just starting from scratch – but the changes floated above are still substantial. Existing RMA plans would need to continue to operate in a transition period (despite a new Part 2), and we envisage that they would be integrated and reviewed using the new process(es) over the medium term on a rolling basis. Resourcing constraints on councils, iwi/hapū, the Environment Court and commissioners would need to be considered closely when thinking about timeframes, and close consultation with those expected to be involved would be essential. Equity would be important too when considering the detail of transitional measures (eg for planning processes already underway, some in response to national direction).

Plans coming out of a reformed planning process would, in the proposed model, also be deemed both to reflect Part 2 and to give effect to the NEP once they were made operative. This means that there would be less (or no) need to relitigate the meaning of Part 2 through the consenting process.¹⁷⁸ At the moment, there can still be considerable uncertainty as to whether a plan actually gives effect to national direction or not, especially if matters have not been litigated in the Environment Court.¹⁷⁹ Central government has seldom been active in litigating on such matters to clarify them. All this adds to the unpredictability of the system when people try to get things done.

We will conclude our discussion of the RMA with a higher level thought. The degree of change floated in the previous two chapters raises an interesting – albeit incidental – question. Should we rename the RMA? The idea of resource “management” is a fairly passive, weak and anthropocentric concept, and also one that does not recognise Māori ways of seeing the world. We said something along similar lines for the concept of the “resource management system”. It is hardly inspiring language for a future that requires a generous helping of inspiration;¹⁸⁰ a system will need to promote change, pursue positive outcomes, and recognise that humans cannot manage everything. The concept of sustainable management also carries a lot of legal and economic baggage with it.

To some, this question may be a matter of semantics only. To others, it may even be desirable to keep the name to emphasise legal continuity. We have heard some react with horror that first principles reform could deign to go so far as changing the name of the RMA. The title of legislation does send a powerful signal about reform, and the extent to which we are envisaging a reset or just another round of tinkering. The name of a revised act will also be important in capturing the public imagination: what do we want people to think system reform is doing? We will leave the matter at that, but to avoid confusion will continue to refer to this new integrated statute as the “RMA”, despite some misgivings.

ENDNOTES

- 1 Compare the current section 55 of the RMA. Regulatory provisions in an NEP would also have direct effect as regulations in their own right.
- 2 For example, environmental limits for urban development, and the necessity for densification of urban form.
- 3 That would not necessarily always be about ad hoc Crown grants, as some funding arrangements strike us as being much more systemic (for example, the immense cost of upgrading wastewater treatment plants to achieve national freshwater quality standards).
- 4 On the expected costs of water infrastructure upgrades, see *Beca Cost estimates for upgrading water treatment plants to meet potential changes to the New Zealand drinking water standards* (2018); GHD and Boffa Miskell *Cost estimates for upgrading wastewater treatment plants to meet objectives of the NPS Freshwater final report* (September 2018).
- 5 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019). See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 248.
- 6 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 7 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 17.
- 8 For example, through shared district plans, changing transport and commuter patterns, urban growth, water supply, shared knowledge hubs, etc.
- 9 The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative's visit to Switzerland* (2017).
- 10 Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39. This could include to facilitate meaningful regional climate change adaptation measures.
- 11 On three waters reform, see Chapter 10.
- 12 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) from 11.
- 13 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 167.
- 14 See generally New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 50-51.
- 15 Resource Management Act 1991, s 80.
- 16 Resource Management Act 1991, s 80.
- 17 Resource Management Act 1991, s 34(2).
- 18 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 19 As in the Auckland Unitary Plan model.
- 20 See Resource Management Amendment Act 2019.
- 21 Ministry for the Environment *Resource Management Act 1991 National Monitoring System selected findings 2014/15* (2016); New Zealand Productivity Commission *Better urban planning* (2017) at 216; B Devlin *Analysis of timeframes for the development of policy statements and plans under the Resource Management Act 1991* (Brown & Pemberton, 2008)
- 22 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10.
- 23 Ibid at 248, 272.
- 24 Compare G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 Wai L Rev 1.
- 25 One example might be a simplification of activity statuses.
- 26 See generally B Devlin *Analysis of timeframes for the development of policy statements and plans under the Resource Management Act 1991* (Brown & Pemberton, 2008).
- 27 Acknowledgement: Aidan Cameron, barrister.
- 28 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 226.
- 29 Extensive mediation and expert conferencing was held for each topic, facilitated by Panel members and other experienced practitioners, in an attempt to refine matters and/or resolve submission points prior to hearing.
- 30 The champion of the process was the Panel Administrator, who co-ordinated hearing time with numerous parties, juggled various and often difficult requests, and made the process run like clockwork.
- 31 Aided by legislative changes, the Panel met its brief by reducing its quorum from three to two for the final topics, allowing three additional members to be appointed, clarifying that it could hold concurrent sessions with alternative Chairs, and by enabling the delivery of its recommendations in stages.
- 32 Just weeks before the rezoning hearings were due to be held.
- 33 The Panel was required to give non-binding "interim guidance" to assist submitters in giving evidence on other topics of the Auckland Unitary Plan, which relied on higher-order direction.
- 34 See also the alternative proposed by the Productivity Commission: New Zealand Productivity Commission *Better urban planning* (2017) from 389.
- 35 Resource Management Act 1991, s 80.
- 36 This would complement the idea of having an overarching spatial plan feeding down into multiple different plans (eg under the RMA and local government and infrastructure legislation). On spatial planning, see Chapter 9.
- 37 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 168. Acknowledgement: Helen Marr, Perception Planning.
- 38 This would not be an alternative track to decision-making as in the current system, but rather a precursor to the more formal planning process. That approach would have many of the same advantages as outlined in G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12.
- 39 Although for bottom lines, such as for freshwater, they will often need to be.
- 40 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 45. See also N Elmi and N Davis "How governance is changing in the 4IR" World Economic Forum (18 January 2018) <www.weforum.org>.
- 41 Including potential to allow voting online, which may increase youth rates of voting.
- 42 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 10 and at 233.
- 43 See Ministry for the Environment *A draft guide to the collaborative planning process under the Resource Management Act 1991* (2017) at 11.
- 44 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 187.
- 45 For example, in Canterbury, a collaborative process was used to develop the Canterbury Water Management Strategy, which was then implemented in the regional policy statement and land and water regional plan. See N Newman *The collaborative governance model: Implementation of the Canterbury Water Management Strategy in New Zealand* (Environment Canterbury, 2016) at 6.
- 46 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 205.
- 47 Ibid. See also Resource Management Act 1991, sch 1, cl 40; Ministry for the Environment *A draft guide to the collaborative planning process under the Resource Management Act 1991* (2017) at 11. Note that the Resource Management Amendment Bill 2019 is proposing to replace the collaborative process with a different process specifically for freshwater planning.
- 48 *Vancouver City Council Citizens' assembly on the Grandview-Woodland Community Plan: Final report* (2015).
- 49 See M Bennett and J Colón-Ríos "Public participation and regulation" in S Frankel (ed) *Learning from the past, adapting for the future: Regulatory reform in New Zealand* (LexisNexis, 2011) at 21.
- 50 Central government can create national direction, including a requirement to directly insert policies into a plan, and require a council to prepare a plan (or a plan change) or review a plan. If not satisfied with the result, it can require a council to vary the proposed plan. See Resource Management Act 1991, ss 25A and 25. However, this is a fairly reactive approach to ensuring national direction is implemented, in that there is no obligation to work with councils in plan development.
- 51 Currently, no government agency is required to comprehensively check as to whether plans give effect to national direction, with much being left to the courts if matters happen to be appealed. See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176. In California, non-voting members from government agencies are involved in the work of the Coastal Commission to ensure it links well to other initiatives.
- 52 Ibid at 185.
- 53 Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39; Resource Management Act 1991, s 33 (which allows for agreements to be reached on the transfer of functions and powers, including to "statutory authorities", but could not require the EPA to take on a function).
- 54 Along with a section 32 (or equivalent) report.
- 55 As in the Auckland Unitary Plan process, cross-examination should be available (acknowledging that the process effectively supplants the ability to appeal de novo to the Environment Court), but it should be the exception rather than the norm. Parties would not need to cross-examine witnesses in order to put their cases to the Panel.
- 56 Recommendations on the plan would be released after each stage, so that there is no need to give interim or non-binding guidance halfway through the planning process.

- 57 And a standing, independent institution not subject to ad hoc political appointments.
- 58 Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 214, where we noted that the rationale for appeals to the Environment Court is partly to ensure a national level perspective is taken of local issues.
- 59 See P Nunns "The consultation problem: Who submits on the plan?" (2 March 2016) <www.greatauckland.org.nz; P Nunns "Zoning reform: Who submitted on the plan" (8 September 2016) <www.greatauckland.org.nz>; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 204.
- 60 See D Sadlier "Problems with one-step RMA decision-making" (2014) <www.adls.org.nz>
- 61 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 206-208. In particular, participation is useful for gathering information, encouraging community ownership and therefore durability, providing a safety valve for conflict, giving participants catharsis, promoting social learning, and reflecting a fair process.
- 62 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 212. This model is already available for Environment Court litigation at the discretion of the Court under section 278 of the RMA.
- 63 Ibid at 207, 212. Compare the Australian civil society model of an environmental defender's office: Environmental Defenders Office NSW Annual report 2016/17 (2017). The "public" interest would include the interests of nature itself, as well as future generations of people, to complement the ecocentric ambit of a Futures Commission.
- 64 On issues with the fund, and its potential for politicisation, see <www.rmla.org.nz/2017/07/05/new-criteria-for-accessing-environmental-legal-assistance-fund/>
- 65 As opposed to on particular issues, where power can be delegated by councils (Resource Management Act 1991, s 34).
- 66 See Resource Management Act 1991, ss 58O-58U.
- 67 Presently, agreements are reached between councils and iwi authorities/hapū.
- 68 Compare the role of Māori in the RMA's collaborative planning track, where iwi authorities select at least one member of a collaborative group (Resource Management Act 1991, sch 1, cl 40(1)(a)).
- 69 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 187.
- 70 On the nature of consultation, see *Wellington International Airport Ltd v Air New Zealand* [1993] 1 NZLR 671.
- 71 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 188.
- 72 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 34
- 73 Compare Local Government Act 2002, ss 14(1)(d) and 81, which requires councils to foster the ability of Māori to contribute to local government processes.
- 74 For example, it could develop through Mana Whakahono ā Rohe participation agreements on a council by council basis, which have been described as a promising way forward if resourced properly. Generally, see R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 35.
- 75 See *ibid* at 33.
- 76 This is a bespoke institution, with planning and consenting powers under the RMA, established under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010. See the spotlight on the Authority in G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 189. On suggestions to roll out this model more broadly, see Office of the Auditor-General "Appendix 1: About the Waikato River Authority" <www.oag.govt.nz>
- 77 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 191.
- 78 Ibid at 211. Of particular importance would be the retention of powers for protected customary rights/customary marine title holders to provide permission to RMA and other applications having more than minor adverse effects on the exercise of those rights, or that are within a title area (Resource Management Act 1991, ss 55, 66 and 71).
- 79 Resource Management Act 1991, ss 33(2)(b) and 36A. On co-governance and co-management generally, see P Salmon and D Grinlinton (eds) *Environmental law in New Zealand* (1st ed, Thomson Reuters, 2015) at 691, 380-381.
- 80 See R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 81 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 166.
- 82 For example, see the Horizons Regional Council's One Plan, which combines regional policy statement and regional plans: <www.horizons.govt.nz/publications-feedback/one-plan>
- 83 Who have to have gone through the Ministry for the Environment's "Making Good Decisions" Programme.
- 84 Regional transport committees under the Land Transport Management Act are one example where different levels of government work together in a structured way. Similar cooperative arrangements can be seen in the boards of entities set up under Treaty settlements, such as the Waikato River Authority. Also compare the California Coastal Commission model, where half of the members are elected and half are appointed.
- 85 Compare the proposed new freshwater planning process in the Resource Management Amendment Bill 2019.
- 86 However, at a minimum, there should be an expectation that parties will attend mediation and submit any experts who intend to give expert evidence on a particular topic to expert caucusing before any hearing.
- 87 Members may not necessarily need to hold warrants as Environment Court Commissioners and may have local experience in technical or other local government matters. There could usefully be a national pool of accredited commissioners.
- 88 A Panel (not dissimilar to the Commercial Panel currently operated by the High Court) could be established to hear High Court appeals on plan reviews. Judges with a background in resource management and local government would be ideal candidates for appointment to a Resource Management Panel.
- 89 Although arguably no more complexity than the existing system, whereby separate plans in a region are developed/changed in isolation and with different timeframes, heard by different councils, then appealed separately to the Environment Court.
- 90 Although by no means all, given that any rejection of recommendations can lead to decision by another independent body (the Environment Court).
- 91 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 178, at 214.
- 92 See Resource Management Act 1991, ss 79(1) and 79(4).
- 93 For example, where some relate to freshwater and others to a fairly simple rezoning of a small portion of land.
- 94 See <www.aucklandcouncil.govt.nz/plans-projects-policies-reports-bylaws/our-plans-strategies/unitary-plan/auckland-unitary-plan-modifications/proposed-plan-changes/Pages/default.aspx>
- 95 Compare Resource Management Act 1991, s 79(4) where whole of plan reviews are optional.
- 96 Resource Management Act 1991, s 268A.
- 97 For example, EDS takes court action on behalf of the environment and the public interest. On the difficult distinction between dispute resolution and planning, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 7.
- 98 Although some, like trade competition disputes, are effectively abuses of public process and are easier to ringfence. Recent decisions have helped in this regard, which may go some way to addressing delays in plan changes. See *Sheffield Properties v Kapiti Coast District Council* [2018] NZHC 3290, [2019] NZRMA 368; *Bunnings Ltd v Queenstown Lakes District Council* [2018] NZEnvC 135 (procedural) and [2019] NZEnvC 45.
- 99 For example, the Environment Court practice note requires the Court to be satisfied that consent orders (from agreement between the parties) still comply with Part 2.
- 100 Other than (from some perspectives) the presence of independent members. The point is that council representatives from one area/jurisdiction would not have influence over decision-making applying to a different area/jurisdiction.
- 101 For example, see the upcoming Plan Change 2 to the Hamilton City District Plan (Te Awa Lakes).
- 102 For example, Private Plan Change 84 to the Kāpiti Coast District Plan (Airport Zone).
- 103 Compare Resource Management Act 1991, s 55.
- 104 Resource Management Act 1991, s 60.
- 105 For example, an urban development strategy for greater Christchurch was progressed through a change to the Canterbury regional policy statement, to show a metropolitan boundary.
- 106 See <www.aucklandcouncil.govt.nz/plans-projects-policies-reports-bylaws/our-plans-strategies/unitary-plan/Pages/default.aspx>
- 107 Which is not the same thing as having final decision-making power; that would be a role for the more nuanced processes already described. On the tension between council and Court roles in planning, see M Williams *Resource management system: Reform or transform?* (April 2018) *Resource Management Journal* 3 at 9.
- 108 To avoid the EPA taking over the making of regulations relating to local matters like detailed questions of zoning.
- 109 Notably freshwater (both the taking of water and use of its assimilative capacity), coastal occupation, and geothermal energy. There is a further role – dispute resolution – that cuts across all these things.
- 110 We use the term "rights" for convenience, but it is much more apt to talk about "privileges" unless there is an actual property right attached.
- 111 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 111-114.
- 112 Resource Management Act 1991, s 30.

- 113 *Central Plains Water Trust v Synlait Ltd* [2009] NZCA 609, [2010] 2 NZLR 363 (CA) at [89]; *Synlait Ltd v Central Plains Water Trust* [2010] NZSC 32, [2010] NZRMA 257.
- 114 *Fleetwing Farms Limited v Marlborough District Council* [1997] 3 NZLR 257 (CA) at 261.
- 115 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 42.
- 116 See A Memon and P Skelton "Institutional arrangements and planning practices to allocate freshwater resources in New Zealand" (2007) NZJEL 241.
- 117 *Central Plain Water Trust v Ngai Tahu Properties* [2008] NZRMA 200 (CA) at [92]. See generally P Milne "Allocation of public resources under the RMA: Implications of Aoraki Water Trust v Meridian" [2005] RM Theory & Practice 146 at 156; P Skelton "Project Aqua reveals flaws in regional planning" *The National Business Review* (19 September 2003).
- 118 For example, see the provisions on coastal occupation under Part 7A of the RMA, where attribute weighted tendering is possible and has been used for some aquaculture sites.
- 119 Indeed, this is a reason why sustainable management was preferred to the internationally more familiar example of sustainable development: see E Hudspith "Freshwater management in New Zealand" (2013) 16 NZJEL 277 at 285; E Hudspith "Freshwater management in New Zealand" (2013) 16 NZJEL 277 at 285; K Palmer "Resource Management Act 1991" in D Nolan (ed) *Environmental and resource management law* (5th ed, LexisNexis, 2015) at 111-112; World Commission on Environment and Development *Our common future* (Oxford University Press, 1987) at 43; Ministry for the Environment *Report of the review group on the Resource Management Bill* (1991) at [3.3]; *St Columba's Environmental House Group v Hawkes Bay Regional Council* [1994] NZRMA 560 (PT) at 528.
- 120 (4 July 1991) 516 NZPD 3018.
- 121 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 67; DR Keller (ed) *Environmental ethics: The big questions* (Wiley Blackwell, 2010) at 418; K Bosselmann *The principle of sustainability: Transforming law and governance* (Ashgate, 2008) at 9.
- 122 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 259-260; J Scherzer and J Sinner *Resource rent: Have you paid any lately?* (Ecologic Research Report No 8, December 2006). Rentals could be invested in a biobank (established for particular ecological restoration purposes, not just a general slush fund).
- 123 See E Crampton *Refreshing water: Valuing the priceless* (The New Zealand Initiative, 2019). See also the note of caution in G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 256 and 257. On the New Zealand experience of trading in discharge rights, see M Duhon, H McDonald and S Kerr *Nitrogen trading in Lake Taupō: An analysis and evaluation of an innovative water management policy* (Motu Economic and Public Policy Research, 2015).
- 124 Which could occur through greater use of trading regimes, allowing new entrants and encouraging efficient use, but on the other hand needing to be sensitive to local impacts within catchments, the corporatisation and speculation of water rights. Trading will also not be effective in all places (eg where the market is small).
- 125 Contrast E Crampton *Refreshing water: Valuing the priceless* (The New Zealand Initiative, 2019).
- 126 For example, some have recommended that when a catchment is overallocated, the highest emitters must reduce and make room for those with no or little discharge: see Land and Water Forum *Advice on improving water quality: preventing degradation and addressing sediment and nitrogen* (May 2018) at 2.
- 127 That does not necessarily mean wide public participation on individual allocative decisions. Rather, it could entail participation in establishing the policy framework through which value-based decisions are made.
- 128 See *Central Plains Water Trust v Ngai Tahu Properties* [2008] NZCA 71, [2008] NZRMA 200 (CA) at [90]-[91].
- 129 Compare B Barton "Private property rights and the public interest" in R Peart (coll) *Beyond the RMA: An in-depth exploration of the Resource Management Act* (EDS, 2007). Compare Ministry for the Environment *Water programme of action: Water allocation and use* (December 2004) at 21.
- 130 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 232; Greenhouse Gas Geological Sequestration Act 2008 (Vic), ss 42, 96(1)(b), 98(2)(b); M Gibbs "The regulation of geological storage of greenhouse gases in Australia" in I Havercroft, R Macrory and RB Stewart *Carbon capture and storage: Emerging legal and regulatory issues* (Hart, 2011) at 173.
- 131 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 192.
- 132 *Ibid* at 193.
- 133 See R Peart *Voices from the sea: Managing New Zealand's fisheries* (EDS, 2018).
- 134 See *Aoraki Water Trust v Meridian Energy Ltd* [2005] 2 NZLR 268 (HC) at [36]; *Dart River Safaris Ltd v Kemp* [2000] NZRMA 440 (HC) at [27]; *Southern Alps Air v Queenstown Lakes District Council* [2008] NZRMA 47 (HC).
- 135 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 114; R Peart *Farming the sea: Marine aquaculture within resource management system reform* (EDS, 2019).
- 136 See Māori Commercial Aquaculture Claims Settlement Act 2004, ss 7-18 and 19-31.
- 137 For example, exclusive rights can be sold to apply for coastal occupation permits where there is likely to be competition: Resource Management Act 1991, s 152(4); D Nolan "Coastal" in D Nolan (ed) *Environmental and resource management law* (6th ed, LexisNexis, 2018) at [5.61]. This approach has been used twice: see Resource Management (Marlborough Sounds Coastal Tendering – Marine Farming) Orders 1996 and 1998.
- 138 See *Central Plains Water Trust v Synlait Ltd* [2009] NZCA 609, [2010] 2 NZLR 363 (CA) at [89]; *Synlait Ltd v Central Plains Water Trust* [2010] NZSC 32, [2010] NZRMA 257; *Ngai Tahu Property Ltd v Central Plains Water Trust* [2009] NZSC 24; *Central Plains Water Trust v Ngai Tahu Properties Ltd* [2008] NZCA 71, [2008] NZRMA 200 (CA) at [90]-[91].
- 139 *Queenstown Central v Queenstown Lakes District Council* [2013] NZHC 815 at [91].
- 140 See D Sheppard *Reaching sustainable management of freshwater* (paper presented to RMLA Conference, Christchurch, September/October 2010) at 12.
- 141 New Zealand Productivity Commission *Better urban planning* (2017) at 107; compare G Severinsen "Variation 6: A fresh approach to water allocation" (April 2012) *Resource Management Journal* 17.
- 142 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 258.
- 143 *Ibid*.
- 144 See M Duhon, H McDonald and S Kerr *Nitrogen trading in Lake Taupō: An analysis and evaluation of an innovative water management policy* (Motu Economic and Public Policy Research, 2015).
- 145 *Treaty Tribes Coalition v Urban Māori Authorities* [1997] 1 NZLR 513 (PC) at 517.
- 146 Waitangi Tribunal *Wai 2358: The stage 2 report on the national freshwater and geothermal resources claims* (2019). See also H Brown "MPs say Māori own water" *Māori Television* (23 August 2017). www.maoritelevision.com; *New Zealand Māori Council v Attorney-General* [2013] NZSC 6, [2013] 3 NZLR 31 at [113].
- 147 See Land and Water Forum *Advice on improving water quality: preventing degradation and addressing sediment and nitrogen* (May 2018) at 2.
- 148 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 144.
- 149 Essentially, the RMA in Part 7A already provides for a two stage process where a proactive mechanism is put in place for the allocation of coastal space. Here, only those with allocated rights to occupy (more like a license) can then apply for resource consent to do so (an effects-based assessment). That is not too different from the two stage process for minerals, except that happens under two separate statutes.
- 150 Although the market *itself* has design parameters determined by values (eg a failure to put a meaningful cap, a lack of complete sectoral coverage etc).
- 151 Indeed, that is how some decisions under the RMA have signalled comparative allocative decisions could work under the Act, rather than on a first in time basis.
- 152 Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 148.
- 153 See E Crampton *Refreshing water: Valuing the priceless* (The New Zealand Initiative, 2019).
- 154 For example, for "bottom up" protections to be sought directly, rather than through the normal planning process. Heritage orders can be seen as an example of this, as can water conservation orders. There could be potential for other targeted orders like this in the future (eg in the concept of a heritage area order).
- 155 For example, in the concept of a project consent (see New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015)).
- 156 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 140, 213. Here, consenting would be about applying values more than determining them, meaning participation could arguably be more limited to those affected and standing representatives of the public interest. A register of interests could be established to support consideration of who would be affected by any given application.
- 157 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 235.
- 158 Compare the recommendation of the Land and Water Forum, that additional use above an allocated limit is to be a prohibited activity (Land and Water Forum *Advice on improving water quality: preventing degradation and addressing sediment and nitrogen* (May 2018) at 12). Compare A Aarnio "Taking rules seriously" (1990) 42 ARSP 180.
- 159 Compare the proposal for an NES on freshwater relating to particular agricultural activities (see New Zealand Government *Action for healthy waterways: A discussion document on national direction for our essential freshwater* (2019)).
- 160 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 107; M Williams *Resource management system: Reform or transform?* (April 2018) *Resource Management Journal* 3 at 5.
- 161 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 214-215.
- 162 Rates of non-notification are extremely high at present.
- 163 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 215.

- 164 Ibid at 212.
- 165 Reported for the 2014/15 and 2105/16 year in the Ministry for the Environment's National Monitoring System: see Ministry for the Environment "Resource consents" <www.mfe.govt.nz>
- 166 In that they determine who has rights of submission and appeal.
- 167 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 215; J Maassen "Legal report on Te Mata Peak east-face walking track issue" (undated) <www.craggyrange.com>
- 168 See Resource Management Amendment Bill 2019, for proposed changes to provisions concerning review of consent conditions.
- 169 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 75.
- 170 The EPA already has a role in managing resource consent applications for nationally significant projects: see Resource Management Act 1991, s 145.
- 171 Although this has become more nuanced under the Court of Appeal decision in *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283, there is still no clear directive to actually give effect to national direction (as there is with plans and plan changes). This distinction is quite odd, given that small-scale plan changes can effectively have the same effect as a land use consent.
- 172 The choice here may depend on whether we see the direction as being about its "strength" (eg giving effect to is "stronger" than being consistent with) or what the instrument is actually doing (eg plans actively implement national direction, but consents are reactive and are more about ensuring they don't infringe it).
- 173 There are nuances to this, admittedly. The intention is not to remove climate change considerations from the RMA per se, but rather to prevent inconsistent rules and policies being put in place by councils for something that requires a coherent national level approach. The problem is that a meaningful nationally consistent approach has not been implemented under the RMA to fill the gap. If that gap were to be filled (in the form of an NES and NPS (or NEP), then councils would be obliged to give effect to them.
- 174 Although they are not the same thing. Compliance monitoring and enforcement is relevant not just for compliance with specific authorisations, but also for permitted activities. General state of the environment monitoring and policy evaluation across the system is also crucial. On reform options here, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 177.
- 175 Note that the Resource Management Amendment Bill is proposing to give enforcement powers to the EPA, and the NES on Plantation Forestry has ventured into charging a sector for permitted activity monitoring. See generally MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 176 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 171. See also MA Brown *Last line of defence: Compliance, monitoring and enforcement of New Zealand's environmental law* (2017); MA Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 177 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 72, 74 and 7.
- 178 It would not, of course, be deemed to be the *only* way in which Part 2 and the NEP could be given effect to, as it does not preclude public or private plan changes.
- 179 See *Environmental Defence Society Inc v The New Zealand King Salmon Co Ltd* [2014] NZSC 38, [2014] 1 NZLR 593; *RJ Davidson Family Trust v Marlborough District Council* [2018] NZCA 316, [2018] 3 NZLR 283.
- 180 Contrast the wording of the Welsh Wellbeing of Future Generations Act 2015, s 4 (see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 105).

9. STRATEGIC LEGISLATION (AND CLIMATE CHANGE): A FUTURE GENERATIONS ACT

9.1 Introduction

In the previous chapter, we put forward the idea of a Futures Commission. This independent, standing institution was to have a significant role in the planning process under the RMA, at both the national and local level. We mentioned that the Commission would have important roles elsewhere, too (it would not just be a “Planning Commission”, as some have suggested), and that it would be created under a new strategic piece of legislation. We are calling that legislation the Future Generations Act, and – as we move on from the RMA – that statute is the specific concern of this chapter.

The basic point of the Future Generations Act would be to provide an overarching strategic framework for the whole resource management system, according to a common set of high level principles. It would do much more specific things, but that is a good general starting point. As with the Futures Commission itself, the purpose of the Act would be focused firmly on the future – and the interests of future generations of both people and nature – which are often not well represented in either politics or economic transactions. While it would not necessarily be entrenched (although parts of it, like a general set of principles or general duties, could be), it would be of constitutional importance in outlining what New Zealanders value. The Future Generations Act would enshrine in law the high level relationships between people and the environment in which they live.

The RMA is not this kind of Act, despite a broad, revised purpose and principles and the primacy given to bottom lines within it. The RMA would not do everything, and will be one (albeit an important) statute among many others in the system. Many regulatory bottom lines will need be set in other legislation,¹ and other acts will also provide mechanisms for improving, enhancing, and responding to environmental change.²

What we require in a Future Generations Act is a unifying force in a system that needs both a number of targeted frameworks and strong normative connections between/ across them. If we are to have separate legislative arrangements for related, often cross-cutting aspects (including climate change), we need a place where that comes together for consideration in a meaningful way. Therefore while we accept that silos are necessary in a complex system requiring focus (fragmentation is not uniformly “bad”),³ it can still be confusing when people talk about, for example, “environmental” reform, “water” reform “climate change” reform, and “urban” reform as different things. Even the government’s wider system review process is often characterised as “RMA reform”, reinforcing this siloed way of thinking.⁴

Yet, on the other hand, we are also seeing a more holistic perspective emerging in other areas. For example, it is

there in the concept of a wellbeing budget framework, and in a “silo-busting” review of the state sector more broadly.⁵

In our suggested model, the Future Generations Act would sit above a number of “implementation” frameworks (including the RMA), driving both alignment between them and change under them. The nature of those relationships and their mechanics would be significant, and are explored below.

We are not simply suggesting that this Act would be another layer of strategic platitudes to soothe public concern, or just another thing for decision-makers to consider if they felt inclined to. Instead, it would fill what we see as significant gaps in New Zealand’s resource management system, in ways that could not easily be done in more targeted legal frameworks. In particular, it would be a place in which strategic spatial planning occurred, including aligning the spatial components of other legislation under which urban growth and renewal are managed (eg infrastructure and land use under the RMA, Local Government Act and Land Transport Management Act).⁶ However, it would be selling the Act short if we only saw it as a place to manage rapid urban growth.

In this chapter, we consider two key aspects of a Future Generations Act. The first is its role as a unifying, overarching framework for broader public decision-making – an environmental constitution of sorts. The second is its role as a framework for the production of subordinate instruments, in particular resource management strategies and spatial planning. An important sub-set of that is the integrated management of urban growth, which is inherently spatial. Because it would be so intimately linked to this framework, we then consider specifically how climate change (including the current Zero Carbon Bill) would fit in.

Overarching the RMA, and other resource management “implementation” statutes, we envisage the enactment of a Future Generations Act. It would do two key things: (1) provide for a broad, constitutionally important set of principles and duties to apply to public decision making; and (2) provide for a strategic and spatial planning process that would flow down into more detailed decision-making frameworks (including to coordinate land use and infrastructure planning for urban growth).

9.2 A broad purpose of constitutional significance

The Future Generations Act would have a broad purpose. We are still considering what that could look like specifically. In recognition of its own breadth, some have floated the idea of elevating or transferring Part 2 of the

RMA itself to this “higher” status.⁷ Part 2 is often seen as a place where constitutionally important environmental bottom lines are enshrined (although to others, admittedly, that is less clear).⁸ We have also, earlier, recommended significant changes to Part 2 to further strengthen environmental bottom lines. It is therefore an attractive proposition to turn Part 2 into a higher form of law.

However, shifting Part 2 to an overarching act poses challenges. For one, would it mean that the RMA itself – a complex framework of institutional, procedural, and regulatory matters that often refers directly to Part 2 – would be left devoid of its own purpose/principles? We could, instead, simply replicate Part 2 in a higher level act, but then why would we not just say the RMA itself was pre-eminent (arguably it already is)⁹ without going to the trouble of creating more legislation?

Furthermore, there are many legislative frameworks that this higher level purpose would need to apply to. The RMA has a broad purpose, but it is not all-encompassing. It is also not targeted at mechanisms by which environmental improvements are required or funding is secured for public projects, or even at other frameworks where bottom lines are imposed (eg in the conservation estate, fisheries caps and sustainability measures, caps under the emissions trading scheme, and regulations under the EEZ Act). The interests of future generations are also not just about environmental protection – they are about ensuring that both society and nature are not made worse off than they are at the moment. That applies to the active provision of things like energy supply, housing, food security and liveable environments. Equally, the system needs to contemplate risk and drive resilience at the highest levels, since “we cannot discount the possibility that one or more of the global social, economic or environmental systems will collapse, with devastating consequences”.¹⁰

This leads us to think that what we need is a higher level purpose describing the relationships between what more targeted parts of the system (eg the RMA) do. For example, rather than repeating the RMA’s (or other frameworks’) environmental bottom lines, a higher level purpose would make clear that the *concept* of environmental bottom lines and their associated limits on human behaviours – including in relation to climate change – are preeminent when it comes to ensuring the wellbeing of future generations.¹¹

We do not envisage that the purpose statement of a Future Generations Act would be “operative”, or even “influential” for specific decisions (eg for consent applications) in the same sense as under the RMA. It would primarily be a description of what the Act is intended to do, and the machinery of the Act (discussed further below) would then do it. (Indeed, this is a much more common approach under other legislation, and the RMA is something of an outlier in this regard.)

We would therefore envisage that the Act’s purpose would more closely resemble a “preamble” or “declaration”, familiar to international treaties, than the more elaborate and legalistic purpose of an “implementation” framework

like the RMA. For example, the Canadian Environmental Protection Act 1999 begins with a declaration: “It is hereby declared that the protection of the environment is essential to the wellbeing of Canadians...”. It is followed by a powerful preamble in which the whole government commits itself to action. The Canadian Government, it states, “recognises the importance of endeavouring, in cooperation with provinces, territories and aboriginal peoples, to achieve the highest level of environmental quality for all Canadians” and “is committed to implementing pollution prevention as a national goal”.¹² This reads more like a powerful cross-party manifesto for change when compared to the permissive and reactive approach of something like the RMA (in which the government has many powers but few duties – attested to by the patchy promulgation of national direction over the last 28 years).

The Future Generation Act’s purpose could even be the place where nature as a whole is given “rights”, rather than trying to give specific personhood to natural features or areas.¹³ These need not be specific legal rights; there could instead be a statement that the natural world as a whole has, for example, “the right to exist, persist, maintain and regenerate its vital cycles, structure, functions and its processes”.¹⁴ It could usefully be worded in a way that reflected the intersection between Te Ao Māori and Western perspectives. Such a right would be supported by a general mandate for the Futures Commission to defend the rights of both future generations of people and nature; a duty is necessary to accompany rights, as “rights alone are no use to a tree that cannot speak”.¹⁵ Furthermore, it could outline, at a high level, the nature of the Treaty relationship in relation to the use and protection of natural resources.¹⁶

Another way of looking at a purpose statement for a Future Generations Act would be a (much simplified) narrative version of criteria for reform (see Chapter 3). A comparison with reform criteria is actually a significant observation, because part of its point would be to ensure that any *future* reforms to more targeted statutes did not undermine this higher purpose of the system. In a way, this would embed a principle of coherence and non-regression at the highest level of the system, such that once essential protections are in place they could not later be eroded.¹⁷ While the system will always need to evolve over time, this element of the system would be durable.¹⁸

The Act’s purpose would not be binding on particular decisions (and would probably be too general for that to occur in any case). For example, proposals for legislative reforms could not be struck down by the courts for being inconsistent with it. That kind of measure would require a much more in-depth constitutional debate going well beyond the resource management context. However, the Act’s purpose would be a mandatory *consideration* for any legislative reform, providing pause for thought, and would need to be addressed in any regulatory impact statement. This obligation would not be limited just to reforms that directly weakened “environmentally” focused statutes (eg

to expand mining on the conservation estate, or changes to Part 2 of the RMA). It would apply more broadly.

Some have pointed out that in the absence of any overarching set of principles, a concerning normative disjunction has occurred between the RMA, Local Government Act and Land Transport Management Act.¹⁹ There is a lack of common goals.²⁰ In the Phase 1 report we also noted the potential for conflict between the purpose of the Crown Minerals Act (which actively encourages the exploitation of fossil fuels) and the purpose of climate change legislation.²¹ One can readily imagine other examples, including giving overriding powers to urban development authorities to achieve site-specific “strategic objectives”.²² Under the umbrella of a system-wide purpose statement in a Future Generations Act, any such anomalies or conflicts would stand out.

A Future Generations Act would have a broad, constitutionally significant purpose statement that would, among other things, recognise the pre-eminence of bottom lines. It could also provide recognition of general moral rights for nature, and provide a degree of stability for future reforms to more targeted frameworks.

9.3 A framework for public decision-making

A Future Generations Act would not only have a stabilising, integrating effect on future governments’ legislative reform programmes. It would also provide a more in-depth set of decision-making principles that would apply to day-to-day activities of public bodies. Many significant government decisions occur outside specific resource management statutory frameworks. For example, the budget process, investment and procurement decisions (such as investing in a fleet of electric vehicles) and non-statutory strategic documents and programmes (eg One Billion Trees) can all have significant impact on resource management outcomes. As we said in the Phase 1 report:²³

Money is an extremely important strategic driver of change... At the micro-level, [we might see] things like a council replacing petrol vehicles with electric ones, or choosing to lease energy efficient or green buildings ...

At a grander scale, this might be about how large public funds are invested (eg the New Zealand Superannuation Fund’s choice to divest from fossil fuels).²⁴ At the grandest scale of all, the entire government budget process can be guided by the desire to achieve outcomes that take us towards the future we want – and not just in GDP or economic terms.²⁵

Such decisions could be guided, although not necessarily bound, by a common set of overarching principles. As the State Services Minister has said, “When it comes to the really big and complex challenges [eg climate change] it doesn’t work anymore to put a single agency on the job.”²⁶

Public decision-making needs to be aligned, and this can be encouraged by having a common set of considerations for all public bodies.

A spotlight on the Canadian Environmental Protection Act 1999

Canada is a federal state, with many resource management powers lying with provinces rather than the central government. As with a number of federalised systems, this has led to fairly proactive formulations of what responsibilities lie where, as a matter of constitutional importance. In this context, the Canadian Environmental Protection Act imposes what it somewhat modestly describes as “administrative duties” on the federal government.

These include, for example, duties to “exercise its powers in a manner that protects the environment and human health”, to “take preventive and remedial measures to protect, enhance and restore the environment”, to “take the necessity of protecting the environment into account in making social and economic decisions” and to “implement an ecosystem approach that considers the unique and fundamental characteristics of ecosystems”. There are many other such duties listed. We might also compare the Welsh approach, where public bodies are obliged to improve wellbeing.²⁷ They must publish objectives, take all reasonable steps to achieve them, and report on progress.

While the RMA (and other legislation) assigns specific functions to Ministers under a fairly protective purpose and principles, those functions exist for the fairly narrow range of decisions taken under that Act. Furthermore, while the Environment Act 1986 establishes the Ministry for the Environment and provides it with functions relating to ministerial advice and information dissemination, it does not impose duties on Ministers (or even the Ministry) to act on it in a certain way. It also does not apply to wider government decision making (much of which occurs outside specific legislative frameworks).

All of this is a far cry from the kind of duties that are expected of the Canadian government above. Those are much more geared towards change. They are also the kind of general principles that would find a good home within an overarching statute that is designed to influence broader government action within, and beyond, more targeted legal frameworks. With suitable amendments, they could also be extended to local government decision-making and even arms-length public bodies (eg Crown entities, state owned enterprises, CCOs).

We do not attempt to provide an exhaustive list of relevant principles or duties here, and welcome feedback on what those could look like. At the forefront would be principles relating to the pre-eminence of environmental bottom lines, joined by the need to embrace synergies that would enhance both the environment and overall human

wellbeing when a long-term view is taken.²⁸ The idea of *fairness* would be prominent,²⁹ as would *resilience*, and *intrinsic value*. It would be a logical place to enshrine a duty to give effect to the principles of the Treaty of Waitangi. The existential need for climate action – both mitigation and adaptation – would be spelled out.

Of course, care would need to be taken that such principles did not override the more targeted, legally binding criteria applied by other frameworks for specific decisions (eg the grant of resource consents under the RMA and investment decisions under the Local Government Act). However, to the extent that such frameworks did not preclude the consideration of broader factors, they would need to be taken into account or had particular regard to. Regimes like the RMA generally provide for the “catch-all” consideration of other relevant matters already, so change should not be overly disruptive.³⁰ To complement an overarching set of decision-making principles could be an ongoing programme of review of principles under more specific legislation. For example, firmer principles of sustainability and resilience could be built into frameworks for the management of Crown land generally (eg the Land Act 1948).³¹

While the decision-making principles in a Future Generations Act would not be legally enforceable through an appeal process, they would still be a useful hook for judicial review proceedings (if they were not considered, or if they were given unreasonably low weight where clearly relevant).³²

We envisage the enactment of common decision-making principles or duties that would apply to all public decision-making.

Robust institutional arrangements would be essential to how a Future Generations Act would operate. We suggest several things here. Because the Act’s focus would be holistic and integrative (principles would apply to all

public decision-makers, including the “government” rather than specific Ministers or departments) it would need to be accompanied by an equally wide-ranging system steward. In other words, a future system will need to give careful thought to how the government arranges itself in resource management matters. At present, different portfolios and departments (eg minerals, climate change, primary industries, economic development, conservation) can pull in different directions, with tensions resolved through ad hoc or semi-permanent working groups,³³ inter-departmental cooperation, or (ultimately) Cabinet. An MMP system can make such tensions more pronounced at a political level. Some have pointed to a lack of clear leadership across the system.³⁴

As with different legislative frameworks, institutional silos can never be removed entirely. A sharp institutional focus is also often a good thing. A clear mission is “critical to ... accountability and focus, for compliance by regulated parties, and the legitimacy of the regulatory regime”³⁵ as well as the prevention of objective overload. However, subject focuses need to be complemented by some integrative mechanism at the top of the system.³⁶ The buck will always stop with groupings of relevant Ministers or, ultimately, Cabinet. But there should also be some means by which relevant Ministers receive integrated advice, especially if there is a common set of principles or duties imposed on the government as a whole under a Future Generations Act. Whole of system stewardship is essential. (In the same spirit, but narrower application, some have suggested having a single government department responsible for the RMA, Local Government Act and Land Transport Management Act.)

We suggest broadening this idea to the formal creation of a standing body within government,³⁷ comprised of high level officials from relevant departments and Crown agents, and chaired by an official from the Department of the Prime Minister and Cabinet. It could be called



something along the lines of a “Futures Group” to mirror the language of the independent Futures Commission.³⁸ It would not be a replacement for targeted advice from specific ministries (especially where their work was highly technical in nature), but would be a durable forum for different departments to work together, and a channel to provide common advice or (at least) to pinpoint and explain differences between agencies in a way that is both proactive and obvious to Ministers. It would not necessarily require its own secretariat, and could be supported through its respective existing departments.

This idea builds on, and institutionalises, related reforms being progressed through the review of the State Sector Act 1988.³⁹ These are wider in scope than the resource management system, but strongly reflect a desire to break down silos within government, including for environmental matters (eg by making department heads jointly responsible for cross-cutting outcomes like climate change mitigation).⁴⁰ A Futures Group could be a formally established example of a “interdepartmental executive board” already contemplated under a new Public Services Act.⁴¹

We suggest the establishment of a truly whole of system steward within government (a Futures Group) comprised of high level officials from relevant departments and Crown agents, and chaired by an official from the Department of the Prime Minister and Cabinet.

There would also be an important role here for an independent Futures Commission, which would be established under the Act under a broad but powerful mandate focused firmly on the future (both people and nature). The Welsh approach is interesting as context for the discussion that follows.

A spotlight on the Future Generations Commissioner in Wales

In the Phase 1 report, we highlighted the role of the Welsh Future Generations Commissioner, saying:

In Wales, a “Future Generations Commissioner” has been appointed who acts as a guardian for the future generations in Wales and is also tasked with encouraging public bodies to take greater account of the long-term impact of the things they do. The Commissioner has advice, research and recommendatory roles not unlike that of the New Zealand Parliamentary Commissioner for the Environment. However, the Commissioner also has the power to review public bodies and they must take all reasonable steps to follow the course of action recommended by the Commissioner, unless there is a good reason not to do so. The Commissioner is also required to publish a “future generations report” before each general election.

We pointed out that this Welsh model represents a new generation of sustainability legislation and is something that New Zealand could take inspiration from.

The role of a Futures Commission in New Zealand would be as a system-level watchdog, to hold the government to account for its actions (or lack of).⁴² As we mentioned earlier, “elected institutions need to be held accountable to their promises, and constantly tested on their progress towards broad goals that transcend politics and the short-term concerns of elected bodies.”⁴³

In particular, the Commission would be required to issue a triennial report card (potentially aligned with the parliamentary cycle) assessing the government’s (as a whole and/or particular departments’) overall performance against the purpose and principles of the Future Generations Act. That would include an assessment of whether any of the government’s legislative reforms were consistent with the purpose of the Act (resulting in a declaration not dissimilar to that under the Bill of Rights Act).⁴⁴ This recognises that the focus of “success” should be much broader than just (or even) the speed with which, for example, consents are assessed.⁴⁵ This process could also be a place where performance was independently assessed for measures cutting across different statutory frameworks and institutional responsibilities, including compliance, monitoring and enforcement activities.⁴⁶

An incoming government would be required to respond, outlining how it intended to rectify any shortcomings or implement the principles of the Future Generations Act over the following term. As in the Welsh model, the government could even be compelled to take reasonable steps in response (unless there were good reason not to), or there could be a general duty imposed to take some corrective action in response to poor or declining indicators emerging from environmental reporting.⁴⁷ This framework would, ideally, provide an incentive for effective and timely internal evaluations to be undertaken within government, to avoid the ignominy of a poor scorecard.

This structured review system could even be extended to other public bodies, including councils, if resourcing allowed. It would provide robust evaluation not just of the appropriateness of the tools being used, but also the adequacy of how they are implemented (eg if they are being enforced in practice).⁴⁸ At the local government level, this approach could⁴⁹ create a healthy competitive mindset, both between different councils and between different candidates come election time, and encourage a race to the top for environmental outcomes. Such incentives may even mean there is less need for central government intervention if council performance were to be at least partly measured in terms of some common national performance measures.

It would be important for this report card framework to be founded on evidence, but not to be based solely on the results of environmental monitoring and reporting (or other wellbeing indicators being developed).⁵⁰ Many environmental and other indicators can be slow to change (eg nutrients flowing into waterways), and poor outcomes do not necessarily reflect the degree to which a problem is being addressed or duties being undertaken by a public authority. It would also need to be sensitive to what

had been achieved in light of the resources available, especially for councils.

There would be no direct legal consequence for a poor scorecard; it would not be enforceable. However, as with the recommendatory role of the proposed Climate Change Commission, the idea is that any failings (or successes) of an accountable government would be highlighted in an evidence-based manner by an independent institution, and New Zealanders could take that into account when going to the polls. In that way, an independent entity would enhance, rather than undermine, the democratic process.

We acknowledge that there is potential overlap here with the role of the Parliamentary Commissioner for the Environment (in its general investigative and advisory function, and its review role).⁵¹ Indeed, the new, more structured roles could be given to that institution *instead* of a Futures Commission. We leave that as an open question, with a note that appropriate resourcing would need to be provided in either case.

The Futures Commission – perhaps alongside other existing or planned commissions in the short term – could act as an independent watchdog over the whole of the system, with a more structured role that would see it issue public authorities with a scorecard. This would assess the government's performance against the purpose and principles/duties in the Future Generations Act.

In the longer-term, as mentioned in Chapter 7, we see potential for a Futures Commission, Parliamentary Commissioner for the Environment, and the Climate Change Commission being merged, and their functions integrated. The Energy Efficiency and Conservation

Authority, which also has an arm's-length advocacy function, could also fall into this camp. There would be a risk of over-fragmentation and complexity in institutional arrangements if we had a proliferation of small, targeted commissions.⁵² One possible scenario might be that the existing Parliamentary Commissioner would be expanded into a Futures Commission and given additional roles.

We also see merit – although only in the longer term – in giving consideration to integrating other existing statutes of “system-wide” importance into a Future Generations Act. We consider these to be so linked as to (eventually) make sense within a single framework, and are encouraged by the directive in the Legislation Act 2012 to pursue “the progressive and systematic revision of the New Zealand statute book so that ... it is arranged more logically”. Such statutes could include:

- the Environment Act (establishing and providing functions for the Ministry for the Environment and Parliamentary Commissioner for the Environment)
- the Environmental Reporting Act (providing for a national system of environmental reporting)⁵³
- the Environmental Protection Authority Act (establishing the eponymous EPA and giving it a general mandate)
- the Energy Efficiency and Conservation Act (establishing the Authority and providing for related strategies to be developed)
- the Zero Carbon Bill (which is discussed in more detail further below).
- the parts of the RMA establishing (or continuing) the Environment Court (which has roles not just confined to the RMA).



In the short to medium term, however, it seems to make more sense to build on what we have rather than rush into significant institutional and legislative overhaul, even if it means continued fragmentation. Consideration of these matters should happen in the longer term only.

In the longer term, we see merit in further integrating existing legislation into a Future Generations Act to the extent that it is about the whole of the system (such as the establishment of cross-cutting institutions and system-wide strategic planning and reporting frameworks).

Alongside watchdog-type functions, a Future Generations Act would give the Futures Commission a general but structured “futures scanning role”. This means that it would be charged with identifying threats and opportunities in the future, making recommendations for action in response, and reporting its findings to the government or to Parliament.⁵⁴ The government could be required to outline how it intended to respond.⁵⁵ As mentioned earlier, this would be “a real, nationally-focused effort at looking ahead”.⁵⁶ Such a role is not in principle dissimilar to the narrower, subject-specific task proposed to be assigned to the Climate Change Commission (a risk assessment to inform climate change adaptation plans), and is reminiscent of the Welsh approach where the government is obliged to release a Future Trends report within one year of a general election.⁵⁷ While the Ministry for the Environment and StatsNZ would remain responsible for national level environmental reporting, this data would also be shared with the Commission to assist in its functions.

Another key element of a Future Generations Act could be the imposition of a general duty to protect, or even enhance, the environment.⁵⁸ We heard from several people at workshops that such a measure would be a positive step, and that it would reflect the “emergency footing” that a future system will need. It would complement the general rights of nature enshrined in the Act’s purpose statement and the advocacy role of a Futures Commission, addressing the complaints of some that giving rights to nature without associated human responsibilities is greenwashing and window dressing.⁵⁹

We already have a general duty contained in section 17 of the RMA, but (aside from the ability to issue enforcement orders and abatement notices) this is not enforceable, and liability does not follow. Furthermore, it is focused on the avoidance, remediation and mitigation of adverse effects rather than taking positive measures. As we have pointed out in the Phase 1 report, under the RMA “the trigger for action is still potential harm, not a drive for improvement”,⁶⁰ and the courts have said that activities with no significant adverse effects are not to be controlled by the RMA.⁶¹ We see scope for a general duty to be strengthened and elevated to a Future Generations Act, including through the issuing of guidance as to what a general duty would entail in specific sectors. It may also

be useful to impose a specific duty on public authorities to enforce a general duty.

There are, of course, significant challenges here. Is it beyond the pale to require people to actively do things, rather than just preventing them from acting in harmful ways? We explored this question in the Phase 1 report, concluding that much more needs to be done in the non-regulatory space (eg economic instruments and behavioural incentives) to encourage environmental enhancement.⁶² We need a system that drives and encourages positive outcomes.⁶³ But some regulatory options may also be possible. In particular, aspects of the system already contemplate that people can be compelled to do things. For example, the Taranaki Regional Council has recently published notices requiring the destruction of all “old man’s beard” on people’s property as a pest under the Biosecurity Act.⁶⁴

Old Man's Beard



Biodiversity offsetting using a biobank and a principle of net gain also has potential, as long as there were strict limits on the degradation of local environments.⁶⁵ And we already see the ability for esplanade strips to be set aside under the RMA in the event of subdivision – a profitable change in the use of private land leads to an expectation of public benefit.⁶⁶ Could we use such triggers to enhance the environment in other ways?

Associated with a strengthened general duty could be the imposition of a more specific duty on company directors under the Companies Act 1993, alongside the traditional directors’ duties (eg to shareholders).⁶⁷ This would reflect that (especially large) corporations can often be better placed than individuals to make a real difference to environmental outcomes, whether in the reduction of harm or in the active pursuit of benefits.⁶⁸ It could also create a more competitive environment in the private sector.

A Future Generations Act could give a futures scanning role to the Futures Commission, and impose a stronger general duty on people to protect/enhance the environment. A comparable duty could be inserted into the Companies Act, alongside more general directors’ duties (eg to shareholders).

9.4 A framework for strategic and spatial planning

The Future Generations Act would not just be a framework for general, system-wide principles/duties and accountability/reporting mechanisms. It would also provide a new, formal and durable architecture for high level strategic and spatial planning to occur, and for that to influence decision-making under more detailed “implementation” frameworks like the RMA. It would, in other words, be a place where the dots were connected

and aligned across a system having multiple, more targeted, statutes.

What we mean by strategic and spatial planning, and how this would work, is explored below. It is worth noting specifically, though, that this model would provide a space where urban growth would be managed in an integrated way (largely to ensure that land use decisions married up with infrastructure planning and funding).⁶⁹ This would be one way in which alignment would be achieved between (what would remain) a separate RMA and infrastructure legislation for things like transport and water services.

A spotlight on strategic spatial planning

In the Phase 1 report, we pointed out that the current system lacks strong strategic planning. That means, essentially, that it is not firmly focused on the future or the need for change. Some have characterised this as a system that is reactive or (adverse) effects based, rather than one that is geared towards positive change and is outcomes focused. That is not uniformly the case (eg a lot of strategic planning already goes on in government departments and councils),⁷⁰ and it is sometimes a complaint about what RMA plans have done rather than the wider system.⁷¹ However, the key point is that strategic planning at a system-wide level can be patchy, overlapping, and not well integrated. We are used to operating in strategic silos. As such, we have previously said:

The current system is by no means devoid of strategy. For example, some have pointed out that the Local Government Act and the Land Transport Management Act are strongly future focused. Central and local government often produce strategies under more general (or no) statutory frameworks. The issue is more that, currently, strategy happens on an ad hoc and piecemeal basis, and that the links between strategic and other kinds of tools (eg regulation) are not always strong.

... [R]esource management strategy seldom get[s] looked at in a holistic way. It is more common to have strategies relating to economic development, energy, conservation, local and regional infrastructure, climate and so forth.

But what is a strategic *spatial* plan? Not all elements of a strategy are spatial (eg a strategy to reduce waste over time might involve the deployment of taxes, funding, or product stewardship schemes, none of which have real spatial aspects). But many aspects are. For example, an urban growth strategy is dependent on knowing what (infrastructure, houses, businesses, public services) goes where over time. Equally, not all spatial plans are strategic. That is what Infrastructure New Zealand means when it points out:⁷²

Spatial planning differs from conventional land use planning as practiced in New Zealand. Land use planning under the RMA is not strategic. It is effects based and reactive. It is designed to minimise the impacts of physical development on other residents, activities and the environment. It is not designed or set up to proactively promote outcomes.

Thus complaints about RMA plans are usually not so much that they are not spatial (eg district plans are spatial almost by definition) or even that they *cannot* be strategic (there is nothing in the RMA that prevents an instrument being future focused), but rather that they do not *have* to be strategic (and in practice they tend *not* to be).⁷³ Under our reformed model for the RMA, that would no longer be the case. A new Part 2, and the use of targets, would be much firmer about driving positive social and environmental change.

However, there are other senses in which the system as a whole does not provide for adequate strategic spatial planning, and where a reformed RMA would not be enough.⁷⁴ In short, we need:

1. Horizontal integration: the ability for one spatial planning framework (eg land use under the RMA) to influence or be aligned with another (eg infrastructure planning/funding under the Local Government Act).
2. Vertical integration: the ability for a higher level spatial plan to have influence on lower-level decision-making (eg the Auckland Plan is not binding on the Auckland Unitary Plan)
3. A *requirement* to do it in a way that aligns other decisions: while many councils *have* engaged in cross-district spatial planning under the Local Government Act to manage urban growth, that is not mandatory. Such efforts also tend to be responsive to, rather than pre-emptive of, pressures.⁷⁵
4. An integrated *national* effort at spatial planning.

We suggest that, under a Future Generations Act, two key subordinate instruments be developed to rationalise, integrate, align and fill gaps in this complex strategic

landscape. They would be mandatory. While they would not *replace* all other strategies (especially non-statutory ones), they would be a place where these came together.

The first instrument would be a *national* strategy. This would take a holistic approach to all strategic planning that goes on within the bounds of the resource management system, and join it up. More targeted strategies (eg for tourism, biodiversity, minerals etc) could, of course, continue to be developed, but they would be done either to inform the wider strategy or as specific domain- or sector-based expressions of it. The idea is that there would be a formal and legally influential place where they would come together, and where tensions between them could be identified and resolved with reference to the higher level purpose and principles of a Future Generations Act. We have previously called this kind of thing a “resource management” strategy, but in recognition of (what we think is) the poor optics of that label, we suggest it be called a “National Futures Strategy”. That would also align with the name of the Act under which it would be developed, and with the Futures Commission.

The second kind of instrument would be *regional* futures strategies.⁷⁶ This recognises that spatial planning needs to happen at multiple scales.⁷⁷ National and regional strategies would be similar, but would contain content relevant to the strategic functions of central and local government respectively. There is an overlap (eg in relation to biodiversity of economic development) but to some extent they are different (eg central government is responsible for minerals strategy, while councils are responsible for the local aspects of urban planning). As an analogy for a regional futures strategy, one might like to think of the Auckland Plan (as opposed to the RMA's Auckland Unitary Plan).

Associated with both national and regional futures strategies would be spatial plans, which would express strategies in spatial terms. As pointed out earlier, not all strategy can be expressed spatially, but some aspects (eg urban growth) can only become meaningful when they are. At a national level, this would be intended to translate general strategic aims (eg renewable energy aspirations, or the creation of biodiversity corridors) into how that would play out in spatial or physical terms. Ideally, such things would be mapped. They would also be based on robust evidence, including from a more active central government role in conducting strategic environmental assessments (eg for specific industries). Regional spatial plans – akin to the Productivity Commission's concept of a regional spatial strategy – would address land release and infrastructure provision for urban growth, but would by no means be confined to that purpose. Spatial planning is much wider than that.⁷⁸

A Future Generations Act would provide a statutory basis for strategic and spatial planning at a national and regional level.

9.5 The legal effect of futures strategies and spatial plans

Spatial plans would not have direct regulatory effect. As we have pointed out previously, “a strategic tool is an overarching instrument that guides the actions of public authorities over time without being binding on people as a matter of law”.⁷⁹

However, we think that futures strategies and associated spatial plans would need to be *legally* meaningful (see Figure 9.1). By this we mean that they should not just be another level of wishful thinking or nice words on paper. If we bother to do this kind of thing – which we think is well worth the effort – it needs to have real influence on other legal frameworks by which more targeted decisions (including regulatory and funding decisions) are made. Strategy is worthless if it does not lead to action.

However, there is a significant tension to be resolved here. Implementation frameworks like the RMA, conservation legislation, transport legislation, and local government legislation all have their own, more targeted, purposes and processes. There are thus serious questions to be asked about the direction of influence here.

Should, for example, a National Futures Strategy have to give effect to an NEP developed under the RMA? Or should an NEP have to give effect to a National Futures Strategy? Perhaps even more significantly, should expenditure decisions under the Local Government Act (eg through long term plans and annual plans) be *required* to implement those things that cost money (eg infrastructure) under a regional futures strategy? Or should that strategy itself have to change based on the funding that councils and ultimately communities are willing to stump up in any given year?

How to spend ratepayer money goes to the heart of local democracy, even if there are concerns that too many candidates campaign myopically on a platform of lower rates.⁸⁰ It would also be beyond the pale for long-term central government funding decisions to be bound by a high level, long-term strategy. The budget process is the preserve of a democratically elected government (and, ultimately, Parliament), which can come into sharp relief when the makeup of the government changes.⁸¹

This is a question that played out in the context of the Auckland Plan, which can be seen as analogous to the kind of regional futures strategies we are talking about here. That was designed to provide a high level blueprint which other instruments – especially the subsequent Unitary Plan under the RMA – would achieve. But the legal direction was always weak; the latter was only obliged to have regard to the former.⁸² The unitary plan, where the rubber really hit the road for many things (including regulatory restrictions and zoning decisions affecting people's property) had a robust process involving an accountable council, an independent panel, and the courts. It was important that this – and associated funding decisions under other legislation – could not be

overridden by a more aspirational spatial plan created in a (in many ways) less formal manner.

However, a predictable, integrative approach remains important. We therefore think that influence would need to flow in both directions. The relationship would be reciprocal.

Because the purpose of the Future Generations Act would itself stress the primacy of environmental bottom lines, there should be no objection to strategies then *giving effect* to those bottom lines imposed under more specific frameworks (like the RMA, conservation legislation, or oceans legislation). Bottom lines in those acts would be more clearly articulated than they are presently,⁸³ making that job easier.

The law could then require that futures strategies (including associated spatial plans) be given effect to, *unless there was good reason not to*, in instruments made under more targeted regimes. "Good reason" could be defined as, among other things, being inconsistent with the purpose and principles of the more specific act or where funding was unavailable. For example, if an NEP changed under the RMA to impose a stricter limit to achieve an environmental bottom line, an existing regional futures strategy could not be used as a reason to override it.

Alternatively, lower level instruments could be required to have "particular regard to" futures strategies. Some novel alternative could even be drafted (eg "be guided by" or "generally adhere to"). All of these options represent stronger relationships than those between the Auckland

Plan and the Auckland Unitary Plan ("have regard to"), but none is absolute.

Targeted instruments like those under the RMA, Local Government Act and Land Transport Management Act would therefore not just be about blindly implementing futures strategies – they would be primarily about implementing the purpose and principles of their particular act. Indeed, that is a key reason why a framework like the RMA that sets bottom lines needs to be separate from others concerned with development. But strategies would have significant legal weight or importance within those constraints. It would be a bit like having a strategic meeting in an office, where everyone meets to outline a shared vision and then different teams go away to achieve their part of it. The idea is that they should all adhere to the vision that was agreed, unless there were persuasive reasons not to. Predictability, rather than absolute certainty, is the aim.

Futures strategies and related spatial plans would not be directly binding in a regulatory sense. However, they should have real legal influence on decision-making under more targeted frameworks (eg the RMA and infrastructure related legislation). It would not be feasible for them to be *given effect* to in these other statutes, but a reasonably strong legal direction should be put in place to ensure strategic planning is worth doing.

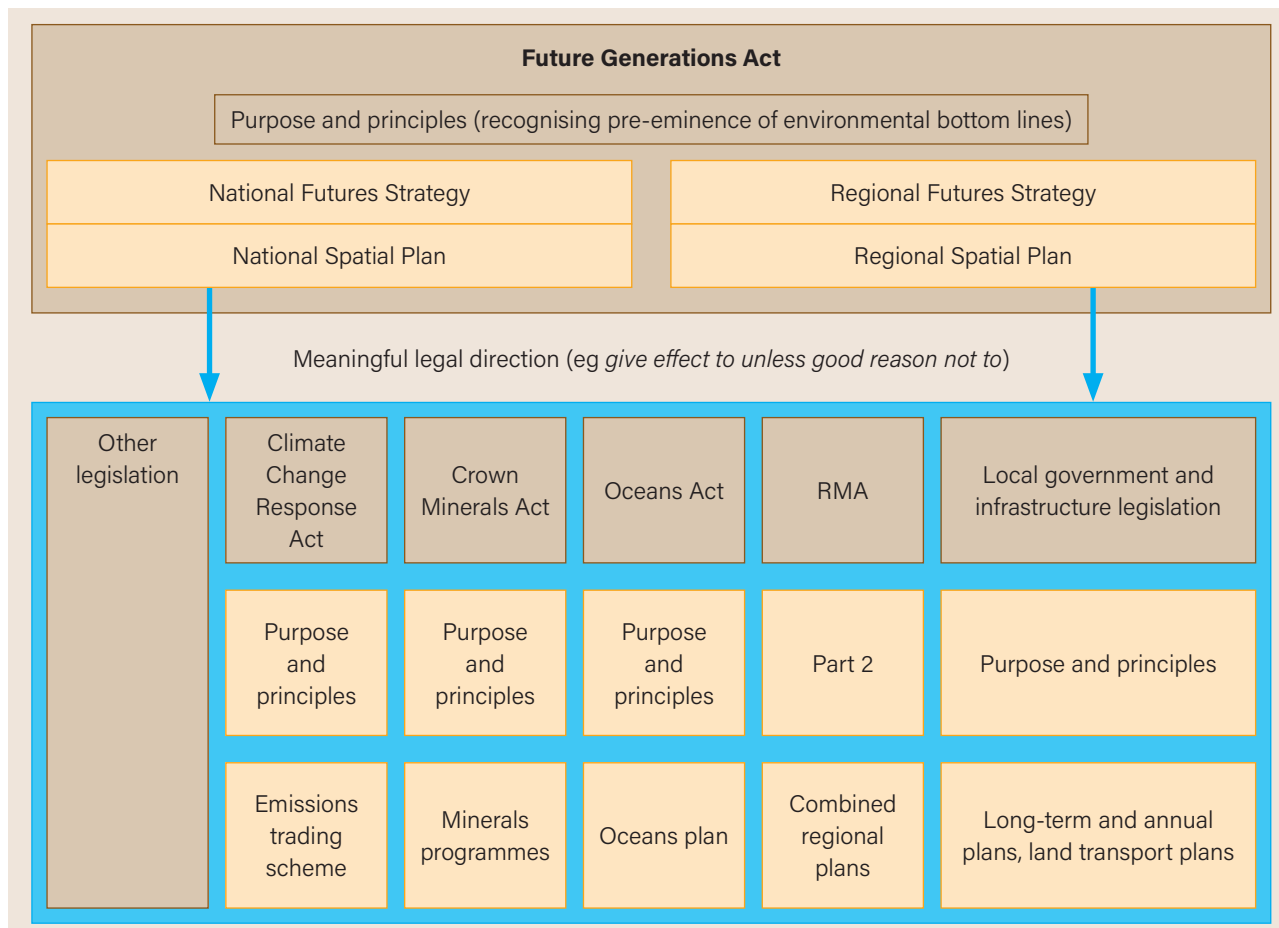


Figure 9.1: The relationships between a Future Generations Act and other legislation

9.6 How would strategies and spatial plans be developed?

If futures strategies and spatial plans are to have real legal influence (even if they are not absolutely binding), the process for creating them needs to be robust. It cannot

simply be another round of strategising that emerges from locked rooms within government departments. How the purpose and principles of the Future Generations Act are drafted will also be significant, because those will be powerful drivers behind what strategies look like. We welcome suggestions for drafting.

A spotlight on the creation of futures strategies and spatial plans

We envisage that a National Futures Strategy, and its expression in a spatial plan, would be developed in a collaborative manner. It would be led by responsible Ministers (forming a Cabinet sub-committee). Departmental support and advice would be provided under the umbrella of the “Futures Group” mentioned earlier in this chapter. That would be a standing group of officials from various relevant government departments, chaired by a senior official from the Department of the Prime Minister and Cabinet. The point would be to break down institutional siloes at the highest level.⁸⁴

Again, there would be no new functions given to central government here. It would simply be a way to ensure the vast amount of strategic planning already occurring came together in a coherent fashion, reflecting the “silo busting” intent behind wider state sector reforms.⁸⁵ The first task here would be to ensure that environmental bottom lines were given effect to in the strategy, reflecting the purpose of both the Future Generations Act and implementation acts like the RMA.⁸⁶

However, this would not be a closed-door government exercise. The strategy would be co-developed with Māori (while acknowledging the difficulties in determining what such a group would look like at the national level).⁸⁷ Advice would be proactively sought in that process from local government, a newly established Infrastructure Commission, and infrastructure providers. The strategy would then be publicly notified, and submissions received.

There would be an independent review under the auspices of the Futures Commission and Tikanga Commission/commissioners, which would provide an assessment of consistency with the purpose and principles of the Act. In the short to medium term (prior to greater institutional integration), other independent institutions (the Parliamentary Commissioner for the Environment, Climate Change Commission, and potential Freshwater Commission) would also feed into that review.⁸⁸ The government would be required to respond to recommendations made, and justify why they had been accepted or rejected. A final decision would be made by Cabinet, and the strategy would be promulgated by order in council.

Regional futures strategies and associated spatial plans would be developed in a conceptually similar manner, but with different actors involved. While it would not be the only thing they would do, such strategies and plans would be crucial for managing urban issues in an integrated way, especially in areas experiencing or expecting rapid growth.

Councils within a region would lead the development of these instruments, but it would be a collaborative exercise alongside mana whenua and CCOs. Again, the first job would be to ensure that environmental bottom lines were given effect to. As at the national level, advice would be proactively provided by the Infrastructure Commission and infrastructure providers. The Crown would also be actively involved, not least in its capacity as the partial funder for some measures (eg transport infrastructure) and the planning authority for others (eg new schools and hospitals). The instruments would then be publicly notified, and submissions received. Again, there would be an independent review under the auspices of the Futures Commission and Tikanga Commission/commissioners, as outlined above. Final sign off would be by councils and mana whenua.⁸⁹ Both national and regional level instruments would need to be reviewed periodically, potentially to align with environmental reporting timeframes.⁹⁰

Strategies and spatial plans would have varying levels of detail, and this would not be prescribed. Some areas may require quite elaborate provisions (including mapping), whereas others may not. A lot of conversations have focused on areas experiencing rapid urban growth, and the need to unlock land for development in an integrated and timely way. That is undoubtedly important. But the trigger for spatial planning here would not just be about the pace of urban growth.⁹¹ Many other kinds of pressures warrant a meaningful strategic and spatial assessment of how we are using and protecting resources, including slower urban creep, implications for productive (food producing) land, and active measures to address (and adapt to) climate change. In fact, some form of integrative strategy and spatial plan could be mandatory (rather than trigger based), recognising two things: that we should not

wait until issues are manifest before thinking about how to address them, and that we need to actively provide for positive change.



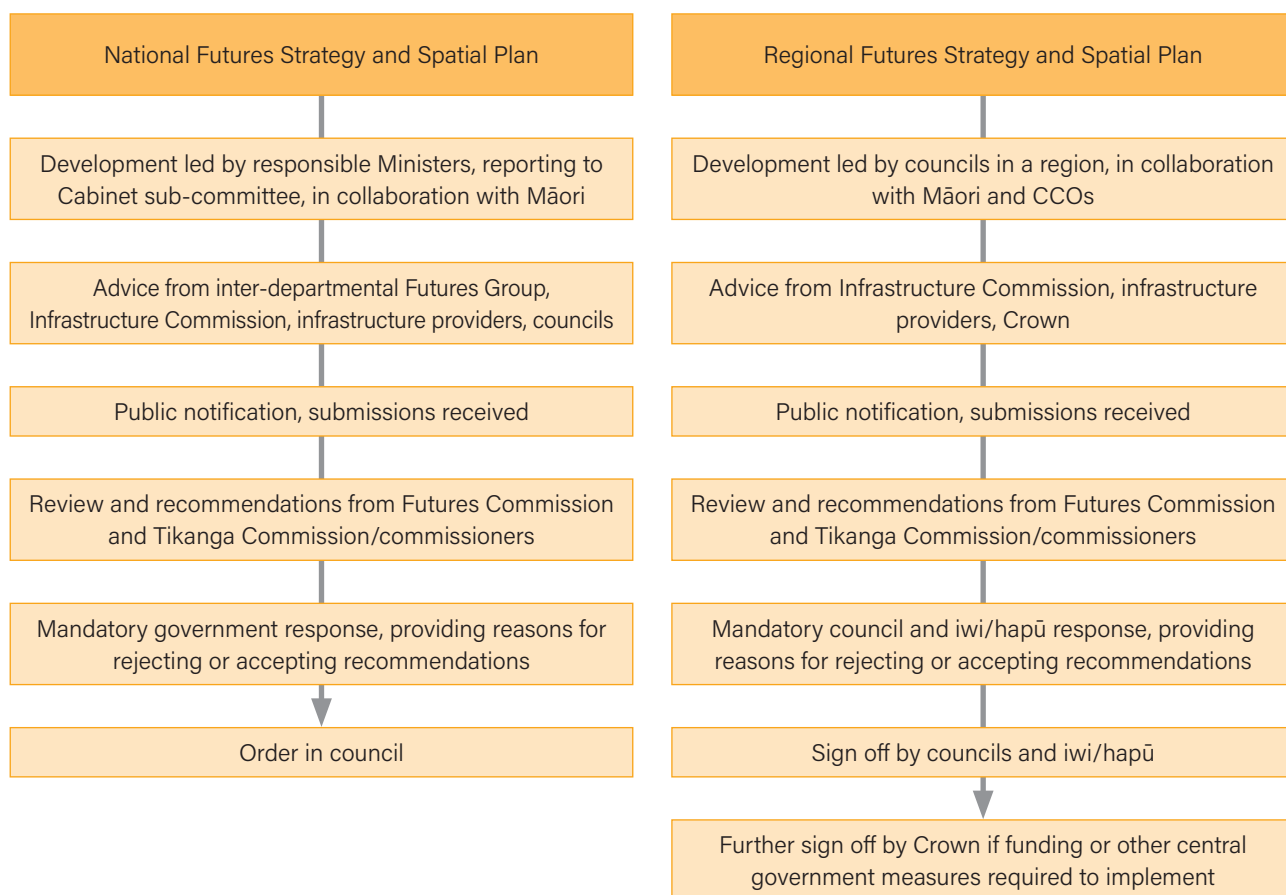


Figure 9.2: Process for creating Futures Strategies and Spatial Plans

Relationships between national and regional instruments

Regional strategies would not be required to give effect to a national strategy. The latter would influence/direct central government decision-making, and the former would influence/direct local government. In other words, national instruments would not be a “back door” for central government to influence local decision-making directly in ways it previously could not. For example, there would be no requirement for councils to directly give effect to a national spatial plan in their RMA plans or their long-term plans; the appropriate pathway would be for central government to reflect a national spatial plan within an NEP, and for councils to then give effect to the NEP. The purpose would be less about hierarchy and more about alignment within each level of government.

But what about the reverse? Should central government be bound to give effect to *regional* spatial plans? Certainly not as a blanket rule. Councils should not be able to bind the government within spheres of central government decision-making (especially funding decisions). However, if the government was involved in the planning process, Crown funding was central to the success of the plan, and it was formally signed off by a responsible Minister, there may be a case for the government to be obliged to follow through on an agreed regional spatial plan in the same way as councils would be. In reality, that may not be so different to a more structured, broader reaching and durable version of the Auckland Transport Alignment

Project, or a statutory concept of negotiated “city deals” between central and local government.⁹²

The same logic could apply to cross-regional spatial planning exercises, where an area’s values or features might be of national importance, but span multiple tenure types (eg Crown and private land), central and local jurisdictions, and different legislative frameworks. The Mackenzie Basin may be a good example of this, where interests in land are private, public and pastoral leasehold; where many different government, council and other groups are involved; and where there are multiple legal frameworks to navigate and coordinate. A spatial planning regime might be a place where an overall integrated approach to managing such an area could be sketched out through agreement between partners, and then be directed by law (to some degree) to implement it.⁹³ Similarly, the Crown may have a vital role in the success of inter-regional spatial planning in the context of urban growth. We consider this in the spotlight below.

More generally, there would be a strong case for national and regional strategies to have particular regard to each other.⁹⁴

A national strategy and spatial plan would not be binding on regional ones as a matter of law – they would be integrative within each level of government, not hierarchical between levels of government. However, if all partners agreed, there would be a case for them to be obliged, to some degree, to follow through.

9.7 The importance of integrating planning and funding

Money would be a crucial consideration in developing strategies and spatial plans. These instruments (especially in some urban areas) would come with significant cost implications, including infrastructure. Funding would be provided by different actors, too, and would need to be aligned. While the strategic planning process would not be *accompanied* by funds, nor could it realistically bind institutions to provide funds later, it would be important that it was at least *informed* by realistic propositions for later funding. Indicative funding sources should therefore be clearly indicated, including where costs are to be shared between agencies or between general populations and those who benefit or use services.⁹⁵ As we have previously said, “if the financial component of a plan falls through ... then the remaining regulatory component may not be enough to achieve the objective sought”.⁹⁶ That is one reason why there would need to be involvement from key funders in the development of strategies and spatial plans. For example, the non-statutory Sea Change – Tai Timu Tai Pari Marine Spatial Plan provided for councils to take direct measures like the construction of significant new wetland systems (to trap sediment in catchments).⁹⁷ For the plan to be successful, it therefore required a funding commitment, not just regulation.

Ad hoc funding arrangements may always be needed for unanticipated events (or in a system that will inevitably require some political grandstanding from time to time), but this is becoming an increasingly concerning feature of the basic system.⁹⁸ Ad hoc funding is particularly acute in the urban context (eg for transport and water upgrades). Having indicative funding for public infrastructure contemplated in a spatial plan would at least give some predictability that land use change – or even maintaining a land use – would be supported by the physical “stuff” needed to realise it in practice.

Futures strategies and spatial plans should be accompanied by a description of anticipated costs, and where funding is envisaged to come from.

We would anticipate that most institutions’ strategic energy would go into this process, and be channelled away from separate, siloed strategic exercises (for example, under the Local Government Act). However, those would by no means be precluded or replaced. They would remain valuable, including as inputs to the strategies and spatial plans envisaged here (and including proactive and creative forms of targeted community engagement).

It is worth making one more specific note about the relationship between regional futures strategies and regional policy statements under the RMA. We referred to this in the previous chapter, noting that regional policy statements form a crucial layer in the system (they are integrative at least for matters governed by the RMA, and they provide stability by not being subject to private plan changes).⁹⁹ However, if we have a *more* integrative

mechanism at a regional level (futures strategies and associated spatial plans), is there a need to retain this additional layer in the system? Arguably we could dispense with the regional policy statement and simply require unitary plans to give effect to a regional strategy/spatial plan. The two could be duplicatory.

In the context of the Auckland Plan, it was seen as important to retain the regional policy statement layer within a unitary plan, despite the existence of a higher level spatial plan. In fact, feedback has been that the regional policy statement really needed to be decided on first, before other aspects of the plan. The Auckland Plan was not a meaningful substitute for an instrument made under the more focused and robust processes and purpose of the RMA. Similarly, in Christchurch, a voluntary urban development strategy formulated between multiple councils under the Local Government Act (which can be seen as a spatial plan) then needed to be translated into a regional policy statement under the RMA (including urban limits).¹⁰⁰

It is open for debate whether that additional step would still be desirable or necessary if we were to place a more formal process around the development of the higher level strategy. While having an additional layer of planning may strike some as inefficient, the RMA would retain a more targeted purpose and principles than a Future Generations Act. The regional policy statement can be seen not just an integrative mechanism, but as a focused and ultimately protective set of policies that filter down into more specific rules and policies. One option would be for regional futures strategies to give effect to it rather than to replace it.¹⁰¹

It would be possible to replace regional policy statements under a revised RMA with regional futures strategies created under a Future Generations Act. This would be to address concerns that the two would be too duplicatory. Alternatively, a more focused regional policy statement could be required to be given effect to in regional future strategies.



Hobsonville, Auckland

A spotlight on spatial planning and urban growth

One of the key drivers for strategic spatial planning (as well as proposals for an integrated Planning Act)¹⁰² has been the desire to take an integrated approach to urban growth in areas like Auckland, Hamilton, Tauranga, Queenstown and Wellington.¹⁰³ These metropolitan areas are growing rapidly, presenting a unique set of challenges as a result. In particular, there is a need to align the contributions of various institutions (councils and central government) across multiple statutory functions (eg land use change, housing provision, network infrastructure, related community services etc). Spatial planning within the Auckland region has already occurred under bespoke legislative arrangements, but the need does not stop there.

The most significant inter-regional spatial planning exercise New Zealand has seen is underway to manage growth and development along the corridor between Hamilton and Auckland.¹⁰⁴ This is a partnership under the leadership of central government. There have also been agreements between local government and the Crown to align planning and funding responsibilities for key infrastructure (eg through the Auckland Transport Alignment Project), and more general ad hoc measures to fund infrastructure to support urban growth (eg through a competitive Housing Infrastructure Fund). Attempts have also been made to connect up decision-making through specific statutory frameworks (eg the NPS on Urban Development Capacity has talked about the need for coordination and to consider related decision-making processes), even though that has no real ability to require it.¹⁰⁵ Similarly, the Local Government Act requires councils within a region to agree to protocols for communication, co-ordination and dispute resolution (triennial agreements) to avoid duplication of services or functions.¹⁰⁶ But decisions under one act cannot bind decision-makers under another, and there is still a risk that:¹⁰⁷

a nationally significant project may be a priority in [a] spatial plan but have no recognition under the RMA or [the Land Transport Management Act]; [and] a regionally significant project may have priority in a [regional land transport plan] but not be funded in the local council's long-term plan.

The necessary alignment has therefore yet to be built into the fabric of the resource management system as a whole, and continues to be subject to ad hoc negotiations, partnerships, and the political prioritisations of different parties. This lack of coordination can be seen in action in the context of mass transit proposals for Wellington City, where despite a promise of a Crown contribution and commitment to the project, it is still unclear where the council's side of the funding is to come from.¹⁰⁸ In relation to the Auckland to Hamilton spatial planning exercise, some have pointed out that it is “operating outside of planning and governance statute, leaving it heavily dependent upon commitment from the Government of the day”.¹⁰⁹

A legislated process for regional (or even inter-regional) spatial planning under a Future Generations Act would provide a space for relevant decision-makers to come together under a common set of principles and develop a robust, integrated, legally meaningful and reasonably durable strategic plan for urban growth and development. Incidentally, there may, then, be no need for more siloed tools like future development strategies (required by RMA national direction), which would perform a similar function.



The role of the Futures Commission, it is to be hoped, would also assist in depoliticising issues and providing a degree of stability around long-term planning and funding. On the other hand, it is worth noting that the potential for an urban development authority to be given wide powers to override spatial plans, as well as a raft of RMA instruments, could undermine that stability. We are continuing to give thought to the role of such an authority in a future system, but have some serious misgivings about the extent of powers that have been proposed for it.¹¹⁰

Regional spatial plans dealing with rapid growth would contemplate not just land use change (eg the release of land for development in specified growth corridors) and the infrastructure required to make that happen (eg water pipes to allow houses to be actually occupied), but also the need to make sure outcomes are being optimised. For example, plans may need to provide for public transport nodes (eg light rail) to be funded and delivered in a timely way around areas slated for residential density (which, for example, may not have requirements for car parking). One does not really work without the other. Thus considerations of good urban design and synergies (and, ultimately, the purpose of the Act) should drive urban spatial planning, not just the need to have separate decisions happening at the same time.¹¹¹

There are also more systemic questions to be considered, concerning how urban growth, notably enabling infrastructure, is to be funded, not just coordinated. More may be needed than futures strategies and spatial plans to ensure that the right things can be (and are) actually paid for in a timely way. This is in two senses: (1) that enough money is in the pot to fund what needs to be put in place; and (2) that appropriate incentives are in place for funders to do so in practice.

A lot of this conversation revolves around how *councils* are funded, and whether a system largely dependent on local rates continues to be appropriate. Some (such as the Productivity Commission) have expressed an initial view that only targeted changes are required on this front,¹¹² while others have proposed a more far-reaching overhaul of how growth and development is paid for.¹¹³ For example, it has been alleged that a need to tax *existing* residents for the substantial costs of infrastructure for *new* residents leads to (understandable) resistance from councils to embrace urban growth, or an incentive to provide infrastructure on a “just in time” basis.¹¹⁴ Many councillors campaign specifically to keep rates down.

We are continuing to give consideration to this issue of funding and incentives, but emphasise that any effort to align planning and funding (eg through spatial planning) that is not itself binding as a matter of law will need to carefully consider the underlying incentives on actors to actually follow through and implement it in other frameworks. That is not just about funding incentives; it is also about incentives on local government to follow through on changes to RMA instruments (eg providing for urban growth through intensification of low density suburbs – the so called “nimby” issue).¹¹⁵ Again, it is to be hoped that a role for the Futures Commission in RMA planning (akin to the role the independent hearings panel played in Auckland), and a more nuanced set of matters in Part 2 of the RMA, will assist.

A spatial planning framework for urban growth could usefully be complemented by changes to more targeted frameworks like the RMA, Local Government Act and Land Transport Management Act. A spatial plan can outline what should happen when, and indicate how it is to be paid for, but cannot integrate the actual processes by which those things happened under other frameworks. For example, it has been pointed out that “district plan processes can take years and in many cases up to a decade or more to complete. Meanwhile council annual and ten year plans run separately from three yearly National Land Transport Programme planning cycles.”¹¹⁶ While different processes for each are inevitable given the different nature of the roles, these should be aligned more closely in a future system as far as possible.

There may even be merit, in the longer-term, in going further and integrating the Local Government Act with the Land Transport Management Act (and proposed Water Services Act), to form a single statute dealing with the infrastructure planning and funding issues relevant to urban growth. In that case, there would be fewer inter-statutory connections to be managed through a spatial planning regime.¹¹⁷

Alongside robust strategic and spatial planning, there would be a case for further aligning decision-making processes under more targeted statutes that would implement it. In particular, land use planning and infrastructure funding should occur in a more connected manner. In the longer-term, it may make sense to integrate the Local Government Act with the Land Transport Management Act (and any separate water services legislation) in a Local Government and Infrastructure Act.

We will leave the topic of urban growth with a deeper thought. It is by no means unnatural to have underlying concerns with a system that treats periodic explosions of population in particular areas (or potentially endless levels of human population more generally) as a normal or desirable thing that we can only react to rather than seek to shape. Tourism is a microcosm of this (and not just an urban one), where in recent years there have been serious discussions about limiting tourist numbers, restricting access to sensitive areas, or directing visitors to different parts of the country due to infrastructure pressures, impacts on locals, and threats to the quality of the visitor

experience itself.¹¹⁸ That is part of a national strategic and spatial conversation that we need to have.

However, the reality is that using the system to try to change the fundamental drivers for human population growth more broadly, and attitudes towards it (often it is seen as proxy for prosperity) have far reaching implications for freedom in our society. We cannot tackle that here, although we note that some form of population policy does not have to be something anywhere near as draconian as the Chinese experience.¹¹⁹ While we are largely left to accommodate growth as best we can, we flag that this is, nonetheless, an important subject for ongoing debate (eg how big do we really want Auckland to get? Should we *have* to choose between productive land and housing? Would we want a New Zealand of 10 million people?).¹²⁰

9.8 What are the limits of spatial planning?

It is worth re-emphasising at this point that spatial planning is not just about managing urban growth. One may be forgiven for thinking this is the case. For example, the government's work on spatial planning seems to be primarily located within its "urban growth agenda" work programme.¹²¹ But many other issues and challenges are spatial in nature, and could benefit from greater joined up strategic planning at a high level. For one, climate change adaptation and managed retreat (for key industries, people in all areas, and infrastructure) will require this. So too will issues around how we manage all sorts of land uses at national and regional levels, including outside cities. Do we leave such choices only to the market?

That is still something of an uncomfortable topic compared to the narrower context of urban growth. It raises not just questions of how to align the well-settled roles of the public and private sectors (ie to *coordinate* land use, infrastructure and buildings), but also questions around what the role of public intervention is. *Should* public spatial planning be concerned with prioritising certain land uses irrespective of their adverse effects? To what extent does there need to be a national interest (eg an increase in economic or social resilience, or enhancement of a degraded environment) in order to do so?

For example, should spatial planning broadly identify suitable (or unsuitable) locations for new forestry, aquaculture¹²² and agriculture, rather than saying "yes" or "no" based on the ability of proponents to address adverse effects? And what about energy and landscape concerns – where might we *want* to put wind farms to meet climate change and energy security aims (rather than just thinking about where we *don't* want them)?¹²³ Such ideas can grate with the largely neo-liberal ethos of the system we have, even if a spatial plan would not have regulatory effect. These kinds of questions are not really so different to ones about the allocation of resources like freshwater.

Other people have seen the very concept of an overarching framework like this as an excuse for central planning, and a return to the days of the National Development Act 1989. National level spatial planning is sometimes in practice called something else (eg strategy or policy direction),¹²⁴ perhaps to avoid such uncomfortable allegations of an overpowering central authority. While we do see a greater, more coherent role for central government to do strategic (and spatial) planning under the Act, it is not the intention to expand the Crown's *powers* in any significant sense or to override more specific frameworks like the RMA, particularly where environmental bottom lines are at stake. In fact, the very opposite is the intention.

Real care needs to be taken in this model to ensure the development-oriented aspects of futures strategies (eg wind farms, transport networks, other infrastructure) do not override environmentally protective ones. We do not want a government prioritisation of, for example, mining, intensive road building, or agricultural expansion in a strategic document to override environmental concerns under, say, the RMA. We have had enough of that in the past,¹²⁵ and there would be little point in strengthening Part 2 of the RMA if that were the case. We cannot have a system-wide "overall judgement" approach (deferring to a more general, balanced set of concerns to override more specific bottom lines) to reappear at a system level after this was so deftly put to bed in *King Salmon*. There is a real risk that this will happen with a proposed urban development authority model,¹²⁶ and we do not want to open that up more broadly. Nor do we want urban form to be dictated by transport planning.

Safeguards would therefore need to be put in place. The clear articulation of the primacy of the environment in the purpose of a Future Generations Act is one way in which that would be ensured. Bottom lines would need to be given effect to in any futures strategies and spatial plans. The ability for more targeted frameworks like the RMA to depart from futures strategies, to the extent of any conflict, would be another safety valve. The role of the Futures Commission in the development of futures strategies, with an inter-generational focus and independent voice, would be a third.

However, we also suggest that "development" and "environment" concerns should be considered alongside each other within a Future Generations Act, not just ringfenced as separate things. This would be to encourage mutual benefits in design (eg green infrastructure, energy sensitive buildings, climate sensitive energy options, where different forms of forestry are best located), rather than just providing a set of statements about protecting the environment *from* development. In the future, spatial planning will need to insert strong environmental considerations (including opportunities for enhancement) into the earliest phases of project development, and many synergies are possible here.¹²⁷ As we pointed out in Phase 1, environmental considerations "can usefully influence

how a [public] proposal looks right from the start, to remove inappropriate features (eg culverting urban streams ...) and pursue synergies".¹²⁸ This "greening" of our statutes could usefully filter down to other frameworks too – such as more directive provisions within, for example, local government, building and infrastructure legislation.¹²⁹

National level spatial planning would not be about giving central government greater powers. It would be about coordinating the use of existing powers, including under specific statutory frameworks, towards a more joined-up end point. It would certainly not be an opportunity for a development-minded government to override environmental considerations, and safeguards in the Act would make this clear.

Questions for discussion:

- What do you think about the concept of an overarching strategic statute, and a framework for broader strategic planning and spatial planning?
- What should the relationship be between those instruments and other frameworks like the RMA, Local Government Act, and Land Transport Management Act?

9.9 Climate change

We could easily have devoted a separate chapter to climate change. This working paper is broadly structured according to the statutory frameworks that would exist in a future system, and we envisage that the Climate Change Response Act would remain separate as a vehicle for the emissions trading scheme.¹³⁰ However, we consider it most appropriate to tackle the system-wide aspects of climate change – both mitigation and adaptation – in this discussion on strategic legislation. This is because climate change has implications for multiple (indeed, almost all) statutory regimes, and cuts across the whole of the system in ways that no other aspect does (with the exception of the Treaty of Waitangi). Dedicated climate change legislation is not the be all and end all. As we said in the Phase 1 report:¹³¹

New Zealand has clear climate change obligations under the Paris Agreement that will have to be met over the coming decades. In order to meet them, a future system will need to accommodate a great deal of change in a multipronged approach (not just an emissions trading scheme). It will need to be more directive, proactive, and contemplate land use change. Normative directions about climate change will need to be integrated across the whole system.

At the time of writing, the Zero Carbon Bill (an amendment to the Climate Change Response Act) is being considered through the parliamentary process. Its purpose is to provide a framework by which New

Zealand can develop and implement clear and stable climate change policies that contribute to the global effort under the Paris Agreement to limit the global average temperature increase to 1.5° Celsius above pre-industrial levels.¹³² We see that proposal as a positive, indeed breakthrough, step. In fact, the kinds of novel features defining that legislation (firm bottom lines, targets, independent review by a standing commission, plans as pathways to action rather than regulatory restrictions) closely resemble the kinds of thinking that are at the heart of our preferred model in a broader sense. At the heart of the Bill is a set of legislated targets (including net zero for carbon dioxide emissions by 2050),¹³³ a Climate Change Commission that is tasked with holding the government accountable, and provision for the development of emissions reduction plans and adaptation plans (and related risk assessments). While we will not dwell on the specifics of the Bill (eg the adequacy of its targets for carbon dioxide and methane),¹³⁴ we will explore what we see as its structural place in a future system.

Presently, the Climate Change Response Act is largely (although by no means entirely) a framework for the operation of New Zealand's emissions trading scheme. It is, essentially, an "implementation" framework for policy decided elsewhere (one of the very few for climate change given the inadequacy of the RMA)¹³⁵ rather than a strategic framework for thinking about wider climate action. This gap – the strategic framework – is exactly what the Zero Carbon Bill seeks to provide. Under current settings, it makes sense to locate amendments within the Climate Change Response Act: it is our preeminent climate change statute.

However, we suggest that were we to have one, most of the Bill's content would be a better fit within a more integrative Future Generations Act. The links between climate change action and almost all other aspects of the system need to be extremely strong. Thus while close connections are undoubtedly needed between climate strategy and the emissions trading scheme, equally close links are needed with almost all other legal frameworks in the system. After all, the emissions trading scheme will not be the only tool the system uses in the future to address climate change matters.

In particular, emissions reduction plans and adaptation plans would be integrated into a single futures strategy. They would not *just* be about meeting targets or budgets; they would also be designed to reflect the wider range of matters contained in the Act's purpose and principles. Climate elements of a futures strategy would therefore need to take into account the risks and co-benefits of different approaches to climate change mitigation (eg the biosecurity risks of monoculture plantation forestry, the synergies of indigenous forest for other aspects of the environment, the need to consider the economic impacts of different land uses on rural communities, and the synergies between mitigation and adaptation outcomes that nature restoration can provide).

A spotlight on emissions reduction plans and adaptation plans within a futures strategy

As currently proposed under the Zero Carbon Bill, the government would be obliged to produce emissions reduction plans and adaptation plans. These would, respectively, outline how emissions were to be reduced to meet targets and carbon budgets, and how New Zealand is to respond to the effects of climate change.

However, the exact nature of these instruments remains unclear (eg it could be that they are simply a means for further discretionary government action, including plans for further legislative reform, rather than an actual instrument like an NPS). While the Bill clarifies the relationship between emissions targets/budgets and other decision-making frameworks (they are permissive considerations only), it does not clarify the relationship between emissions reduction and adaptation plans and those frameworks. Some relationship is extremely important, as it will drive how a whole variety of agencies with impact on the ground (eg the Electricity Authority, the Energy Efficiency and Conservation Authority, the New Zealand Transport Agency, councils and CCOs etc) respond to the climate change challenge.

Perhaps it is a good idea to keep things reasonably general so that a high level framework can be got across the line politically, before a more targeted programme of reform under other acts kicks off. Something is better than nothing, and there are stepping-stones to think about. However, here we are concerned with system reform, and the longer-term. As things that are embedded in a wider National Futures Strategy (and spatial plan), we see a future in which emissions reduction and adaptation measures – including in relation to particular sectors¹³⁶ – would be legally meaningful from the outset. This is because a futures strategy would need (as one option) to be “given effect” to in other decision-making frameworks (including under the RMA) unless there were “good reasons” not to. Alternatively, it could need to be given “particular regard” to, or some other wording.¹³⁷

Either way, the need is urgent – we require something that will have real influence on the ground in implementation frameworks, not just another “plan to make a plan” that will eventually lead to action. In that vein, we have previously said that we need to specifically outline in a strategy “how or whether [other frameworks, like the RMA] are to be used to meet budgets and targets, and why/why not. Otherwise, the risk may be an undue focus ... on non-regulatory or soft approaches to reducing emissions.”

Legal relationships are equally important for adaptation planning in a futures strategy, especially with regard to how it flows through to regional policy statements¹³⁸ and district plans under the RMA (which address land use planning) and infrastructure planning and funding under local government and infrastructure legislation. National influence here is important, given the potential for strong local opposition to (and therefore political stomach for) adaptation measures that can impact on property rights.¹³⁹ Plans for mitigation and adaptation also need direct influence in broader public budgeting and investment processes. As we have already pointed out in the context of urban growth, a futures strategy needs to be accompanied by indicative sources of funding to make sure its approach to climate change adaptation is actually realistic (who is going to pay and how). The costs involved in adapting to climate change will be substantial, because it will require proactive measures (not just stopping people doing things).

It would also make sense for a new Climate Change Adaptation Fund to be established and managed under the Future Generations Act, and for funding to be deployed and prioritised in accordance with a spatial plan dealing with adaptation across New Zealand.¹⁴⁰ This could be similar to the Natural Disaster Fund administered by the Earthquake Commission, but would be deployed in a more pre-emptive way to promote resilience and avoid risk rather than respond to it.¹⁴¹ One potential model could be akin to that under the Land Transport Management Act, where regional land transport plans prioritise projects, inform a national land transport programme, and seek money from a national land transport fund. Prioritisation would then be both bottom up and top down.

On balance, we would prefer a stronger relationship between futures strategies/spatial plans and other planning frameworks (eg to give effect to *unless there are good reasons not to*). Emissions reduction and adaptation plans within a futures strategy could not be *absolutely* binding, as that would run the risk of upsetting other carefully designed statutory schemes (such as the RMA, which also provides safeguards to protect local environments).¹⁴² In short, we cannot forget other aspects of the environment in the rush to address climate change. For example, it may be challenging to simply “deem” adaptation aspects of a futures strategy to be national direction under the RMA. Preferable would be a direction that an integrated NEP under the RMA had to give effect to the strategy as a whole, unless good reasons existed not to.

However, if a broader legislative reform programme took place (eg strengthening the RMA itself, including by requiring mitigation and adaptation measures as part of an NEP), then there may be a case for a weaker direction (“have particular regard to”). In that case, a futures strategy would be more about *aligning* other frameworks rather than trying to fill in gaps or inherent deficiencies in them (as would be the case under the present RMA).¹⁴³ We leave that question open for now.

Something that is not currently provided for in the Zero Carbon Bill, but would in our minds be a useful addition, is for *regional* futures strategies to also subsume emissions reduction and adaptation elements. After all, communities and their representatives can make meaningful contributions alongside top down efforts. Some local efforts have already been made, and internationally this level of government tends to be a leader on climate action.¹⁴⁴

As described earlier, national and regional futures strategies would be accompanied by spatial plans. While the current proposals for emissions reduction and adaptation plans are not explicitly spatial in nature, they will have significant spatial implications. For example, as a country we need to decide where different kinds of trees should and should not go, and where people can and cannot do different forms of development in light of sea level rise and climate-induced hazards. Rural land use change will be vital to achieving targets, but needs to be done in a way that embraces policy synergies rather than trade-offs.¹⁴⁵ This link between strategic planning and its spatial expression will therefore be useful.

We see potential for the “strategic” elements of climate change legislation, currently in the Zero Carbon Bill, to be integrated into a Future Generations Act. Proposed emissions reduction plans and adaptation plans would be integrated into a National Futures Strategy and expressed in its associated spatial plan.

A Future Generations Act – having a system-spanning purpose embracing firm biophysical bottom lines (including principles/duties for government action), and under which integrated national and regional strategies and spatial plans are produced – provides a comfortable home for climate strategy to be developed and expressed. We therefore suggest several further measures to integrate the Bill into a Future Generations Act. First, a strengthened purpose we have previously recommended for the Climate Change Response Act could be integrated into the purpose of this broader Act. As we have said previously:

the current proposal in the Bill for changing the purpose of the Climate Change Response Act lacks aspiration, and does not reflect the ambition inherent in the net zero target and the title of the amendment bill itself. We recommend that it be strengthened (eg that the purpose is to achieve a climate neutral society and economy by 2050, not just to implement New Zealand's international obligations), and broadened to include the very significant climate change adaptation content that is being inserted into the primary legislation. Currently, amendments proposed to the Act's purpose are limited to mitigation.

Furthermore, the general set of public decision-making principles that we have previously recommended be added to the Bill should instead be integrated into the wider set of principles and duties we talked about earlier for the Future Generations Act. We have previously said, in the climate context, that:

These would have to be taken into account in all public decision-making. This reflects that climate change is an important consideration in a wide range of other more specific statutory frameworks (eg transport, resource management, local government) and government decision-making more generally (eg investment choices, internal policies and procedures) even if there are no accompanying regulations to bind

people directly. Principles could include the desirability of near zero gross carbon dioxide emissions,¹⁴⁶ net zero biogenic methane emissions,¹⁴⁷ the importance of maintaining and enhancing other aspects of the natural environment at the same time as mitigating and adapting to climate change, environmental, economic and social resilience, and precaution. [To this list we would add the desirability of pursuing negative emissions technologies].

...

[The Commission] could usefully be required to comment not just on progress against percentage targets and integrity of budgets, but also on extent to which government policies (across many different portfolios) are reflecting broader decision-making principles under the Act.

This reinforces the earlier, broader idea of a Futures Commission reviewing government performance against a high level set of principles/duties and providing a form of scorecard, which would include consideration of climate change-focused principles.

We also see a case for embedding the target and budget setting and review process within the framework of a National Futures Strategy, albeit along much the same lines that is currently proposed. The setting of a long-term 2050 target, and structured stepping-stones (budgets) for getting there, are crucial framework features for addressing New Zealand's greenhouse gas emissions. Legislative targets help to outline clear end points in order to achieve a stable, predictable policy and therefore investment landscape for business, government, and the public.

A strengthened purpose and principles for climate change, and the target and budget setting/review process, could be integrated into the Future Generations Act framework.

We consider that the government should retain the final decisions on carbon budgets, given that there are still many value-based judgments to be made about *how* we reach targets over time. That is what an elected government is for. However, we see a case for stronger enforcement mechanisms here. Currently, targets and budgets, and related duties (eg the duty of the Minister to ensure net budget emissions do not exceed the emissions budget)

lack legal enforceability. There is no mechanism to enforce failures in court, only a proposed declaratory jurisdiction. The only financial consequence provided in the Bill is the award of costs. We see room for that to change.

One option would be an appeal pathway whereby the courts cannot direct the government to act in a specific way, but are empowered to direct the government to put in place measures that would achieve the target or meet a budget. There is already a specific process provided for in the Bill for targets to be amended and budgets to be borrowed and banked, and to us that provides a comprehensive list of reasons around when flexibility is acceptable. If none of those reasons applied, why would we *not* provide for meaningful enforcement action to be taken for failure to achieve an extremely clear and specific (even numerically measured!) outcome?

Ultimately, climate change targets are specifically legislated by Parliament. As a matter of hard law, not quasi-legal policy or ministerial discretion, we can therefore expect the government to meet targets (and adhere to the budgets that it has, itself, seen as necessary to achieve them). It is not a radical constitutional proposition to expect the Crown to comply with the law and for there to be meaningful consequences if it did not. The novel aspect is that targets would be legislated to begin with, and (despite ongoing disagreement about the specifics), that no longer appears a controversial approach.

Therefore, while a review and scorecard role for the Commission would be important to raise public awareness of the government's performance so New Zealanders can take that to the polls, elections are not an effective means of enforcing a failure to meet environmental obligations of constitutional significance. Many different issues – health, education, welfare etc – need to be weighed at elections, and they will always be at risk of reflecting shorter-term priorities or fluctuating over time.

We see room for stronger enforcement mechanisms for a failure to achieve climate change targets and budgets.

In the short to medium term, we would not anticipate significant institutional change to what is currently proposed. The Climate Change Commission would be established as an independent Crown entity and exercise its proposed functions. We do not wish to upset the apple cart too much as this valuable step forward beds in. There are significant benefits in having a robustly independent, science-focused institution to provide advice and act as a watchdog and accountability mechanism alongside an elected government making policy decisions. The model encourages transparency, is likely to provide greater stability in climate policy across governments, and helps to depoliticise the climate change issue.

However, this logic applies across the whole resource management system, and is reflected in our proposal for a broader Futures Commission. In the longer-term, therefore, it would make some sense to integrate the Climate Change Commission in some way with a Futures

Commission (eg as a branch) while retaining targeted roles within it (eg in relation to budgets and targets). Emissions reduction plans and adaptation plans, as part of a wider futures strategy, may well benefit from having a broader range of independent input from a Futures Commission (eg to embrace synergies between emissions reduction measures and the enhancement of indigenous biodiversity). While we understand that there are advantages and disadvantages of maximising independence (eg a parliamentary office) and keeping reasonably close connections with government (eg a Crown entity), we ultimately see an integrated Futures Commission as the former.

Irrespective of its institutional form, the Commission could also have a wider role than as just an independent advisor and watchdog. It could be tasked with advocacy (even initiating proceedings for a failure to achieve targets/budgets), be an institutional repository and public-facing source of information, and be a source of assistance and advice for other groups engaged in climate change mitigation and adaptation (eg community groups, or local government).

In the longer-term, we would suggest giving close consideration to integrating the Climate Change Commission into a broader framework of a Futures Commission.

Overall, the benefits of addressing climate change in a broad Future Generations Act would be threefold. First, it would ensure that climate change considerations permeate the highest levels of connected decision-making in the system (rather than being treated in a silo, which would be the case even if the currently vague connections between frameworks were to be strengthened).

Secondly, it would ensure that climate change strategy has reasonably clear pathways to implementation in other frameworks (eg the RMA and other statutes, as well as the Climate Change Response Act). There would be an express legal link between a futures strategy and implementation statutes, even if that were not absolute. It would need to be accompanied by a wider legislative reform programme (eg to fix the climate components of the RMA).

Thirdly, it would ensure that potential synergies between climate change outcomes and other outcomes are identified and pursued. Rather than pursuing climate change outcomes at the expense of wider environmental benefits, there may be ways in which they can mutually reinforce each other when a long-term view is taken. There are many potential synergies to embrace here. For example, we could see the widespread regeneration of indigenous vegetation rather than carpeting the landscape with a monoculture of *Pinus radiata*.¹⁴⁸

While it would not be the direct concern of the Future Generations Act itself, from a broader strategic perspective it would also be important for other "implementation" statutes to be reviewed as part of

system reform. That would involve many laws, and we do not attempt that exercise here. One important measure would be for the purposes and principles of a wide range of legislation to be brought into line with climate change imperatives. That is not as simplistic as simply saying

that a Future Generations Act “overrides” another act, as targeted frameworks will have their own delicate balance of norms to be implemented. But climate change should be integrated into almost all of them in some shape or form. We consider the case of the RMA below.

A spotlight on climate change and other frameworks

Climate change mitigation needs to be much better embedded in the RMA. We have touched on this already in Chapters 6–8. Since amendments in 2004, local government has been expressly prohibited from considering the effects of activities on climate change.¹⁴⁹ The courts have interpreted this in an expansive way.¹⁵⁰ However, the idea was that climate action would need to happen consistently at a national level – not that it would be excluded from the RMA entirely – so there remains potential in the Act for central government to promulgate national direction.¹⁵¹ Unfortunately (like a lot of expected national direction), that has not been forthcoming, and since 2004 reliance has been placed almost exclusively on a carbon price through the emissions trading scheme.

We suggest that a reformed system would need to see the insertion of climate change mitigation into Part 2 of the RMA, an obligation for the government to provide for mitigation measures in an NEP, and the removal of the Act’s decision-making restrictions on local government. At present, the Zero Carbon Bill provides generally that targets and budgets are able to be considered under other frameworks, but under the RMA (for local government, at least) they explicitly *cannot* be considered.¹⁵² This will create an anomalous situation that requires urgent reconsideration.

One of the key rationales for the RMA restrictions on local government jurisdiction was that there was no national level plan/policy in place to create consistency between regions or districts.¹⁵³ With targets, budgets, and emissions reduction plans (as part of a National Futures Strategy), that will no longer be the case. Furthermore, there has never been good justification for preventing consideration of climate change in matters of urban design and broader land use change (eg a compact urban form).

It is also of concern that many decision-making frameworks that have potentially significant bearing on climate change do not require its consideration. We see potential in revamping the purpose, principles or decision-making criteria in a range of statutes, including the Environment Act, State Sector Act,¹⁵⁴ Land Transport Management Act, Local Government Act, Public Finance Act, various pieces of conservation legislation and others to more strongly reflect climate change concerns.

Questions for discussion:

- What changes need to be made to proposed Zero Carbon legislation?
- Should climate change be integrated into a Future Generations Act and strategic/spatial planning under it?

9.10 Concluding comments

In this chapter we have considered the potential role of a Future Generations Act in a reformed system. We would envisage this having two roles. The first is to provide an overarching set of principles/duties to guide all forms of public decision-making, to ensure that cross-cutting considerations are considered in all places where it counts. No longer can we afford to treat many environmental matters as the sole preserve of “environmental” (ie restrictive) frameworks like the RMA. They need to infuse all aspects of public (and corporate) decision-making if we are to make improvements and pursue synergies. The second role of the Act would be to establish a framework for strategic and spatial planning at national and regional (and potentially cross-regional) levels. We have also floated the idea of integrating climate change reforms more closely into a Future Generations Act, recognising that this will be core to integrated

and meaningful strategy spanning the whole resource management system.

Thus a Future Generations Act would be intended to percolate down into multiple layers of more targeted decision-making. The RMA would be one, and we have investigated that in Chapters 6–8. Yet there would be many others. In particular, regional spatial planning would be key to coordinating land use planning in the RMA with infrastructure planning and funding, especially in areas experiencing rapid urban growth. We look at aspects of infrastructure – and the built environment more broadly – in the following chapter.



ENDNOTES

- 1 For example, in legislation focused on waste, hazardous substances, biosecurity, conservation, oceans, etc.
- 2 For example, separate legislation focused on infrastructure and urban development.
- 3 For example, in the internal structures of wide ranging government departments, and the narrower focus on drinking water in recent reform proposals (see *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 4 The draft terms of reference of the review group includes key interactions with climate change, local government and infrastructure legislation.
- 5 See <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 6 Or a single integrated Local Government and Infrastructure Act.
- 7 See <www.mfe.govt.nz/rma/improving-our-resource-management-system>
- 8 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 97.
- 9 In that an authorisation obtained under other acts (eg conservation concessions, mining permits) does not usually remove the need to obtain RMA permissions.
- 10 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 46; World Economic Forum *The global risks report 2018* (World Economic Forum, 2018); J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011).
- 11 Future generations encompass both people and nature.
- 12 Canadian Environmental Protection Act 1999, preamble.
- 13 Although that is something that could develop in parallel.
- 14 Compare Ecuadorian Constitution, art 71.
- 15 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 231. See generally C Iorns Magallanes "From rights to responsibilities using legal personhood and guardianship for rivers" in B Martin, L Te Aho and M Humphries-Kil (eds) *ResponAbility: Law and governance for living well with the Earth* (Routledge, 2018).
- 16 The Act could, for example, provide mechanisms to clarify expectations of how Crown and Māori would work together under other frameworks.
- 17 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 5.
- 18 Ibid at 125. On the durability (or not) of legislative frameworks, see G Palmer "Law-making in New Zealand: Is there a better way?" (2014) 22 *Waikato Law Review* 1 at 3.
- 19 See Simpson Grierson *The statutory framework of New Zealand's local government sector: Is the key legislation working properly?* (Simpson Grierson, 2016); New Zealand Productivity Commission *Better urban planning* (2017) at 93 and 94; New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 44; Legislative Design and Advisory Committee *Legislation guidelines: 2018 edition* (2018) at 10.
- 20 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 21 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 125, 224.
- 22 See Chapter 10.
- 23 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 225. See also See also C Smith *Treasury living standards dashboard: Monitoring intergenerational wellbeing* (2018); Treasury and Statistics New Zealand *Indicators Aotearoa New Zealand* (2018).
- 24 See H Rutherford "NZ Super Fund to cut fossil fuels, makes 'fundamental shift' to prepare for climate change" *Stuff* (19 October 2016) <www.stuff.co.nz>
- 25 For example, in the concept of a wellbeing budget and associated living standards framework.
- 26 <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12244139>
- 27 Well-being of Future Generations (Wales) Act 2015 (UK), ss 2, 3(1).
- 28 For example, a decision to invest in electric vehicle infrastructure.
- 29 For example, this would be relevant in terms of allocative outcomes and who should bear the cost of restoration action.
- 30 For example, Resource Management Act 1991, s 104(1)(c).
- 31 Rather than relying on cross-referencing to the Crown Pastoral Land Act 1998.
- 32 The threshold for what is "unreasonable" is relatively high in administrative law terms, however.
- 33 For example, the "Natural Resources Sector" grouping of agencies.
- 34 New Zealand Productivity Commission *Better urban planning* (2017) at 393.
- 35 Ibid at 51.
- 36 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 169.
- 37 On the importance of formality of creation for durability, see *ibid* at 171.
- 38 A Futures Group would be given a statutorily defined mandate.
- 39 See <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=12244139>
- 40 <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 41 Ibid.
- 42 On reasons for institutional independence (including to enhance accountability of other institutions), see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 165. Compare New Zealand Productivity Commission *Better urban planning* (2017) at 51.
- 43 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 175.
- 44 New Zealand Bill of Rights Act 1990.
- 45 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 286; Resource Management Act 1991, s 36AA.
- 46 On the need for more robust evaluation of public authorities' performance (including in relation to enforcement), see MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 197.
- 47 See *ibid* at 184; G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 237.
- 48 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 286. On shortcomings in enforcement, see MA Brown *Last line of defence: compliance monitoring and enforcement of New Zealand's environmental law* (EDS, 2017); MA Brown *Independent analysis of the 2017/2018 compliance monitoring and enforcement metrics for the regional sector* (The Catalyst Group, 2018).
- 49 However, much would depend on other incentives faced by councils in making decisions, including the particular concerns of their constituents.
- 50 See *Indicators Aotearoa New Zealand – Ngā Tūtohu Aotearoa* at <www.stats.govt.nz>
- 51 See Environment Act 1986, s 16.
- 52 See generally G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 170.
- 53 And potentially general duties on local authorities to monitor and report on the state of the environment under the RMA, as well as additional monitoring obligations imposed under national direction.
- 54 Depending on its institutional form.
- 55 Compare MA Brown "Compliance, monitoring, enforcement and evaluation" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 196.
- 56 <www.nzherald.co.nz/nz/news/article.cfm?c_id=1&objectid=11745529>
- 57 Well-being of Future Generations (Wales) Act 2015 (UK), s 4.
- 58 Such a duty would apply to all people.
- 59 See generally C Iorns Magallanes "From rights to responsibilities using legal personhood and guardianship for rivers" in B Martin, L Te Aho and M Humphries-Kil (eds) *ResponAbility: Law and governance for living well with the Earth* (Routledge, 2018).
- 60 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 105.
- 61 *Queenstown Central v Queenstown Lakes District Council* [2013] NZHC 815, [2013] NZRMA 239 at [79].
- 62 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 107, ch 13.
- 63 Compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 39; I Carlan "The Resource Management Act through external eyes" (2007) 11 *NZJEL* 181.
- 64 See Biosecurity Act 1993, s 73(5).
- 65 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 12; MA Brown *Banking on biodiversity* (EDS, 2017); Local Government New Zealand *Biodiversity offsetting under the Resource Management Act* (2018).
- 66 Resource Management Act 1991, s2 229-230.
- 67 Companies Act 1993, pt 8.
- 68 See J Diamond *Collapse: How societies choose to fail or survive* (Penguin, 2011).
- 69 Compare the spatial planning regime envisaged in New Zealand Productivity Commission *Better urban planning* (2017).
- 70 Many strategic documents are produced under the current system in a fairly fragmented way. For example, we have a Biodiversity Strategy, Government Tourism Strategy, Energy Efficiency and Conservation Strategy and Energy Strategy, Waste Strategy, and so forth. Specific agencies also have multiple strategies (eg the Housing New Zealand Environment Strategy).

- 71 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 35.
- 72 Ibid.
- 73 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 226.
- 74 Ibid.
- 75 For example, in the "golden triangle" of growth between Auckland, Hamilton and Tauranga.
- 76 Compare the regional spatial strategies envisaged for purely urban matters in New Zealand Productivity Commission *Better urban planning* (2017).
- 77 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 37.
- 78 Ibid, at 35.
- 79 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 222.
- 80 This goes to the broader question of how local government is funded, which we are continuing to give thought to.
- 81 For example, funding for the Department of Conservation, or funding for roads of national significance.
- 82 Local Government (Auckland Transitional Provisions) Act 2010, s 145(2). Compare also the Sea Change – Tai Timu Tai Pari Hauraki Gulf marine spatial plan (2017), where the relationship with more formal legal instruments was unclear (see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 227).
- 83 For example, they would be specifically identified as bottom lines, rather than matters that could be traded off.
- 84 Compare Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 35.
- 85 See <<https://ssc.govt.nz/resources/changes-state-sector-act-1988/>>
- 86 Including under an NEP.
- 87 Rather than a single standing group, it could be a matter of developing alongside iwi and hapū at a regional or sub-regional level.
- 88 Again, this kind of role highlights to us the eventual desirability of integrating various independent watchdog or advisory institutions (existing and proposed), including the Parliamentary Commissioner for the Environment, Climate Change Commission, and Chief Freshwater Commissioner.
- 89 There is a question here over what would happen if no agreement could be reached, and the potential role of central government or the courts.
- 90 Environmental reporting Act 2015.
- 91 This has been the focus of the NPS on Urban Development Capacity under the RMA, which in turn has been driven primarily by concerns around housing supply (and therefore affordability).
- 92 On city deals, see < www.newsroom.co.nz/2018/03/06/94600/government-lukewarm-on-wellington-city-deal#>
- 93 That may still require novel mechanisms to implement (for example, the idea of a new legal category of a "heritage park").
- 94 Consistency is desirable, but one can also imagine conflicts that could arise (for example, if the government wished to provide for more renewable generation in particular parts of the country, but local government preferred to maintain local landscape or amenity values). That may be resolved in part by providing a clearer definition of subsidiarity, and the appropriate roles of central and local government, as suggested earlier in the context of the RMA.
- 95 Who funds what, and how, is a more systemic question that we continuing to give thought to. The point here is that respective funding commitments need to closely inform the development of spatial plans. On proposals to change the funding arrangements of local government, see New Zealand Productivity Commission *Local government funding and financing* (draft report, 2019); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 15; Local Government New Zealand *Reinvigorating local democracy: The case for localising power and decision-making to councils and communities* (2019).
- 96 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 268.
- 97 Ibid at 187.
- 98 For example, in relation to transport infrastructure funding in Auckland and Wellington, and projects funded by the Housing Infrastructure Fund and Provincial Growth Fund.
- 99 Resource Management Act 1991, s 60.
- 100 See <<http://greaterchristchurch.org.nz/projects/strategy/>>
- 101 This choice will need to be cognisant of impacts on Treaty settlement legislation. For example, the Vision and Strategy relating to the Waikato River under the Waikato-Tainui Raupatu Claims (Waikato River) Settlement Act 2010 is deemed to form part of the regional policy statement. If that were morphed into a wider ranging strategy with less direct legal influence on subordinate plans, it may cause problems. Treaty settlements must be upheld in a future system.
- 102 See Chapter 6.
- 103 See generally New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 104 Hei Awarua ki te Oranga.
- 105 One objective talks about the need for "coordinated and aligned planning decisions within and across local authority boundaries". The government has proposed to make that more explicit in terms of alignment with infrastructure, and for authorities to be "strongly encouraged to work together" (New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019) at 52). We can compare the general (and somewhat hopeful) direction in the RMA itself (Resource Management Act 1991, s 66) to "take into account management plans and strategies prepared under other acts".
- 106 Local Government Act, s 15.
- 107 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) 35, 9.
- 108 <www.stuff.co.nz/national/115277636/councillor-questions-city-councils-funding-streams-for-64-billion-transport-programme>
- 109 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 36.
- 110 See Chapter 10.
- 111 On attempts to define "quality urban environments", see New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 112 New Zealand Productivity Commission *Local government funding and financing* (draft report, 2019).
- 113 See Local Government New Zealand *Reinvigorating local democracy: The case for localising power and decision-making to councils and communities* (2019).
- 114 See generally Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 15-18.
- 115 Proposed national direction on urban development is designed to target good quality urban densification: see New Zealand Government *Planning for successful cities: A discussion document on a proposed National Policy Statement on Urban Development* (2019).
- 116 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 34.
- 117 Compare G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123.
- 118 International visitor arrivals are forecast to increase to 4.9 million in 2023, with an average growth rate of 4.8 per cent per year: Ministry of Business, Innovation and Employment *New Zealand tourism forecasts 2017–2023* (MBIE, 2017).
- 119 Occasionally there have been "carrot" based incentives to distribute population more evenly, but they have ultimately had little effect. On population policy, see N Jackson "Does New Zealand need a population policy" (Plenary presentation to the Biennial Population Association of New Zealand Conference, Wellington, June 2013).
- 120 New Zealand's total population is projected to reach 5.8 million in 2038, with an average increase of 1.1 per cent per annum (using Statistics New Zealand medium projections). See Statistics New Zealand *Estimates and projections* (February 2018).
- 121 <www.hud.govt.nz/urban-development/urban-growth-agenda/>
- 122 For example, whether aquaculture in Fiordland should be allowed.
- 123 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 178.
- 124 Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019) at 37.
- 125 For example, in the Muldoon era of "think big" projects.
- 126 See Chapter 10.
- 127 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 172-173, 180, 276.
- 128 Ibid at 276.
- 129 These acts already contain some general environmentally focused principles, but they could be more directive (see ibid at 180). For example, creating vertical and rooftop green areas, requiring solar panels or using wetlands to filter stormwater, providing benefits for biodiversity, water quality, amenity, open space, natural hazard resilience and other things. See generally City of Melbourne *Green our city strategic action plan 2017-2021* (2017).
- 130 That is not to say that no reforms would be desirable. For one, it would benefit from a stronger purpose statement.
- 131 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 47.
- 132 <www.mfe.govt.nz/climate-change/zero-carbon-amendment-bill>
- 133 At the time of writing, the Bill takes a "two baskets" approach (essentially, different targets for longer-lived carbon dioxide and shorter-lived biogenic methane). There is a net zero target (by 2050) provided for all greenhouse gases other than biogenic methane. For biogenic methane, the target is a gross one, and in two stages: 10 percent less by 2030 (than a 2017 benchmark) and a range of 24 to 47 percent less by 2050 (again, from a 2017 benchmark).

- 134 Treating methane differently in targets is not necessarily a “free pass” for the agricultural sector. It depends on how the difference is expressed, and value judgements about what is fair. See generally <www.newsroom.co.nz/2019/07/05/667804/lighter-methane-target-for-farmers-a-question-of-equity-not-science-report>
- 135 Under the reforms floated in this working paper, the RMA would have a much stronger focus on climate change.
- 136 There is provision in the bill to have sector-specific elements to emissions reduction plans.
- 137 For example, “take full and balanced account of” is the language used in the Environment Act 1986.
- 138 To the extent that regional policy statements would remain separate to regional futures strategies and spatial plans.
- 139 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 109, where we shone a spotlight on the Kāpiti experience with coastal hazard lines. See also R Peart *Castles in the sand: What’s happening to the New Zealand coast?* (Craig Potton Publishing, 2009) at 174; *Coastal Ratepayers United Inc v Kāpiti Coast District Council* [2017] NZHC 2933 at [8]; *Kāpiti Coast District Council v Coastal Ratepayers United Inc* [2013] NZHC 3516.
- 140 The scale of investment that will be required will be enormous, given that billions of dollars of assets and tens of thousands of people are at risk. New funding mechanisms will likely be needed: see J Boston and J Lawrence *The case for new climate change adaptation funding instruments* (Institute for Governance and Policy Studies and New Zealand Climate Change Research Institute, 2017).
- 141 Questions would need to be answered as to what it would cover: for example, would it be used to compensate landowners for reduction in property values due to the identification of hazard zones?
- 142 Under some quite targeted acts it may be necessary to specifically “give effect” to the climate related elements of a futures strategy. A prime example would be the emissions trading scheme under the Climate Change Response Act, which would (due to the somewhat independent nature of the emissions trading scheme as a market-based tool) remain a separate act.
- 143 Alignment between other frameworks would be a key reason for spatial planning in the context of urban growth.
- 144 For example, switching to electric buses in public transport systems. Many councils have climate change strategies developed under the Local Government Act despite limitations in the tools they can use (eg under the RMA).
- 145 For example, the co-benefits of having a sensible mix of indigenous and exotic planting (and appropriate harvesting techniques) include improved water quality, the stabilisation of riverbanks, improvement of soils, habitats and biodiversity and improved visual amenity.
- 146 The law requires some mechanism to drive society to low or zero-carbon alternatives, not just a net zero carbon economy characterised by endless tree planting. Carbon sinks are not a permanent solution, especially given other pressures on land use that may be required (such as for food production, landscape protection, and urban development). Even “permanent” forest sinks can disappear – they can burn down, or (especially if they are monoculture) may be susceptible to disease.
- 147 Generally compare the “landscape” scale approach to climate change mitigation, described by the Parliamentary Commissioner for the Environment in *Farms, forests and fossil fuels: The next great landscape transformation* (2019). If we relied only on the targets proposed in the Bill as it stands, there would in 2050 still be considerable climate risk from remaining methane emissions that were not required or even encouraged to be offset by equivalent removals of CO₂.
- 148 The benefit of pine trees for the climate is that they are extremely fast in taking up carbon dioxide in the short term (they grow rapidly), but if a longer-term view is taken of outcomes then indigenous species can be equally effective.
- 149 Resource Management (Energy and Climate Change) Amendment Act 2004, pt 2.
- 150 See *Greenpeace New Zealand Inc v Genesis Power Ltd* [2008] NZSC 112, [2009] 1 NZLR 730 at [49]; *West Coast ENT Inc v Buller Coal Ltd* [2013] NZSC 87, [2014] 1 NZLR 32.
- 151 In the form of an NES (the ability to promulgate an NPS is less clear). See generally G Severinsen “Climate change considerations under the Resource Management Act: A barrier to carbon capture and storage deployment in New Zealand?” (2014) 22 Waikato Law Review 117.
- 152 Resource Management Act 1991, ss 70A and 104E.
- 153 See generally *Environmental Defence Soc Inc v Auckland Regional Council* [2002] NZRMA 492 (EnvC); *Environmental Defence Society Inc v Taranaki Regional Council* EnvC Auckland A184/02, 6 September 2002.
- 154 And any new successor act (for example, a proposed Public Service Act).

10. OTHER LEGISLATION FOR THE “BUILT” OR “URBAN” ENVIRONMENT

10.1 Introduction

In Chapter 6, we recommended retaining the basic framework of the RMA at the core of a future system. We would not have separate statutes for the “environment” and “planning”, land use, or the “built/urban” environment. However, we also recognised that the RMA is not currently fit for purpose in addressing resource management issues that arise in urban areas, especially where they are fast growing. For example, there is a lack of coordination between frameworks for land use and infrastructure provision; the planning framework is not agile enough; there are insufficient independent checks and balances on democratic decision-making (which can favour existing residents over future ones); and there are few normative “hooks” in the RMA’s purpose and principles for good urban planning and design. We have addressed some of these things above through proposed reforms to the RMA itself (Part 2, the planning process, and institutional changes) and the introduction of regional level spatial planning under a Future Generations Act.

However, as has been foreshadowed, the RMA and strategic legislation would not be the only places in which urban or built resource management issues would be managed. In particular, urban areas are hotspots for the provision of public goods (especially expensive infrastructure).¹ We have identified that as one of the seven core roles that we think a future

system will need to perform. Crucial to this is the provision of transport and “three waters” infrastructure and services, currently performed under the Local Government Act and Land Transport Management Act. While we are not proposing the privatisation of public goods/services,² or the nationalisation of private ones, we see some room for change.

In the previous chapter, we mentioned the longer-term measure of potentially integrating the Local Government Act with the Land Transport Management Act (to form a single Local Government and Infrastructure Act), within which any changes to three waters service delivery could then comfortably be incorporated (instead of a bespoke Water Services Act). That would make for fewer inter-statutory connections. Thus while it would be unfeasible to divorce the local planning of infrastructure (in an Infrastructure Act) from the frameworks under which it is funded (a Local Government Act),³ it does not seem beyond the pale to have a purpose and principles that encompass both the general role of councils and infrastructure provision intimately connected to how local communities function (even if there were to be stronger roles for central government than at present).⁴ The broader focus of councils on community wellbeing (recently inserted back into the Local Government Act) – not just core infrastructure – would remain in an integrated Act.⁵



Northwest motorway, Auckland

Of course, reorganising things into one statute does not resolve the question of how to integrate or connect what may remain quite separate processes (eg for long-term plans and regional land transport plans), but it may make connections easier. Thus we also touched upon the need to align these acts' processes and timeframes more closely with each other and with those in the RMA (as well as taking an integrated approach to community consultation under different regimes).⁶ It would also be desirable to revisit the purposes and principles of "development" focused legislation to strengthen environmental and climate change considerations within them.⁷ For example, when Auckland's freight is projected to increase by 78 per cent over the next 30 years,⁸ it highlights the importance of making smart decisions about what kinds of public infrastructure we will be locking in.

We also parked for further consideration the question of how infrastructure (and local government more broadly) is funded under these and related statutes.⁹ The challenges on this front are enormous. As we have previously pointed out:¹⁰

waste-water upgrades needed to give effect to the NPS for Freshwater Management have been estimated to cost \$1.4–\$2.1 billion, with ongoing operating costs at \$60–\$90 million.¹¹ Measures to ensure compliance with drinking water standards have been predicted to be \$305–\$567 million.¹² In 2014, the Auditor General pointed out that by 2022 the gap between local government expenditure on the renewal of assets and depreciation could be between \$6 billion and \$7 billion.

We are continuing to consider funding, but see a case for expanding the tools available to local government.¹³ That includes where there are significant local tourism pressures and urban growth (eg a tourist levy is a desirable measure),¹⁴ but also to potentially free up funding (and related institutional incentives) from over-reliance on land-based rates.¹⁵ The question of who pays – and what is fair – is intimately linked to the funding tools used. In the Phase 1 report, we pointed out that:

there can be strong political incentives on councils not to increase rates, especially if they are being used to service new development and the benefits are not apparent to existing residents who are paying for it (and who are the ones voting in local elections).¹⁶ This is not necessarily an inappropriate incentive; it is arguably unfair to expect existing residents to pay a huge amount more in the short term to benefit new residents. But it can lead to an institutional bias in councils against growth, and therefore resistance to the timely and proactive provision of serviced land for residential development. It can be a disincentive to supply the development capacity that in high growth areas is needed to support affordable urban housing.¹⁷

There are related institutional questions to be considered here too, which we are continuing to give thought to. Should transport continue to be planned and funded at multiple levels of government, or should it be regionalised? And should it be planned and/or funded at arm's-length

of councils, through, for example, regional or local council controlled-organisations?¹⁸ What tools can we use to manage demand – eg congestion pricing? And what are the implications of both driverless and electric vehicles for public transport and urban design? The answers to these questions depend on how we see the Local Government Act and Land Transport Management Act (or a combined act) operating in the future.

Other resource management legislation also exists that shapes or influences the urban or built environment. There is the Building Act (and Code), and heritage legislation (although that is not just about "built" aspects of heritage).¹⁹ Again, our thinking is ongoing here, and we welcome any perspectives on reform options. Our general sense is that more could be done to integrate or rationalise various heritage protection measures and processes under the RMA (eg district plans and heritage protection orders) and dedicated heritage legislation (heritage listing and archaeological sites), and that the Building Act could be much better utilised to provide for positive environmental outcomes while remaining a standalone framework.²⁰ As we have previously noted, "construction standards relating to energy efficiency, carbon neutrality, recycled materials, green infrastructure and living rooftops are crucial to the pursuit of environmental enhancement rather than just the mitigation of adverse effects."²¹ There could also be some mechanism by which consenting under the RMA and Building Act happened in a more integrated manner.

To complete the picture of "built" legislation, we also now have a proposal for a separate Water Services Act (which is currently seen to be mainly about regulating drinking water quality, but which also seems to be preparing a statutory home for future changes to water infrastructure and service delivery).²² Furthermore, we have a legislative proposal for urban development authorities (Kāinga Ora – Homes and Communities), and separate legislation pending to set up an arm's-length Infrastructure Commission. Such a Commission makes a great deal of sense. Purely in terms of legislative design, there may be merit in folding it into an integrated Local Government and Infrastructure Act, were that to happen.

We are continuing to give thought to various aspects of reform relating to the built environment. Key to that will be how infrastructure is funded (including the local government funding model more broadly), who makes decisions on infrastructure like transport, and how we approach elements relating to construction and heritage. We have also floated the idea of eventually integrating the Local Government Act and Land Transport Management Act into a single statute.

While there are a number of areas still to be explored in the final report, in this working paper we wish to turn briefly to two areas of reform in the built environment. The first relates to institutional arrangements for three waters service delivery, and the second relates to the concept of urban development authorities.

10.2 Three waters reform

The “three waters” refer to three particularly important ways in which water is actively managed and delivered for the public good:²³ drinking water (often just referred to as “water”), wastewater, and stormwater. The government is currently undertaking a review into the sector, both in terms of (1) how it is regulated for its health and environmental risks;²⁴ and (2) how services are delivered to people (including related infrastructure such as pipes, pumping stations and treatment plants).

Various proposals have been put forward by the government for more effective regulatory arrangements, and broadly speaking those should be incorporated into a future system. In particular, we suggest that the environmental impacts of water discharges should continue to be managed under a reformed RMA, and that there is a strong case for national standardisation through regulatory provisions in an NEP.²⁵ We should not expect wildly different approaches to wastewater discharges in different parts of the country, in the same way that drinking water standards are consistent.²⁶ The RMA would also continue to apply to the protection of sources of drinking water, under strengthened provisions in an NEP.²⁷ There would also be a dedicated drinking water regulator, with all suppliers covered by nationally consistent drinking water standards.²⁸

Here, though, we are primarily concerned with (2): the institutional and legal framework within which water services and infrastructure are funded and delivered. Those settings are crucial not just for providing public services (getting water where it needs to go), but also for ensuring those services will comply with environmental and health standards (making sure the infrastructure will not fail – for example, to prevent sewage overflow on

our beaches). In fact, adequate funding and institutional incentives here are as crucial as the imposition of clear regulatory bottom lines, since achieving the latter relies on proactive measures (building and maintaining infrastructure) and not just stopping people doing things.²⁹ The enormous costs involved have been highlighted earlier, and the government is continuing to consider that aspect of reform in its three waters review process.³⁰ As we have pointed out previously:³¹

due to political constraints on rates increases and constraints on borrowing, there may be a temptation for some councils to prioritise spending on things the community wants at the expense of the renewal of some kinds of essential infrastructure – notably water infrastructure. Some councils have adopted a “run to fail” approach for underground assets, not investing in upgrades until there are problems (such as sewage overflows or public health problems such as with inadequate treatment of potable water).³²

More specifically, issues include whether we should have national, regional or local providers of water services; whether there should be a separation of regulatory, funding and operational tasks; the degree of subject focus that is appropriate (an institution for all three waters or just drinking water and/or waste-water); and the formality of an institution’s creation (eg multiple CCOs or a formally created Crown entity). We shone a spotlight on institutional arrangements for three waters in the Phase 1 report, and will not cover that ground again here.³³ Instead, we provide a short proposition for reform, and invite feedback on it. Irrespective of institutional form, providers of three waters infrastructure should be required to implement a regional spatial plan in the same way as other entities.³⁴



A spotlight on reforms to three waters service delivery arrangements

In the future, we could see a model for three waters service delivery based on jointly-owned, regional-level council/ Crown controlled organisations.³⁵ In some ways, this would be broadly reflective of the existing Wellington Water model (where councils jointly own a CCO), although it could be compulsory rather than voluntary.³⁶

We do not comment on whether such entities would be asset owning or only asset managing,³⁷ or whether they would encompass the management of stormwater as well as drinking water and wastewater. That question of scope might be something that requires further discussion on a region by region basis, although on balance we suggest that stormwater management and flood control would be more suited to remain with councils.³⁸ Furthermore, “regional” entities would not necessarily have to align with the catchment-based regions of existing regional councils. They could be focused on the boundaries that made sense in the context of service delivery.³⁹

These regional entities would still have a significant degree of accountability to the communities which they serve. They would be publicly owned, and continue to respect the role of local government in the three waters sector.⁴⁰ However, they would be able to achieve efficiencies through economies of scale, would be able to socialise costs across a reasonably wide area,⁴¹ would have a commercial footing (albeit constrained by elements of the public interest),⁴² and would have operational independence. They would recognise that there is not *just* a local community of interest in water services, but also a regional and national one.

We see a balance between independence and accountability as essential here;⁴³ water services are public goods (even if users are charged for them) so decision-makers ultimately need to be answerable to users and communities. The expenditure of public funds also requires strong accountability to those who pay – potentially taxpayers and ratepayers.⁴⁴

However, on the other hand, water utilities require significant independence. This is because, in our view, there are relatively few value judgements here to be made on behalf of communities.⁴⁵ The relevant value judgements really occur when water quality bottom lines are set at the national level.⁴⁶ We should not allow drinking or wastewater standards to imperil people’s health just because they are in one part of the country, and levels of service should also not vary wildly. The point of water providers is then to meet those standards and service expectations. As pointed out in the Phase 1 report, greater independence is valuable where an institution is implementing values rather than setting them.⁴⁷ Provisions relating to CCOs in the Local Government Act could usefully be amended to provide a more specific set of objectives for these institutions.

A key difference with a pure CCO model, however, is that there could be direct involvement by the Crown, as a partner alongside councils. There is value in hybrid institutions where different levels of government come together, rather than in entirely separate institutions that interact (and can conflict) with each other. Furthermore, the model would in one sense reflect the Watercare model, in that a regional CCO’s statement of intent would outline how its activities would contribute to the government’s objectives for water services.



Mangere wastewater treatment plant

The funding model associated with these entities could also be reformed. That would be in two key senses. First, the Crown would be expected to contribute, recognising a national community of interest in the environmental and health outcomes that are influenced by funding and investment in water services. A funding contribution could be linked to, and be proportionate with, representation on the board of the CCO, and targeted to the needs of particular regions. An interesting parallel can be drawn with the membership of catchment boards prior to the local government reforms of the late 1980s, in that these had both locally elected members and appointees of the Crown, and received significant central funding for erosion and flood control works.

Alternatively, Crown involvement could be treated as a stopgap measure until legacy issues (eg failing pipes) or current challenges (eg urban growth or the need for treatment plant upgrades) have been resolved. How long the resolution of such issues would take may vary by region, but they could be significant and ongoing (especially in light of increasing climate change challenges).⁴⁸ All indications are that costs will be formidable.⁴⁹ It might be that, as a country, we simply need to recognise the importance of central government involvement in essential services like water.

Secondly, the ways in which local government is funded, and therefore how it could fund these regional entities, could be reformed. For example, there could be a framework for value uplift capture or a locally levied GST. We have parked this question for further consideration in the wider context of local government funding, and simply add here that it will be significant for three waters services. The effectiveness of local government funding reform and regionalisation through a CCO model *might* mean, however, that the need for direct central government involvement and funding became less important over time.

Alongside the creation of regional CCOs could usefully be the introduction of a unit within the Commerce Commission to act as an economic regulator. Although CCOs are ultimately accountable to councils (and, in this model, also the Crown), an economic oversight role would still be useful to ensure that an adequate⁵⁰ level of investment was being put into the maintenance and development of three waters infrastructure, and that user charges were both fair and sufficient when taking a long-term view.⁵¹ A similar model has been set up in Melbourne, where pricing and investment by multiple state owned but arms-length utilities is overseen by an Essential Industries Commission. Alternatively, the role could be performed by the newly established Infrastructure Commission, or even a focused branch of the Futures Commission.⁵²

At the same time, as with Watercare, the law should prevent the pursuit of profit or the payment of dividends.⁵³ The aim should be to achieve and maintain the safe, reliable and environmentally sustainable provision of water services and, within those constraints, to make services as efficient and affordable for users as possible.

Practically speaking, it might be hoped that this proposition also represents something of a middle ground for reform that local government could be happy with. If regionalisation of local government were to happen in the longer term then regional provision of water services may smooth that pathway.

We see merit in deploying jointly owned CCOs at a regional level for the planning, funding and delivery of three waters infrastructure and services. This could be tweaked by allowing for the Crown to be a partner in these organisations alongside local government. At the same time, there would be an economic regulator with responsibility to ensure that investment levels and pricing were sufficient and fair.

Questions for discussion:

- Is a regional CCO model the right one for three waters services? Should this include stormwater as well as drinking water and waste water?
- What role should there be for the Crown in funding and decision-making?
- Is there a need for an independent economic regulator as well as a dedicated environmental regulator for three waters services?



Constructed stormwater wetland

10.3 Urban development authorities: Kāinga Ora – Homes and Communities

The other aspect of the built or urban environment that we wish to touch on in this chapter is the concept of urban development authorities. The idea is that a single institution (an arm's-length public entity) is empowered to master plan and lead development of a whole area (eg suburb or neighbourhood) in an integrated way. It would, essentially, take on many powers of local government. Once development had been completed, an area would revert to normal settings. Such a measure would usually reflect an urgent need (eg to provide housing), particular physical challenges (eg amalgamating fragmented land

ownership), or a desire to de-risk large scale development for the private sector (by providing a government role in funding and development).

The previous government released a paper proposing bespoke legislation for urban development authorities, under which these institutions would be given significant powers to override RMA instruments, fund and deliver infrastructure, compulsorily acquire land, and deliver development. The current government has gone further and enacted legislation establishing the entity itself, and expanding its role (to include a role as a government landlord as well as a government developer).⁵⁴ However, while a separate bill is expected to actually confer powers on the entity, all indications are (from Cabinet decisions) that those powers will be substantial.⁵⁵

A spotlight on Kāinga Ora – Homes and Communities

Following attempts under the Housing Accords and Special Housing Areas Act 2013 to speed up the release of land and increase supply of residential housing to address affordability issues (through the deployment of housing accords and special housing areas), the Government has established an urban development authority (Kāinga Ora—Homes and Communities) under bespoke legislation.⁵⁶ An independent Crown entity, Kāinga Ora is tasked with delivering urban development and infrastructure projects, particularly the supply of affordable homes.

Further legislation is expected to be introduced later in 2019 which will set out Kāinga Ora's statutory powers.⁵⁷ These are expected to cut across a swathe of RMA processes. Among them will be powers to fast track urban development for large-scale and complex projects, called "specified development projects". Once a specified development project is established, Kāinga Ora will have wide ranging planning and consenting powers in order to achieve pace and scale. Cabinet papers released by the Ministry of Housing and Urban Development⁵⁸ suggest that Kāinga Ora's powers will include the ability to:

- produce a development plan for each specified development project that outlines how the development will be undertaken and set out resource management planning rules
- override, add to, or suspend land use provisions in the district plan, regional plan and regional policy statements
- issue resource consents, and undertake compliance and monitoring of consents
- remove, change or replace, or put in place designations for infrastructure
- act as a heritage protection authority
- plan and fund associated infrastructure

Those Cabinet papers also suggest that Kāinga Ora will have the power to access funding for infrastructure and development activities, reconfigure reserves (certain types, with approval of the Minister of Conservation), acquire private land under the Public Works Act 1981, and suspend, make or amend bylaws.

These are sweeping powers. To some extent, the proposed urban development authority model reflects deficiencies in a broader resource management system that has not provided for timely planning or funding outcomes to facilitate urban growth. It is, in a way, an ambulance at the bottom of the cliff, designed to address the same kinds of housing supply issues that the NPS on Urban Development Capacity and the Auckland Unitary Plan seek to do in a more proactive, systemic – but ultimately slower – way.⁵⁹ However, it is something of a nuclear option, potentially providing an arm's-length public institution wide-ranging powers to override other legislation in pursuing ad hoc strategic development objectives for urban development in a defined area. It will be bound to give effect to a Government Policy Statement on Housing and Urban Development.

We see a role for a spatially targeted urban development authority in a future system,⁶⁰ but subject to robust constraints. Its value is, to us, primarily in land aggregation

powers, the ability to make decisions under different statutes concurrently rather than sequentially, and as a way for the government to get its hands dirty in the actual development (and funding) of urban areas for public benefit.⁶¹ It is not to weaken environmental protections in (1) the interests of a vague and politically defined notion of strategic objectives, or (2) through ministerial creation of a Government Policy Statement that then needs to be given effect to by a Crown entity having substantial powers under the RMA. Furthermore, we would envisage that it would be largely a sleeping framework, only being used in exceptional circumstances. Other reforms, including a legally meaningful spatial planning framework and more agile planning mechanisms under the RMA, would mean that such measures would – hopefully – seldom be needed.⁶² Suggestions for reform here are, therefore, less about proposing something novel than they are about curtailing an existing proposal in light of other reforms. That would be necessary to integrate it into a preferred model.

An urban development authority is an arm's-length public entity that would be responsible for planning, funding and delivering urban development within a spatially defined area. The government has now enacted a bespoke legislative framework to create this entity (Kāinga Ora – Homes and Communities) and define its general roles, but has yet to legislate its specific powers to override other statutes. We see a role for this entity in a future system, but subject to robust constraints.

Below, in Figure 10.1, we outline the concerns we have, which relate primarily to proposed powers to override the RMA. The most significant is the power to override regional plans and a weaker obligation in relation to national direction, combined with different decision-making criteria where Part 2 of the RMA would be subordinate to the strategic objectives of a particular project. That poses significant risks to the environmental bottom lines that would be strengthened in a revised Part 2, and which would be recognised as pre-eminent under an overarching Future Generations Act.⁶³

Application of Part 2 of the RMA ⁶⁴	It appears that the current proposal is intended to demote Part 2 of the RMA. The strategic objectives of a particular project – to be set under the broad purpose of the Act on a case by case basis and likely to be development oriented ⁶⁵ – are envisaged to be elevated above the biophysical protections contained in the purpose and principles of the Act. This raises substantial environmental concerns, despite Kāinga Ora itself having general operating principles referring to environmental values and climate change, and objectives referring to general (including environmental) wellbeing.
Application of powers to regional plans ⁶⁶	Proposed powers to override RMA instruments include both district and regional plans, which contain important bottom lines. That the latter would be overridden is particularly concerning, because the proposal is to require the agreement of territorial authorities to the establishment of an area, but that no regional council agreement would be required. Regional councils are the guardians of many of the environmental values of urban areas, and have a region (and catchment)-wide geographical focus, not just a focus on a development area. An associated regulatory impact statement recommends that “territorial authority planning and consenting functions and powers be available within the urban development project area, but not those of regional council”.
Application of national direction ⁶⁷	The proposal is for a development plan (which can override regional and district level RMA instruments) to be “not inconsistent with” national direction. This is a weaker direction than for other plans under the RMA (which must give effect to national direction). It could dilute key environmental bottom lines, especially through an integrated NEP created under a strengthened Part 2. Of particular concern would be the dilution of the requirements of national direction concerning the protection of productive land and freshwater. ⁶⁸ In contrast, Kāinga Ora would be compelled to “give effect to” a Government Policy Statement on development, effectively elevating that instrument above environmentally-focused national direction for decision-making under the RMA.
Thresholds for establishment	In our view, there should be reasonably clear criteria for when Kāinga Ora could be granted powers and for when a project could be established. An urban development authority model should not become the default mechanism for urban planning, or be able to ride roughshod over the carefully developed regional spatial plan contemplated in Chapter 9. The associated regulatory impact statement states that there is “a risk of undermining the coherence of the overall planning regime by ‘tinkering’ with overarching purpose and principles in only specific areas and/or contexts”. ⁶⁹

Figure 10.1: Concerns with the current Kāinga Ora – Homes and Communities model in the context of system reform



The concerns outlined above are not, however, fatal to the use of an urban development authority model. In short, we propose that, in a future system, targeted legislation would:

- Clarify that a strengthened Part 2 in the RMA remains the primary test for decision-making (although strategic objectives could be highlighted as one of the relevant and reasonably necessary matters to consider)
- Not include powers to override provisions of council plans that do not relate to land use or subdivision
- Treat regional councils more like territorial authorities and require their agreement up front to establish a project⁷⁰
- Build key environmental protections into the strategic objectives when a project is established
- Emphasise that national direction (an NEP) needs to be given effect to, and that a Government Policy Statement on Housing and Urban Development is either (1) not to be elevated above national direction under the RMA: or (2) to be integrated into an NEP (in accordance with a revised Part 2). It could also have elements incorporated into a National Futures Strategy, to ensure that it informed and aligned other decision-making (eg Crown infrastructure investments)
- Clarify that a project is a way to implement a regional spatial plan under the Future Generations Act, not an excuse to override it for a narrower purpose⁷¹

Questions for discussion:

- If we were to change the more general planning landscape (including under the RMA and spatial planning under a Future Generations Act), do we still need a powerful urban development authority?
- What should its powers be, especially under a revised RMA?

10.4 Concluding comments

In this chapter, we have considered elements of the built environment. Some of these have been parked for further thought. However, we explored two more specific areas of a future system: (1) the delivery of three waters services; and (2) the use of urban development authorities. We have put forward a proposition for reform for three waters, based on the establishment of regional level council and Crown controlled organisations. We have also recognised a need for the kind of integrated spatial focus that an urban development authority model provides, and that this could occur through bespoke legislation (given the number of connections that would need to be made with many other statutes). However, we have outlined changes that would, in our view, need to be made to the current proposal to make it align with wider system reform measures.

As with the RMA, these “implementation” frameworks for the built/urban environment would operate under the umbrella of a Future Generations Act. In the following chapter, we turn our attention to quite a different context, where far fewer people are found and where there is less infrastructure, but where system wide strategy would be equally important: our oceans.



ENDNOTES

- 1 For example, the provision of roads and water.
- 2 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 104.
- 3 Ibid at 140. For example, infrastructure strategies need to be embedded within Long Term Plans.
- 4 On the legislative design implications of integrating or splitting the RMA, Local Government Act and Land Transport Management Act, see G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 140-141.
- 5 See Local Government Act 2002, s 10(1); Local Government (Community Well-being) Amendment Act 2019, s 6.
- 6 See also Local Government New Zealand A “blue skies” discussion about New Zealand’s resource management system (2015) at 40; Resource Management Act 1991, sch 1, cl 3C (which makes aligned consultation possible, but does not require it).
- 7 Compare discussion in Chapter 7, concerning the integrating role of a broad purpose and principles of a Future Generations Act.
- 8 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 45; Treasury *He tirohanga mokopuna: 2016 statement in the long-term fiscal position, New Zealand* (2016).
- 9 For example, the Local Government (Rating) Act 2002; Local Government Borrowing Act 2011.
- 10 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 248.
- 11 R Ward “Three waters review” (Paper presented to the New Zealand Building Nations Conference, 2018). See also New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 9.
- 12 H Wyn “Funding pressures affecting three waters infrastructure” (Paper presented to the Local Government New Zealand Water Summit, 30 May 2018).
- 13 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 59; Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019); The New Zealand Initiative *Go Swiss: Learnings from the New Zealand Initiative’s visit to Switzerland* (2017). Alternative tools could include value uplift capture (a form of tax), or a regional portion of GST.
- 14 On targeted (rather than wholesale) changes to local government funding, see New Zealand Productivity Commission *Local Government Funding and Financing* (July 2019). On a visitor levy, see Ministry of Business, Innovation and Employment “International visitor conservation and tourism levy” <www.mbie.govt.nz>.
- 15 See Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019).
- 16 Instead, it benefits prospective residents from elsewhere.
- 17 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 249.
- 18 See New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015).
- 19 The Heritage New Zealand Pouhere Taonga Act 2014 also covers archaeological sites.
- 20 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 151.
- 21 Ibid at 151.
- 22 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 23 Other important uses are, for example, irrigation, water storage, and hydro-electric generation.
- 24 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 25 See Chapter 7. A new NES on wastewater has been proposed by the government: see New Zealand Government *Action for healthy waterways* (2019) at 58.
- 26 See *Drinking Water Standards for New Zealand 2005 (revised 2018); Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019).
- 27 See New Zealand Government *Action for healthy waterways* (2019) at 54-56.
- 28 See *Strengthening the regulation of drinking water wastewater and stormwater* (Cabinet minute CAB-19-MIN-0332, 1 July 2019). See also Local Government New Zealand *Water 2050: Governance – a better framework for drinking water regulation* (2018); L Stevens, K Poutasi and A Wilson *Report of the Havelock North drinking water inquiry: Stage 2* (2017).
- 29 One cannot “stop” people producing wastewater.
- 30 See <www.dia.govt.nz/Three-Waters-Review>
- 31 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 251; see also New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 19.
- 32 New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 17.
- 33 See also the model floated in New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) from 56.
- 34 Which could be something along the lines of “give effect to unless there were good reason not to” or “have particular regard to”: see Chapter 9.
- 35 Compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 5, 57.
- 36 Although could be a process for different regions according to different timeframes, depending on complexity and particular issues arising.
- 37 For example, the assets managed by Wellington Water are owned by several different councils at both regional and local levels. Watercare in Auckland owns water assets. Part of this question is about who we wish to have the ability to borrow against those assets (local government, for a variety of purposes, or a water utility for a narrower range of purposes). It is therefore closely linked to how services would be funded.
- 38 It might make sense for stormwater systems, so intertwined with land use planning and related flood control measures, to remain with councils.
- 39 Including the ability to cross-subsidise, an equitable distribution of population (and therefore funding), connection of infrastructure networks, fair distribution of legacy issues (eg historic underinvestment or significant upgrade costs), and growth pressures etc.
- 40 For example, Watercare as a CCO acts independently of Auckland Council, but has responsibilities to give effect to relevant aspects of a long-term plan and must act consistently with relevant aspects of any other plan or strategy of the Auckland Council to the extent specified in writing by Council’s governing body. It must also provide a statement of intent, including a narrative on how the organisation will contribute to Auckland Council’s and (where appropriate) the government’s objectives and priorities for Auckland.
- 41 In the Phase 1 report (at 184), we pointed out that Watercare, as a regional water entity, has been able to socialise costs effectively and cause investments to be made in areas that otherwise may not have been.
- 42 For example, an obligation not to make a profit, to be guided by a statement of expectation and council/Crown policy, and considerations of fairness and public interest.
- 43 A balance would be struck through the internal design features of the institutions (elements of independence and accountability), rather than having separate institutions with different features (one accountable, one independent). See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 164.
- 44 Although Watercare, as an asset owning CCO, is not dependent on funding from Auckland Council.
- 45 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 165, 183.
- 46 For example, reflected in a proposed NES on wastewater discharges and overflows (see New Zealand Government *Action for healthy waterways* (2019) at 54-56).
- 47 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 9.
- 48 On cost challenges, see *Beca Cost estimates for upgrading water treatment plants to meet potential changes to the New Zealand drinking water standards* (2018); GHD and Boffa Miskell *Cost estimates for upgrading wastewater treatment plants to meet objectives of the NPS Freshwater final report* (September 2018).
- 49 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 44: “the need for large scale replacement of water assets around the country is most likely to occur between 2040 and 2060, at the very time that population increases will be peaking”. See also Office of the Auditor General *Water and roads: Funding and management challenges* (2014).
- 50 To achieve the purposes of the legislation.
- 51 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 252-253. Compare the availability of objection and reconsideration rights for development contributions under the Local Government Act, and similar rights in relation to infrastructure growth charges imposed by Watercare (using independent commissioners) under the Local Government (Auckland Council) Act 2009.
- 52 See New Zealand Infrastructure Commission/Te Waihanga Act 2019.
- 53 See Local Government (Auckland Council) Act 2009, s 57(1)(a)-(b). See also Watercare Services Limited “Our commitment to you” <www.watercare.co.nz>
- 54 See Kāinga Ora–Homes and Communities Act 2019, s 13.

- 55 See Cabinet papers and minutes at <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>
- 56 Kāinga Ora–Homes and Communities Act 2019.
- 57 In an “Urban Development Bill”.
- 58 <www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>
- 59 As well as through previous housing accords legislation (Housing Accords and Special Housing Areas Act).
- 60 Softening the view expressed in the Phase 1 report (at 150) that the trend of making carve outs should be halted and reversed, but still embracing the underlying idea that such carve outs should not be able to override the fundamental tenets of more general protective legislation.
- 61 <<https://www.hud.govt.nz/urban-development/kainga-ora-homes-and-communities/related-documents/>>
- 62 It should not be an alternative to the normal planning process, or it will risk creating incoherence. Compare S Berry, H Andrews and J Vella “The death of the RMA by a thousand cuts: The next two incisions” (2017) Resource Management Journal 3; S Berry and H Andrews “The final straw for the RMA? Some shortcomings of the Resource Legislation Amendment Bill 2015” (September 2016) Resource Management Journal 1.
- 63 As identified at paragraphs 547 and 593 of the proposal’s regulatory impact statement, “risks may arise in relation to environmental quality particularly if a completely different balance of considerations relate to regional council functions.”
- 64 see DEV-18-MIN-0170, para 10; CAB-19-MIN-0168.01, para 44.
- 65 See CAB-18-MIN-0243, paras 24-26 on the Act’s purpose and principles and strategic objectives: “the intention is to give weight and priority to urban development, so that there is a presumption in favour of urban development in each project area.”
- 66 See DEV-18-MIN-0170, para 11.
- 67 See DEV-18-MIN-0170, para 18; CAB-19-MIN-0168.01.
- 68 Which is already fairly vague at national level under the proposed NPS, and requires firm translation at local level.
- 69 See the proposal’s regulatory impact statement, para 548.
- 70 Note that even territorial authorities do not have an absolute right of veto: see CAB-18-MIN-0243, para 34.
- 71 Although that might still possibly allow for out of sequence development if infrastructure could be fully funded and financed (ie bringing forward development that was already anticipated in a spatial plan).

11. OCEANS LEGISLATION

11.1 Introduction and context

Our discussion of the RMA and other frameworks in previous chapters has not specifically focused on the marine area. For example, planning (in an NEP and unitary plans) has been discussed largely in the abstract, as has the application of futures strategies and spatial plans. Nor have we mentioned the EEZ Act, or the potential for that to be integrated into the RMA to form a single, core framework for the management of land and sea.

This has been deliberate. The reason is that, in this chapter, we are floating the idea of a separate, targeted framework for oceans management. This would be a single statute – an “Oceans Act” – which would apply from 3 nautical miles (from the coast)¹ to the boundaries of New Zealand’s EEZ and extended continental shelf. It would be fragmentary in a spatial sense (a different Act would apply depending on where one was doing an activity)² but integrative in other senses (it would subsume a wide variety of existing marine legislation, and fill gaps). It would recognise that “integration” looks different in the deep-sea environment because of its quite different biophysical and social characteristics. Again, we emphasise that we are not married to the concept of an Oceans Act, and are here putting it forward for discussion. We welcome feedback on both its potential benefits and risks.

We are floating the idea of a separate legislative framework for oceans management – an Oceans Act. This would apply from 3 nautical miles from the coast, and integrate a variety of existing oceans-related legislation.

We mentioned the idea of an Oceans Act in the Phase 1 report.³ But the need to provide a more integrated framework for managing New Zealand’s marine estate has long been recognised by the government and others.⁴ The current legal framework has developed over more than 50 years into an uneven patchwork of provisions (see Figure 11.1 below). We now have multiple pieces of overlapping marine legislation, but still some glaring gaps in coverage (including no marine protected area legislation applying outside the territorial sea).⁵ Some of the legislation is outdated and no longer fit for purpose including, most notably, the Wildlife Act 1953, the Marine Reserves Act 1971⁶ and the Marine Mammals Protection Act 1978.⁷ There is no overarching mechanism to help ensure that all legislation and decisions that are impacting on the marine environment are interacting coherently.

Such issues resulted in the government establishing an oceans policy process in the early 2000s to “identify clear goals and principles and provide an integrated framework for managing the oceans”.⁸ The process was disbanded in late 2003, before it could deliver tangible outcomes (due to controversy over Māori customary claims to the foreshore and seabed). The controversy resulted from a Court of Appeal decision that found customary rights

over the foreshore and seabed could be recognised through private title⁹ and the subsequent passing of the Foreshore and Seabed Act 2004 which overturned the Court’s decision and declared the area to be owned by the Crown. A tangible outcome of the oceans policy initiative was the later passage of the EEZ Act, which was designed to address a lack of environmental legislation applying outside the territorial sea. However, that measure fell far short of an integrated approach to oceans management.

A new, National-led government replaced the foreshore and seabed legislation with the Marine and Coastal Area (Takutai Moana) Act in 2011, which enabled formal recognition of customary rights in the area.¹⁰ Specific Treaty settlements for fisheries and aquaculture have also been provided for in the Māori Fisheries Act 2004, Māori Commercial Aquaculture Claims Settlement Act 2004, and related statutory provisions. Other Treaty claims over the marine area, such as harbours, have yet to be settled.

There has also been a plethora of bespoke regional legislation applying to marine management in New Zealand, including the Hauraki Gulf Marine Park Act 2000, Fiordland (Te Moana o Atawhenua) Marine Management Act 2005 and the Kaikōura (Te Tai o Marokura) Marine Management Act 2014. These are all responses to failings in the broader system.



Land	Territorial sea (out to 12 nautical miles)	Exclusive economic zone (12 to 200 nautical miles)
Resource Management Act 1991		
		Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012
	Fisheries Act 1996	
	Marine and Coastal Area (Takutai Moana) Act 2011	
Conservation Act 1987		
	Marine Reserves Act 1971	
	Marine Mammals Protection Act 1978	
Wildlife Act 1953		
	Maritime Transport Act 1994	
Biosecurity Act 1993		

Figure 11.1: Spatial coverage of the main pieces of New Zealand marine legislation

The lack of effectiveness of the current marine management regime is reflected in poor environmental outcomes. A joint publication by the Ministry for the Environment and Statistics New Zealand, *Our Marine Environment 2016*, reported concern over the potential impacts of ocean acidification and warming; that most marine bird species are threatened or at risk of extinction as well as more than one quarter of New Zealand's marine mammal species; and that coastal marine habitats and ecosystems are degraded.¹¹ One of the biggest failings has been in addressing cumulative effects. Reasons posited for this, in the context of the RMA at least, have included a lack of strategic oversight of decision-making often coupled with a lack of political will and low agency capacity to undertake necessary tasks.¹²

The need for reform is clear, and this has been underscored by the recent Cabinet paper setting out the parameters for the government's review of the resource management system. This refers to overlapping marine legislative frameworks being addressed through "a subsequent review of the marine system".¹³ For this project, however, all of this is in the mix for wider resource management system reform.

The key question here is what form such a reform should take in the spatial context of the ocean. Before delving into this issue, however, it is useful to review how management

of the sea is different from managing land, because the nature of the management challenges influence the legislative and institutional design measures needed to address them.

There has been a complex history of oceans management in New Zealand, resulting in a patchwork of legislation targeting different things. Much is no longer fit for purpose, and a more integrated approach to oceans management is needed.

11.2 The unique nature of the marine environment

The sea is a very fluid environment, with tides, wind and ocean currents moving seawater vast distances around the New Zealand coast and into deep ocean areas. The chemistry of seawater underpins the basis of the marine food chain (phytoplankton production), and this is variously influenced by inputs from land (such as sediment and nitrogen run-off) and upwellings of nutrient-rich deep seawater when warmer surface water is blown away from the coast. The sea is affected more than any other domain by climate change-driven effects, with the sea absorbing around a third of global carbon emissions¹⁴ and 90 per cent of excess heat trapped by

atmospheric carbon dioxide.¹⁵ This is leading to seawater warming and ocean acidification.

Weather patterns have a strong influence on these broader seawater and nutrient flows, which can vary significantly from year to year. They impact on the productivity of marine life, with many species having complex life-cycles and episodic recruitment patterns. For example, young crayfish go through at least 11 different life cycle stages while floating along the edge of the continental shelf in ocean currents (for around 18 months), before swimming back to the coast and settling on a reef to grow into maturity.¹⁶

The fundamentally interconnected nature of the marine environment means that it can be virtually impossible to confine the impacts of an activity to its immediate site. Flow-on effects often spread over much wider areas and cumulate with multiple impacts from other places. This means that case-by-case consenting and site-specific monitoring is unlikely to be an effective management approach on its own, and that robust integrated planning is important.¹⁷ Of course, that is not untrue in the terrestrial context (one of the reasons we are proposing an integrated Future Generations Act), but it tends to be exacerbated in the marine area.

The marine environment is comprised of a rich mosaic of different seabed habitats built through tectonic and volcanic activity, the deposition of different types of sediments, the exposure of rocky structures, and the presence of both living and dead marine organisms. Just like an indigenous forest creates habitat for a wide range of forest-dwelling species, so do marine species such as mangroves, seaweeds, seagrass, shellfish, bryozoans, corals and sponges create complex three-dimensional structures on the seafloor that provide habitat for numerous species (including settlement areas for larvae and nursery areas for juvenile fish).¹⁸

Benthic habitats are particularly vulnerable to damage from seabed-disturbing activities such as bottom trawling and dredging, as well sediment discharges from land. The marine environment is also the ultimate “sink” for discharges from many land-based activities. These cumulative pressures, ostensibly managed under different regimes (the Fisheries Act and RMA) have resulted in wide-scale degradation of benthic habitats around New Zealand coasts and deep-sea areas. In some cases, such as the destruction of deep sea coral communities on seamounts from trawling and the destruction of mussel reefs from dredging, the effects are largely irreversible. In coastal areas, they have likely produced “habitat bottlenecks” where there is insufficient habitat to support the number of juvenile fish produced, thereby reducing the number that recruit into the adult population.¹⁹

This very complex and interconnected system likely supports the largest number of indigenous species in New Zealand, most which have yet to be discovered. In *Our Marine Environment 2016*, it was reported that “most of our marine environment has never been surveyed, and while scientists have identified more than 17,000 marine species

in our EEZ, experts estimate as many as 65,000 species are still unidentified”.²⁰ In fisheries, less than half of the managed fish stocks have their status regularly assessed²¹ and little is known about many of the species which are regularly harvested.²²

This lack of knowledge about the marine environment is linked to the difficulty and cost of studying it. Changes to the marine environment cannot easily be observed in the same way that the cutting down of a stand of pōhutukawa or the pollution of a river can be easily seen by members of the public. It is a carpet under which much can be brushed. Thus, to a much greater extent, marine management is reliant on science rather than lay observation to both identify problems and provide solutions to them. It is becoming increasingly apparent that some marine ecosystems are approaching or have exceeded tipping points at which irreversible change occurs,²³ and science is critical to identifying when such tipping points are being approached.

Marine research often requires the deployment of expensive vessels, undertaking time-consuming sampling and analysis and complex computer modelling. In addition, the area to be researched is vast – New Zealand’s marine estate covers an area 20 times greater than the size of the country’s land area.²⁴ Modern technology, including the growing availability of underwater video cameras, drones and multi-beam sonar, is reducing some of these costs and revealing much more about the underwater world, but the research challenges are still substantial. The cost and technical difficulty of undertaking marine science, and its critical role in informing management, has implications for the institutional and funding arrangements for marine management, as discussed below.

The arrangement of property rights in the marine area is also substantially different than for those on land. There are few freehold land titles that extend under the territorial sea and most of the area is designated “common marine and coastal area”, which means it cannot be owned by the Crown or any person.²⁵ Public rights of access to this area have been enshrined in law²⁶ and, as mentioned above, there is provision for customary marine titles and protected customary rights within the area. Individual transferable quota has been allocated for most commercially harvested fish stocks within the territorial sea and EEZ, and this provides the holder a perpetual right to harvest a proportion of the total allowable commercial catch for the fish stock concerned (through the provision of an annual catch entitlement).²⁷ Fish stocks to which the quota attaches are defined spatially by the delineation of quota management areas.²⁸ There is a patchwork of other rights in the marine area, including over structures such as wharves, jetties and marinas and for activities such as aquaculture (which are authorised under fixed-term coastal permits under the RMA).²⁹

As most of the marine area is effectively a “commons” not owned by any party, greater public interest considerations come into play than when managing activities undertaken on privately held land. For example, the Marine and Coastal Area (Takutai Moana) Act recognises the

importance of the marine and coastal area, for “its intrinsic worth” and “for the benefit, use and enjoyment of the public of New Zealand”.³⁰ The RMA also recognises the greater public interest in managing the coastal marine area by providing for the Minister of Conservation to approve regional coastal plans (rather than leaving that role to regional councils)³¹ and also requiring the Minister to promulgate the NZCPS (which is the only mandatory national instrument under the RMA).³² For oceans, our starting point for public management is quite different.³³

The marine environment is quite different in character from the terrestrial environment and needs to be managed in different ways.

11.3 Jurisdictional boundaries for marine management

New Zealand’s jurisdiction over the marine area is determined by the United Nations Convention on the Law of the Sea (UNCLOS).³⁴ Under this convention, New Zealand’s sovereignty only extends out to the edge of the territorial sea, which is 12 nautical miles from the line of low water. Within the EEZ (which extends seawards from the outer edge of the territorial sea to 200 nautical miles from the low water mark), New Zealand only has limited sovereign rights and the area is not part of New Zealand’s territory. These rights include the ability to explore, exploit, conserve and manage natural resources, including marine life, oil, gas and minerals as well as the ability to economically exploit the zone for activities such as energy production. Other countries retain the freedom of navigation and overflight within New Zealand’s EEZ and can lay submarine pipes and cables within it. Where the outer edge of the continental shelf extends beyond the EEZ, New Zealand has even more limited rights, which only encompass the exploitation of minerals, gas and other non-living resources within the seabed and subsoil as well as sedentary species on the seabed (but exclude harvesting of mobile fish).³⁵

Because of the fundamentally interconnected nature of the marine environment, it is difficult to draw hard jurisdictional lines that align management effort with ecological systems, in the same way that freshwater catchments can be defined on land.³⁶ As described above, coastal management under the RMA extends only to the territorial sea, and there is a different legal regime which applies to the EEZ and continental shelf. There is no scientific or ecological basis for this division. It was based on the political compromises honed through the multi-national deliberations leading up to UNCLOS.

For management under the RMA, the territorial sea has been further divided up into regional council management areas, usually based on a simple extension of the land-based council boundaries out to the 12 nautical-mile limit. Such boundaries are typically based on water catchments and fail to reflect the biophysical realities of the sea. This has resulted in some notable anomalies where

the Kaipara Harbour is divided between two regional councils (Northland and Auckland) as is the Hauraki Gulf (Auckland and Waikato). Horizons Regional Council manages only a small sliver of the south-east coast of the North Island. Where smaller unitary councils have been established, the fragmentation has been even greater. In Tasman Bay, Nelson City Council manages a narrow strip through the middle of the bay, with Marlborough District Council managing the eastern side and Tasman District Council the western side. These arrangements contrast starkly with those for the EEZ and extended continental shelf, which are managed as one enormous, undelineated spatial unit by the EPA under the EEZ Act.

Fisheries management is largely blind to the territorial sea/EEZ division, but spatially divides the sea up into differently configured administrative units (called “quota management areas”). These are largely based on fisheries management areas most of which extend from the shore out to the edge of the EEZ. Seven areas are adjacent to the mainland coast and another four cover offshore areas surrounding island groups. These areas were largely developed for administrative efficiency and do not coincide with many biological fish stocks, even though such stocks have been the main focus of fisheries management effort.³⁷

There have been some efforts to spatially divide the coast up into ecological units based on biophysical characteristics. For example, biogeographic regions have been identified for coastal areas based on visible ecological patterns and the physical characteristics of the areas. For the territorial sea, 14 areas have been identified of which 9 surround the mainland coast and 5 cover different offshore island areas.³⁸ These biogeographic areas do not currently coincide with jurisdictional and management boundaries, but they have been used by the Department of Conservation as a basis for identifying marine protected areas (See Figure 11.2).³⁹

Jurisdiction boundaries do not always reflect the interconnected nature of the marine environment.



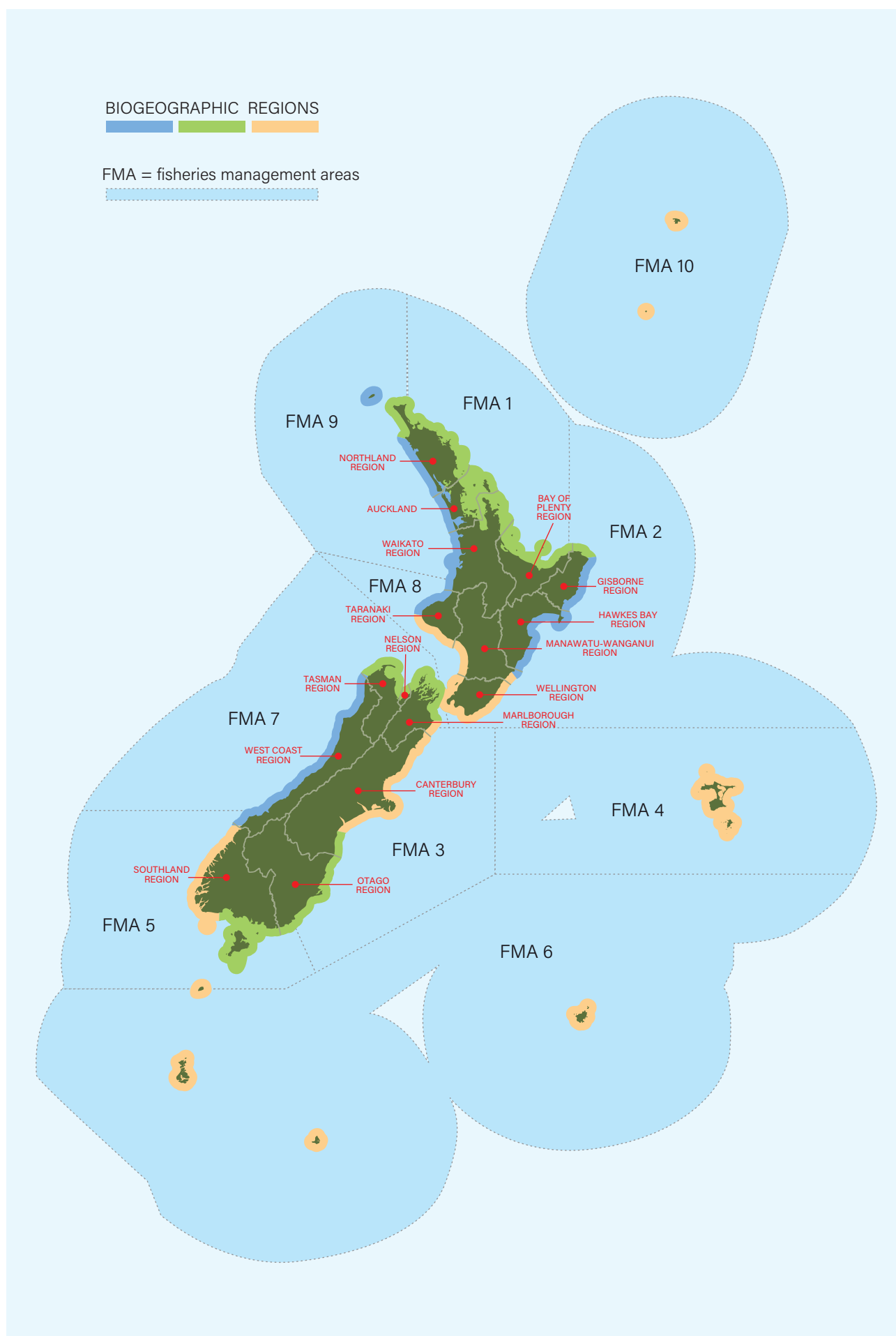


Figure 11.2: Jurisdictional and biogeographic boundaries in the current system

11.4 Institutional responsibilities in a future system

There appears to be good reason for regional councils to have a role in marine management, particularly because what happens on land (and in water catchments in particular) impacts on nearshore areas. Regional councils should be well placed to manage this land-sea interface and can deploy regional level strategy (eg regional policy statements, which have as their purpose to provide “an overview of the resource management issues of the region and policies and methods to achieve integrated management of the natural and physical resources of the whole region”).⁴⁰ Ideally, management targets and objectives set for the marine area could drive management effort further up the catchment. Integrated management across the land-sea interface is also important when it comes to sea level rise and coastal hazards. In short, it makes a great deal of sense for regional councils, responsible for and aligned according to, freshwater catchments, to manage the coastal environment under a framework like the RMA.

But should regional councils be tasked with managing out to 12 nautical miles? Such a distance from shore raises practical issues. Marine management is a specialised and expensive task, requiring the deployment of marine scientists and significant investment in marine science. Research and enforcement at sea requires operating costly vessels. Councils have, as yet, no direct source of funding for this work, apart from when they can piggyback on science undertaken by resource consent applicants and monitoring undertaken by consent holders. Although there has been the ability under the RMA to impose coastal occupation charges or tender aquaculture space to raise funds, these tools have not generally been deployed by councils (which have largely relied on a general pool land-based rates to fund whatever work is undertaken). Consistent national charging for occupation of the seabed, as part of a revamped allocation regime more generally (which we are continuing to give thought to), could help to address this gap.

As a result, many councils have largely left the bulk of their vast marine environments to look after themselves. Even where a marine scientist is employed by a council, this does not enable the build-up of a critical mass of expertise in the organisation. When someone wants to do something new in the marine area, applications are largely considered on a case-by-case basis on the scientific information provided by the applicant.

The main exception is in areas where a significant aquaculture industry has established, and so the focus of the councils has been drawn into the marine space. Both the Marlborough District Council and Waikato Regional Council have invested in modelling in order to better understand the cumulative effects of aquaculture on the marine environment, and in the Marlborough Sounds the council has also undertaken work to identify important biogenic habitats and to protect them from further degradation.⁴¹ In Auckland, despite the large size and capacity of the unitary council (6120 employees

and a rates revenue of \$1.8 billion),⁴² the identification of significant ecological areas has largely been confined to harbours and inshore areas within a few kilometres of land. This begs the question: if Auckland Council has been unable to effectively map and manage its extended marine domain, what hope is there for other much smaller and less well-resourced councils?

The recent proposal to establish salmon farms in open ocean areas around the north and east coast of the South Island also highlights the difficulties faced by councils in effectively managing such activities. New Zealand King Salmon Limited has made applications to four different regional councils, none of which have particular expertise in this kind of activity. Does it make sense for each council to try to come up to speed on the impacts of deep-sea salmon farming for just one application? And what about other activities like minerals mining, were an application to be made?⁴³

Overall, we think there is a strong case in a future system for reducing the jurisdiction of regional councils to the marine area that is affected by land and runoff from it. The extent of this will differ in different places, but would likely include harbours and embayments and open coast out to around the 3-nautical-mile mark (the line could be drawn around the country based on scientific evidence, rather than the kind of coarse jurisdictional declaration we have now). The balance of the marine area could be managed by a better equipped and resourced Oceans Agency which can build up a critical mass of expertise in marine management (see below).

In a future system, regional councils could continue to have jurisdiction over truly coastal matters, out to (generally) a 3-nautical-mile boundary. This would reflect the need to have integrated management of catchments and coasts. Other parts of the marine area could be managed by a well-resourced Oceans Agency.

Legislative arrangements in a future system: A focus on environmental effects

We think that the current degree of fragmentation in marine legislation is detrimental to effective management and that at least some integration is merited. The key question is what should be integrated, and along which lines should we make statutory divisions.⁴⁴

As outlined above, we currently have separate legislation for the management of the territorial sea (RMA) and EEZ (EEZ Act). We also have separate legislation for marine reserves in the territorial sea, and a gap for this function in the EEZ. Alongside this, there is separate legislation for marine mammals (Marine Mammals Protection Act) and other protected marine species such as seabirds, some corals and sharks etc (Wildlife Act). Fisheries is managed separately (under the Fisheries Act), as is shipping (Maritime Transport Act). Even the specific case of marine pollution spans several regimes (RMA, EEZ Act and Maritime Transport Act). So too does marine biosecurity (Biosecurity Act and RMA).

There is a strong argument that all activities should be subject to the same scrutiny when it comes to the management of environmental effects, irrespective of the type of activity or its location. Currently, we have an artificial spatial distinction between the RMA and EEZ Act. There is also a tenuous distinction made between those two pieces of legislation and fisheries activity (the last major marine activity still escaping robust environmental scrutiny). As we mentioned in the Phase 1 report:⁴⁵

The Fisheries Act's role in managing fishing impacts on marine biodiversity can ... be seen as a subset of that undertaken by the RMA. This does beg the question as to whether the Fisheries Act should play a role in this area at all. If the RMA already provides a regime for managing the impacts of activities on marine biodiversity, why is there a need for sectoral legislation to do the same thing for a specific activity? It creates an awkward carve out. Interestingly, the Fisheries Act is the only piece of sectoral legislation that creates such a carve out. It can be contrasted with the Crown Minerals Act which creates an allocation regime for minerals, but leaves the management of the environmental effects of the activity to the RMA and the EEZ Act.

A more integrated future system could bring together the RMA (in its application beyond the rough 3-nautical-mile limit referred to above) and EEZ Act (in its entirety) into one piece of legislation, which we call here an "Oceans Act". The environmental impacts of fishing activity would also be addressed under this Act, which would have a robust purpose statement resembling that of a reformed RMA. Alignment in purpose would be important even if they were focused on different spatial areas.⁴⁶ Other elements of fisheries management *could* still be undertaken under a revised Fisheries Act, focusing on fish stock management within the ambit of this broader piece of environmentally focused legislation. But there is equally a case for integrating those too, given the highly interconnected nature of marine habitats.

11.5 Marine conservation: A proactive role

Management of the environmental effects of human activity (stopping people doing things, or telling them how to do it) is not the only consideration in marine management. As on land, there are also compelling marine conservation imperatives which require proactive action to protect and enhance important marine habitats and indigenous species, including very mobile seabirds and marine mammals. As outlined above, these functions are currently fragmented, and there is also a major gap for marine protected areas within the EEZ. These need to be managed under a more specific statutory purpose focused on protection and enhancement of what is usually a common-pool domain.

A key legislative design question here is whether it makes sense to divide marine conservation from conservation more generally (where it applies to land and freshwater habitats and species). Many species cross the marine divide with, for example, the wrybill breeding in braided rivers of the South Island but then migrating to northern marine areas such as the Firth of Thames and Manukau Harbour to feed during winter.⁴⁷ Many of our freshwater fish species are diadromous and either grow to adulthood in freshwater then breed in seawater (such as eels) or breed in freshwater and grow to adulthood in the sea (such as galaxiids).⁴⁸ Seabirds breed on land, and so what happens at their breeding sites (such as human disturbance and predator activity) can have as much impact on their survival as what happens at sea (in terms of harvesting impacts on food supply and capture in fishing gear). This cross-over between domains suggests that integrated conservation legislation may make the most sense, and how this might look is shown in Figure 11.3 below.

Another option could be to amalgamate all marine legislation (apart from the RMA), including

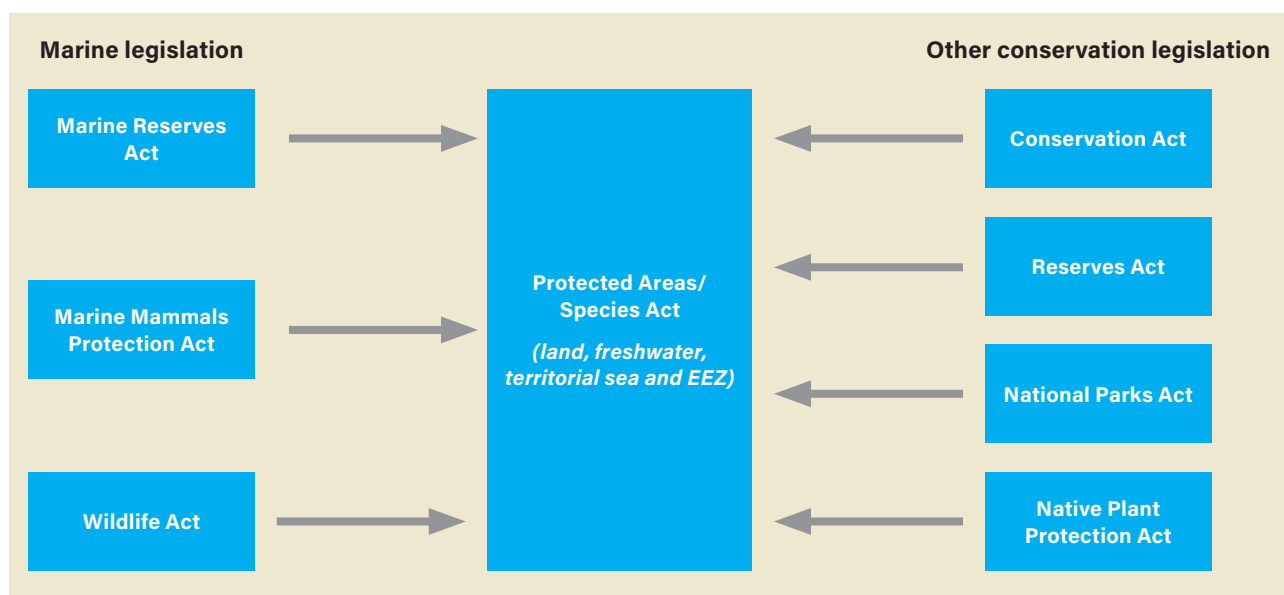


Figure 11.3: One option for integrating conservation-focused marine legislation into more integrated conservation legislation

conservation-focused aspects, into one integrated Oceans Act. The reason would be that the interlinkages between marine management regimes (a domain-based or spatial approach) are stronger than links between marine conservation measures and those relating to freshwater and land. This is the approach that has been taken in the United Kingdom (see spotlight). Again, we need to consider where the stronger, intra-statutory, connections are needed. Integration in one sense will cause fragmentation in another, and either way strong links will need to be made across statutory frameworks.

A spotlight on integrated marine management in the United Kingdom

The United Kingdom took an integrated approach to its marine management a decade ago with the passage of the Marine and Coastal Access Act 2009. The legislation incorporates strategic marine planning (marine spatial planning), the regulation of fisheries, a marine conservation regime (including marine mammal protection and marine protected areas), marine pollution, a licensing system for activities within the marine area and public access. It applies to the territorial sea and the EEZ. The functions under the Act are undertaken by the Marine Management Organisation, a non-departmental public body which is also responsible for monitoring and enforcement.

11.6 Biosecurity

Another consideration here is whether marine biosecurity is better placed with other marine matters (including shipping) than left in a separate Act with other biosecurity matters (which apply across the country). This matter will need closer investigation. The main way that invasive marine organisms enter New Zealand is attached to the hulls of vessels entering the country (or other equipment like oil rigs) or through the exchange of ballast water by overseas ships. Spread is most commonly through the movement of vessels around the coast (both commercial and recreational) and through the movement of equipment and live marine organisms in the aquaculture industry. Surveillance is focused on the main ports and marinas around the coast. We are therefore attracted to the view that marine biosecurity is more closely related to shipping (and the movement of vessels and equipment around the coast) than other elements of biosecurity (which are more focused on air and shipborne cargo as entry points), and therefore could fit better within an integrated oceans regime.

11.7 An Oceans Act

Overall, we think that there is a good argument for bringing together most marine legislation within an integrated, spatially defined, Oceans Act. This would be a potentially complex transition, and may require time. It would be quite a different way of arranging our laws. Thus the



Danish seining, Colville Channel

timeline for a new Act could focus on the medium term, but with preparatory policy work starting immediately. The management of the inshore coastal area would remain in the RMA (excluding wild fisheries, maritime transport and biosecurity, which would come under the Oceans Act). But an Oceans Act should have a purpose and principles resembling (or at least well aligned with) a revised Part 2 of the RMA. It would need to recognise the marine environment's intrinsic worth, a notable omission from the EEZ Act.⁴⁹ It could even provide more targeted principles applying to different types of decisions made within the integrated framework (eg to reflect the different roles being played, like wild fisheries management, compared to the RMA), but they would be under the umbrella of a holistic purpose statement applying to the marine area as a whole.

Furthermore, on balance we are attracted to the idea of marine conservation being incorporated into one or two integrated "Protected Areas, Habitat and Species Act(s)" applying across the whole of New Zealand. This is because marine conservation efforts, which apply to highly mobile species and their habitats, need to be undertaken within the ambit of a wider integrated conservation statute. Our thinking on what integrated conservation legislation would look like is ongoing, but we see considerable room for rationalising and aligning the multiplicity of conservation-based statutes we currently have.⁵⁰

The approach to legislative design described above is represented in Figure 11.4 below. We do not see a need to revisit the Marine and Coastal Area (Takutai Moana) Act – for pragmatic political reasons as much as conceptual ones,⁵¹ aside from any consequential amendments needed.

We see a case for integrating existing legislation relevant to the marine area into a single Oceans Act. That would not, however, include coastal management (including out to 3 nautical miles), which would remain under the RMA.

11.8 Institutional arrangements

Earlier in this chapter, we suggested that regional councils should remain responsible for coastal marine management within (roughly) a 3 nautical mile limit, and that a dedicated Oceans Agency should be responsible for management beyond that. We can now revisit that in light of the legislative arrangements suggested above.

In Figure 11.4 above we have indicated tasks for various existing agencies, with the notable addition being a dedicated Oceans Agency, operating under the auspices of a Minister for Oceans. This ministerial portfolio could be established in the short term to provide a broader stewardship function over marine management, with an Oceans Agency appearing soon after (perhaps in the medium term, to align with the introduction of an Oceans Act).⁵²

An Oceans Agency would be the operational agency for the Oceans Act and operate at arm's length from government to ensure that the Agency is seen as politically independent and that it retains high public regard.⁵³ Government entities tasked with environmental management have often struggled with such matters, with a public perception that the Ministry of Fisheries was captured by the industry it was charged with regulating⁵⁴ and the Department of Conservation resiling from its statutory advocacy role under political duress and budget cuts.⁵⁵ We have also seen the EPA stripped of a key decision-making role under the EEZ Act in favour of ministerially appointed Boards of Inquiry after declining two consent applications for marine mining.⁵⁶

We think it is important that a new Oceans Agency gains high public credibility and is seen as beyond reproach. Such independence can be achieved through establishing it as a statutory Crown entity, as well as oversight of decision-making by the Futures Commission (eg in reviewing key planning instruments and in providing a scorecard for performance alongside other agencies and

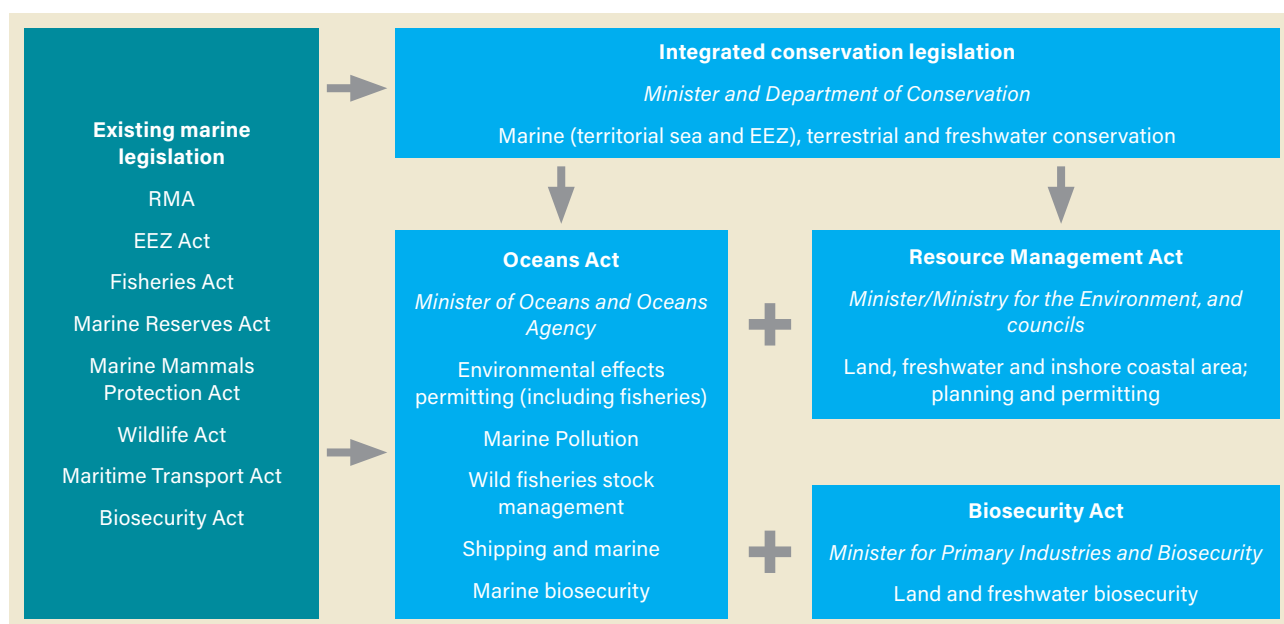


Figure 11.4: Integration of marine-focused legislation

government as a whole).⁵⁷ There are three types of such entities which are legally separate from the Crown and operate at arm's length from the responsible Minister, each with a different level of independence:⁵⁸

- *Crown agents*, which must give effect to government policy when directed by the responsible Minister. They include the Energy Efficiency and Conservation Authority, the EPA and Maritime New Zealand.
- *Autonomous crown entities*, which must have regard to government policy when directed by the responsible Minister. They include Heritage New Zealand Pouhere Taonga.
- *Independent crown entities*, which are generally independent of government policy. They include the Health and Disability Commissioner and the Human Rights Commission (and the proposed Climate Change Commission).

In this model, a dedicated Oceans Agency would subsume all of the activities of Fisheries New Zealand (a business unit of the Ministry for Primary Industries) and Maritime New Zealand (a Crown agent), as well as part of the activities of the EPA (a Crown agent) and Biosecurity New Zealand (a business unit of the Ministry for Primary Industries). Alternatively, a dedicated "Oceans Unit" could be established within a strengthened EPA, which would have the advantage of building on an existing institution of a roughly appropriate character. Developing capacity within the EPA could even be an interim step to carving off a dedicated Oceans Agency in the medium term. But if the EPA were to remain an operational agency for oceans, we would need to revisit both its weak mandate under the EPA Act and its institutional character.

In either case, we suggest that the most appropriate institutional choice would eventually be an autonomous Crown entity, rather than a Crown agent. This means that an Oceans Agency (or the EPA, if that were preferred)⁵⁹ would only have to *have regard* to government policy. However, "policy" here simply means the policy priorities of the government of the day. As under the RMA, there would also be a robust legal framework in the Oceans Act within which different institutions, including the Minister, could exercise influence through due process (see below).

Māori input into decision-making by the Agency could be supported through a strengthened Ngā Kaihautū Tikanga Taiao model (building on the EPA's statutory Māori Advisory Committee). The Agency could build on the expertise in these existing agencies, but would need to develop specialist marine science, marine spatial planning and environmental assessment capacity.

A dedicated Oceans Agency could be the operational agency for the Oceans Act and operate at arm's length from government. Alternatively, a strengthened EPA could take on this role. Māori input into decision-making by the Agency would be strengthened.

11.9 Oceans strategy and planning

The NZCPS is the most comprehensive statutory policy document that currently applies to the marine space, but it is confined to the territorial sea and functions under the RMA. No policy or plans have emerged under the EEZ Act, even though there is now legislative provision for them.⁶⁰ There is no statutory provision for the development of policy under the Fisheries Act, and only a poorly developed planning system with a focus on producing high level fish stock plans. There is no statutory provision for integrated marine spatial planning that spans all of these (and other) frameworks.

We think there is strong case for rationalising and strengthening this policy and planning framework under a new Oceans Act. At the top of the planning hierarchy in the Act would be an "Oceans Plan" prepared by the Minister for Oceans under a roughly comparable process (and holding a broadly analogous place) as an NEP under the RMA.⁶¹ The former would, in content, be quite different. In one sense it would be narrower (applying only to the marine domain) but in another it would be wider (to encompass other oceans management roles not in a framework like the RMA – such as fisheries, maritime transport, and potentially biosecurity).

But an Oceans Plan would contain both policy (in the sense of an NPS) and regulatory provisions (in the sense of an NES). It would set out New Zealand's key priorities for oceans management, and more detailed guidance on the implementation of the purpose and principles of the Oceans Act. It would, of course, need to link to, and take cognisance of, the NEP produced under the revamped RMA (which would, in turn, integrate the NZCPS). The plan – including fisheries components – would also need to be consistent with the marine elements of plans produced under conservation legislation (eg relating to marine mammals protection).⁶²

Work could usefully begin on an Oceans Plan framework in the short term – perhaps as an integrative, non-statutory instrument building on the oceans policy work that has already been done – before the introduction of the Oceans Act itself in the medium term. This less formal plan could influence the development of policy under the EEZ Act, which would be a stepping stone to a more integrated policy framework for oceans.

An Oceans Act would also provide for a permitting process. We are continuing to give thought to consenting under both the RMA and Oceans Act, but envisage that they would be roughly comparable and that there would be the ability for joint processes to occur where cross-boundary effects would be felt.

In the interim, before a formal Oceans Plan was prepared, the NZCPS would continue to apply. Once the Oceans Plan was in place, the NZCPS (as incorporated into the NEP) would be confined to the truly "coastal" areas of New Zealand in line with the reduced spatial jurisdiction of regional councils (and the RMA) outlined above.

We think there is strong case under a new Oceans Act for rationalising and strengthening the currently fragmented policy and planning framework for oceans. At the top of the planning hierarchy would be an integrated Oceans Plan.

11.10 Marine spatial planning

All of the above would be complemented by higher level marine spatial planning. A recurring theme throughout our proposed model is the need to have a place where system-wide integration occurs, alongside more targeted frameworks. We have proposed a Future Generations Act to fill this role.

The upshot here is that, standing above an Oceans Plan (as with an NEP under the RMA), there would be a “National Futures Strategy”, expressed in a “National Spatial Plan”. Both of these would include elements relating to the marine environment. Integrated spatial planning would need to influence an Oceans Plan on an ongoing basis.

That said, the nature of marine spatial planning is quite different to the terrestrial context. In the latter, attention is often focused on coordinating the spatial aspects of urban growth. Spatial planning in the marine area has a different purpose, more strongly embedded in the concept of ecosystem-based management. The marine environment, as described above, is extremely

fluid, and sparsely populated by people. In *Healthy Seas*, we therefore proposed a definition for marine spatial planning in New Zealand:⁶³

an integrated, strategic planning approach which guides the management of activities that cumulatively impact on the marine environment in order to maintain and restore healthy ecosystems while providing for kaitiakitanga and current and future uses.

There is a question of design here. Should spatial planning for the oceans be treated as separate from spatial planning on land? If it should, does it not follow that marine spatial planning should occur in an Oceans Act rather than under the broader auspices of a Future Generations Act?

Ultimately, we think they are too connected to be done separately. For one, even under an Oceans Act, there would not be total spatial integration. Meaningful marine spatial planning would need to be able to cut across the geographical boundary between RMA and Oceans Act jurisdiction (at roughly 3 nautical miles), and also span both the Oceans Act and the marine elements of an integrated Protected Areas, Habitat and Species Act(s) (eg in relation to marine protected areas and protection for marine mammals). In the Phase 1 report, we highlighted issues with Bryde’s Whale shipstrike in the Hauraki Gulf, concluding that while multiple overlapping tools can be used under different legislation, the very fact of having many options can lead to regulatory paralysis.⁶⁴ A strategic and spatial planning exercise can clearly outline



Harataonga, Great Barrier Island

which tools are envisaged to be used, and who will have responsibility for using them.

At the same time, there are important links to be made between spatial planning on land (which activities occur where) and their impacts on the sea (eg through waterways and coastal development). They cannot be done in isolation of one another. We therefore see potential issues in providing for marine spatial planning to be done under an Oceans Act when we have a more integrative (and quasi-constitutional) framework under a Future Generations Act.

At the highest level, a National Futures Strategy under this Act should therefore have a strong oceans component *within* it, and marine spatial planning needs to be integrated into a wider national spatial planning exercise. We envisage that an Oceans Agency would contribute to the production of a National Futures Strategy and National Spatial Plan (that process is described in Chapter 9), with the EPA taking on this role as an interim measure prior to the establishment of the Agency (or if, indeed, the EPA were to become such an agency). A National Spatial Plan could identify, among other things, locations for new marine protected areas and marine national parks to be established.

A National Futures Strategy and National Spatial Plan, described in Chapter 9, should have a strong oceans component within it.

A Future Generations Act also provides for the development of *regional* futures strategies and spatial plans. Alongside regional spatial plans, we see potential for a parallel process for more targeted marine spatial planning where required. This would reflect that the marine context is quite different to the terrestrial.

These plans could (1) cut across regional council coastal-marine boundaries; (2) cut across the (roughly)

3-nautical-mile boundary; and (3) encompass specified areas within the rest of the territorial sea or EEZ (eg where pressures were apparent or foreseeable). As mentioned earlier (in relation to the Hauraki Gulf), many marine areas that need to be spatially planned cut across jurisdictional boundaries (which have been based on regionally on catchments and territorially on communities of people). Marine regions would be a way to address issues of institutional fragmentation when developing regional spatial plans.⁶⁵

As with spatial planning on land, not all parts of the ocean would require the same degree of effort and attention. Preparation of regional marine spatial plans would therefore necessitate a strategic look at which parts of the marine environment should be targeted, and in what order, allowing prioritisation of effort. There would be a programme established for marine spatial planning to be developed as part of this process over the next 10 years, based on transparent a set of statutory criteria. There would, however, also be automatic triggers for detailed marine regional spatial planning to occur, such as where there was serious ecological decline.⁶⁶ Iwi/hapū and councils would be able to apply to the Minister of Oceans to have this more in-depth process initiated in their area.⁶⁷

There would be high level objectives for marine spatial plans in the identified areas, akin to high level terms of reference. There could even be a different, more collaborative, process to develop these marine regional spatial plans under a Future Generations Act, including a more direct route for their regulatory components to be given effect to in the RMA and/or Oceans Act, as outlined in the spotlight below. Alternatively, the normal process for developing regional futures strategies/spatial plans could apply, with one key change: sign-off would be required by the Crown through the Minister of Oceans and Minister of Conservation, and the Oceans Agency would be involved in co-production. This reflects the idea that even in the coastal environment, there is a strong national community of interest in marine planning.⁶⁸



A spotlight on the preparation of marine spatial plans under the Future Generations Act

In EDS's recent publication *Healthy Seas* we outlined a potential new framework for marine spatial planning in New Zealand. Within the auspices of a broader strategy, "marine planning partnerships" would be established to oversee the planning process for a particular marine area. The partnerships would be established between iwi/hapū and relevant agencies. There could also be provision for public funds to be set aside for spatial plan development and implementation, and a direction that the partnership agencies involved consider aligning other planning and funding processes with it.

The plan itself would be developed by a Collaborative Working Group comprised of iwi/hapū and stakeholder representatives. Senior agency staff would be non-voting members of the Group. This Group would be supported by a Project Team built on a core of MSP-trained staff in a dedicated Oceans Agency (or, alternatively an expanded EPA).

Once the Collaborative Working Group had agreed on a draft marine spatial plan it would be submitted to a Marine Planning Partnership for approval. Following approval by the Partnership, the plan would be publicly notified by the Oceans Agency (or, alternatively, the EPA) and public submissions invited. The Futures Commission would provide a review. The non-regulatory elements of the plan would be considered by the Collaborative Working Group and any adjustments made before forwarding onto the Partnership for final approval.

The regulatory component of the plan could be heard directly by the Environment Court. For RMA matters, the Court could make directions to councils to amend their plans directly (to the extent that the plan reflected the purpose and principles of the RMA itself), with appeals on matters of law allowed. For regulatory matters under other legislation (eg the Oceans Act, once in existence), the Court could make recommendations to the Minister of Oceans, similar to the process for Water Conservation Orders.⁶⁹



Figure 11.5: *An alternative process for marine spatial planning*

Alongside regional futures strategies and spatial plans could be a more targeted process for regional marine spatial planning. This would also occur under the Future Generations Act. Marine spatial plans would then flow through into decision-making under "implementation" frameworks, including an Oceans Act, the RMA, and integrated conservation legislation. There could even be a more direct process for marine spatial plans to be implemented in such frameworks, involving the Environment Court.



11.11 Concluding comments

In this chapter we have considered the framework for marine management in a future system. The overall proposition can be seen in Figure 11.6 below. A lot of the questions we face here are, as with the RMA, about what we integrate and what we fragment. Presently, the system is fragmented in a number of ways, and we see room for tighter integration along spatial or domain-based lines. In other words, things that are done in and affect the oceans should be managed more closely together. This creates inevitable fragmentations, too (eg between the marine and terrestrial environment, or between the coastal and deep sea environments). There are pros and cons.

On balance, however, we have suggested the creation of an integrated Oceans Act, which would apply on the seaward side of (roughly) 3 nautical miles from the coast. That would come to fruition in the medium term, and recognise that a close connection within the RMA is needed for decisions concerning land and catchments and decisions concerning the coastal environment (including its marine components). What happens in one can impact significantly on the other. While not a perfect boundary (no boundary is), it also recognises that the management of the deep sea needs to occur in a much more integrated way. This is at an operational, not just strategic, level.

Therefore, while we suggest that marine matters should be prominent in strategies and spatial plans at a nationwide level (under a Future Generations Act), it is also desirable to have greater connections between

things like pollution control, shipping, biosecurity, fisheries, and environmental impacts more widely. Hence the proposition for a dedicated Oceans Act as one implementation framework for oceans management. Alongside that Act would be more tightly integrated conservation legislation that would span land and sea, an RMA that would apply to coastal management, and the Marine and Coastal Area (Takutai Moana) Act. Treaty settlement legislation would also continue to be upheld. Accompanying legislative change would be institutional change. In particular, there would be a Minister of Oceans (a portfolio to be established in the short term) and a dedicated Oceans Agency. That could be a standalone institution, or folded into a strengthened EPA. As a transitional measure, the EPA could be built up over time and then separated into a dedicated Oceans Agency.

Questions for discussion:

- Along what lines should we split legislation concerning oceans management? Is it a good idea to have an integrated Oceans Act that folds in other regimes related to marine issues?
- Should the RMA continue to apply to the coastal environment? Where should the line be drawn between council/RMA jurisdiction and Oceans Agency/Oceans Act jurisdiction?
- What should the relationship be between a Future Generations Act and an Oceans Act? Where should marine spatial planning occur, and what should its legal effect be?



KEY for figure 11.6 on page 151

Arrows indicate different relationships between elements of the system

- ➡ Red arrows: a strong direction (eg "give effect to", "directly insert" or equivalent)
- ➡ Blue arrows: a medium strength direction
- ➡ Black arrows simply indicate the direction of a process without a particular normative instruction

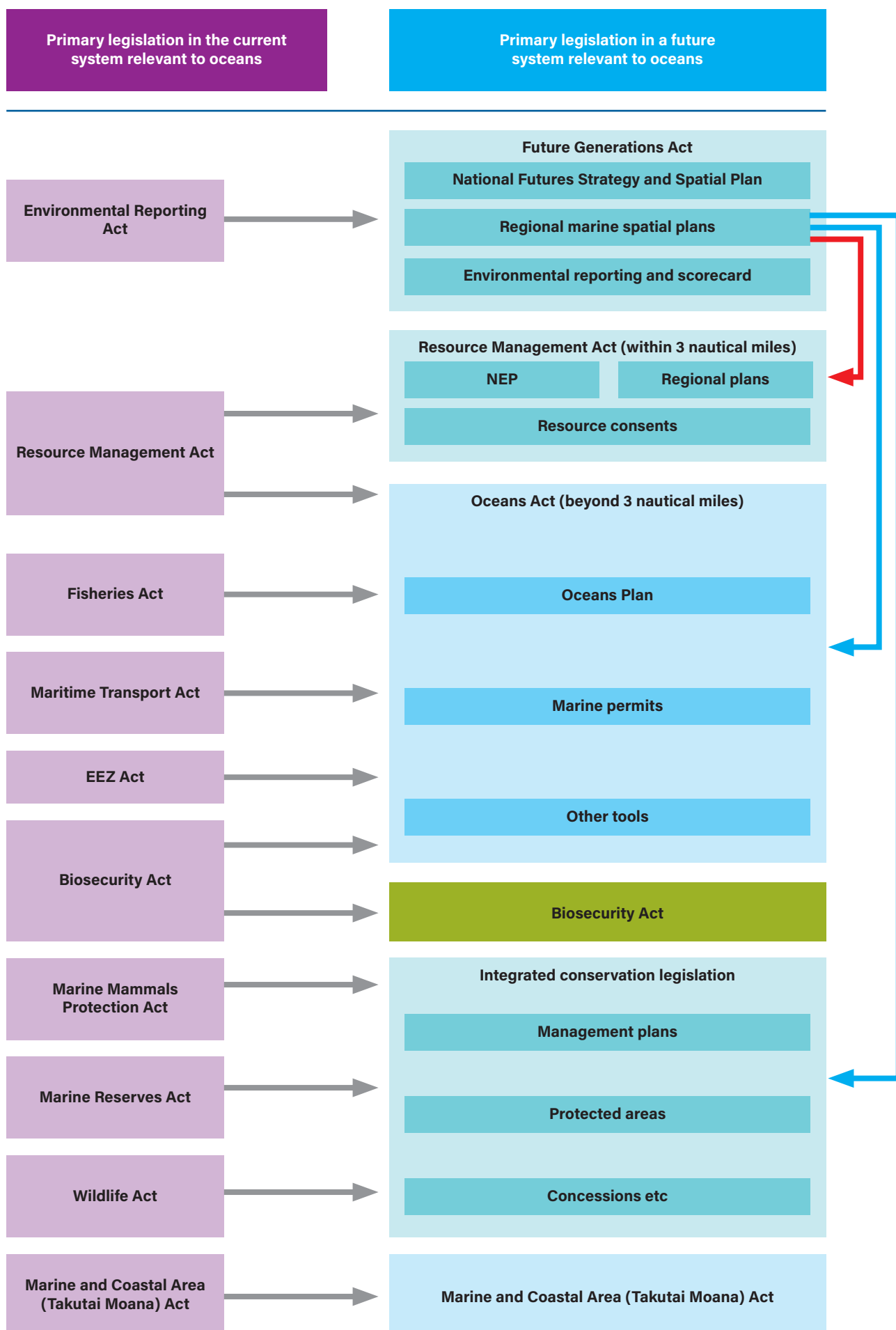


Figure 11.6: *A proposition for oceans legislation*

SEE PAGE 150 FOR DIAGRAM KEY

ENDNOTES

- 1 Alternatively, it could be based on a mapping exercise based on biophysical characteristics of different areas.
- 2 As is the case now under the RMA and EEZ Act.
- 3 At 128.
- 4 R Peart *Looking out to sea: New Zealand as a model for ocean governance* (EDS, 2005) at 183.
- 5 Except for location specific legislation (eg relating to sub-Antarctic islands).
- 6 K Mulcahy, R Peart and A Bull *Safeguarding our oceans: Strengthening marine protection in New Zealand* (EDS, 2012) at 92-114.
- 7 K Mulcahy and R Peart *Wonders of the sea: The protection of New Zealand's marine mammals* (EDS, 2012).
- 8 R Peart *Looking out to sea: New Zealand as a model for ocean governance* (EDS, 2005) at 184.
- 9 *Ngati Apa v Attorney-General* [2003] 3 NZLR 643.
- 10 Ngāti Porou is the first iwi to be granted customary title under the provisions through the Ngā Rohe Moana o Ngā Hapū o Ngāti Porou Act 2019.
- 11 Ministry for the Environment and Statistics New Zealand *New Zealand's Environmental Reporting Series: Our marine environment 2016* at 7.
- 12 Brown M, R Peart and M Wright, 2016, *Evaluating the environmental outcomes of the RMA*, Environmental Defence Society, Auckland, p 55
- 13 Office of the Minister for the Environment *Comprehensive review of the resource management system: scope and process* (2019) at 10.
- 14 O Rosane "Oceans absorb almost 1/3 of global CO2 emissions, but at what cost?" (World Economic Forum, 2019) <www.weforum.org/agenda/2019/03/oceans-do-us-a-huge-service-by-absorbing-nearly-a-third-of-global-co2-emissions-but-at-what-cost>
- 15 A Borunda "Ocean warming, explained" *National Geographic* <www.nationalgeographic.com/environment/oceans/critical-issues-sea-temperature-rise/>
- 16 R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018) at 5.
- 17 R Peart *Farming the sea: Marine aquaculture within resource management reform* (EDS, 2019) at 28.
- 18 MA Morrison, E Jones, M Consalvey and K Berkenbusch "Linking marine fisheries species to biogenic habitats in New Zealand: A review and synthesis of knowledge" *New Zealand Aquatic Environment and Biodiversity Report No 130* (2014).
- 19 R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018) at 64.
- 20 Ministry for the Environment and Statistics New Zealand *New Zealand's Environmental Reporting Series: Our marine environment 2016* at 19.
- 21 Fisheries New Zealand *The status of New Zealand Fisheries 2018* (2019) <www.mpi.govt.nz/dmsdocument/34419-the-status-of-new-zealand-fisheries-report-2018-final>
- 22 For example, see the known status of finfish stocks in the Hauraki Gulf (R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018) at 40).
- 23 See, for example, the collapse of the Challenger scallop "enhancement" fishery and failure to recover: *ibid* at 75.
- 24 R Peart, K Serjeant and K Mulcahy *Governing our oceans: Environmental reform for the exclusive economic zone* (EDS, 2011) at 3.
- 25 Marine and Coastal Area (Takutai Moana) Act 2011, s 11(2).
- 26 Marine and Coastal Area (Takutai Moana) Act 2011, s 26.
- 27 Fisheries Act 1996, s 67.
- 28 Fisheries Act 1996, s 24(1).
- 29 See Resource Management Act 1991, s 12.
- 30 Marine and Coastal Area (Takutai Moana) Act 2011, s 4(2)(e).
- 31 Resource Management Act 1991, sch 1, cl 19.
- 32 Resource Management Act 1991, s 57(1).
- 33 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019), ch 6.
- 34 On international law obligations more generally, see G Severinsen and R Peart *Reform of the resource management system: The next generation - Working paper 2* (EDS, 2018), appendix 4.
- 35 R Peart, K Serjeant and K Mulcahy *Governing our oceans: Environmental reform for the exclusive economic zone* (EDS, 2011) at 7.
- 36 Noting that catchments are not the only meaningful way to divide land-based jurisdictions.
- 37 For example, in the Hauraki Gulf none of the quota management areas coincided with known biological fish stocks. See R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018) at 14.
- 38 <www.mfe.govt.nz/more/science-and-data/classification-systems/marine-classification-systems>
- 39 See Department of Conservation and Ministry of Fisheries *Marine protected areas policy and implementation plan* (2005).
- 40 Resource Management Act 1991, s 59. See also Chapter 9, where we leave it as an open question whether regional policy statements should remain, or whether they would be replaced by more integrative regional futures strategies made under a Future Generations Act.
- 41 R Peart *Farming the sea: Marine aquaculture within resource management reform* (EDS, 2019).
- 42 <www.localcouncils.govt.nz/lqip.nsf/wpg_URL/Profiles-Councils-Auckland-Council-Main?OpenDocument>
- 43 There has been greater interest in deep sea mining in recent times, including in the EEZ.
- 44 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 123-124.
- 45 G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 137.
- 46 The differences in purpose between RMA and EEZ Act are confusing, and there is little reason for most of them.
- 47 <<http://nzbirdsonline.org.nz/species/wrybill>>
- 48 <www.niwa.co.nz/freshwater-and-estuaries/nz-freshwater-fish-database/niwa-atlas-of-nz-freshwater-fishes/an-overview-of-new-zealands-freshwater-fish>
- 49 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 61.
- 50 Compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015) at 7.
- 51 Especially in relation to additional permissions required from rights and title holders for consents under the RMA, the influence of planning documents on RMA plans, and the furnishing of advice to the Director-General of Conservation for various proposals. See Resource Management Act 1991, ss 48 and 49.
- 52 Which could be the place in which it was created, if the Agency were not to be part of the EPA. See also G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019) at 176.
- 53 Public confidence in impartiality drives the need for independent institutions (see New Zealand Productivity Commission *Better urban planning* (2017) at 240).
- 54 R Peart *Voices from the Sea: Managing New Zealand's fisheries* (EDS, 2018) at 116.
- 55 N Blake-Persen "DOC 'nobbled' by previous govt - environmental lawyer" (Radio New Zealand, 8 November 2017) at <www.rnz.co.nz/news/national/343368/doc-nobbled-by-previous-govt-environmental-lawyer>
- 56 Resource Legislation Amendment Act 2017, s 227 (which replaced section 52 of the EEZ Act).
- 57 See Chapter 9.
- 58 Crown Entities Act 2004, s 7.
- 59 Including in its other roles - for example, under the RMA and Hazardous Substances and New Organisms Act.
- 60 Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012, ss 37A-37G.
- 61 Including a review role for the Futures Commission and Tikanga Commission/ commissioners (rather than appeals to the Environment Court), the latter of which would subsume the existing Māori Advisory Committee under the EEZ Act. As with an NEP, there are challenges in terms of institutional arrangements for co-creation of oceans plans by Māori at a national level.
- 62 Including driving a precautionary approach to fisheries bycatch. In the Phase 1 report, we shone a spotlight on issues with judicial review under the Fisheries Act, noting that it has caused unacceptable delays in introducing measures to protect critically endangered species like the Māui dolphin.
- 63 K Serjeant and R Peart *Healthy Seas: Implementing marine spatial planning in New Zealand* (EDS, 2019) at 4.
- 64 At 138. See also R Peart *Bryde's whale voluntary protocol case study* (Unpublished report prepared for the Sustainable Seas National Science Challenge, EDS, 2017).
- 65 Based mainly on catchment boundaries and regional infrastructure networks (eg transport).
- 66 See G Severinsen and R Peart *Reform of the resource management system: The next generation* (EDS, 2019).
- 67 K Serjeant and R Peart *Healthy Seas: Implementing marine spatial planning in New Zealand* (EDS, 2019) at 85.
- 68 Already recognised under the RMA, in the strong role for the Minister of Conservation.
- 69 K Serjeant and R Peart *Healthy Seas: Implementing marine spatial planning in New Zealand* (EDS, 2019) at 87-90.

12. CONCLUDING COMMENTS: FROM LEGISLATIVE FRAMEWORKS TO WIDER SYSTEM CHANGE

In this working paper, we have outlined the bones of a new system that we see as having potential for driving the considerable change that will be required in the future. We have traversed a range of matters. For ease of presentation, a model for a future system has been presented in terms of the key legislative frameworks that we see as being desirable in a future system. We will not summarise all those things again, as that has been done in the snapshot of the system presented in the Executive Summary. Figure 12.1, at the end of this chapter, shows in visual (and simplified) form how a future system is envisaged to operate as a whole. This essentially compiles the various diagrams presented throughout the working paper, and can be compared to the current system shown in Chapter 5. Figure 12.2 shows how existing legislation is intended to change.

A significant focus of this working paper has been on the future of the RMA, including the questions of whether to split the Act and make changes to Part 2, the planning process, and associated institutional settings. We have explored the idea of an overarching layer of strategic legislation (a Future Generations Act), where climate change fits in, aspects of the built/urban environment, and oceans management. We have also outlined a preferred set of criteria for reform, which has been in our minds while developing a proposition for reform, as well as briefly describing the nature of the current system with which we can compare a new one. We reiterate that the project as a whole is pitched at a framework level, and does not seek to address all specific issues in the system.

This is of course a *working* paper, and therefore represents a work in progress in two senses. First, we are not

married to the proposals presented here, and welcome feedback and suggestions for changes. Indeed, that is the point – and we have presented questions for readers to ponder. Secondly, throughout the paper, there have been areas that we have identified for continuing thought and exploration. These include:

- The nature of more integrated conservation legislation (eg rationalising the large number of specific and general statutes we have concerned with the protection of particular areas and species)¹
- Consenting/permitting, and related site or project-specific mechanisms (eg water conservation orders, heritage orders, and designations)
- Climate change legislation (in particular, the emissions trading scheme)
- Compliance, monitoring and enforcement
- Questions of resource allocation (especially under the RMA)
- Construction legislation
- Heritage legislation
- Infrastructure (eg transport and water) legislation

There are many other statutes that are important, but which have not been explored specifically in this paper. We outlined these in the Phase 1 report, and in our description of the current system in Chapter 5.² There is an extensive list (although even that is not exhaustive) in the schedule to the Environment Act. In particular, one might think of the separate frameworks we currently have for:

- Biosecurity (including pest management)³
- Hazardous substances and new organisms⁴
- Waste minimisation and litter⁵
- Crown pastoral leases⁶
- Forestry⁷
- Minerals⁸

We generally see merit in such frameworks remaining separate (with some exceptions),⁹ as long as strong links are made between them. Legislative and institutional design principles suggest that targeted frameworks, purposes, and mandates are important in focusing effort, driving particularly important aspects of change, and insulating the firm requirements of some statutes from the broader considerations of others.¹⁰ In particular, conservation statutes are essential to impose a higher layer of environmental bottom lines (and limits on human activity) in particular places with specific values to be safeguarded.¹¹ We also need to remain pragmatic – the overhaul of all statutes for the sake of design perfection may make any reform exercise impractical even over the long term.



That said, some rationalisation seems desirable. For example, the confusing ways in which older legislation like the Land Drainage Act 1908 and Soil Conservation and Rivers Control Act 1941 (much of which have been repealed) continue to apply make them contenders for integration into other frameworks like the RMA and Local Government Act.¹² So too does the integration of the Crown Minerals Act with the Continental Shelf Act, the latter of which is little more a shell for the former to operate beyond the territorial sea.¹³ Furthermore, we question the continuing need for a separate Forests Act. Its provisions relating to emissions trading could be provided for in the Climate Change Response Act, while its protections on processing, felling and export of indigenous timber (and forest certification)¹⁴ could find a comfortable home in a broader outcomes-focused act like the RMA.¹⁵

It is also appropriate for some frameworks to remain separate because of the kinds of tools they use. For example, while something like the emissions trading scheme could comfortably fall within the purpose and principles of the RMA, it is an economic mechanism designed to operate largely independently of the regulatory and other mechanisms in that Act. Something like the Building Code would also not be a comfortable fit within other legislation. The kinds of restrictions imposed for hazardous substances (eg packaging, transport) and waste minimisation (eg product stewardship schemes) are quite different in nature from those imposed under the RMA. The reasons for minerals legislation (essentially, allocation of the Crown's proprietary interests for a financial return) are distinct as well.

That is not to say we should leave these statutes completely untouched through the system reform process, and we are continuing to give thought to what would be desirable. At a higher level, it is to be hoped that the development of futures strategies at national and regional levels, involving all relevant agencies, should provide a degree of alignment between separate frameworks. Securing the interests of future generations of people and nature is, after all, not just about reforming the RMA, and a Future Generations Act is being conceived of as something that influences all other decisions in the system in a meaningful way. More targeted reforms may then be needed to align the purposes and principles,¹⁶ institutional arrangements, and tools contained in other statutes.¹⁷ In particular, there may be a stronger role for a standing Futures Commission under some.

There are also aspects of the resource management system that do not fall comfortably within the boundaries of any existing legislative framework. Some of these have been mentioned in the context of a new, cross-cutting Future Generations Act (eg general duties on public authorities, cross-cutting strategic and spatial planning), and others have risen to the surface as examples in chapters concerning more specific frameworks (eg how local government provides public goods like infrastructure raises more systemic issues over how it is *funded* – for example, through rates or something else – and we can

use economic instruments under the RMA to do things like allocate resources).

But it is worth reflecting on the fact that a lot of meaningful change in a future system will not be about specific statutes and plans that prevent negative activities or that require positive action by public bodies. It will be about much more fundamental incentives that are built into our society, both financial and behavioural. In particular, regulation and coercion have limitations in terms of how much they can drive positive change rather than preventing harm.¹⁸ These aspects are still firmly part of the “system”, but it makes little sense to talk about them in terms of specific statutory frameworks.

We dedicated two chapters in the Phase 1 report to non-regulatory mechanisms and how our tools might be aligned.¹⁹ We will not repeat that material here. We would, however, like to conclude this working paper with some thoughts on what could usefully happen in a future system, which we will expand on in the final report. It is to be hoped that changes like these will relieve pressure on some purely “resource management” statutes, which (like the RMA) are often forced to respond to enormous social and economic pressures. How much better would it be if positive outcomes were built into incentives that shaped what people sought to do in the first place? And if we thought about “not just whether we are doing the project right, but also whether we are doing the right project”.²⁰ That will be essential as we move from a system based on the management of effects towards something that is about a vision of health, wellbeing and resilience for the future.



A spotlight on wider social and economic change

Alongside the reform of formal “resource management” statutes, which are often forced to respond to wider social and economic forces, a future system could be more active in shaping the incentives that people have in their day-to-day decisions, through:

- Greater use of targeted green taxes and economic instruments (eg feebate schemes) to shape behaviour, with a return of funds to related environmental improvements (eg stream restoration, biodiversity improvements).²¹ This will require specific authorising legislation²²
- Embedding circular economy thinking, and self-sufficiency in waste-management, across the system²³
- Expanding the range of funding mechanisms available to local government, particularly in the context of urban growth and infrastructure renewal²⁴
- An equitable and gradual transition to charging for non-private resource use (resource rentals), with a return to both the public and Māori
- A longer-term transition towards a tax system that both collects revenue and drives positive behaviour (eg an environmental footprint tax)²⁵
- A more systemic approach to subsidies for delivering positive environmental outcomes²⁶
- A much more active approach by the government to public interest messaging to shape attitude change,²⁷ and to transition towards alternatives rather than just stopping existing ways of doing things²⁸
- Greater formalisation of green certification, and measures to prevent greenwashing.
- A focus on implementing small scale, but cumulatively significant, behavioural nudging across the system (including implementing a cross-agency “nudging” team to work with councils)²⁹
- Reforms to the education system (eg a more formal statement of educational principles in the Education Act 1989, a relook at the school curriculum,³⁰ and reconsidering what forms core parts of tertiary programmes)
- Reforms to the public service, to break down silos relating to environmental impacts³¹
- Reforms to corporate law (eg widening directors’ duties)

Information flow in the system is also crucial. A Futures Commission and Tikanga Commission/commissioners would be put in place partly to make sure that an independent, expert perspective on government action is provided to New Zealanders, as an accountability mechanism. But we also see a case for establishing a public-facing database of information (including mātauranga Māori) that cuts across statutory frameworks (and, ideally, would be mapped).³² This could include an integrated portal by which New Zealanders could contribute to citizen science, and a repository for the vast amounts of scientific evidence presented to councils and the Environment Court that is often, effectively, lost and then reproduced in different contexts.³³ This could be done through collaboration across central government agencies and hosted by, for example, Land Information New Zealand, or it could be maintained by a more independent institution like the EPA or Futures Commission.

A simplified account of our proposed model, as it stands, can be seen in Figure 12.1 below. But let us conclude this working paper by returning to a bird's eye perspective. Despite the importance of things like legislative boundaries, institutional settings, purposes and principles, and regulatory and economic tools, we need to be

mindful of the moral and emotional importance of what as a society we are trying to do here. The aim should be for people to look after their environment – indeed, their *habitat* – in the same way they look after their children. In fact, there is a strong connection between the two, and there should be a similar degree of social abhorrence if there is a failure to do either. There is an increasingly noticeable social shift occurring at the moment, and we should harness its momentum through the reform effort. In doing so, we can serve as a beacon for a world that is crying out for hope and example.

And while change can be hard and daunting, significant biophysical, technological and social change is coming whether we like it or not. We cannot pretend that life is going to go on as it has. So let's make positive change now to drive the things we want for our children, rather than waiting to deal with the consequences of the change we don't like.

Again, we reiterate that we are seeking feedback on all the ideas and propositions put forward in this paper, and any further perspectives people have on reform. Please send both to RMProject@eds.org.nz by 30 October 2019.

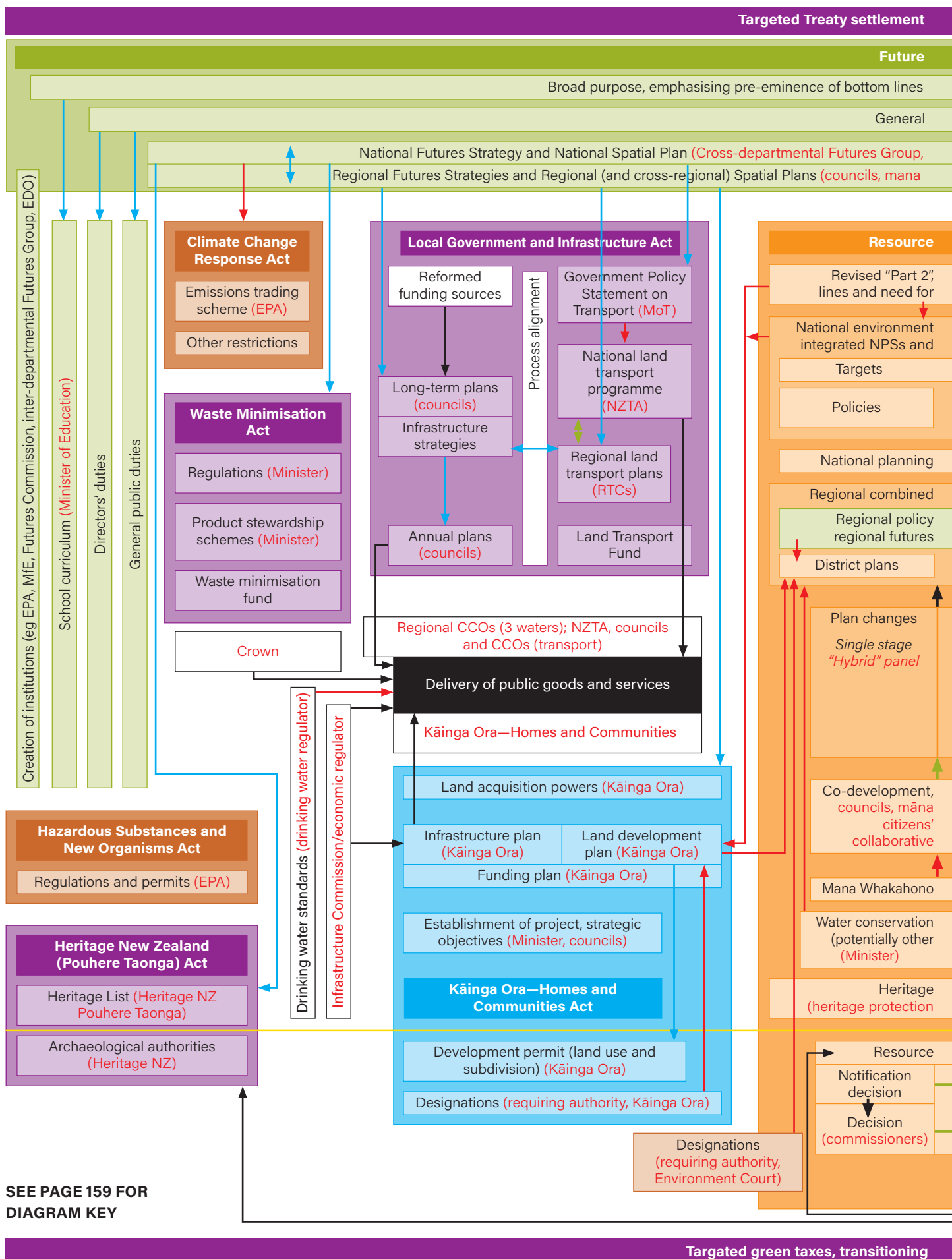
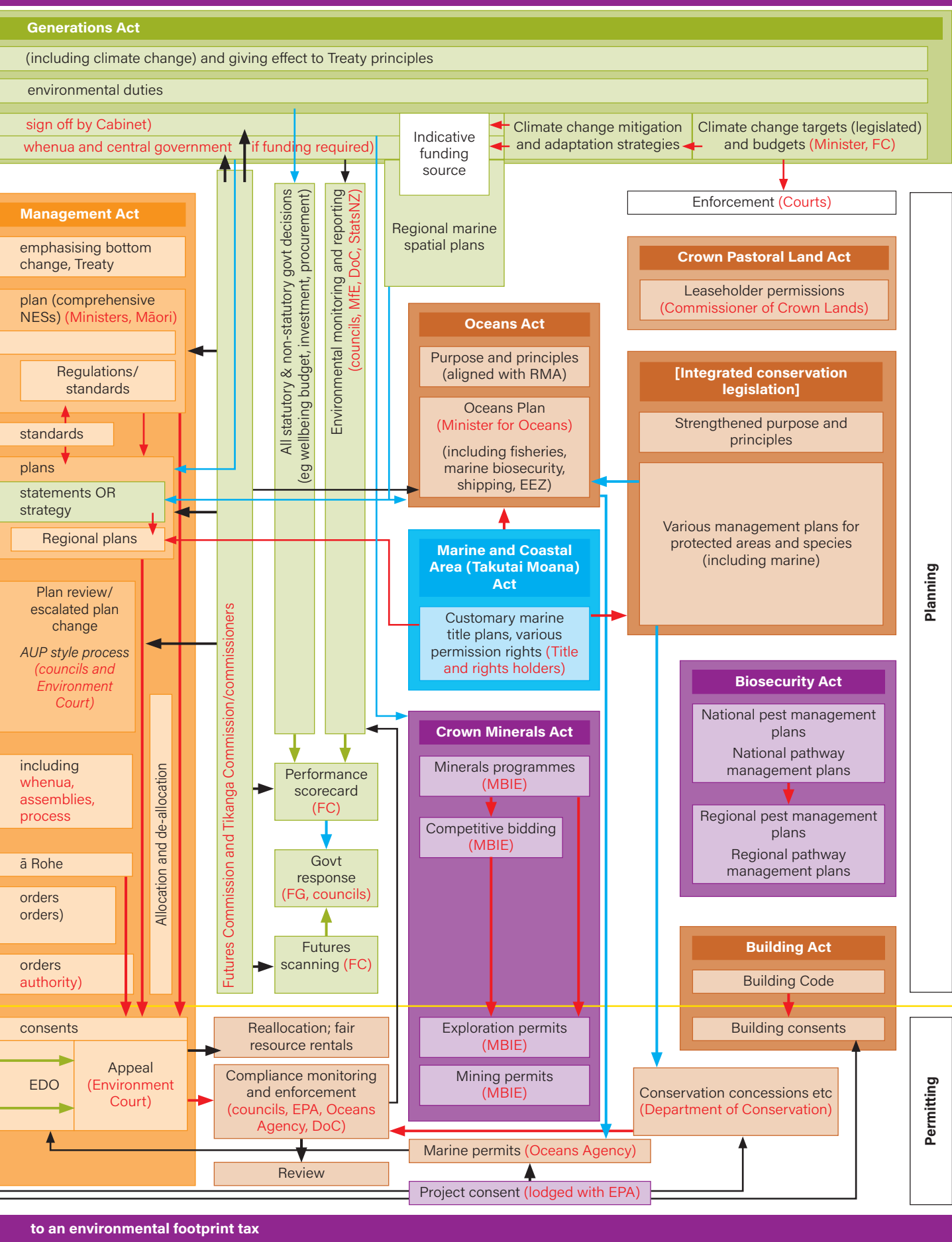


Figure 12.1: Key elements and interactions in a proposed future system.



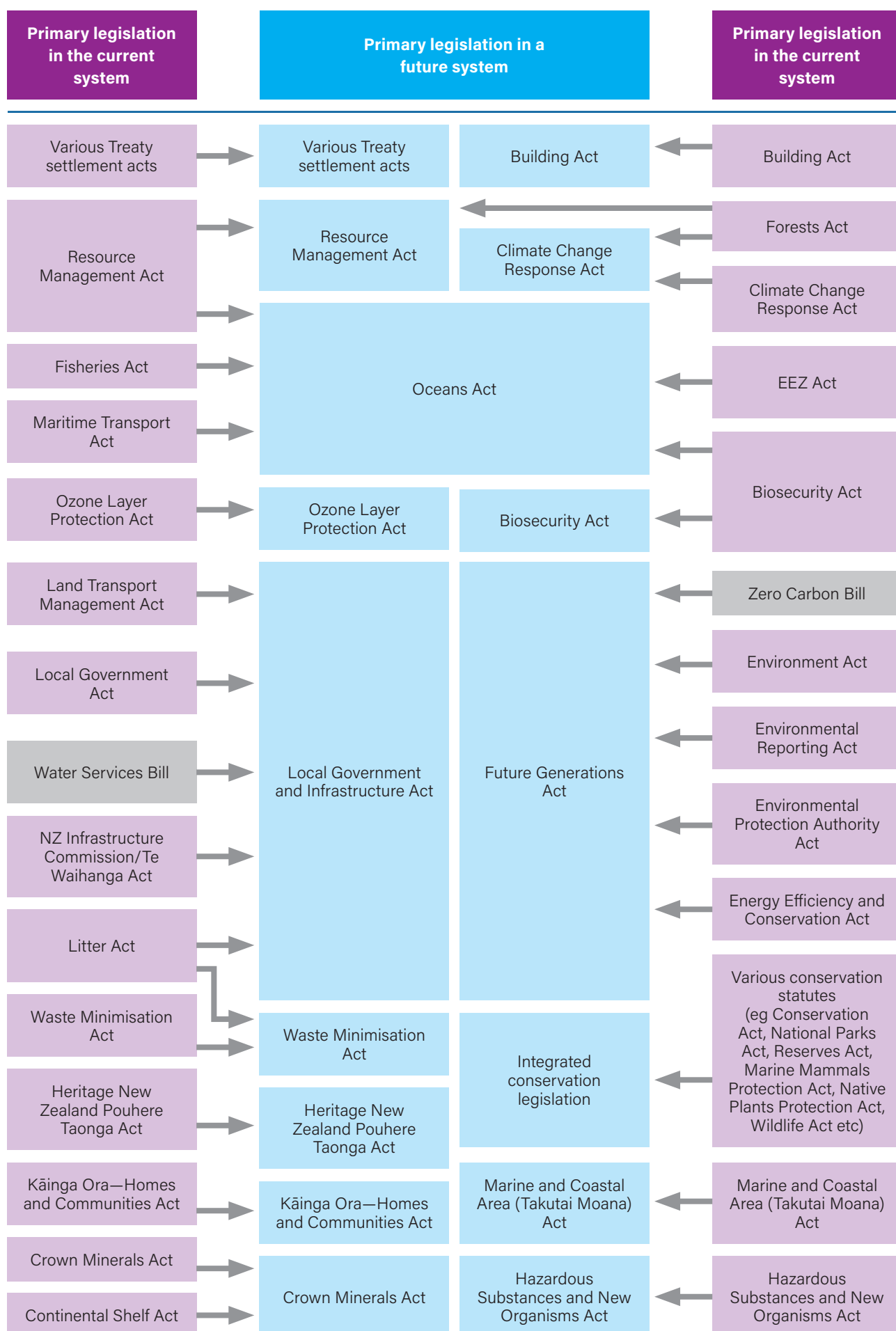


Figure 12.2: Legislative design: Statutes in the current and future system. This represents an end-point to reform (ie longer-term)

KEY for figure 12.1 on page 156-157

Where relevant, decision-makers are included (in brackets, and in red text).

Arrows indicate different relationships between elements of the system.

→ Red arrows: "give effect to", "directly insert" or equivalent;

→ Blue arrows: "be consistent with" or equivalent;

→ Green arrows: "have regard to", simple "input", or equivalent

→ Black arrows simply indicate the direction of a process without a particular normative instruction

Box colours are not significant, other than to highlight distinctions between different legislative frameworks.

ACRONYMS

CCO	Council-controlled organisation
DoC	Department of Conservation
EDO	Environmental Defender's Office
EEZ	Exclusive economic zone
EPA	Environmental Protection Authority
FC	Futures Commission
FG	Futures Group
Kāinga Ora	Kāinga Ora – Homes and Communities
MBIE	Ministry of Business, Innovation and Employment
MfE	Ministry for the Environment
MoT	Ministry of Transport
NZTA	New Zealand Transport Agency
RTC	Regional Transport Committee

ENDNOTES

- 1 For example, the National Parks Act, Reserves Act, Marine Reserves Act, Marine Mammals Protection Act, Wildlife Act, and multiple location specific acts.
- 2 See also Figure 5.7 in Chapter 5.
- 3 Under the Biosecurity Act 1993.
- 4 Under the Hazardous Substances and New Organisms Act 1996.
- 5 Under the Waste Minimisation Act 2008 and the Litter Act 1979.
- 6 Under the Crown Pastoral Land Act 1998.
- 7 Under the Forests Act 1949.
- 8 Under the Crown Minerals Act 1991 and the Continental Shelf Act 1964.
- 9 Including greater integration of marine biosecurity within an Oceans Act (discussed in Chapter 11); and potential for the integration of the Litter Act with local government and waste minimisation legislation.
- 10 There may be concern with mandates as wide or vague as, for example, the EPA or Kāinga Ora – Homes and Communities (or even, arguably, for the Ministry for the Environment). See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 124, 144.
- 11 To prevent trade offs between overall net benefit and the degradation of particular areas of value. See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 99.
- 12 See Chapter 5. See also Ministry for the Environment *Report of the Minister for the Environment's Resource Management Act 1991 Principles Technical Advisory Group* (2012); *Report of the Environmental Defence Society Technical Advisory Group on the review of sections 6 and 7 of the Resource Management Act 1991* (April 2012). These statutes are primarily about local government powers and obligations that have been inherited to proactively manage land and waterways, and should not alter the protective provisions of the RMA. They seem a better fit for integration into local government and infrastructure legislation.
- 13 With some distinctions, notably in relation to differences of "ownership" beyond 12 nautical miles. Such distinctions can easily be made within a single statutory framework.
- 14 See Forests Act 1949, pt 3A.
- 15 As do other tools like Water Conservation Orders, which do not rely on more general restrictions in Part 3 of the Act to operate. There are a scattering of other administrative type provisions in the Act that would need to be considered.
- 16 For example, in the varying expressions of "sustainability" across legislation. See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 137.
- 17 For example, aligning permitting processes under multiple statutes needed to progress a single type of activity (eg urban development).
- 18 See R Thaler and C Sunstein *Nudge: Improving decisions about health, wealth and happiness* (Penguin, 2009); C Sunstein *Why nudge: the politics of libertarian paternalism* (Yale, 2014).
- 19 Chapters 13 and 14 of that report.
- 20 See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 255; oral statement of Professor Spiro Pollalis, 2018 United Nations Sustainable Infrastructure Conference, October 2018. Compare R Joseph "The Treaty, tikanga Māori, ecosystem-based management, the RMA and power sharing for environmental integrity in Aotearoa New Zealand – possible ways forward" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 23.
- 21 On hypothecation of revenue, see G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 272. This could include strengthening funds and initiatives to support private voluntary actions (see, for example, Ministry for the Environment "Our funds" (2017) <www.mfe.govt.nz>). It could also include taxes on inputs that cause pollution (eg fertilisers) or on outputs (eg nitrogen). Economic incentives are not a replacement for regulatory limits, though: see T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018) at 173.
- 22 On the need for green taxes, compare Tax Working Group *Future of tax: Final report vol 1 – Recommendations* (2019); S Bullen et al *The use of economic instruments for the control of air quality in Auckland: A scoping study* (Report prepared for the Auckland Regional Council, 2000); Tax Working Group *Future of tax: Submissions background paper* (2018); T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 23 For example, see T Denne and L Wright *Evaluating the costs and benefits of introducing a container deposit system for New Zealand: Summary of analysis* (Covec, 2016).
- 24 Compare New Zealand Council for Infrastructure Development (now Infrastructure New Zealand) *Integrated governance, planning and delivery: A proposal for local government and planning law reform in New Zealand* (2015); Infrastructure New Zealand *Building regions: A vision for local government, planning law and funding reform* (2019); G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 249.
- 25 See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 271; RTT Stephens "Economic instruments for environmental management" in G Severinsen and R Peart *Reform of the resource management system: The next generation: Working paper 3* (2018). Generally compare Local Government New Zealand A "blue skies" discussion about New Zealand's resource management system (2015) at 4; Tax Working Group *Future of tax: Final report vol 1 – Recommendations* (2019).
- 26 Noting that there will be considerable arguments about when we should use subsidies and when we should use charges, depending on fairness and the baseline from which we measure "harm" and "improvement". See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 257. For example, should we subsidise riparian planting on farms, or charge farmers for nutrient runoff? On subsidies, see T Denne "Resource management law reform and economics" in G Severinsen and R Peart *Reform of the resource management system: Working Paper 3* (EDS, 2018).
- 27 As we see already with cigarettes and road safety. We can see aspects of this in recent powerful advertising by the Energy Efficiency and Conservation Authority, but it should be joined by messaging on biodiversity, water, etc.
- 28 For example, an investment in an energy hub in Taranaki to provide something of a pathway away from fossil fuels, or investment in infrastructure for electric vehicles.
- 29 See G Severinsen and R Peart *Reform of the resource management System: The next generation* (EDS, 2019) at 261-262; R Thaler and C Sunstein *Nudge: Improving decisions about health, wealth and happiness* (Penguin, 2009).
- 30 Which is already being progressed in the context of education on New Zealand history.
- 31 Which is already in train, although proposals for a new Public Service Act could benefit from strengthening environmental considerations.
- 32 This database could usefully contain not just environmental information, but also link to the regulatory restrictions on land (eg rules and consents under the RMA, covenants on titles etc).
- 33 As well as science produced by Crown Research Institutes.



EDS is leading a project which is taking a first-principles look at the resource management system in New Zealand. In Phase 2 of this project – A Pathway to Reform – we are proposing a new model for the future. This working paper outlines the bones of a preferred future system.

